Minda Corporation Ltd. (MINDACORP)

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Call: May 2023

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Mumbai – 400 001
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Ref: Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015

Subject: Transcription of Conference Call with Investors/Analysts held on 19th May 2023

Dear Sir/Madam,

Please find attached herewith transcription of Conference call wit h Investors/Analysts held on May 19, 2023 . Kindly take the same on record and acknowledge.
Kindly let us know if any other informat ion is required in this regard.

Thanking you

Yours faithfull y,

For Minda Corporation Limited

Pardeep Mann
Company Secretary
Membership No. A13371

"Minda Corporation Limited
Q4 FY23 Earnings Conference Cal l"
May 19 , 202 3

MANAGEMENT : MR. AAKASH MINDA – EXECUTIVE DIRECTOR
FINANCE & STRATEGY

MR. NEERAJ MAHAJAN – GROUP PRESIDENT ,
MARKETING

MR. VINOD RAHEJA – GROUP CHIEF FINANCIAL
OFFICER

MR. ANSHUL SAXENA – GROUP HEAD STRATEGY AND
MERGER & ACQUISITION S

MS. PUSHPA MANI – LEAD INVESTOR RELATIONS

Moderator: Ladies and gentlemen, good day, and welcome to the Q4 FY '23 Earnings Conference Call of Minda Corporation hosted by Dolat Capital. As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touch -tone phone . Please note that this conference is being recorded .

I now hand the conference over to Mr. Abhishek Jain from Dolat Capital. Thank you, and over to you, sir.

Abhishek Jain: Thank you, Jacob . Good evening, everyone. On behalf of Dolat Capital, we are pleas ed to welcome you to Minda Corporation's 4Q FY '23 Earning Call. We thank the management for providing us the opportunity. From the management side, we have with us: Mr. Aakash Minda, Executive Director, Finance & Strategy, Mr. Neeraj Mahajan, Group Presid ent, Marketing; Mr. Vinod Raheja, Group CFO; Mr. Anshul Saxena, Group Head, Strategy & Mergers & Acquisitions; and Ms. Pushpa Mani, Lead Investor Relations.

Before we begin this, let me mention a short cautionary statement. Some of the statements made in t oday's earnings call will be forward -looking in nature. Such forward -looking statements are subject to risks and uncertainties that may cause actual result to differ from the anticipated outcome. Now we hand over the call to Mr. Aakash Minda for opening re marks, post which we'll have the Q&A session. Over to you, sir.

Aakash Minda : So good afternoon, everybody. Thank you, Abhishek and Dolat Capital, for holding the conference call for Minda Corporation. I would like to begin. Good evening, everyone, and wel come to the Q 4 & FY23 Earnings Conference Call of Minda Corporation. On behalf of the company, I thank you all for joining us on this conference call and hope all your families are keeping safe and healthy.

In fiscal year 2023, the o verall industry experienced double -digit growth across vehicle segments except two-wheeler, where the growth has been sluggish due

to rural demand and under pressure on the back of negative rural sentiments due to inflationary pressures, rising vehicle cost and increasing fuel prices. Despite the same, Minda Corporation recorded another year of resilient and better -than-industry performance with revenue from operations of INR 4,300 crores, a growth of 45% year -on-year basis. EBITDA margin for the year improved by 83 basis points to 10.7%. We delivered double -digit EBITDA margin for 11th straight quarters. Normalized PAT for the year stood at INR 219 crores with a PAT margin of 5.1%.

The growth was driven by addition of new customers and products, premiumi zation across products, leading to increase in kit value and increasing business with existing and new customers. In line with the company's philosophy to reward its shareholders, the Board of Directors have declared a final dividend of 40% on the face val ue, that is INR 0.80 per equity share, taking the total dividend for the year to 60%, that is INR 1.20 per equity share.

Now I would like to take you all through the key developments during the year. The company entered into two strategic technology partne rships with Daesung Eltec from Korea for advanced driver assistance system and with LocoNav for telematics software solutions. These partnerships not only make us a complete solutions provider but also place us ahead of the technology curve.

Second, at Min da Corporation, we are continuously committed to drive innovation. The company has filled highest -ever quarterly patent of more than 20 patents across various business verticals, taking the total patent count to more than 250. Third, this year rem ained a marquee year for

the two -wheeler
smart key business , which continued to gain traction and clocked more than 10% of the total two -wheeler lockset revenue with key customers, including all the leading names in ICE and EV two-wheeler OEM s globally.

The company inaugurated a state -of-the-art plant in Q3FY '23 and is planning to add other plants as per capacity additional requirements. These plants not only increas e our production capacit ies and keep us closer to the customer , but are also well equipped with advanced machines backed by cutting -edge

technology.
Next, in line with the company's focus on its offering in the electric vehicle space, we've added prominent new customers in the electric vehicle portfolio

in domestic a s well as export segment. In the financial year '23, EV order book accounts for more than 20% of the total order book.
Our order book remains very strong, in line to achieve 20% to 25% year -on-year growth for the next 2 to 3 years. In the financial year 2 023, Minda Corporation generated a healthy lifetime order book of INR 7,800 crores, giving an annual revenue of more than INR 2,000 crores across segments and products. Out of this, 20% came from the EV industry and EV OEMs and platforms representing our v arious products growing acceptability and readiness for EV mobility going forward. During the year, we made a financial investment of INR 400 crores in Pricol from open market, acquiring 15.7%.
We have applied for CCI application for stake acquisition of up to 24.5% at this stage, in line with all governance and compliance requirements.
We continue to be very bullish on the instrument cluster business and as a product segment to grow. We are focused to solidify our market position by providing high -quality , innovative products and securing new business from our customers in our core products, including various products such as locksets, vehicle access, wiring harness, driver information systems, sensors, EV products as well as other products. Moreover, all our products are undergoing premiumization, resulting in enhanced content value.
Now I'll take you through the key highlights of the investor presentation. I request you to please refer to the presentation we have uploaded. I move to Slide 3, which is shar ing about Spark Minda Group, Minda Corporation. At the group level, we are reporting about INR 5,000 crore s company with 16,000 workforce, 34 plants and having more than 9 partnerships in the automotive space.
Going to the next page. It shares about Minda C orporation's global and domestic presence, which shows a strong foothold on the domestic segment across automotive regions in north, west and south as well as international operations of Vietnam, Indonesia and having an office in Japan.
Moving to the next slide of highlights of quarter 4 and full year performance.
For the Q4FY'23, the revenue growth for the quarter continues to outperform the industry performance; double -digit EBITDA margin for 11th straight quarter on a sequential basis; total lifetime order book in the quarter stood at

INR 2,000 crores with more than 11% export orders; highest -ever quarterly patent filing with more than 20 patents filled during this quarter. Two-wheeler continued to gain traction with more than 10% of the total two-wheeler lockset revenue.
For the full year, Minda Corporation's revenue grew 45% year -on-year despite of challenging macro and microeconomic conditions. EBITDA margin improved by 83 basis points to 10.7% on year-on-year basis. We won business across segments and EV, constituting almost 18% to 20% of the order wins. 32 patents filed within the year, total patents in the company now stands at 250 -plus, s igned 2 technology partnerships for our new technology products like ADAS & T elematics .

Moving to the next slide, slide 6, which shows the snapshot of consistent and sustainable market -leading profitable growth. On the top part, there is quarterly revenue, EBITDA and PAT. If I look at year -on-year, the revenue has grown by 13%. EBITD A has grown from INR 108 crores to INR117 crores, 9%. And PAT, normalized PAT has grown from INR 54 crores to INR 56 crores, a growth by 4%.
If I look at the annual revenue growth from INR 2,976 crores, the company has posted revenue of INR 4,300 crores, which is a 45% jump, a nd in EBITDA, from 9.9% to 10.7%, in absolute terms, INR 295 crores to INR 461 crores, which is a 57% jump. And PAT margins go from INR 137 crores to INR 219

crores, which is a 60% jump.
Moving to the next slide, slide 7, which is the key business highligh ts and order wins across various products. Our new technology products of integrated vehicle assets continue to lead the market. We have won orders for EV die casting products for export as well as domestic OEMs; first time products on wiring harn ess for OBD2 norms ; the new technology products in the commercial vehicle sector as well as two -wheeler segment; and the cluster division in the new technology of TFT and LCD 's. These are the marquee businesses starting production in FY '23.
Moving to the next slide, which is showing a snapshot of Minda Corporation. The total number of shareholders are, at the end of this year, about 90,000. The promoters hold 65% and other institutions & retail Shareholders hold the

remaining. On the lef t, we show the various customers and manufacturing facilities.
Moving to the next slide, on slide nine, which shows the industry performance. Automotive sector grew quarter 4 year -on-year basis by 1 .7%, almost flat. Two-wheelers degrew by 3%. On a year -on-year full year basis, automotive industry grew by 12.5%, two -wheelers by 9%, PV by 25%, three -wheelers by 13%, CV by 2 9%, tractors by 11.5%. Overall, demand continues to remain strong across segments despite of the various challenges on semiconductor and other macro concerns.
Moving to the next slide, which is the revenue breakdown by geography. India continues to remain the largest share with 84% in this year compared to last year. Europe and North America are about the same, 8% from 10%. And Southeast As ia are about 8% from 6% . By end market, the two - and three - wheeler segment continue to be about 44% from 47% . Passenger vehicle is about 14%. Commercial vehicles are about 30% from 23% . And aftermarket is about 12% from 15%. By business verticals, the mechatronics and aftermarket are about 48%. Information and connected systems, which is wiring, is about 36%. And cluster and sensors are about 16%.
Moving to the next slide, which is slide 11. It shows from last year to this year, the vehicle access business continues to be about 26%; wiring harness is about 30%; clusters are about 12%; and DCD, or die casting, is about 17%; and others now 15%.
So, we are still the market leader in two -wheel er lockset and wiring harness, pioneer in keyless entry solutions business. Movi ng from mechanical cluster to incorporate latest technologies in TFT displays . The company is one of the key players in two -wheeler and CV segment, of late also gaining traction in PV segment. In die casting division, we focus on niche products, which are more margin -accretive.
Moving to slide 11 on the order book status, as shown earlier, we have booked orders worth INR 7,800 crores this year, where replacement business is about INR 3,600 crores and lifetime new business is about INR 4,200 crores. And 20% of this is marked by EVs. More than INR 1,000 crores worth of export orders across various products and segments were booked during this year.

Moving to the next slide of t

he consolidated performance for the year. On quarter 4 year -on-year basis, the rev enue grew from INR 948 crores to INR 1,075 crores, giving a year -on-year increase of 13.4%. EBITDA grew from INR 108 crores to INR 117 crores with Y -o-Y increase of 8.5%. And EBITDA margin went from 11.4% to 10.9% across various challenges. The PBT grew from INR 72 crores to INR 67 crores. And the normalized PAT was INR 56 crores.
On a year -on-year on full year basis, the total revenue of INR 2,976 crores, it grew to INR 4,300 crores, a 45% jump. EBITDA has grown by 56.7% from INR 295 crores to INR 461 cror es. For full year, EBITDA percentage has grown from 9.9% to 10.7%. Normalized PAT has increased from INR 137 crores to INR 219 crores, up by approximately 60% and 50 basis points.

On domestic front in quarter 4 and full year, industry grew by 1.7% and 12.5 %, respectively while Minda Corporation grew at 13.4% and 25%. Exports are in line with the top line going forward. It continues to be driven by addition of new customers across geographies. The EBITDA margin was delivered in spite of the commodity prices showing rising trends and semiconductor supply chain easing out. Board of Directors has declared a final dividend of 40%, that is INR 0.80 per equity share, total dividend for the year of 60%, that is INR 1.20 per equity share.
Slide 14 on the consolidated leverage position compared year -on-year. Net worth of the company has increased to INR 1,591 crores. The long -term borrowings stand at INR 235 crores and the short -term borrowing is at INR 218 crores. Gross debt overall has gone from INR 391 crores to INR 553 crores. Overall, the net debt to net worth is at comfortable 0.25x. Capital employed at the group level is about INR 1,530 crores. ROCE has increased from 18.4% to 20.8%.
Moving to the next slide, which is slide 15, on the business vertical performanc es. If I look at the business vertical, which is the mechatronics and aftermarket, on a quarter -on-quarter basis, sales have gone from INR 547 crores to INR 535 crores and EBITDA margin from 13.8% to 13.9%. Revenue grew by 10% on a yea r-on-year basis due to increase in share of business premiumization against market growth of 1.7%. Margin declined due to stagnancy of exports, mainly due to geopolitical situation in Europe. On a full

year basis, on the right side, the division has perfor med better with Mechatronics and others revenue going up from INR 1,687 crores to INR 2,061 crores and EBITDA margin growing from 12.3% in FY22 to 13.5% in FY23 .
In the information and connected systems, now consists of wiring harness and instrument cluster and sensors. On the revenue point, it has gone from INR 462 crores in Q4FY22 to INR 540 c rores in Q4 FY23 and sequentially on QoQ from INR 522 crores to INR 540 crores. The revenue was supported by demand in domestic market. Margins improved due to wiring harness margins continuously on the rising trend due to various factors, such as co mponent localization. Minda Instruments, margins improved mainly due to semiconductor supply chain easing out and better operational efficiency. On the full year, the revenue stands at INR 2,249 crores with 8.2% EBITDA margin.
Moving to the next slide. It shows the journey of new alliances in the recent past. So , this is just to share with you again that in this financial year, we have signed two partnerships in ADAS solutions and telematic solutions to complete our technology edge and focus on offering products and system solutions to the customers.
Now moving to the strategic pillars on slide 18. We continue to focus on enhancing the core. Innovation and technology continue to be the core in terms of our in -house R&D centre and par tnering of the global players. First, how we can enhance electric vehicle growth opportunities. And all t

he Minda
Corporation products are EV -agnostic. Strengthening the passenger vehicle offerings with in -house as well as partnerships. Transforming and be coming a complete solution provider, focusing on cost leadership in manufacturing and thought leadership when it comes to technology. Premiumization and product innovation in all business segments continue to drive content per vehicle, and most important, deliver better -than-industry growth and continue improve margin profile.
Moving to the next slide on the engineering capability. We have now more than 250 patents. More than 2% continues to be the R&D spend and the following year will be continuing to incr ease further. And we have more than 500 engineer s all across various technology and products.

Moving to the next slide on the electric vehicle opportunity. This is just showing the various products that we offer in the two -wheeler segment, vario us old and new customers that we continue to add and the potential kit value going from INR 4,000 to about INR 20,000 in our legacy and products that we are already manufacturing and supply as well as under development.

Moving on to the next slide is the val ue proposition of Minda Corporation. So just in the interest of time, I will skip this. But the interest and focus continues to be on how we can perform sustainable and grow year -on-year and quarter -on-quarter, delivering our customers and focusing on innovation and technology.

Last not the least is our immense focus on the ESG framework and how to become carbon -neutral in the next years. Minda Corporation has also won various awards from our customers and across various social responsibility campaig ns that have been conducted not only in India but across the world.

With this, I would like to conclude my presentation. And now I would like to open the floor for any questions. Thank you.

Moderator: Thank you very m uch. The first question is from the line of Abhishek Jain from Dolat Capital. Please go ahead, sir.

Abhishek Jain: First of all, congrats on a strong set of numbers in this tough time. My first question is related to the information and connected system s business. So how do you see the growth going ahead in the wiring harness business? And what kind of the margin guidance you have in this business?

Aakash Minda: Yes, Abhishek, wiring harness continues to be the nervous system of the vehicle. And if you s ee the latest trends from BS -IV to BS -VI and in various segment such as electric vehicle mobility, more -and-more premiumization happening in the car. The content of the wiring harness is set to grow forward and even more. It depends on the segments as well as on the ICE or EV type of a vehicle. But technically, again I would not be able to give you a number on the particular growth. But it is going to be in line or even better than the industry growth, having more -and-more content per ve hicle, such as connected systems in the electrical vehicle mobility and others.

On the margin front, we do not give future guidance. But again, our endeavour is to continue to improve the performance on the wiring harness due to the various initiatives that we have been continuously taking on manpower productivity, component localization, strengthening our plants and production process.

Abhishek Jain: So as the semiconductor prices is going down, can we see a double -digit margin in th e wiring har ness business?

Aakash Minda: So, semiconductor is more related to our electronics business, which comes to the clusters and sensors and now the keyless solutions and the electric vehicle mobility. In wiring harness, yes, there are some semiconductors, depe nding on the end application and the products. But wiring harness is not too much invested when it comes to the

semiconductors. It is the other product lines where we have more electronics.

Abhishek Jain: Okay, sir. And in wiring harness business, how was the rates in FY '23, two -wheelers, CVs and the passenger vehicles and O ff Road ?

Aakash Minda: So largely, it remains in line with the group overall segmentation. So about 50% comes from the two -wheelers, about 25% to 30% comes from the commercial vehicle s and the remaining comes from off -road and other segments.

Moderator: Thank you. The next question is from the line of Radha from B&K Securities. Please go ahead.

Radha: Sir, my question was on the mechatronics division. So, with respect to the locksets , I wanted to understand what is your share of business with top customers like Bajaj, HMSI, TVS, Hero, Suzuki?

Aakash Minda: So, ma'am, I will not be able to share the exact numbers. That is the confidential information. But largely wherever and whichever product Minda Corporation works in, either with the customer or in the segment, we are one of the leaders, having more than 30% or 35% share of business across segments. In the two -wheeler lockset, which is higher, we have more than about 40%, if I may s ay. All customer segment level, it may vary from different customer -to-customer.

Radha: Understood, sir. But could you tell us where the share of business is higher, from which customers and from which it would be lower? Like maybe, higher from Bajaj and l ower from TVS, is that the case?
Aakash Minda: Ma'am, I think you are putting a question in just another way. As I told you, at the industry level it is more than 40%. I will not be able to give you a breakup due to confidentiality with our customers on th e customer breakup.
Radha: Okay, sir. No worries. Sir, that Honda Activa, the new series scooter launched by HMSI. So , I believe they have a different kind of lockset. I'm not sure whether we can call it smart locks, but maybe an advanced lock system. So , are we supplying that product to them?
Aakash Minda: Ma'am, as I said, I cannot disclose a particular customer name for the products. But yes, Honda is one of our customers for the keyless solutions.
Radha: Okay, sir. So then from the industry perspective, I believe in your opening remarks, you mentioned that 10% of the revenue is from smart locks. And in the industry, you are talking about, I mean, what is the penetration of smart lock in the industry today? And how do you see it in the next three to four years?
Aakash Minda: Ma'am, currently, the industry in India is about 5% to 7% in the penetration of the smart access solutions. Of course, with exports and the large premium bikes and the EVs coming in, the penetration is much higher compared to t he lower - end segments and the commuter bikes.
Radha: 5% to 7%? So that is including the…
Aakash Minda: Yes, that is right. For the two -wheelers, I mean, the next mid -term to long term, this definitely will be increasing from two perspectives. One, when the premiumization across verticals is happening, customer demand is focusing more on personalization and convenience and comfort moving from high end to the lower end of these vehicles. And of course, the export market continues to grow as well.
Radha: Sir, how much do you see this 5% to 7% in the next few years?
Aakash Minda: Ma'am, it depends again, but technically, we can say in the next mid -term to long term, about 30% to 40% should be the target that we have in mind.

Radha: Sir, any models that you can n ame, which are having 5% to 7%, I mean, which we can call as smart locks. You may not be supplying to them, I'm not asking about your supplies. But I mean, what are the models that are currently using smart locks in the two -wheeler industry in the Indian m arket?
Aakash Minda: For

example, there's Ola Electric, there is Hero VIDA. There are some TVS products. There are Bajaj Chetak. So , we have some of the models.
Radha: Okay. Sir, Bajaj Chetak will call that as a smart lock, wouldn't they? The button and -- they have that button system okay, understood, sir. And sir, what would be the price difference you said between normal locks versus smart locks?
Aakash Minda: Ma'am, a normal lockset is about INR 300 to INR 400. And the smart lock, where the locks are keyless ignition, can depend on the various configurations. But the average rate price is about INR 2,000 to INR 3,000.
Radha: Okay, sir. And sir, lastly, what would be your maintenance capex per year?
Aakash Minda: Ma'am, typically, our depreciation is a bout 4% to 5%. And typically speaking about maintena nce for regular capex is typically about 1%.
Radha: Maintenance capex, 1%.
Aakash Minda: Yes. Maintenance and other regular capex, not particularly maintenance capex.
Radha: Sir, 1% of what?
Aakash Minda: The revenue, ma'am.
Moderator: Thank you. The next question is from the line of Dhananjay Kumar Mishra. Please go ahead, sir.
Dhananjay Mishra: Congratulations on a decent set of numbers. Sir, just wanted to understand in the EV segment, this k it value, which you have mentioned. So , from traditionalized ICE vehicle, then we are close to I mean, we can provide the kit value up to close to INR 8,000 to INR 10,000. So , have we reached this kit value for any of the customer as of now or where we are in terms of kit value with a particular customer?

Aakash Minda: So, as I mentioned, this is the potential maximum kit value that we can offer. Currently, if I say that we are offering somewhere between INR 10,000 to INR 12,000 is what we have currently reached and which is under mass production.
Dhananjay Mishra: Can you repeat? I didn't get the numbers.
Aakash Minda: INR 10,000 to INR 12,000.
Dhananjay Mishra: And that is a potential we can -- but are we -- have we got order from any customer to get th is much kit value for a particular model?
Aakash Minda: Yes, we have. I cannot name the customer or model, but…
Dhananjay Mishra: No, I was just asking, I mean, whether we -- because you have increased this mechatronic, we have increased our -- this thing by INR 2,000 to INR 3,000. And then in information and connected systems, we have increased to INR 2,000. So, we can provide INR 8,000 to INR 10,000 kind of products for EV. So that's what I ask. And in terms of just for the earlier cost, what was the to tal capex put together in FY '23 and whether it be maintenance or new capex, or what is your plan, if you can give for FY '24 as well?
Aakash Minda: So, for the last year or the full year FY '23, it's INR 250 crores.
Dhananjay Mishra: Okay. And breakup y ou can give, specifically in which segment we have?
Aakash Minda: So, breakup is generally, if I may say, is about 2% to 2.5% growth in the engineering and R&D, about 1% to 1.5% growth in the regular and maintenance capex, about 1% to 2% growth in our pl ant upgradation or new plants or other such things. So , this is the breakup of the 4% - 5% of the capex.
Dhananjay Mishra: So, for growth, we don't need to increase capacity for a particular plant capacity. This is regular maintenance and th is will do will take care of growth for next two, three years?
Aakash Minda: So, different plants and different product lines have different capacity utilizations. So , mechatronic s or business vertical 1 in the keyless solution or in the lockset , have about 55% to 60%. In the wiring harness, again we are about 58% or 60% capacity utilization, in interior plastic about 80% and EV division is currently is still near about low 25% to 30%.

This is just some of

the numbers that I'm givi ng you as we're coming up with the new plants, new low -cost automation as well as we focus on, with current infrastructure, how we can increase our revenues and having flexible lines and other such innovative ideas on how we can sweat our assets more and generate more -and-more revenue s & profitability.
Dhananjay Mishra: Okay. And lastly, one question with this die casting, if you could give the quarterly revenue number for die casting and for the full year also, how it has grown?
Aakash Minda: Yes. Fo r the quarter 4, for the die casting, INR 185 crores. For the full year, for the die casting, about INR 730 crores. On a full year basis from -- in FY '22, it was INR 522 crores. So , on a full year basis, it has grown about 40%.
Dhananjay Mishra: Okay. But just one more question with the investment to Pricol. So , we have shown intent to increase our stake in the company. So , are we also in talks with them, I mean, any advanced talk is happening or you're just stated the Board approval?
Aakash Minda: It’s a financial investment in terms, Dhananjay . And we have applied for CCI full governance and compliance. So that's where it basically stands as of now.
Moderator: Thank you. The next question is from the line of Mihir Desai from Pendulum Investments. Please g o ahead.
Mihir Desai: Sir, I had two questions on the macro front. So , I just wanted to check with you, how has the global market landscape impacted your company's performance?
Aakash Minda: So, besides India, if you look at various reports, like the next 10 years are India Inc., and due to the various concerns of geopolitical issues, COVID etc ., of course, the other markets are under pressure, whether it's America or Europe or other such countries. So , coming to Minda Corporation, definitely exports for this particular quarter are under pressure. But our interest and focus is always to be winning new orders. So , even when there is a pressure from the export market, we try to outperform them.

Mihir Desai: Sure, sir. Sir, also, I just wanted to ch eck what are the steps that we are taking to address the supply chain challenges and disruptions?

Aakash Minda: So, there are various activities or actions and strategies are in place. First, commodity inflation or indexation, we have back -to-back agreemen t with our customers. And we have strategy, strategizing with our suppliers as well in terms of time and amount. That's number one.
Number two, of course, there are various strategies when China Plus One de - risking or that are happening. So, we are looking at localization of our components to our various suppliers and supply partners. As an organization, now we are heavily working on various important topics such as the quality, cost and competitiveness with our business partners. So as a group, we want to take up our supplier partners the way our OEMs have taken and groomed up and grown up over the years. That's our strategy so that we grow with us to support the next generation of technologies and the requirements that are there from a financial perspective, financial health perspective, quality, operations and, of course, all compliance perspective, including ESG as well.
Mihir Desai: Sure, sir. Thank you. Sir, also, I just wanted to check, what is the progress on ongoing research and development initiatives?
Aakash Minda: As I said that we continue to focus on our own core products and areas and technolog ies. The idea is that how we can focus on the case or case which is connecte d, autonomous, shared and electrification. So , all the products are going t hrough the premiumization route and using the comfort, convenience and individualization and personalization. So , we are now focusing on how all our products can be moved and can be taken shaped with these requirements and tre

nds .
So, we are making all our products into electronics and adding with our own design centre for how we can focus on personalization in different processes and different types of thing on that aspect. We continue to also have multiple new R&D and innovation products and projects, which are totally advanced, and new for not only India but for the world, which are under the incubation phase or are in the R&D phase for various technologies in our own product line and how we can look at into new technology and new partnerships perspective.
On the electric vehicle space as well, on electric vehicle mobility, we continue to add products in -house as well a s through partners, through technology

partners as well as engineering centers on the product capability. Also, as an organization from our R&D center, we are working on fi lling more -and-a greater number of patents and how to improve the design quality wit hin automotive and coming up with new trends and technology that you will see in the new vehicles available in two -wheelers or four -wheelers.
Mihir Desai: Sure, sir. Thank you. Sir, lastly, one broad question, which I wanted to ask you is that, sir, as an investor, say, currently five years down the line, what would be the strategy of a company and from current where we are? How do you look at the company, say, five years down the line, sir?
Aakash Minda: So, at a very large level, we would like to move fro m components to complete system solutions provider. All the product lines and the domain, what we are doing is we would like to develop our different technologies and complete system solution offering with respect to the three or four product lines and the product domains, which we are into, currently running many products, and how we will be consolidating and integrating them to offer a system solution.
From that perspective, also having a downstream plan in terms of our operational excellence and becom ing a cost leadership in that respect. And of course, all the value chain, when it comes to the people and employees and partners. On the numbers front, of course, we would like to move ahead of the market. If the market is g rowing flat, we would like to be higher by about 10% to 15% and which we have consistently showed over the last 2.5 years, three years. And also, in the remarks, I also mentioned that I would like to -- we

would like to have an organization committed to grow above 20% to 25% yea r-on-year at Minda Corporation. Most importantly, it has to be a sustainable and a growth journey quarter -on-quarter.
Moderator: The next question is from the line of Harish Shah from HS Investments. Please go ahead.
Harish Shah: So, this is basically with regards to how do you see operational efficiency kicking in? Are we taking any digital transformation initiative? And the second question is with respect to expanding our international footprint, if you can provide any steps that we h ave taken for that?
Aakash Minda: Yes. So again, we are into the manufacturing business and automotive. So definitely, operational excellence is the most important forty for us. And

especially with the ongoing setups and technology changes and the c ustomer demand, we have to fall much faster in line.
For those initiatives, we are, firstly, setting up and providing our state -of-art plants and improving end -to-end traceability, low -cost automation, robotics, business excellence, IoT and all such digita l control in the process. And we are partnering up, and already we have partnered up with various external companies to strengthen this. And also, we have a very strong internal team to continue on the group business excellence, what we call. Sorry, can yo u maybe repeat the second question, please?
Harish Shah: S

ir, my second question was with regards to strengthening our international and global presence. If you can just provide any update, any direction towards that aspect?
Aakash Minda: Yes. So of course , there are two cores to that. We are based in India. What we are focusing on how we can, firstly, increase the exports content and products from India to all over the world, looking at the various good opportunities that are coming across the Indian continent. That's number one. We do not have plans to acquire any companies which are having large operation based overseas. So , our focus remains on how we can be in India and work for the exports and have a larger share of reve nue from the export businesses in the next years to come.
Harish Shah: Okay. And my last question is with regards to our mechatronics division. How do you see the margin panning up in the coming quarters?
Aakash Minda: So, the mechatronics division in our presentation also we had showed at about 13% to 14% EBITDA. While, of course, we want to grow this and we will see in upcoming quarters and there will be increase in the content electronics, etcetera, first and most important is to stabilize this. And then we will continue to improve its year-on-year. We're changing technology, we need to first utilize our capacities, get adjusted to the new volumes and the customer demand, deliver most importantly and then focus on how growing year -on-year.
Moderator: The n ext question is from Saral Seth from Indsec Securities & Finance Ltd. Please go ahead.

Saral Seth: Sir, my question pertains to how do we plan to increase our content per vehicle from here going ahead over the next 2 to 3 years across segments? Because we are seeing decent premiumization, which is happening across the board. So , do we still feel that there is room for further penetration in our products to increase content per vehicle?
Aakash Minda: Yes, absolutely, it is not even the beginning, if I may sa y, Saral. As you see the bike, cars, etc ., are all go ing through premiumization. And if I speak about our products for vehicle access, so from a traditional lock and key, as I mentioned earlier, we're now moving to keyless solutions . And this is only the 5% to 7% penetration as of now. Going forward, of course, it is only going to increase.
When it comes to the wiring harness content and increasing kit value, as I had mentioned earlier as well, the increasing number of connect ion systems, high - voltage cables, more complex wiring harnesses are definitely going to lead to increase in the content per vehicle. In the instrument clusters and space analog clusters are moving to digital and TFT clusters with more of perso nalization

and co mfort and convenience which is more of a dashboard or a cockpit and more driver information system and connected.
So, this is how the clusters are now moving, which all of us would like to get connected to our phone and others. That is again a very less penetration. And all these technologies are into the only high -end vehicles, whether in two - wheelers or four -wheelers. And slowly, they will rather pass. They will come into the low -cost commuter segments, which is where the volume li es across India. Other product lines that we're also continuously adding is again in terms of sensors, increasing the portfolio.
Interior plastic division, we've added many products such as ADAS, Shark fin antenna , flush door handles and o ther various technologies, particularly in the EV space and electronics of telematics intelligent transportation, there is a vast array of products, which are now moving from a traditional car or a two - wheeler to a high-end connected, personalized and advanced vehicle . So, this is how the penetration will increase and more and more kit value for Minda Corp will increase.
Saral Seth: Righ

t, sir, that was very detailed answer. Sir, my second question is on the aluminium die casting. How do y ou see the business shaping up over the next

2 to 3 years? We have done well to ramp up this business. But do you see any competition in this business? Or do you feel that there is enough room for growth?
Aakash Minda: There is definitely a lot of opportun ity when it comes to the light weighting aspect. Because when more and more electric vehicle mobility is coming in and the world is speaking about emission systems and the other such things, which is where the aluminium casting or the die casting comes in. A nd as I would like to again share, Minda Corporation die casting division has a 40% year-on-year growth in this last year and more and more exports coming in going forward.
So definitely, there is a room for growth. We would like to continue to focus on ou r domestic as well as export market. We have a strong team with excellent amount of technology to cater to the need. We are well placed in the next 4 to 5 years with respect to any technology that is needed in the light weighting solutions.
Saral Seth: And sir, this aluminium die casting, how much would be domestic and how much would be export, sir, if you can share that number?
Aakash Minda: So technically, you may say about 60% is domestic and about 35% - 40% is exports.
Saral Seth: And would it be fair to assume, sir, that the margins in this business are higher than the blended margin, sir?
Aakash Minda: Yes, of course. But I would like to also highlight that the capex and the below EBITDA number just in terms of deprec iation are also higher in this business compared to others because it is a highly capital -intensive business.
Saral Seth: And sir, any new product launches, which we are doing in aluminium die casting wherein we can gain market share or take new orders?
Aakash Minda: Yes. The focus is definitely on electric vehicle mobility. There are various players and there are many opportunities that are coming in again from the motors or battery package housing or other converter businesses. So , there are various produc t lines that we are working on for the EV die casting p roducts.

Saral Seth: And sir, my final question, if I can squeeze in, sir, what is the -- I mean, there were questions about margin trajectory. But I would like to understand what are the levers for margins going ahead? Is it like sustained cost optimization? Or are its raw material tailwinds? Or is its better realization -led operational efficiency which could come in, sir?
Aakash Minda: So, I think you answered all your questions you had asked. But it's the mix of all. And again, while there are pressures from the raw material, wage increase to various states like we have seen all across, the margin definitely continues to be under pressure. But as an organization, our focus is on how to gain cost

leadership in the manufacturing from in -house all the way to our suppliers.
So definitely, the indication with our partners, how we can focus on increasing productivity and manpower productivity improvement, more and more dependent on automation and robo ts is something that we will be looking at in the future. As well as the products that we are going to be working on and are working on, of course, we'll be needing much more automation rather than manual lifting, which will be reducing the manpower d ependency and increasing the quality as well as productivity and efficiency and profitability.
Moderator: The next question is from the line of Radha from B&K Securities. Please go ahead.
Radha: Sir, my question is on the aluminium die casting side. So , just wanted to understand, I believe that as we move on from aluminium to zinc and to magnesium, so I mean, th

e value content or the product improves. So , is there a margin difference if we are providing aluminium die-casted products versus zinc and magnesium d ie-casted products? And what would that be?
Aakash Minda: Very challenging question. But again, we are primarily into alumin ium casting. We are not into magnesium casting. Of course, there are more pros than cons when it comes to the technology per se. But more importantly, the application of each of the zinc or aluminium or magnesium casting plays an important effect. Honestly, I cannot comment on the profit margin across all three.
Radha: Okay, sir. And sir, I mean, if we see the magnesium die -casted produc t, I mean, is the industry -- or do you believe the industry can slowly start moving to the magnesium die -casted products at least in the premium vehicle? And this year,

what is the penetration now? And I mean, if the industry moves towards it, will it sta rt with the passenger vehicles and so on?
Aakash Minda: Magnesium casting is a very critical process. And it is very safety -critical if I may say, compared to zinc or aluminium , by the nature of it. So , there are not too many players in India who do that. B ut yes, as a technology, it does exist. But immediately, the application needs to be Validated and tested, which will take many years to come, in my opinion, as an individual?
Radha: And lastly, out of the components that we make in the aluminium die-casted products, I mean, what percentage of that we would be making for products that are in Engine subcomponents or transmission subcomponents and components that will not be required in the EV engine? And what would be our strateg y to when the industry replaces those products, what would be our strategy to cover that part of the revenue?
Aakash Minda: So firstly, again these are both types of products that we make for either ICE engine or, then there are EV batteries ar e motor -related. And then there are products which are EV -agnostic or Indian -agnostic, which does not matter whether it is a car engine. So, there's a variety of mix and across segments. Export is also again on the IC engine side as well, which is also grow ing. But we are very clearly launching new EV die casting products, which will not hamper our IC engine product in the casting step.
Moderator: The next question is from the line of Monika Arora from Share Gian t Wealth Advisor. Please go ahead. As there is no response, we will move to the next question. And the next question is from the line of Rajesh Kumar from Reliance Wealth. Please go ahead.
Rajesh Kumar: My first question is on the working capital. How do you see in future your working capital days to evolve? What are the company's st rategy on that?
Aakash Minda: So, the challenge in the automotive industry is definitely continuously increasing the working capital. Like one of the key m atrix’s that we also monitor and working towards that. An d hence, as I mentioned, one of the important factors in that is our suppliers or our creditor partners. This is where we are working with them on how we can strategize to decrease our inventory days as well as their payment term results. And there are, of course, MSME

norms w hich the government has set of 45 days and all. So , this is one as pect that we're working on across various segments.

Number two is, of course, on our work -in-progress inventory and F inished Goods inventories tha t we look at. So , inventories definitely are an important aspect with more and more imports due to the electronics now coming in and the customers mandating and requiring us to have a high number of lead time items in our inventory. That is where the invent ory number of days go up. When it comes to the customer aspect of it, definitely, the

re are sector norms.
Customers are good paymasters and are traditional ones, there is no issue in that. But yes, where in some cases, we manage them appropriately if in ca se. But we are constantly reaching out to them on how to reduce our debtors' days on that aspect. So of course, if you see, yes, our working capital days has gone up from 30 to 40. But we are working on these fronts, as I mentioned, to come down sig nificantly.
Rajesh Kumar: Sir, my next question is we have entered into two strategic partnerships in FY '23. Can you help us in giving some colour how this has panned out so far and their potential impact on the business going ahead?
Aakash Minda: So, when it comes to the Daesung Eltec, it's concentrated on the ADAS solutions. So , this is a company from Korea. And what we are here targeting now we basically L zero application in India from that point. So currently, our team is working with our Kor ean counterpart on the application for the Indian environment as well as the Indian end customer usage. That's what we are continuously working on. Because the products that they have developed are for international usage. That's one.
On the second side, o f course, we are working on the customers and demonstrating our samples, putting onto their vehicles to get more and more interest into that front. When it comes to the telematics, LocoNav company. Minda Corporation is offering on the hardware and Lo coNav is offering the cloud and the software solution to that. So , as a joint system solution offering, we are working with various partners or with the customers to offer them a complete solution on this aspect. So of course, our products are in the marke t, which is on the vehicles, whether in EV or in IC engine across segments.

Rajesh Kumar: Sir, my next question is how about your targets for the strategic partners and especially post pr icol? How will you be able to finance it?
Aakash Minda: So again, t his is a financial investment. So , we will see when the opportunity comes what will be done and what can be done. But of course, we are much more confident on our performance and our balance sheet than ever. With the way we've already said before is that y ou can see the numbers and the next year targets are also much, much higher for us and we as an organisation are committed to deliver more and more free cash flow. So , you will see when the opportunity comes, whether it is any and all JVs or TLAs or M&As. And we will evaluate them at the right course of action.
But as an organization, we are focusing on bringing in new partners through JVs and TLAs for completing our system solutions and offering advanced technologies. And we will come back to the market and to you whenever there are developments, which will be soon. Of course, when it comes to M&As, we are open to all opportunities that come our way. We have the full bandwidth and have developed the management capability t o grow further through M&A route as well .
But yes, we are very clear on what we are not going to do. We are not looking at any companies which are outside India and are also in the product range or product lines of Minda Corporation, which are the domains that we are already working in. So, there are some clear norms that we have set up for M&A as well as technology assistance and partnerships.
Rajesh Kumar: Sir, on ROCE, what is the level you are targeting in the long run? And what are the strategic levers or your strategies to achieve th e same ?
Aakash Minda: So, our ROCE is again currently moved from -- if you see over the last few years, we have gone from 15% to 20% this year in the last 3 years only. And if you look at the FATR of the organ ization, we are somewhere on the 4.2x to 4.5x. And this year, we have done about 5.4x. So , with the nature of the products and our produ

ct line strategy, this is how we continue to invest in the products, which are going to continu ously give us high RO CE numbers. And this is a key parameter in the metric before any capital allocation that we do for any new project or even a new partnership or a plant.

Moderator: As there are no further questions, I would now like to hand the conference over to Mr. Aakas h Minda for closing comments.

Aakash Minda: So, thank you very much. Going forward in FY '24, we are very confident of growing better than the industry or performing the industry with our own capabilities and technologies and customer engagement. We continue to focus on delivering numbers and performance on consistent and sustainable basis. And we are developing our ability to navigate the market challenges by relentlessly focusing on new products, R&D, innovation and strategic tie -ups to cater to t he evolving demand of the automotive space.

Our strategic approach will remain on fortifying our core products and expanding our products and customer base both by attracting new clients and deepening our relationships with existing ones. We are fully pois ed and confident of margin -accretive growth in the next years to come. Thank you for your support.

Moderator: Thank you. On behalf of Dolat Capital, that concludes this conference. Thank you for joining us, an d you may now disconnect your lines.

Call: Aug 2023

August 09 , 2023

The Officer -In-Charge (Listing)
Listing Department
National Stock Exchange of India Ltd.,
Exchange Plaza, Bandra Kurla Complex,
Bandra (East),
Mumbai - 400 051
Symbol: MINDACORP Head - Listing Operations,
BSE Limited,
P.J. Towers, Dalal Stree t, Fort,
Mumbai – 400 001
Scrip Code: 538962

Ref: Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015

Subject: Transcription of Conference Call with Investors/Analysts held on 3rd August 20 23

Dear Sir/Madam,

Please find attached herewith transcription of Conference call wit h Investors/Analysts held on August 3, 2023 . Kindly take the same on record and acknowledge.
Kindly let us know if any other informat ion is required in this regard.

Thanking you

Yours faithfull y,

For Minda Corporation Limited

Pardeep Mann
Company Secretary
Membership No. A13371

“Minda Corporation Limited
Q1 FY '2 4 Earnings Conference Cal l”
August 03 , 202 3

MANAGEMENT : MR. AAKASH MINDA – EXECUTIVE DIRECTOR
FINANCE & STRATEGY

MR. VINOD RAHEJA – GROUP CFO

MR. ANSHUL SAXENA – GROUP HEAD STRATEGY AND
MERGER & ACQUISITION S

MS. PUSHPA MANI – LEAD INVESTOR RELATION S

Moderator: Ladies and gentlemen, good day and welcome to the Minda Corporation Q1 FY24 Earnings Conference Call hosted by Dolat Capital. As a reminder, all participant lines will be in the listen - only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal a n operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded. I now hand the conference over to Mr. Abhishek Jain from D olat Capital. Thank you and over t o you, sir.
Abhishek Jain: Thanks Seema. Good e vening everyone. On behalf of Do lat Capital, we are pleased to welcome you to Minda Corporation Q1 FY24 Earnings Conference call. We thank the management for providing us the opportunity. From the management side, we have with us Mr. A akash Minda, Executive Director, Finance and Strategy. Mr. Vinod Raheja , Group CFO, Mr. Anshul Saxena, Group Head Strategy and Merger and Acquisition, and Ms. Pushpa Mani, Lead Investor Relations. We'll start the call with a brief opening remarks from the m anagement and followed by Q&A sessions. Now I hand over the call to Mr. A akash Mind a for opening remarks. Over to you, sir.
Aakash Minda: Good evening and thank you very much, Abhishek, for organizing this call for us. So good evening, everybody, and wel come to the quarter one financial year 24 Earnings Call of M inda Corporation Limited. On behalf of the company, I thank all of you for joining us on this conference call, and I hope you are keeping safe and healthy. The auto industry saw moderate growth du ring the quarter across most of the segments and two -wheeler and passenger vehicle demand mainly driven by pickup in demand driven by new product launches and rise in demand for SUV style vehicles.
While commercial vehicles and tractors demand remains subd ued on the back of strong pre - binding quarter for FY23 due to implementation of O BD Phase 2 norms and festive season. Exports largely seem to be bottomed out with possibility of recover y in coming quarters. Commodity prices have reversed the rising trend and have started to soften from elevated levels. Semiconductor supplies have also eased out, especially on the back of effective supplier management.
We expect gradual improvement to continue in the coming quarters. Coming to the financial performance of Minda Corporation, during the quarter, Minda Corporation continued on its growth momentum trajectory with consistent better than industry performance. Our revenues from operations stood at INR1,075 crores with a growth of 6.4% year -on-year on the back of strong pr oduct portfolio, solid customer base and presence across segments. In terms of quarter - on-quarter revenue growth, our domestic growth has been higher than the domestic industry growth, which is in line with our long-term plan due to the premiumization of p roducts and launch of new products and platforms.
However, exports were subdued mainly due to the global economic headwinds. In this quarter EBITDA margins stood at 10.7%, growth of 12 basis points year on year, with profit before tax of INR 63 crores and P BT margin of 5.9%, mainly due to higher finance costs and depreciation on the back of investments in capacity addition and technology, which would accelerate our

growth going forward. Profit after tax stood at 45 crores, the tax margin at 4.2%. Now, I woul d like to take you all through the key developments during the quarter.
This quarter was marked by gaining traction in our in -house develop ed products of two -wheeler smart keys, which constituted more than 15% of the total two -wheeler lockset revenues. With our consistent focus and commitment on R&D and technology and innovation, Minda Corp

oration filed four patents during the quarter, taking our total patent count to 255. During the quarter, M inda Corporation won lifetime orders worth more than 3,000 crores a cross segments and products and technologies.
Out of this, 50% of orders came from the electric vehicle mobility segment, representing our product's growing acceptability and our readiness for electric vehicles. Apart from adding prominent new customers to our EV portfolio, we had significant battery charge r order win of Rs. 750 crore s lifetime from a leading OEM. The company won more than 30 awards at various forums like QCFI, ACMA, CII and various customer awards. The roadmap ahead would be to focus on the core products premiumisation , growing our share of business with existing customers and onboarding new customers to focus on technological upgradation via in -house R&D and global strategy tie ups .
We are also working on further strengthening our operational excellence through cost leadership and digitalization of business processes. We are continuing to work upon localization of connection systems to reduce dependency on imports and improve margins. Now I will take you

through to the presentation with the key highlights of quarter one performance. I now refer to the earnings presentation which we have uploaded, and I refer to the page four which is sharing about the Minda Corporation Limited.
Minda Corporation Limited is primarily into the five business areas, which is mechatronics, information and connected systems, plastic and interiors, aftermarket, and green mobility solutions. Our key customers are almost all customers across various segments in IC, engine, EV, two wheelers, four -wheelers, three -wheelers, commercial vehicle, off -road. We have more than 30 manufacturing facilities globally, 16,000 people, nine partnerships, and we focus on R&D via our Spark Minda Tech nical Centre in Pune and Bangalore.
We have a diversified product portfolio, global customers, s trong manufacturing, and advanced R&D with six decades of automotive experience. I now move on to the slide six, which is on the financial performance. I would like to share on how the automotive industry has grown. If I look at the quarter one, year o n year growth, auto industry has grown by about 2.3% wherein two wheelers have grown by about 1%, passenger vehicles have grown about 7%, three wheelers have grown by 24%, commercial vehic les and tractors have de -grown.
Quarter 1 FY24 was a mixed bag on demand perspective with signs of volume growth, moderation in most segments. In the two -wheeler segment, the slowdown in scooter sales was countered by the pick -up in demand for motorcycles primarily through the changing c ustomer preference in the premium two -wheeler space. PV volumes declined quarter -on-quarter mainly due to high base while soft growth in moderation on YUI driven by rise in demand for STV s tyle vehicles and new launches.

On the quarter -on-quarter basis, th e industry grew by 6.5%, largely based on the 12.1% growth from the two -wheeler industry. Passenger vehicles de -grew by 6.5%. Three -wheelers and commercial vehicles also de -grew by tractors almost flat. Going ahead, demand is expected to remain moderate ma inly due to the seasonality and is expected to pick up with the beginning of the festive season. In two -wheelers, exports are expected to recover gradually going forward.
Moving to the next slide, which is on the key highlights of Minda Corporation for the quarter. We have consistently grown better than the industry with revenue growth of 6.4% year on year. We have won market businesses in our new technology products such as smart keys, wiring harness, instrument clusters, sensors, EV die cas ting, and others have started production with our customers. EBIT's margin at consolidat ed level s stood at 10.7%

, improvement of 10 to 12
basis points year on year. Total lifetime order wins during Q1FY24 was about Rs. 3,000 crores, with EV constituti ng about approx. 50% of the orde rs won .
One such great order was from a leading two -wheeler OEM for battery chargers, worth Rs. 750 crores lifetime order book. We filed four patents and won many awards. SmartKey for two -wheeler continues to gain momentum with 15% of our two -wheel er locks et revenues. We've outperformed the industry with consistently growing revenues and double -digit margins.
Moving to the next slide, we would like to share our truly diversified revenue model. So, by geography, India still continues to be our lar gest revenue share, followed by exports which is about 8 % to 9%, and our overseas operations of Indonesia and Vietnam by about 6 %.
By end market, two -wheelers and three -wheelers constitute about 40 % to 45 %. Commercial vehicles about 25 % to 26 %. Passenger vehicles about 15 %, and aftermarket about 10 %. By product, lock set constitutes about 25 %. Wiring harness about 35%. Die casting is about 15%. Instrument clusters is about 15%. And others, like sensors and EV products, are about 10%.
Moving to the next sli de. Our revenue has grown year-on-year basis from INR1,010 crores to INR1 ,075 crores. On a quarter -on-quarter basis, it has been INR1 ,075 crores to INR 1,075 crores. At EBITDA we have grown 8% from INR 107 crores to INR 115 crores and stood at 10.6% to 10.7% at PAT margin, we have gone from INR 52 crores to INR 45 crores due to higher interest and depreciation costs.
Moving to the next slide, which is slide 10, that is the consolidated performance. As I mentioned, our operating revenue has grown by 6.4% year -on-year from INR1,010 crores to INR1,075 crores. EBITDA margin as grown from INR107 crores to INR116 which is increased by 7.5% and 12 basis points. Our PBT has grown from INR 71 crores to INR 63 crores and PAT has grown from INR 52 crores to INR 45 crores.
Overall, on the domestic front, Q1 industry grew by 2% while we grew by 6.4%. Exports continue to be under pressure due to macroeconomic challenges. EBITDA margins stood at 10.7%. We delivered double -digit margins on the back of increasing efficiencies, stre amlining fixed costs and comp onent locali sation initiatives in our wiring harness division.

Commodity prices have also reversed the rising trend and started softening and semiconductor supplies continue to ease, especially on the back of effect ive supply management and support from our suppliers.
Moving to the next slide, which is the business vertical performances. In our mechatronics, aftermarket and other divisions, our revenue on year -on-year has gone from INR 492 crores to INR 513 crores with EBITDA from 12.6 in Q1FY23 to 13.1 in Q1FY24 . Here Middle East exports have been a concern on quarter -on-quarter basis, as they have come down. Margins have increased on a daily basis on year -lewel due to better efficiencies in the lock -set and die -casting division, aided b y continuously rising smart key volumes.
Exports continue to remain under pressure. In our information and connected systems, which is the instrument cluster, sensors, and wiring harness division, the revenue grows from INR 518 crores to INR 562 crores, whic h is growth by about 8.5% based on the domestic market. And our margin is also about 8. 6%, which is flat mainly due to the employee cost and also due to ramp ing up of volume in our new plants in the wiring harness in Pune and other locations.
Moving to the next slide, whi ch is slide 13, on our strategic pillars of growth. Minda Corporation focuses on enhancing our core in the core products of safety security systems, wiring harness, instrument clusters and sensors, die casting in new products, focusing on innov ation and technology, which is to in our

R&D and joint collaboration with global players.
Electric vehicle opportunity, and as I mentioned, all our products are EV agnostic, which is with the rising trend of EVs, our products are going to an increase in co ntent for vehicles and get value through the electronification and electrification that is happening. And last but not the least is focusing on strengthening our passenger vehicle offerings to control systems, sensors, and interior solutions.
Our focus is to transform and become a complete system solution provider and a partner of choice to OEMs, focusing on cost leadership in manufacturing and thought leadership in technology, and premiumization of all our products across segments and leading to the delive ry of better results than the industry and continue to improve our margin profile.
Moving to the next slide on our engineering capabilities, we have now more than 500 engineers. Total patents are about 255 plus. From this year onward, we are spending about 3% into R&D, into new technology. On the right, you can see our technical centre , Pune, focusing on our core product lines and enhancing our software solutions to ou r products.
Moving to the next slide, which is slide 15, on the kit value of the electric vehicle mobility. This is a representation of our two -wheeler where all the products of Minda Corporation are EV agnostic and will be offering products in the EV spac e, irrespective of the engine segment. On the right is the potential kit value that we offer. So, in our vehicle access systems and mechatronics, it's about INR4,500 in an IC vehicle. We go to about INR2,000 to INR3,000 by increase.
In case of wiring harne ss and connection system, it will increase by about INR 2,000 to INR 2,500. And the new products which are already launched, such as battery chargers and DC -DC

converters and EV -SE products, is about INR 8,000 to INR 10,000. Total potential get value for EV is about INR 16,000 to INR 20,000. We have the only products that we have manufactured and started selling as of now. Below are our EV customers that range from domestic and export across s egments.
Moving to the last bit, which is on the ESG sustainability framework. Minda Corporation follows the highest standards of ESG sustainability, which is also available on our website and reviewed by our independent directors on a quarterly basis.
Mov ing to the next slide is our corporate social responsibility and how we are focusing to give back to the society across our locations, through blood donation camps, and other activities that we do. Last but not the least is some of the awards and recogniti ons that we've achieved from our customers all across.
With this, I would like to conclude our presentation and open the floor for any questions. Thank you.
Moderator: Thank you very much. We will now begin with the question –and-answer session. We take the first question from the line of Jyoti Singh from Arihant Capital Markets Limited. Please go ahead. Ms. Jyoti, your line is in the talk mode. Please go ahead with your question.
Jyoti Singh: Thank you for the opportunity. So, my question is on the like on the first only die casting if you could give the Q1 number for die casting and for the full year. Last year, how much it was? And second is what point do you expect a recovery in the export and how is the momentum? And when we are seeing a full recovery go ing forward?
Management: Yes, so I'll take your first question in terms of how we are focusing on the exports growth. So,

exports are looking subdued curren tly. Now in the first quarter, we have had at least 10% to 15% lower sales from exports based on the geopol itical concerns and other financial microeconomic issues. We expect our exports to come back from quarter three onwards. And that is when the year-end closing happens and more and mo

re sales start picking up for the export market as well.
So, expectation is to come back from the quarter three onwards.
So, on the first question, which is on the die -casting front, last year in quarter one we did about INR 184 crores worth of revenue. And this year we have done about INR 208 crores worth of revenue, which is a gr owth of about 13%.
Moderator: Thank you. We take the next question from the line of Shridhar Kallani from Axis Securities Limited. Please go ahead, sir.
Shridhar Kallani: Thank you, a very good evening. So, my first question is on the order wins in Q1, whi ch you have stated is INR 3,000 crores. If you could give us a segment wise breakup, like in which division, how much order we have received, if that's possible?
Management: Yes, so thank you for your question. If I again have a look, out of the INR 3,000 cr ores, about INR 400 crores are replacement businesses and about INR 2,600 crores are for the new businesses. Exports are about INR 138 crores. If I look at the mechatronics division, about INR

1,100 crores worth of order have been booked, out of which 14% have been for replacement, and 86% have been for new businesses.
In the information and connection system, it's about INR 1,050 crores, out of which 70% is for the new businesses, and about 23% are for replacement businesses. And other orders, which are about I NR 860 crores, again, or most or rather all of them are for the new businesses, such as the EV segments and all.
Shridhar Kallan i: Okay, thank you and if you would provide us some details on pre -call any updates that, we have from CCI?
Aakash Minda : So, we have already applied in the CCI, as and when we hear anything, we will be making it public, the next moment itself. So as of now, the CCI continues to review our application.

Shridhar Kallan : on a Y -o-Y basis in Infor mation and connected system . You all are mentioning Q1 FY ’23, 8.6% margin and Q1 FY ’24, 8.6% margin, ri ght?
Aakash Minda : Correct.
Shridhar Kallan : But in the statement below, you all are mentioning margins have decreased by 50 bps Y -o-Y mainly due to increase in employee cost and ramp up in volumes. So, this margin that has decreased by 50 bps is it only for the ICS or on an overall basis?
Aakash Minda : No, this is again primarily, it has been increased in terms of our Minda instruments, which is the cluster and sensors division. However, in terms of the wiring harness, if I look at from the year - on-year b asis, this is lower because of the new plant that has come up and the productivity efficiency is there just because of the new plant. So it is in this particular division, not at the company as a whole.
Shridhar Kallan : Understood. Thank you. That's it fr om my side. Thank you.
Aakash Minda : Thank you.
Moderator: Thank you, sir. We take the next question from the line of Mr. Abhishek Jain from Dolat Capital. Please go ahead, sir.
Abhishek Jain: Good evening, sir and congratulations for great set of number in tough time. Sir, my first question is related with this Smart Key, which contributed around 15% of the overall locking system. So, have you own any new business in two -wheeler locking system?
Aakash Minda : Yes. I will not be able to disclose the name of the customers, but we are winning orders across engines, which is EV as well as IC engines. So yes, in quarter one this year, we have won a business of about INR 360 crores for Smart Key from one of the leading OEMs in India as well.
One of the businesses, which is significant.

Abhishek Jain: Now you don't have any presence in the four -wheeler segment in the locking system, so are you looking to enter in that business?
Aakash Minda : No, that is not correct. We have a presence in the four -wheeler locking system ma

rket in India
and exports. So, we are under development and supplying to local Indian OEM as well as exporting locking systems overseas.
Abhishek Jain: Okay and how is the progress of the ASEAN business in the first quarter?

Aakash Minda : So, for the ASEAN business, I'll give you the numbers. Just one second, please. So, in our ASEAN business, we have a total sale of about INR 50 crores in the first quarter.

Abhishek Jain: Okay, sir. And my last question is, what kind of the growth you are targeting in FY '24? You had mentioned earlier that, you are looking at 20% to 25% growth for the next three years. So, are you intact on that statement or you will downgrade the numbers?

Aakash Minda : No, we are continuing to focus and commit on the numbers that w e have already shared before, with our outperforming of the industry and growing about 20% to 25%, backed up by the focus on technology and primarization of the products, addition of new customers, increasing share of businesses, addition of new segments s uch as exports and aftermarket, as well as focusing on the passenger vehicle offerings as well, and increasing kit value.

These are some of the areas that, how we will be increasing our growth, as well as addition of new products to technology tie -ups and in-house development as well. So that continues, of course. But yes, quarter -on-quarter, we'll have to evaluate, like in terms of the way I mentioned in the beginning, that this quarter, our domestic sales have been much higher than the industry, but the e xport sales have been subdued.

Abhishek Jain: Thanks, sir. That's all from my side.

Moderator: Thank you, sir. We take the next question from the line of Pritesh Chheda from Lucky Investment Managers. Please go ahead.

Pritesh Chheda: Yes, hi Aakash. Can you give some colour on how much the domestic growth versus the 6% volume growth, which you are referring in the presentation?

Aakash Minda : So, our domestic growth has been to the tune of about 7% to 8%, which is quarter -on-quarter growth.

Pritesh Chheda: And for the Y -o-Y?

Aakash Minda : Y-o-Y has been again much higher. It is getting about the tune of 12% to 15%.

Pritesh Chheda: And how much did exports decline?

Aakash Minda : The exports have declined by to the tune of about 20%.

Pritesh C hheda: And I was just wondering, we had these lifetime order announcements done in FY '22, lifetime order announcements done in FY '23. And now we have another INR3,000 crores in quarter 1 FY '24. So, I was wondering, for those two years, your lifetime ord ers, they haven't come in commercial states?

Aakash Minda: So typically, in automotive, when you win an order, it takes about 1.5 years to two years for the order to come into start -up production. And then the first year is typically a ramp -up phase. So, when you win an order, it's about two years to three years from then, comes the peak value into the sales. That is typically how the automotive industry works as per our experience as well. So, when we win an order this year, typically 2.5 years or two years to three years from now, we will see the peak value coming into our sales.

Pritesh Chheda: Yes, so you had a INR 1,500 crores order win in '22 and about INR 2,600 crores order win in '23. So, at least of that INR 1,500 crores, some number should have flowed in this quarter, right?

Aakash Minda: No, it does not depend on quarter, it depends on the full year. In some cases, for example in the INR 1,500 crores, typically we divide it by four years o r five years. So, if I typically divide by INR1,500 crores order book, it will be somewhere about INR350 - INR400 crores odd that should come in one year. Now out of that one year, the start of production can happen in first quarter, second quarter, third q uarter or fourth quarter. So, if the order has come in last year, typicall

y

the start of production should happen from H2 onwards and the peak year should be next year, which is FY '25.

Pritesh Chheda: So, if that's the case then, what is bothering you on that 20% growth number, which you were initially highlighting about based on the order wins, that you will grow 20%?

Aakash Minda: What is bothering us or what was the question?

Pritesh Chheda: So, what is limiting you, to call out the higher growth numb er guidance?

Aakash Minda: We stand by our commitment. I just explained in terms of our growth based on the five, six factors that I've just now explained. That if you look at the full year basis, the growth stands committed. Of course, quarter -on-quarter, they can vary due to the factors, I have just now explained domesti c and export.

Pritesh Chheda: Okay, and lastly any progress on the equity investment that we have done in one of the listed names?

Aakash Minda: So, as we have also shared and public i nformation, we have already applied for CCI and the CCI is currently evaluating our application. As and when, we hear something, you guys will be the first person to know .

Pritesh Chheda: Okay, sir. Thank you.

Management: Thank you.

Moderator: Thank you. We take the next question from the line of Harish Shah from HS Capital. Please go ahead, sir.

Harish Shah: Well, thanks for the opportunity. I just need a couple of updates from your side. First is with regards to the Smart Key busines s. As mentioned that it constitutes nearly 15% of two -wheeler lock set revenue. We would be interested to know the names of the clients that who we are associated with. That is my first question.
And the second question is, if you can also provide an upda te on the component internalization plan, which we are having for the wire harnessing division?
Management: Yes, so I will not be able to give you the exact names against the orders as we are bound by confidentiality with our customers. But I can tell you some of the general names where we have won the orders as well as only in mass production and you can see from the market as well.
There are customers like Bajaj Chetak, Honda and other export customers as well.
And as and when the new customers start coming in, you will see those products in the market .We have 100% win ratio of the RFQs that come across our door when it com es to the two-wheeler Smart Key solutions.
So, our focus is how we can still be leader , having 100% market share in this particular segment, and continue to focus on value -added engineering in order to offer these products all across segments, whether in IC, EV, as well.
On your second question, when it comes to the component localizations, so we again, continuously focus on investing in our development capabilities for in -house connection systems. As I mentioned earlier, in about BS4 to BS6 times, we were having about 50% to 60% components made by in -house by Minda Corporation. But then when the BS4 to BS6 came in, we had to start importing.
So, currently, or rather, at that point of time, we were importing about 90% of our connectors.
But now we are importing about 70% o f our connectors in line with our commitment that we've already given before. And our domestic local sourcing is about 12% to 13%. And internal, from Minda Corporation component division is about 10% to 15% in our wiring harness component localization.
And as and when now we are getting more and more approvals quarter -on-quarter based on our two-wheeler and other OEMs, we'll continue to add these products both in IC and EV segments.
Harish Shah: Okay, so we expect this localization to improve like from go ing in the coming quarters?
Management: Yes, of course. Every quarter -on-quarter you may see a small number, but in the long term horizon as in about two years’ time , we have maintained our goal and targ

et to go from a single
digit EBITDA number from the wiring harness division to a double digit EBITDA number, which we are in line in order to achieve the same.
Harish Shah: Okay. Thanks for your reply. And if required, I'll join back with you.
Management: Thank you.

Moderator: Thank you. The next questio n is from the line of Mihir Desai from Desai Investments. Please go ahead, sir.
Mihir Desai: Thank you for the opportunity. Sir, my first question would be on the premiumization. As your company is known for product premiumization, can you throw some ligh t on what is happening in our cluster business?
Management: Yes, so typically if you see an instrument cluster, it depends on segment -to-segment. If I speak about a two -wheeler segment, or analogue cluster, or a needle -based cluster, or stepper motor cluster, what we call, it's typically about INR 600 to INR 700 rupees. But when you move on to the next generation of clusters, which are smart clusters in the form of personalized, individualized, connected clusters, and more of TFT. They are, of course, to the range of about INR 3,000 to INR 5,000 per cluster.
Of course, they are first higher penetration into the EV segments, as well as in the higher end bikes. And as and when we get more and more volume and more and more acceptability, they are now moving into the lower segment of bikes as well. So, that is on the two -wheeler segment.
When I speak about the four -wheeler, per se, in a four -wheeler now you will all see in the A and D segment, you will have needle -based clusters, which are, agai n, typically INR 1,500 or INR 2,000. And if I speak about a TFT cluster in a high C and D segment vehicles, you will have more than about INR 8,000 to INR 10,000 of these clusters.
And going forward, these clusters are now coming into a cockpit or an end -to-end pil lar-to-pillar cockpit solutions, which are having infotainment and other heads of display and other driver information system, what we, what Minda Corporation calls. And we are fully geared up and

ready, and also displaying our products to customers all ac ross in India and overseas through our partners and in -house technology for catering these solutions in the analogue segments as well.

When it comes to the commercial vehicle segment, of course, they are open to sky. So, there are different technologies a vailable there. But yes, of course, they are also now moving from analogue -to-digital clusters and tractors, or even they are open to digital clusters And again, with the rugged application, they are there where there is less penetration when it comes to the TFT cluster, just because of the application of the tractor industry. But yes, in time to come, they will also move into the similar aspect.

But the cabin tractors, the tractors which are covered fully, where they are moving into the TFT per se, wh ere they are also, Minda Corporation has partnered up with the Indian OEMs and already developed clusters and started supplying TFT clusters for the domestic and export models, which are open to Skype, as well as in the cable side, for EV and non -EV tracto rs as well.

Mihir Desai: Sir, secondly, on the bookkeeping, I wanted to ask that the depreciation figure, if you see, it's gone up. So, if you can throw some light on this?

Management: So yes, I'll ask Mr. Vinod Raheja to take up this question please.

Vinod Raheja: As you can see from our Annual Report that in the fiscal 22 -23, we incurred a capex of about INR 280 crores were capitalized. And so, the full year impact of that depreciation and, of course, in the coming quarter, the capacity utilization of those should also happen and take in action.

Mihir Desai: And sir can you please also guide on net debt levels of what you are planning to en

d, wh at are the current levels?

Vinod Raheja: Net debt is INR 462 as of 30th of June.

Mihir Desai: Yes. And, sir, lastly, as in India, specifically currently the aerospace industry is getting under limelight on make in India front. So, do we see as our company would have any opportunity in that sector also or that s egment?

Management: So, we keep continuing to evaluate various markets and options and opportunities, definitely. But yes, we believe that for us automotive, there's a lot of opportunity and scope available. So, we continue to focus on the automotive segme nt.

Mihir Desai: Yes. Thank you. If I have further questions, I will join the queue.

Management: Thank you.

Moderator: Thank you. The next question is from the line of Devang Shah from Asit C Mehta Investment Intermediates Ltd. Please go ahead, sir.

Devang Shah: Sir, I just want to know that the PAT margin that is coming in these particular quarterly numbers around 4.2%, there is a significant -- we have seen a decline. So, any specific reason and moving forward what's your outlook on that?

Managemen t: Yes, so as we just now explained, the primary reason is due to the increase in the finance cost and the depreciation. So, the finance cost on year -on-year has gone from INR 8 crores to INR 14 crores and depreciation has gone from INR 32 crores to INR 39 cro res and our forecast – and our interest rate has also increased. So, these are the reasons why the tax margins have gone down. But overall, again, for the year, this should come back to the same levels as we have always target.

Devang Shah: And last year, there was one time tech side back actually, as you might be would know. That also had sort of positive impact on the baseline. Okay, so you are optimistic moving forward that it is going to improve from here on?

Aakash Minda: Yes.

Devang Shah: Okay, thank you, sir.

Moderator: Thank you, sir. The next question is from the line of Richa Agarwal from Equity Master. Please go ahead.

Richa Agarwal: Thank you, sir. So, my question is on the EV kit value that you have suggested that the potential kit value can go up to INR 16,000 . The question is, I mean, do we see these gains visible in the increased realizations and at the top line level, or does it also kick in at the margin level? Because let's say from FY ‘18 to now, the margin is kind of stable at 11%. So, let's say, two years to three years from now, as these lifetime win orders start contributing, do you expect an improvement in the margin? And if yes, to what extent?

Aakash Minda: Yes, so firstly, again, this 16,000 to 20,000 is the potential. It is based on the products that we are currently supplying and are in mass production. Of course, in a particular bike, then 100% of the state d value may not go. But this is our complete kit value offering in the two -wheeler segment that we offer in the mass pr oduction range.

When it comes to the future of the products of the electric vehicle mobility, with the improvement in terms of minimization, electronification, electrification of our products, definitely the margin is expected to improve with more -and-more software content and electronics content going up that is how we expect to grow this. But we do not expect to grow to the tune of 15% EBITDA margin.

Richa Agarwal: Okay. Sir, could you also give us any sense of capital capex for FY ‘24?

Aakash Minda: So typically, we spend about 5% to 6% of our top line into depreciation, of which 2% to 3% goes into R&D. About 1% to 2% goes into the greenfield projects or plant operations. And about 1% to 2% goes in our regular and maintenance capexes.

Richa Agarwal: Okay, thank you so much.

Aakash Minda: Thank you.

Moderator: Thank you. The next question is from the line of Tanuj Khiyani from Ventura. Please go ahead.

Tanuj Khiyani: Yes, sir, I

just had one question regarding the effective tax rate. What will be our eff ective tax rate going forward? And do we have any bad credit?

Aakash Minda: Sorry, is your question on effective tax rate?

Tanuj Khiyani: Yes, and the remaining bad credit. So, can I get some information on that?

Aakash Minda: Yes, for the fiscal ‘23 -‘24, we are expecting effective tax rate of about 20% to 21% range.

Tanuj Khiyani: Okay, got it. Thank you.

Aakash Minda: Thank you.

Moderator: Thank you. We take the next question from the line of Rajesh Kumar from Share Giant. Please go ahead, sir.

Rajesh Kumar: Thank you, sir, for taking my question. My first question is , can you help us by throwing some light on how the EV sales is panning out and which are the major products in that segment and how do you see the traction going forward?

Aakash Mi nda: Yes, so again, if you particularly look at the two -wheeler EV penetration in the Indian market, which is close to about 3% to 4%, Minda Corporation’s revenue from the EV perspective or the EV segments is typically higher to the tune of about 6%. So, it shows that clearly we are going ahead of the industry growth when it comes to EV sales and our penetration is much higher, which shows our customer confidence in our products, technologies, and capabilities.

So, if I put into numbers, in our quarter 1 la st year, about 2% of our sales were EV. And in this quarter, about 5.5% to 6% is our revenue from the EV sales from our top line perspective.

Rajesh Kumar: So, are you seeing any kind of disruption due to the recent news on the FAME policy or the subsidy i n the EV front? So how do you see it panning out?

Aakash Minda: So, in the long run, EV is inevitable, from my opinion. EV is definitely going to penetrate more - and-more. Of course, there will be some short waves that will be there. Last year, there were some fires during the summer. This year, there are some regulatory concerns. Next year, there could be something else. But again, these are all short -term also, if I may say. But in the long run, yes, definitely EV is the future when it comes to the two -wheeler segment and going beyond other segments, which is bound to grow.

Rajesh Kumar: So, what are the kind of the margins you are making on the EV segment?

Aakash Minda: So, it depends on product -to-product, and it depends on segment of the two -wheeler also . So, if there are customers which are mass manufacturers of EV, of course, they are not so pre -demised in nature. But if there are segments and customers which are higher end of the EV segments, then of course, they are using even my products where our profit margins are higher.

Rajesh Kumar: Thank you, sir, for taking my question. I will come back to the queue for further questions. Thank you.

Aakash Minda: Thank you,

Moderator: Thank you, sir. We take the next question from the line of Saral Seth from Indsec Securities and Finance Limited. Please go ahead.

Saral Seth: Yes. Hi, team. Thanks for the opportunity. My question was with regards to the product mix. So, we see that the two -wheeler mix has gone up while the commercial vehicles and passenger vehicles ha ve gone down. In fact, even aftermarket has gone down. So, this also has impacted our margins. Would that fair to -- would it be fair to say?

Aakash Minda: So, as I mentioned again, exports have been subdued in this quarter and the domestic sales also has grown by 6%. And most of this has come from the growth of two -wheelers, which is at the rate of 12% shown in slide number six. So of course, which replicates our 45% of our revenues coming from two -wheelers to three -wheelers as well. So, in the same line, our growth from two -

wheelers have also grown in this quarter to the tune of 48% revenue as compare

d to 44% last
year.
Saral Seth: Right sir, that was very helpful. Sir, just a follow -up on the previous participant's question on the two -wheeler EV outlook. So, with the recent revision in the FAME 2 subsidies, there has been a volume, a subdued volume over the last two months, but there has been gradual recovery. So, any comment on that? Would you take it as a temporary and you feel the volumes could come bac k to historic levels?
Aakash Minda: Yes, yes. I think it's all temporary, I believe. In the long run, as I mentioned, it is bound to grow. So again, there will be temporary concerns faced by the industry, whether regulatory, whether technology, whether pri cing, whether raw material, whether semiconductors. I mean, a lot of things. As I mentioned last year, there were some fire concerns. So, there was a small blip in the sales. But again, when we compare from year -on-year, they have grown much more. And agai n, if I see in the long -term perspective, two -wheeler particularly, the penetration is going to definitely grow up to about 10%, 15% and 20% in the years to come. From the current level it's about 4% to 5%.
Saral Seth: Sir what would be our product, the a ddressable market share in EV segment, in two -wheeler EV segment, what would be our market share in the addressable product market?
Aakash Minda: So, every segment and every product is a different mix for us. If I speak about the lock set market, overall i n India, we have more than 40% market share. And again, this can be also translated into the EV segment as well. Similarly, when it comes to the wiring harness, per se, we have more than 30 different OEM ’s two-wheeler, again, I'm say ing. And again, this EV two - wheeler space, again, while the EVs are growing up, we have some customers. We have businesses from the large two -wheeler OEMs. And when it comes to clusters as well, so here again, in the two -wheeler space, there are two types of clusters that I mentioned in the segment. One in the TFT cluster space, and second is in the analogue cluster segment. So different segments of customers have different market share when it comes to their products. When it comes to EV product lin es, such as DC -DC converters, battery chargers, there again, we have different market share when it comes to the existing large customers or the startup OEMs as well.
Saral Seth: Sure, sir. That was helpful. Sir, several two -wheeler OEMs and passenger car OEMs have launched several new models. Do we have significant presence there in order to gain market share?
Aakash Minda: Yes, we have our various products going into the four -wheeler EV customers as well which again are being launched or are going to be l aunched by four -wheeler OEMs in India.
Saral Seth: Understood. Sir, despite very decent stable growth the margins have kind of stabilized at these levels though you have indicated that the raw material costs are softening. But what would be the key growth driver, you know, to increase from 10.5%, 11% to maybe 12.5%, 13% on a sustainable basis? What could be the growth driver, sir?

Aakash Minda: Yes, so we as an organization always have the long -term perspective and long -term view in mind. Of course, quarter -on-quarter variations could be there, which are, again, not every nature. In the long run, we expect to grow by about 20% -plus. And again, when it comes to the EBITDA numbers, we don't give future guidance. But our goal is to always be ahead of the indust ry. And we would like to go to about 12%, 13% EBITDA numbers. And the major growth levers are basically improvement in our wiring harness division, which is in single -digit EBITDA numbers, going to double -digit in about two years' time. And other segments, such as the exports, the aftermarket, premiumization of the products, across segments in commercial vehicles, two - wheel

ers, four -wheelers, a lever of EBITDA numbers as well.
Focus on all of that with technology, along with the cost leadership in our opera tions. So, we are focusing heavily in our operation al excellence. How we can continuously engage and involve to increase our productivity levels, reduce our raw material, as well as our working capital inventory to help us perform and deliver better.
Saral S eth: That was helpful, sir. Sir, my final two questions. So, when you say, the potential EV kit value at INR 16,000 to 20,000, so where are we in real terms right now in terms of kit value for EV, two-wheeler EV? We are offering INR 20,000 kit value. So, it's not potential, it is actual kit value that we can offer in a segment, including all our products.
Saral Seth: That's quite exciting to hear. Sir, on the new product side, apart from what we are offering,

industry is moving towards ADAS and those kind of technologies so do we have patents filed
and do we have some kind of you know products available in that kind of segment, for example
Kia has recently launched ADAS version Toyota has launched so just wanted to understand are
we moving towards futuristic t echnologies and products?
Aakash Minda: Yes, so if you see maybe not in this presentation, but earlier presentations which are also
uploaded online. We have signed up two partnerships when it comes to the ADAS space. One
is from a company called Ri de Vision from Israel for two -wheeler ADAS solutions, or what we
call ADAS, Advanced Rider Assistance Safety Solutions.
And the second is from a company called Da esung in Korea for around the monitoring solutions
for the mid variants and the other low variants of vehicles. So, we are also investing internally
as well in order to come up with these products. Cur rently, these products are under development
and under local adaptation and in the field trials and tests. So that is what we are currently
working on, particularly to adapt. As an organization, we continuously invest in new
technologies and products, whic h are going to be premiumized in our own areas.
Secondly, we continuously evaluate what are the synergy products in our own product domains,
such as vehicle access, driver information systems, electric vehicle mobility, connected mobility,
and light weight ing. So, we continuously evolve and get more and -more products, which we call
synergy products. And then we also keep continuing to evaluate diversification of the products,
which we can add, whether in four wheelers or in other product lines, which will g ive us two
partnerships, or organically, or investments into startups, which will give us additional growth
going forward.

Saral Seth: Sure, sir, that was very, very helpful. Congratulations once again, I'll fall back in queue.
Aakash Minda: Thank you.
Moderator: Thank you. We take the next question from the line of Neha Sharma from Pearl Global
Investments. Please, Miss Neha has kept the line on hold. We move on to the next question from
the line of Mr. Rajesh Kumar from Share Giant. Please go ahead, sir .
Rajesh Kumar: Thank you for giving me opportunity, again. Just one last question from my side. Sir, you have
recently filed for a fundraising exercise. So, if you can throw some light on the status of the
same?
Aakash Minda: Sorry, can you repeat the que stion? Your line was unclear, please.
Rajesh Kumar: Yes. So, you have recently filed for fundraising. So, if you can help me with the status of the
same?
Aakash Minda: So, we have taken a board approval last quarter as a resolution o n QIP to scout on the fundraising.
So, we continue to explore and as and when there is a need we will definitely come back to the
market for that.
Rajesh Kumar: Okay. And sir, on the business question, what is your plan to grow the passenger vehicle offering
by Mind a Corporation which is current

ly at around 14% to 15% of your total revenue? How do
you see it going forward in the next two -three years?
Aakash Minda: Yes. If you see maybe two years to three years ago, this was even lower. We have added many
products in terms of instrument clusters, sensors, ADAS solutions, interior plastics, shark fin
antennas, other products of vehicle access. Now we're continuously working to add more
products in these domains of light weighting, such as die casting and others that we export, as
well as supply to customers in India.
So, we continuously increase our focus on four -wheelers. And the next two years to three years'
time, our target is to take this about from 15% to the tune of about 25%. That's our target by
adding new prod ucts organically. Of course, inorganically, we can do this much faster. But
definitely in a four -wheeler, per se, from the time of getting an order to a conversion and an
SOP, this takes about two years to three years' time. So, our target is to go to abou t 25% in about
four years' time from now, organically.
Rajesh Kumar: Yes. Thank you, sir. Sir, my last question is on the commercial vehicle side, I understand that
this is a cyclical industry and roughly 30% of your revenue comes from commercial vehicles.
Do you not consider this a risk and if you consider it, how are you trying to mitigate this?
Aakash Minda: So, industry is again cyclical, definitely, but I think this has been the way for the last many,
many decades. It's growing, of course, not yet back to the levels of pre -COVID, but with the
way India Inc. is going in the next five years to 10 years, this demand or opportunity when it
comes to exports as well as end consumer moving into premium vehicles, whether in two -
wheelers, four -wheelers, and more -and-more features and regulations in terms of safety. And

other such regulations come in. This industry is definitely bound to go and gives us opportunities, such as players like us, to increase our kick value, get new technology, and give us the desired growth.
Rajesh Kumar: Thank you, sir.
Aakash Minda: Thank you sir.
Moderator: Thank you. We take the next question from the line of Navin Matta from Mahindra Manulife. Please go ahead, sir.
Navin Matta: Yes, hi sir. Thanks for the opportunity. Just a quest ion with regards to your cumulative order book, new order wins which may -- which still have to go into production. Would you have a number that you can share?
Aakash Minda: Hi Naveen. No, I'm sorry. I don't have that number which has to go into production hands off. But yes, we can get back to you with that number on how much order book is yet to go into production, which is under development right now.
Navin Matta: Okay, sure. And just I missed your comments on what kind of growth are we targeting for FY '24? I think we were planning for double digits. So just what are your thoughts on that?
Aakash Minda: It continues to be in the line that we have shared earlier and also committed to deliver those numbers, which are much higher than the industry, north of 20%. Of course, as I mentioned, that's on the annual basis. And we are committed to deliver that based on the various factors. Quarter -on-quarter, there could be definitely blips based on various factors like exports or other such reasons. But in the long run, as well as on a full year basis, we are fully committed to delivering our numbers, which are much higher than the industry and giving it the right growth.
Navin Matta: Okay. And sir, in your presentation, you mentioned about in the ICE segment, ther e was some challenges with regard to ramp -up in the Pune plants. Just trying to understand if that had any material impact in terms of your top line growth in this quarter?
Aakash Minda: No, there is no material growth. Rather, we continue to win more -and-more business in this product

and segment and plant. That is where we have set up this plant. So as and when we make sure month -on-month, of course, more -and-more better productivity goes in.
Navin Matta: Okay. So, there is no challenge as such in terms of plant ramp -up. That is not the way to read it?
Aakash Minda: No. We are fully functional, fully capable in terms of state-of-the-art facility, fully digitalized processes etcetera. Of course, there are new products. There are new development challenges. As I mentioned, there is a ramp -up from the customer, as well as there's a ramp -up internally as well. So that is where this takes place. But of course, we have our standard operating procedures, trainings, and other such things, which are definitely there in order to service our automotive standard in customers.
Navin Matta: Got it. And just one last one, I think you mentioned your net debt is about INR450 -odd crores, can you give me the gross number?

Aakash Minda: So gross in the end of this quarter is INR570 crores.
Navin Matta: All right, that's it from my side, thanks so much.
Aakash Minda: Thank you, Navin.
Moderator: Thank you, sir. Ladies and gentlemen, that was the last question for the day. I would now like to hand the conference over to Mr. Aakash Minda for closing comments.
Aakash Minda: Yes, so thank you very much. Going ahead, Minda Corporation remains focused on strengthening its competitive edge by investing sustainably in R&D with an aim to produce high - quality products that cater to the diverse needs of customers worldwide. Our strategic approach will remain on fortifying our core products and expanding our product and customer base, both by attracting new clients and deepening our relat ionship with existing ones. Further, stabilizing commodity prices and semiconductor supplies are expected to aid improvement in underlying margins. We are fully poised and confident of margin -accretive growth in the coming quarters. Thank you very much.
Moderator: Thank you. On behalf of Dolat Capital, that concludes this conference. Thank you for joining us and you may now disconnect your lines.

Call: Nov 2023

"Minda Corporation Limited
Q2 FY '2 4 Earnings Conference Cal l"
November 02, 202 3

MANAGEMENT : MR. AAKASH MINDA – EXECUTIVE DIRECTOR
FINANCE & STRATEGY – MINDA CORPORATION
LIMITED

MR. VINOD RAHEJA – GROUP CHIEF FINANCIAL
OFFICER – MINDA CORPORATION LIMITED

MS. PUSHPA MANI – LEAD INVESTOR RELATIONS –
MINDA CORPORATION LIMITED

Moderator: Ladies and gentlemen, good day and welcome to the Q2 FY '24 Earnings Conference Call of Minda Corporation Limited, hosted by Asian Market Securities Limited. This conference call may contain forward -looking statements about the company, which are based on the beliefs, opinions, and expectations of the company as on date of this call. These statements are not the guarantees of future performance and involve risks and uncertainties that are difficult to predict. Actual results may differ from such expectatio ns, projections, etc ., whether expressed or implied. Participants are requested to exercise caution while referring to such statements and remarks.
As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity f or you to ask questions after the presentation concludes. Should you need assistance during this conference call, please signal an operator by pressing star then zero on your touch - tone phone. Please note that this conference is being recorded.
I now hand the conference over to Mr. Mayur Milak from Asian Market Securities Limited. Thank you, and over to you, Mr. Milak.
Mayur Milak : On behalf of Asian Market Securities, we welcome you all to the 2Q FY '24 Post Earnings Conference Call of Minda Corp. I take this opportunity to welcome the senior management team of Minda Corp. We have with us today Mr. Aakash Minda , Executive Director; Mr. Vinod Raheja, Group CFO; and Ms. Pushpa Mani, Lead Investor Relations.
I will now invite Mr. Aakash Minda: for his opening remarks, to be followed by a Q&A session. Over to you, Aakash.
Aakash Minda: Thank you, Mayur. And I thank s Asian Market Securities for hosting the call for Minda Corporation for quarter Q2FY24 . Good evening, everyone, and welcome to the Q2FY24 Earnings conference call of Minda Corporation . On behalf of the company, I thank you all for joining us on this conference call, and I hope you all are keeping safe and healthy.
During the quarter, the auto industry saw a sequ ential uptick in demand across segment, mainly fuelled by improved consumer sentiment and increased demand on the back of festive season, two-wheeler, and passenger vehicle demand, mainly driven by new product launches and growing preference for SUV -style vehicles. Commercial vehicles are supported by increased spending on infrastructure post monsoon recession, while tractor demand remains subdued due to excess monsoon in key western and central markets. Exports continue to be under pressure due to geopoliti cal issues.
Coming to the financial performance, Minda Corporation continued its growth momentum trajectory with the highest ever quarterly revenue. The revenue from operations grew by 7%

YoY and 11.3% QoQ in Q2FY24 . Dome stic sales have grown by 10% YoY , and exports have been subdued due to geopolitical issues. This is in line with our commitment to outperform the industry. For Minda Corporation, EBITDA for the quarter is INR 131 crores, with EBITDA margin of 11%, registering a growth of 18 basis points year -on-year.

Profit before tax for the quarter is INR 77 crores, with a PBT margin of 6.4% on account of increased finance cost and depreciation due to investments in capacity expansion and technological upgradation , which would accelerate our growth, going forward. Profit after tax stood at INR 59 crores, with PAT margin of 4.9%.
Now , I would like to take you through the key developments during the quarter.
• At first, it gives me immense pleasure to share that we have entered into an agreement to sign a joint venture with HCMF of Taiwan for automotive sunroof solutions and closure systems for passenger vehicles. HCMF is a Taiwan -based company, engaged in various products like sunroof systems, closure systems a

nd mecha nical and
mechatronic systems. This new joint venture is aligned with our vision to offer advanced products and technologies in the vehicle access space, particularly for passenger cars, increasing the content per vehicle of Minda Corporation Limited .

With the changing consumer preferences and increasing demand for premium features, the market for sunroof and other advanced vehicles -- vehicle access products is expected to grow multifolds in the year to come. Our continuous focus to bring new and advanced technology products will lead the next phase of growth for Minda Corporation.
• For the Q2FY24 , EV as a percentage of sales to overall group level constitutes 5.2% , which means over 11.2% share in our two -wheeler revenues comes from electric vehicl e mobility .
• During the quarter, Lifetime order wins of more than INR 3,500 crores . In H1 FY 24, Lifetime order wins is INR 6,500 crores, while for the fu ll year FY23 , our order wins were ~INR 8,000 crores. With this INR 6,500 crores in the H1FY24, it represents our growing new product technology in all segments, including EV products, and the acceptability and our readiness for electric vehicle mobility.
• The company secured marquee order wins across its product portfolio, with multiple first-time orders in new technology products in both ICE and EV segments from key domestic and global OEMs. Notably, four -wheeler vehicle access system solutions, two-wheeler Japanese OEM for vehicle access products, large EV wiring harness order s for EV two -wheeler OEM.
• Wiring harness capacity enhancement and consolidation is completed at 2 new plants. Both plants have undergone capacity enhancement and equipment upgradation to grow our wiring harness businesses and become more competitive in EV and ICE vehicles.
• To capitalize on future growth opportunities, we are expanding both our engineering as well as manufacturing capacities for vehicle access solutions, wiring harness connectors and components, clusters, and cockpits, die casting and other EV products. The additional capacities will be utilized to serve the orders that we have already won and also push for new orders.

Going forward, the road map ahead would be to focus on core products premiumization , growing our share of business in passe nger vehicles and focus on technological upgradation via in -house R&D and global strategic tie -ups.
We are also working on further strengthen our operational excellence through cost leadership and digitalization of business processes. We are continuing to work upon localization of our wiring harness connectors and components to reduce our dependency on imports and improve margins.
Now, I will take you through the presentation with the key highlights of Q2FY24 performance.
I now request you to ple ase refer the presentation, which is submitted online.
Moving to Slide 3, shows the snapshot of Minda Corporation Limited. As a business vertical, we are present in 5 domains: Mechatronics, information and connected systems, plastics and interiors, afterm arkets, and green mobility solutions. Minda Corporation caters to al most all the OEMs in India and overseas in both ICE and EV and across segments of two -wheelers, three -

wheelers, four -wheelers, commercial vehicles and off -road vehicles .
We have 27 ma nufacturing facilities along with offices overseas and 2 design engineering centers, totalling 16,000 people and 9 partnerships. On the right side is a snapshot of our financial year, full -year performances and H1 FY24. As on 30th September, the shareholding remains pretty much same as compared to the last quarter.
Moving to the next slide which is key performance highlights for Q2FY24 and H1 FY24. At first, highest -ever quarterly revenue of INR 1,196 crores with growth better than the industr y performance, consisten

t performance with double -digit EBITDA margin s at 11% in quarter 2 and 10.8% in the first half of the year. In H1FY24 in first half of the year, Lifetime order won is at INR 6,500 crores, wi th more than 30% of our or der wins from EV platform . Mo reover, we had m arquee orders wins across existing and new technology products.
We have signed an agreement for entering into a joint venture with HCMF of Taiwan for sunroof and automotive closure systems, moving towards becoming a complete system solution provide r in passenger vehicle domain. Lastly, capacity enhancement with installation of advanced production equipment's across wiring harness facilities . Also , during the year in H1 FY24 , we have filed 6 patents, taking the total patents count to 257.
Moving to the next slide, about signing of the partnership with HCMF . Minda Corporation has entered into a partnership with HCMF for sunroof and closure systems for automotive pass enger cars. HCMF is a Taiwanese -based company, having over 29 facili ties across the world and having multiple R&D centres .
This joint venture will be signed for the Indian market and catering to the products such as the panoramic and TVS sunroofs as well as closure systems.
Minda Corporation expects the market to increase to about $500 million to $600 million by 2030 in the sunroof as in the passenger vehicles the premiumization and the features are ever growing.

Moving to the next slide on the order wins and the business highlights in this quarter. We have won smart key order from a Big two-wheeler OEM for its Largest selling ICE model worth INR450 crores in this quarter on the Lifetime basis. This shows that ICE models engines are also entering into smart keys.
On the right, we have won multiple orders from pa ssenger vehicles in India and for exports for complete vehicle access solutions. On the left, we have also won center console order for one of the largest OEMs in India for a complete system solution offering. Last but not the least, we have won significan t EV wiring harness orders for India's one of the largest OEMs for their top - selling EV vehicle.
Moving next to the financial overview on Slide 8. I will first begin by sharing the industry performance. If you look at Q2FY24 growth year -on-year, the in dustry was flat, w ith two- wheelers degrow ing by about 1.5%, passenger vehicles have grown by 5.6%, three -wheelers have grown by 19.6%, commercial vehicles by 9%, and tractors have degrown by ~10% YoY .
On the quarter -on-quarter performance of the industry, industr y has grown by 13.5%, two - wheelers have grown by 13.6%, passenger vehicles have grown by 12.7%, three -wheelers by 33%, commercial vehicles by 7.9%, and tractors also grew by 6%. We saw an uptick in demand across most segments in this quarter, mainly driven by improved customer sentiment and increased demand on the back of festive season.
In the two -wheeler segment, sentiment remains relatively favourable in urban areas while mix mixed rural sentiments, given the excess monsoon in key areas. Vol ume recovery now hinges on the rest of festive demand. Growth in PV volumes was driven by rising demand for SUV - style ve hicles and new launches as well as improved supply.
Three -wheelers segment year -on-year growth is led by passenger carriers, e -ricksha w, and goods carriers. EV growth was supported by increased spending on infrastructure. Tractor industry would continue to witness healthy retail momentum, according to us, in the second half of the year.
Moving next on the Minda Corporation's financial p erformance. As the revenue in quarter 2, we have grown by 7% on year -on-year to achieve INR1,196 crores of revenue and on a quarterly basis, 11%. On EBITDA, at the quarter level, we have grown by 6% or 18 basis points. And on a quarterly basis, we have mov ed

from 10.7% to 11%.
At PAT level , we have grown from INR 45 crores to INR 59 crores. In H1FY24 , Minda Corporation grew by 7% from INR 2,127 crores to INR 2,270 crores. In Q2FY23 , there was premium buying of semiconductors to the tune of Rs. 30 crores . At EBITDA, we have grown from INR 231 crores to INR 246 crores, and PAT has dropped from INR 110 crores to INR 104 crores. Our ROC E has continuously been increasing from 18.4% in FY '22 to 21.2% in H1 FY

'24.
Moving next to Slide #10 on the consolidated performance. Again, operating revenue has grown by 7.1% to INR1,196 crores and grown on a quarter -on-quarter basis by 11.3%. EBITDA margin

has grown from INR 124 crores to INR 131 crores on a year -on-year basis, with 18 basis points improve ment and on quarter -on-quarter, it has jumped up by 31 basis points.
PBT, on year -on-year basis, has gone from 85% to 77%, as earlier explained, based on finance costs and depreciation costs. And on quarter -on-quarter, it has jumped from INR 63 crores to INR 77 crores, marking 54 basis points improvement or 21.4% increase.
At the half -year level, we have gone from top line by 6.7%, and EBITDA margin has gone by 6.7% or 15 basis points. Overall, the domestic revenue grew by 10% and exports were subdued. EBITDA margins were double digits on the back of increased efficiency, streamlining fixed costs and component localization initiatives. We expect commodity prices further to soften during the quarter and semiconductor supplies continue to ease, especially on the back of effective supplier management, and expect gradual improvement in the coming quarters.
Moving to the next slide. In this quarter, our dependence on India has grown primarily, due to the subdued exports and also a market softening in the Southeast Asian markets, primarily Indonesia and Vietnam. By end segment, we are pretty much the same as compared to quarter and year -on-year, whereas 4 6% revenue comes from two -wheelers.
Commercial vehicles and off -road continue to be about 30%, a ftermarket in the range of 11% to 12% and passenger vehicle about 14% to 15%. By end products and division, 35% continues to be on wiring harness, 25% on the vehicle access, die casting is about 15%, clusters and sensors about 16%, and other technologies a re about 10%.
Moving to the next slide on the business verticals performance on the revenue. If I look at the mechatronics and the aftermarket division, has grown by 8% from INR 531 crores to INR 575 crores YoY and QoQ has grown by 12%. This is, again, due to the robust demand in domestic markets, product premiumization and increased share of business with key customers, while exports remain impacted due to geopolitical issues.
On year -on-year in half yearly basis, the revenue has grown from INR 1,009 crores to INR 1,088 crores by 8%. In Q2FY24 the information and connected systems, which is wiring harness and instrument clusters and sensors, has gone from INR 586 crores to INR 621 crores and on QoQ basis, has gone from INR 562 crores to INR 621 crores, showing an increasing 10%.
On the half yearly basis, it has grown from INR 1,118 crores to INR 1,182 crores, marking 6% increase. The revenue was supported by resilient domestic demand, while exports amounts remain subdued. T he focus is on enhanced manufacturing of connection systems and terminals to have better control and reduce dependency on imports.
The consolidated leverage position as compared to 31st March 2023 to 30th September 2023, the net worth has increased from INR 1,591 crores to INR 1,874 crores. The long -term borrowings are pretty much same of INR 236 crores. Short -term borrowings on account of working capital has gone from INR318 crores to INR 361 crores.
Gross debt has gone from INR 553 crores to INR 597 crores, and cash equivalents has gone from INR 162 crores to

INR 129 crores. So overall, net debt has increased from INR 391 crores to

INR 468 crores, and net debt -to-net worth equity stands within our financial prudence of 0.25x. Our ROCE has increased from 20.8% to 21.2%.
Moving to the next slide is transforming current businesses as per our future technologies. So our vehicle access is now becoming more smart. In the wiring harness, it is more increasing content per vehicle, such as electric vehicle harnesses and other junction boxes.
The speedometers are now moving from instrument clusters to now connected and safe mobility,, where it depends on complete driver information technology, focus on lightweighting and last but not least, is focused on EV products, which is power electronics across all segments.
Moving on to the next slide, I would just like to highlight the right side, where over the last few quarters, there are a couple of products under development, which have added to INR 6,000 to INR 7,000 of our kit value offered into our two -wheeler segment, increasing our offering to about 22,000 to 27,000 per vehicle. We've added further new customers in the EV space across segments.
Moving to the next slide, which is Slide 17. Our Minda Corporation strategic pillars of growth are mainly 4: Focusing on enhancing the core of the products, which are of importance to us and of course, safety, security systems, wiring harnesses, driver information systems and die casting,

improvement in focus on innovati on and technology by in -house R&D and joint venture with global partners, focusing on electric vehicle growth opportunity across segments.
As you all know, Minda Corporation, all products are EV or engine -agnostic and with the improvement of EV or uptake of EV, Minda Corporation's penetration will be much higher. And last not the least is strengthening the passenger vehicle offerings as we have always committed before. And today is also one example by entering into a partnership for the sunroof and closure systems.
Moving to the next slide on the engineering capabilities of Minda Corporation Limited. I would like to now highlight that we have more than 550 headcounts working on advanced engineering and technologies. Total number of IPs and patent filed is 257. And now, we have increased our R&D spending compared to revenue to about 3%. Earlier this year, it was until 2%.
Moving to the last part of the presentation on the Slide #20, which is on the ESG sustainability framework. So we continue to frame -- to give focus to our ESG. And now, we are going to be working on carbon utility footprint and -- which will be shared maybe in the next quarters to come. This framework is also uploaded online and is reviewed by our Board of Directors.
Next is on the corpor ate social responsibilities, which is one of the core values of Minda Corporation Limited. Here, of course, we have continued to give back to the society across our initiatives across pan India and overseas. In the area of supporting the visually impaired and People with other disabilities and also focusing on fire and safety and prison initiatives that we have.

Last but not the least, which shows our awards and achievements, which we have received over the quarter from various industries and customers ac ross our parameters on quality, delivery cost, innovation, and technology.
With this, I would like to conclude my presentation and open the floor for questions. Thank you.
Moderator: The first question is from the line of Viraj Kacharia from Securities In vestment Management.
Viraj Kacharia: Just a couple of questions. First is on the sunroof announcement. Can you just provide some more color in terms of the foreign partners, what kind of a global position they have, what kind of relationship they hav

e with OEs in the passenger vehicle space? Any perspective you can give on that?
Aakash Minda: Yes. So at first, we particularly believe that in the Indian market, if you compared to the global market in the automotive segment in pass cars, there's a huge opportunity in India to grow into the sunroof and premium features. So we believe that about 30% of vehicles in India would be having sunroof by 2030 and with a market opportunity of about $500 million to $600 million, is our expectation.
With this, we would like to capture the market with a solid partner. So we have shortlisted 1 partner named HCMF from Taiwan. They have more than 29 facilities globally into the sunroof market an d other closure systems into various countries. They have plants in China, Europe, even in North America and supply to almost all the OEMs in China, which are local and which are joint ventures coming from Japan or Europe and having joint ventures in the C hina market.
So we, as following, will be now working to sign up a final joint venture with them in the next few weeks. Of course, the details, such as the location and other details, are going to be finalized shortly. But yes, we have already started eng aging with customers and started product demonstration from some weeks ago and generated interest from our OEMs in India.
Viraj Kacharia: But are there any set of customers or OEs with whom they have long-standing relationship in terms of sales or higher share of business ? Because what do we understand globally, the top 3 guys, they have more than 70%, 80% of the market. And correct me, this particular company may not be in the top 3 or top 4 in terms of positioning. So hence, I'm just trying to u nderstand what kind of relationships they can provide an access to for us?
Aakash Minda: So HCMF has global relationships with various countries, who have again particularly presence globally. I will, again, not name the customers as I'm currently bound by confidentiality agreement. So yes, they are supplying more than 2 million sunroofs annually, globally -- at global level.
Viraj Kacharia: Okay. And in terms of the product per se, once we set up the capacity, so what kind of capex we will be looking at? A nd at a stable utilization, what kind of asset turns one usually expects in this particular product line?

Aakash Minda: So Viraj, again, all these studies are under work. We expect the capex to be about INR 150 crores or INR 180 crores over the next 3 years' time. Of course, it all depends on the order wins and

the technologies that are needed by this product and other product lines that we are working on.
It is not only, as I mentioned, sunroof, but there are other closure systems as well, which once
finali zed, we will be coming to the market. And as it's confidential right now, please pardon me,
I will not be able to share the more details on this .
Viraj Kacharia: We'll take the next question from the line of Shridhar Kallani from Axis Securities Limited.
Shridhar Kallani : Congratulations, firstly, on a good set of numbers to you, Aakash and team. Just a follow -up on
sunroof systems. So...
Moderator: Sorry to interrupt, Mr. Kallani, may we request you to kindly use your handset, please? Your
voice is muffled, sir.
Shridhar Kallani : Yes. So I just wanted to understand, currently, in India, is sunroof system is also an import
substitute product or mainly it is locally produced?
Aakash Minda: So at both ways. It depends on the specifications of the product category. Of course -- I mean, it
depends on the technology of the product. I mean high -end solutions are still imported. Of
course, the promotion is to have a localized option in India.
And that is where we have signed with the opportunity to ma nufacture them locally in India to
be close to the customer and hence, increasing the content

per vehicle and vehicle access system
solutions offering to our customers. But yes, it depends because the size of the product, it is
primarily going to be locali zed, which already initiatives have happened.
Shridhar Kallani : Okay. Understood. And I just wanted to understand on the order wins, you have won INR6,500
crores . So what is the breakup of these order wins in terms of two -wheeler, four -wheeler,
commercial vehicles or, say, EV and ICE categories, if you can do that? And also, what can be
the peak annual revenue from these wins?
Aakash Minda: Yes. So broadly, it's about 50 -50, 50% are replacement businesses and 50% are new businesses.
But in this c ase here, of course, our new order wins that we have won are much higher in terms
of, let's say, 60% to 65%, and replacement is about 35% to 40% here in nature.
If I would say, again, about 30% of the orders won are from the EV segment or EV platfo rms
and of course, 70% comes from the ICE or other alternate fuel platforms that have come from
the customers per se. If I speak about division -wise, the mechatronics division have about 50%
-60% coming from the two -wheeler space, and about 30% to 35% comes from the four -wheeler
space, and about 5% to 6% comes from the commercial vehicle front.
And similarly, again, the interior plastics, about 100% is coming from the four -wheeler space.
The die casting products are, of course, coming from 100% four -wheeler. In the information and
connection system is about 50 -50, where 50 coming from the two -wheeler space and 50%
coming from the pass enger vehicle .

Shridhar Kallani : And what could be the peak annual revenue from these wins?
Aakash Minda: So typically, again, in automotive, you divide them by 4 to 5 years . So again, some of them are
replacement and some of them are new products, as I mentioned. So it is hard to tell on the call
that how much of this would come in an annual year, per se bec ause 50% of this goes in
replacement. So typically, if you can divide the 6,500 by 4 or 5 years , and that is where it will
come on an annual basis.
Shridhar Kallani : Understood. Okay. And one last question on the new products that you have launched in the EV
segment. You are mentioning that it's around 8,000 to 10,000 values . So what new products are
these, if you could share some light?
Aakash Minda: So these are in the power electronics product lines for the segments of four -wheelers as well as
the two -wheelers , and three -wheelers. So yes, these are the new products lines.
Moderator: We'll take the next question from the line of Abhishek from Dolat Capital.
Abhishek: Congrats for a strong set of numbers in tough time. First question is on the margin side. What
was the margin for mechatronics and information connected system in second quarter, sir?
Aakash Minda: So please, pardon me, but from this quarter, we will not be sharing margin details segment wise
to save us from competitive intelligence leaking out and this have been advised by our
customers . This also falls in line with the industry trend o f not sharing margins division wise or
product wise. Overall, as I mentioned, we have grown, a t a stand alone and consolidated levels
from 10.8% to 11% EBITDA.
Abhishek: Okay. And si r, in wiring harness business, you are looking for the capacity addition. So what
would be the incremental revenue from FY '24 because of this capacity addition? And what
would be the margin in this segment?
Aakash Minda: So, the wiring h arness customers a re across segments from the two -wheelers, three -wheelers,
commercial vehicles etc. So, from next year onwards, we expect 1.2x of sales to come in from
these additional plants.
I just want to remind you that it is not that we have fully m ade this new plant, but we've
consolidated our existing plants. As I mentioned earlier, for exam

ple, if there were 3 plants in
the South, we have consolidated and made them one for operational excellence and having economies of scale.

Abhishek: So because of this capacity addition and the consolidation, the margin will improve? Because from last many quarters, this business is facing margin issues. So this is the effort to make the -- to improve the margin in particular segment?

Aakash Minda: Yes. As I've e xplained from particularly the wiring harness, there are 3, 4 avenues that we have always been committed and working on and which are expected to improve, and we are showing them.

So of course, one is the localization of the connect ion systems and the terminals . The second is, getting the better operational excellence through economies of scale and the plants and the third is definitely productivity improvement from people we have.

Moderator: The next question is from the line of Parag Thakkar from Anvil Wealth.

Parag Thakkar: So I would like to just ask that you mentioned in your presentation that, I think, you have won some orders for smart key to be supplied to some two -wheeler company. Can you just elaborate on it? And how much I just wa nt to know that how much is the increase in content per vehicle for that particular product in smart key? Earlier, what was the price? And now, what is the price? So how much content per vehicle? And is it a meaningful order?

Aakash Minda: Yes, Parag, I th ink it is a meaningful order from our side of INR 450 crores Lifetime order. So again, as I mentioned, you can divide this by 4, so adding about INR 100 crores in our top line as a new business when it comes to the smart key. As a kit value, a loc k-and-key traditional lock -and-key in two -wheelers typically used to be about INR 300 to INR 400 or INR 400 to INR 500. Now with the smart key solution, it is going to about INR 2,500 to INR 5,000, depending on the configuration of the product, which could have 1 fob or 2 fob or phone as a key, different level of securities coming into the vehicle. So that is how the kit value increases. I cannot share the name of the customer as I'm bound by confidentiality. But yes, it is one of the largest legacy customer s in India.

Parag Thakkar: And do you expect that other OEMs will also give you such orders? And whom are you competing with when you are bidding for such contracts? I mean I meant to know the competitive landscape.

Aakash Minda: Yes. So thanks for the que stion. We are the only player in India, when it comes to the smart key solutions for two -wheelers. We have filed more than 29 patents now for this technology, and we have 100% market share when it comes to the access solutions for two -wheelers.

Yes, the competition will catch up. There are competition who are working on this, and it will take at least 2 to 3 years for them to come and capture the market. But once they reach there, we are hopeful that we must have done more initiatives and investm ents in technology, we will be much ahead of our competition .

So this is these are the orders which we've been sharing for the last many quarters, on the vehicle access product line, which is a core for our technology, going forward.

Parag Thakkar: You said this order is for Rs. 100 crore plus per year of supply?

Aakash Minda: Yes.

Parag Thakkar: Okay. And the other thing is that suppose if -- this -- for example, in this festive season, Bajaj Auto, Hero and TVS, all have guided for double -digit growth in this f estive season. So I suppose that that will translate to you also, right, because all of them must be your customers? So the current quarter, the things must still improve over Q2 significantly, right?

Aakash Minda: So yes, hopefully, we would request our c ustomers to do double digit. And whateve

r inde nts we
get from the customers, our important point is to achieve them. So and more importantly, the orders that have been won recently in the recent past, based on the premiumization of these models of the v ehicles, we are present across product lines. So our expectation is that we grow in line with the two -wheeler industry and, of course, outperform them with the various initiatives.

Parag Thakkar: So basically, Q2, your premiumization in all the 3 segments which you are in major -- whether it's smart key or instrument cluster or wiring harness, based on that, how much we can assume your growth rate versus the industry?

For example, industry, grows as two-wheeler industry grows at, say, 10% or 5% and passenger vehicle industry grows at, say, 5%, what kind of revenue growth one can expect from Minda Corp? And whether with that revenue growth, if there can be any margin expansion because of premiumization?

Aakash Minda: Yes. So again, as our objective and vision and our commitment is to grow much higher than the industry, if the industry, as you mentioned, is going to expect it to grow at 5%, you would like to grow 15% higher than the industry. So that is our target and we've been consistently delivering that over the last 12 to 13 quarters.
And we would like to achieve the same, going forward. And you can see that this quarter, we have done the highest -ever revenue in spite of subdued sales from the export market. Of course, if the other markets an d other segments pick up, it will further increase our growth rate now in the months to come.
Parag Thakkar: And sir, you said your margins will also be higher because of operating leverage and premiumization , your margins and ROC E should also grow only, right, fr om these levels?
Aakash Minda: Yes it will continue to grow. Mr. Parag, may I request you to please come back in the queue. But I'll quickly answer your question that yes, of course, going forward, with the new electronics and premiumization of the products, we are looking at incr easing of our profitability as well.
Moderator: We'll take the next question from the line of Radha from B&K Securities.
Radha: Sir somebody -- the previous participant asked a question about the realizations for smart locks. So you mentioned around 3,000. So sir, actually, on your website, I've seen for the locks, we are supplying to Activa s 6G, wherein you mentioned the product price is INR 1,150. So would this be categorized as smart lock? Or what kind of lock is this?
Aakash Minda: I'm sorry, your voice is not clear. Are you saying that the Honda smart key is which category? Is that the question?
Radha: Yes, sir. And the product price of which is INR1,150.

Aakash Minda: No, I'm sorry, I did not know where you have taken these numbers from. But what I can only comment is that the smart key is a combination of multiple technologies and multiple products. So it could vary from our system to system, as I mentioned.
Radha: And sir, when we are starting from FY '24, if I'm correct, the production of smart key s?
Aakash Minda: No, ma'am. Our smart keys have been in the production for the last 3 to 4 years for domestic and export markets.
Radha: Sir, this order book of the smart key that you mentioned of INR450 crores. So...
Aakash Minda: Yes, yes, this order will come into effect from second half of next year, please.
Radha: Yes, sir. So actually, I wanted to ask that the product -- some of the products mentioned in the brochure for smart lock for locks on your website, the prices of that is higher. For exa mple, normal locks would be around INR400, the prices of that is around INR1,000. So would that be categorized as smart locks for us? For example, Activa 6G, GSX-R 150, Intruder, so it's all above INR1,000.
Aakash Minda: Ma'am, as I mentioned, there are va rious types

of locks. So one is a typical lock and key, then there is a magnetic lock, which is a much higher product. And then the third category is a smart key with fob, and then one is without fob. So there are different categories of products. And I may request you to please get in touch with our IR team for further details. And I will not be able to comment on which model of the customer has which kind of a product.
Moderator: Thank you. We'll take the next question from the line of Vishal from Sv an In vestments.
Vishal : Congrats for a good set of numbers. I have a couple of questions regarding first question regarding the growth. If you see last 2, 3 quarters, our growth rate has been muted compared to what we have seen at the back and we have always been committed to have a good delta over the industry volume growth.
So compared to industry volume two -wheelers, which has grown by Q oQ around 12% to 13%, our two -wheeler, 3 -wheeler business has grown by around 7 odd percent on a Q oQ basis. Simila rly, that is the case with the pass car industry passenger car production vis -a-vis our pass car business as well.
So is it because of transitioning of old platforms and new platforms ? Because our order wins are also good. INR 3,500 crores order in this quar ter. Last quarter, you have done INR 3,000 -odd crores order wins. So can you throw some light on -- is this transitionary and gradually, we'll see as the new order kicks in, we'll see a good growth? Can you throw some light on this, please?
Aakash Minda: Yes. So of course, multiple factors, and its gradual increase because once you win the order, it takes about 18 to 24 months for the products to come in to start up production. And then again, another about 6 to 8 months for ramping up the production. Tha t's point number one.

Compared to last year, if you look at quarter 2 versus quarter 2, our premium buying last year was up to about INR30 crores, as we have already mentioned. And if I normalize that, then of

course, our growth rate is higher.
Number th ree, our if you look at the domestic market, we have grown by 10% year -on-year, whereas the two -wheeler industry has degrown by 2% and the automotive industry as a whole has been flat on a year -on-year basis.
And the last, not the least, the exports ha ve been subdued, which is due to the geopolitical issues and global phenomena, which the overall industry has seen. For the last 2 quarters, the exports from out of India to Europe and America are not doing well. So this is the reason that why our growth is only 7% and 11%.
Vishal : Okay. Okay. Fine, sir. Sir, my second question is regarding the sunroof system, the new JV, which you are planning to get into. So currently I just wanted to ask you who are the current suppliers, who are the current competitors, to whom we will be competing in this market? And what is the overall market size in terms of value? And you said that we expect that industry penetration to grow to 30% in terms of volume, that's fine. But what -- currently, what is the in terms of value, how big this industry is?
Aakash Minda: Yes. So Vishal, as I mentioned, the industry is expected to be about $500 million to $600 million, as per our calculations, by 2030 as we believe there are about 3 or 4 players in the industry in India right now. And our expectation is that this kit value offering for sunroof has a particular product is about 15,000 to 20,000, depending on the configuration.
Of course, there are other products which are under discussion, which will have also, if not s uch high but maybe a similar range of pick value added on in this partnership.
Vishal : Great. Great. Great. My last question is regarding -- if you see, your employee cost run rate has increased from INR157 crores in Q3 FY '23 to gradually to INR180 crores INR175 crores last quarter and

now INR187 crores. Similarly, in terms of other expenses, has also increased from INR109 crores to INR120 crores. Is there some one -off here or some additional costs we have paid?
Aakash Minda: Yes. So I'll ask my CFO, Vi nod Raheja, to answer. But largely, the reasons are, of course, expansion, the minimum wage increase across states from the customers -- sorry, from the government and third, of course, higher spend in the engineering to come up with new products and techn ology for the growth to come in forward.
Moderator: We'll take the next question from the line of Shridhar Kallani from Axis Securities. As the current participant has left the queue, we'll move on to the next question, which is from the line of Jay Kale from Elara Capital.
Jay Kale: So my first question is regarding the sunroof. If you can just throw some light on the capabilities of this JV, is it more on the TVS sunroof or panoramic sunroof, how is the product profile for this partner, globally ?.

And what are the I mean, I understand you will not be able to give a flavor on the customer. But whom are they predominantly strong with, is it the European customer, South Korean customers, Japanese customers? Any flavor on that because that could also hel p you in having relationships, from an Indian context, with those OEMs?
Aakash Minda: Yes. So to answer your question, this company, as I mentioned, is making about 2 billion sunroofs annually. Second is that they are partners to European OEMs, Japanese OE M and local OEMs across China and Mexico as well as Europe. Third, they are making sunroof particularly all top loaded, bottom loaded, TVS, panoramic is in that product portfolio.
And last, not the least, I would like to add that we are, of course, also e ngaging for other products, which are closure systems for the four -wheeler vehicle access, which are almost to the similar kit value that they offer.
Jay Kale: Understood. And these other products would be largely the similar products, which are -- which they have currently in their product portfolio, and you will be partnering with them for that to get that into India, is that understanding correct?
Aakash Minda: Absolutely right. And they have the product portfolio, which are in our road map for offering a complete system solution offering in a vehicle access of passenger vehicle. As I would like to repeat again that Minda Corporation is going to increase its portfolio in the vehicle access system space and products that we have mapped, which are synergies in nature, are going to be added continuously.
So we believe sunroof and other closure systems in the vehicle access portfolio in line with our commitment is what we are continuing to partner and offer to the Indian market, increasing our kit value in th e four -wheeler vehicle access space. We would like to increase our revenue from the four -wheeler segment, going forward.
Jay Kale: Also, is this arrangement purely for your supplies to the Indian OEMs in this or there is also this option of then sourcing for their global supplies from India through this JV? Is that also a consideration?

Aakash Minda: Yes, that is a consideration.
Moderator: Ladies and gentlemen, this will be the last question for today, which is from the line of Natasha Singh from Yes Securities.
Natasha Singh : Congratulations on great numbers. I wanted to ask what is the split of premium and value products in terms of revenue? And what is the margin guidance for future for them?
Aakash Minda: So sorry, if I understand your question, you're asking that what is the value for the legacy products versus the new technology products?
Natasha Singh : Premium and value products, the split of premium, basically.
Aakash Minda: Sorry, ma'am, that's a very vast question. But just to tell you, we do categorize all of our different pro

ducts and different buckets. So there will not be uniform answer to -- because, for example,

if I look at the key less solutions as one traditional offset and then one is key less solutions; so If I look at the wiring harness, there is this simple wiring harnesses versus now the electric vehicle complete system solutions offering.
If I look at the instrument clusters and speedometers, there's traditional analog clusters, which are now going to be TFT and in to pass cars moving to cockpits. There are, of course, new sensors that are coming in. And die casting, there are regular products versus much advanced technical products and of course, EV products which are new.
At a broadly general level, definitely the value products, in your terms, have typically lower profitability. And with the increased content, with the increased electronics and more and more comfort, convenience features and with [pace] technologies, the advanced technology products have a better profitability.
But since they are coming into the market, initially, there will be a lag of the profitability because we have to get economies of scale as well as they are in the start -up phase.
Natasha Singh : Okay. Is it possible to get blended margins for the split?
Aakash Minda: No, sorry. For the blended margin, of course, if you compare the premium products, the revenue as well as the profitability will be higher. For the legacy products, definitely, there are different margin profiles because intern ally, what we also do is we see the segment -wise product and where they should be manufactured toward products profitability they should have in order to have the right product mix as well as the profitability mix across segments and across platforms.
Mode rator: Ladies and gentlemen, we will take one more question, which is from the line of Jyoti Singh from Arihant Capital.
Jyoti Singh : Sir, my question is on the loan side that we have given to JV, INR400 crores , as per the cash flow statement, if you can t hrow some light on that?
Aakash Minda: Sorry, can you repeat the question, please?
Jyoti Singh : There is a INR 400 crores loan given to a JV, as per cash flow statement. If you can throw some light on that?
Aakash Minda: So, it's not INR 400 crores, it is INR 4 crores given to one of the JV companies.
Jyoti Singh : Okay. Sorry. Yes.
Aakash Minda: It is INR 400 lakhs, I mean.
Jyoti Singh : Okay. Okay. Then it's fine. And also, sir, second question on the export front, like it is a subdued from last 2 quar ters. So if you can give some outlook, going forward?
Aakash Minda: Yes, ma'am, exports definitely continues to be the focus for the group. We continue to build order book from the export customers, which are global sourcing as well as customer -oriented across segments. Definitely, we expect them to improve in the quarters to come. But honestly,

in the European as well as the American situation currently, we just would say we are cautiously optimistic.
Moderator: As that was the last question for today, I w ould now like to hand the conference over to Mr. Aakash Minda: for closing comments. Over to you, sir.
Aakash Minda: Yes. Thank you. So thanks a lot, once again, for everybody to join the call. We at Minda Corporation remain focused on enhancing our core a nd deepening our capabilities across product portfolio, with a special focus on EV and electronics.
Our strategic approach will remain on fortifying our core products and expanding our products and customer base both by attracting new clients and deepenin g our relationships with existing ones. We are fully poised and confident of margin -accretive growth in the coming quarters. So thank you very much for joining. And please, have a great festive season.
Moderator: Thank you ver

y much, sir. Ladies and gentlemen, on behalf of Asian Market Securities Limited,
that concludes this conference. We thank you for joining us, and you may now disconnect your lines. Thank you.

Call: Feb 2024

Februa ry 09, 2024

The Officer -In-Charge (Listing)
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Exchange Plaza, Bandra Kurla Complex,
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Scrip Code: 538962

Ref: Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015

Subject: Transcription of Conference Call with Investors/Analysts held on 2nd February, 2024

Dear Sir/Madam,

Please find attached herewith transcription of Conference call wit h Investors/Analysts held on February 2, 202 4. Kindly take the same on record and acknowledge.
Kindly let us know if any other informat ion is required in this regard.

Thanking you

Yours fa ithfully,

For Minda Corporation Limited

Pardeep Mann
Company Secretary
Membership No. A13371

"Minda Corporation Limited Q3 FY24 Earnings Conference Call"

February 02, 2024

MANAGEMENT : MR. AAKASH MINDA – EXECUTIVE DIRECTOR – FINANCE AND STRATEGY

MR. VINOD RAHEJA – GROUP CFO

MS. PUSHPA MANI – LEAD INVESTOR RELATIONS

Moderator : Ladies and Gentlemen , Good day and w elcome to Q3 FY24 Conference Call of Minda Corporation .
As a rem inder , all participant lines will be in the listen -only mode and t here will be an opportunity for you to ask questions after the presentation concludes. Should you need assis tance during this conference call , please signal an operator by pressing '*' then '0' on your touchtone phone . Please note th at this conference is being recorded.
I now hand the conference over to Mr. Raghunandhan NL from Nuvama Research . Thank you and over to you, sir.
Raghunandhan NL : Thank you Neerav. Good morning ladies and gentlemen. On behalf of Nuvama Research , we welcome you all for Minda Corporation Q3 FY24 Earnings Call.
We thank the Management of Minda Corporation for providing us the opportunity. We have with us the Management Team represented by Mr. Aakash Minda – Executive Director (Finance and Strategy), Mr. Vinod Rahej a – Group CFO and Ms. Pushpa Mani – Lead Investor Relations .
To remind you of the safe harbor t he Management may be making some forward -looking statements that have to be understood in conjunction with uncertainty and risks that the Company faces. We'll start the c all with brief opening remarks f rom the management and followed by a Q&A session.
Now I hand over the call to Mr. Aakash Minda for hi s opening remarks. Over to you Aakash.
Aakash Minda: Good morning. Thank you so much, Raghunandhan and Nuvama for organizing this call. Good morning, ladies and gentlemen and welcome to the Quarter 3 FY24 Earnings Conference Call for Minda Corporation.
On behalf of the Company , I thank you all for joining us on this conference a nd I hope you are all keepin g safe and healthy. The quarter was marked by growth acros s vehicle segments except tractors. This upsurge is attributed to the strong festive buying , improved consumer sentiments and various other factors. Overall, we are optimistic about the industry's t rajectory and poised to capitalize on the emerging opportunities.
Coming to the "Financial Performance " of the Quarter :
Minda Corporation delivered revenue of Rs. 1,166 crores up by 9.1% year -on-year attributed by the growth in do mestic business by 16%. However, growth was partially offset due to the delay in SOPs and subdued demands from export attributed by macroeconomic scenarios.
EBITDA margin stood at Rs. 130 crores at 11.1% with the growth of 13.8% ye ar-on-year driven by focus on component localization a nd increasing operational efficiencies among other factors.

Moving on to the "Bottom Line ":
The profit after tax s tood at Rs. 52 crores with the PAT margin of 4.5% partially impacted by increase in finance cost and depreciation attribute d to the strategic investments i n capacity expansion and technology upgradation. These initiatives are instrumental in positioning us for accelerated growth in the future. The Board of Directors has recommended an interim dividend of 25% on the face value that is Rs 0. 50 paisa per equity share.
Now I would like to take you all t o the key developments during the quarter :
At first lifetime order wins of more than Rs. 2,300 crores with EV platforms constituting more than 30% of the order win . In first 9 months FY2 4 order book stands at Rs. 8,900 crores while for the full year previous year FY 23 our order wins were approx Rs. 8,000 crores showcasing our growing product portfolio, product premiumization across segments and growing deman ds across customers in ICE and EV products.
Moreover, we secured order wins with multiple first time ever orders in new technology products across IC E and EV segments from key domestic and export customers in the area of die casting, wiring harness, vehicle access, instrument clusters representin

g o ur expanding capabilities in delivering sustainable mobility solutions.
To facilitate the growing demand, the Company is proactively enhancing its capacities in smart keys, EV products, clusters and cockpits, sensors, die casting parts. I n line with our c ustomer centric app roach, the Company inaugurated smart key facility in Vietnam s trategically positioned to ser ve customers in Asian countries.
During the quarter, the Company demonstrated its commitment to innovation by filing 8 patents, bringing the tota l patent number to 265. This underlines the Company 's ongoing efforts to stay at the forefront of technologically advancement in the sector.
Lastly, it gives me immense happiness and pleasure to state that we have strengthened our leader ship by reinstatin g Mr. Ravi Su d in the Minda Corporation Board again as an Independent Director . His vast experience in strategic and financial management including cost control will

help us drive more v alue for our stakeholders.
Moving ahead, we would be focusing o n the premiumization of our core products expanding market share with our existing clientele and acquiring new customers by emphasizing technology advancements through in -house research and development as well as global strategic partnership and alliances in our core products such as vehicle access, wiring harness, instrument clusters and light weighting die casting .
Additionally, our ongoing efforts to include localization and connection systems to minimize reliance on imports and enhance prof itability.

Now , I will take you through the pr esentation with “Key Highlights” for the Quarter . I would request you to take note of the se presentation which i s online :
We move from Slide # 4. Just as a summary and snapshot, we are one of the leading automotive component manufacturers in India focusing in mechatronics, information and connected systems, lightweighting , aftermarket and green mobility solutions. W e have more than 27 facilities i n India with two R&D centers a nd two plant location overseas, mo re than 16,000 employees and 9 partnerships.
If I look at the first 9 months our revenue has been Rs. 3,436 crores. EBITDA has been at Rs.376 crores and the margin has grown in the first 9 months to about 11%. Our PA T margin stands at 4.5% and as on 31st December the promoter shareholding stand s at 65% and institution and others and corporate bodies with the remaining.
Now move to the next slide, Slide # 5. This is experienced leadership board. As I mentioned we on-boarded two Independent Directo rs in the recent two quarters – One is Mr. Gajanan Gandhe and the second is Mr. Ravi Sud ji.
Moving to the next slide, which is Slide # 6 on the “Key Performance Highlights ” for the Quarter 3 and the 9 months :
Quarterly revenue of Rs. 1,166 cror es with the growth of 9.1% year -on-year a nd in 9 months revenues of Rs. 3,436 crores with the growth of 7% year -on-year. We delivered double digit EBITDA margin of 11.1% in Quarter 3 with the growth of 4 6 basis points year -on-year and 10.9% EBITDA margin in the first 9 months with the growth of 26 basis points year -on-year.
In Quarter 3 lifetime orders won were Rs. 2,300 crores with EV pl atforms constituting more than 3 0% of the order wins and marquee order wins across existing and new technology products. We inaugurated firs t smart key plant in Vietnam to cater to customers in Asian region and other exports.
Last, not the least undertaking capacity expansions in vehicle access, die casting, instrument clusters, EV products and sensors to cater to the growing demand.
Moving to the next Slide on the “Busin ess Highlights and key order ” wins :
In this quarter, we have won multiple smart key order in the 2-wheeler and 4-wheeler EV and ICE segments fr om the marquee OEMs. We have won lifetime orders worth more th

an 40 0
crores from multiple leading OEMs f or their upcoming models. We have won marquee customer order wins for new sensors such as tire pressure monitoring systems.
We have also won large orders for LC V wiring harnesses for the upcoming models for orders worth Rs. 450 crores t o be SOP from next year onwards. I n the area of die casting we have also

have been winning orders in the die casting products for EV b attery and motor housing f or domestic and exports 4-wheeler OEMs.
Moving to the next Slide is this snapshot of some pictures of the inauguration of the smart key plant in Vietnam. In Slide # 9, we are showing here the expanding capacities to cater to our growth requ irements in the upcoming years in the area of instrument clusters at Pune, sensor division in Pune, smart key facil ity also in Pune, expanding die casting f acility in Greater Noida in North and also die casti ng facility in West for exports.
Moving to the next Slide on the “Financial Performance ” for the Quarter :
In Slide # 11, we see Indian automotive industry performance in the Quarter 3 in terms of year -on-year growth, the industry grew by about 14 .8% where the 2-wheeler s grew by 19%, passenger vehicle by 5%, 3-wheeler s by 13%, CV by 6% and tractors degrew by 13% .
On a quarter -on-quarter basis, the industries degrew by about 5%, 2-wheeler s degre w by about 2%, PV by about 11%, 3-wheeler s by 9%, CV by 8% and tractor by about 29%. Quarter 3 in FY24 saw an uptick in demand across most segments, mainly driven by robust festive season and improved consumer sentiments and pickup in demand for entry level segments in 2-wheeler as well as premiumized products.

In the 2-wheeler segments it was mainly driven by the festive season as well as these sentiments as well as the wedding season. Growth in PV volume was driven by demand in H CV vehicles, 3-wheeler segment the year -on-year g rowth was led by passenger carriers as well as goods carrier s. In CV growth was supported by increasing demand in infrastruct ure projects.
Going ahead 2-wheeler demand is expected to pick up in the entry level segment as well as the premium level segmen ts with a strong order book in P V longest CV cycle and revival in exports.
Moving to the next Slide as the “Financial Statements ” for Minda Corporation Limited :
The revenue has grown from 1 ,068 crores to 1 ,166 crores as on year -on-year with 9% growth.
At EBITDA level, we have grown from 1 14 crores to 130 crores on year -on-year basis with a 14% increase in EBITDA a nd at PAT level we ar e almost flat at 52 crores year -on-year basis.
At the 9-month level, the revenue has grown by 7% from 3 ,226 crores to 3 ,436 crore. E BITDA has grown in the first 9 months from 345 crores to 376 crores from 10.7% to 10.9% in the first 9 months, showing a growth of 9% and PAT margin has been almost flat at about 163 crores to 156 crores.
Moving to the next Slide in further detail s:
Our operating margin has grown from year -on-year basis by 9.1% from quarter 2 to Quarter 3 we were almost flat. I n the first 9 months we have grown by 6.5%. At EBITDA level from

Quarter 3 to Quarter 3 this year we have grown by 13.8% and in the quarter 2 sequentially to Quarter 3 it is almost flat, but our basis points have increased by 46 basis points from Quarter 3 to Quarter 3 and by 16 basis points from quarter 2 to Quarter 3 .
In the first 9 months we have increased 26 b asis points from 10.7% to 10.9%. PBT stands alm ost at the same level from year -on-year basis to 74 to 76 crores and also from 77 to 76 crores. I n the first 9 months t he PAT or the PBT has gone from 23 0 crores, 216 crores basis on our investments and interest.
The c onsolidated revenue on the domestic front grew by about 13 % to 16% led by strong

industry growth. However, the growth was partially offset by delay i n some SOPs and subdued exports on the back of macroeconomic scenarios. EBITDA margin we were delivered double digit margins on the back of increasing efficiencies while low-cost automation and co mponent localization incentives. Board of Directors have de clared interim dividend of 25% t hat is 50 paisa per equity share.
On the diversified revenue model by geography :
India continues to be our largest focus area which is about 85 % to 87% as this quarter the exports has subdued the exports is almost flat about 8% of the total revenue a nd Southeast Asian markets with Vietnam it is from 8 % to 5% . By end market 45% is approximately the revenue depending on 2-wheeler s, in passenger vehicle is about 15%, in aftermarket is about 11% a nd commercial vehicles and off road is about 25 % to 28%.
In the areas of products wiring harness constitutes to about 30 % to 33%, lockset is about 25 %, die casting is about 15%, i nstrument cluster is about 15% and other products which are the new products such as EV, sensors a nd ot her electronics areas are a bout 13%.
Moving to the “Business Vertical Per formances” on Slide # 15:
In our mechatronics and aftermarket division these revenue has grown from 547 crores to 575 crores with the 5% growth on a quarter basis, in the information and connected systems the revenue has grown from 522 crores to 590 crores with a 13% growth.
On a 9-month basis the mechatronics division grows by 9% and the information and connected system is grown by 4%. In the mechatronics and aftermarket, the revenue grew in Quarter 3 FY24 driven by the domestic 2-wheeler segment and premiumization partially offsetting due t o the subdued exports and CV segment.
In the information and connected systems the revenue growth d riven by demand across segments was partially offset by delay in SOPs a nd subdued demand for exports. O ur focus towards component localization resulted more than 15% component secured in house due to our efforts in the localization of connectors boosting our sales.

Moving to the next Slide of Slide # 16 shows our tran sforming current business line a s per the technology trends how we are moving from the locking systems to a vehicle access solution , from a wiring harness system to an electrical distribution s ystem Company , from a cluster division to a connected and safe mobility, fr om lightweighting to lightweighting and plastics and EV Power Electronics as a new division. This is in line with our LAS strategy going forward and how we're increasing our k it value in IC E and EV products going forward.

Moving to the next Slide of Slide # 17, which depicts our kit value in the 2-wheeler EV segment per se. So, all of power products are engine agnostic while more and more EV or other engines are going to come across segments. Our kit value will go through th e premiumization . On the right side we can see that the kit value has further increased with the new product s under development to about Rs. 22,000 to Rs. 27,000.

We have also added a few customers in the EV segments in this quarter. On the next Slide # of the str ategic pillars of growth on Slide # 19 we continue to focus on enhancing our core in the core products of safety s ecurity systems, wiring harness, instrument clusters, die casting, innovation and technology by focusing on our in -house R&D and partnerships i norganically through joint ve ntures and global partnerships e nhancing the electrical vehicle growth opportunity by investing further into the EV product lines and strengthening passeng er vehicle offerings.

Last not the least is our engineering capabilitie s by end of Quarter 3 we had more than 550 engineering team workin g only on advanced engineering m ore than 265 patents filed, spending now more than 3% of our

top line into R&D and having two technical centers in Pune and Bangalore focusing on our enhancing of our product lines. Last but not the least is on the ESG CSR and awards.

We continue to give focus on our ESG sustainabili ty framework and now enhancing o n the carbon neutrality footprint and the carbon credits and the CBAM . In corporate social responsibility in Quarter 3 we were given various awards and continue to g ive back to the society across states and organizations we are associated with and last not the least is our awards and achievements given by our customers in recognition of our performance on quality, cost delivery showing significant growth in our order wins and its trajectory .

With this, I would like to conclu de my presentation and open the floor for questions. Thank you.

Moderator: Thank you very much. We will now begin the question -and-answer session. The first question is from the line of Mumuksh Mandlesha from Anand Rathi. Please go ahead.

Mumuksh Mandlesha : Sir, in the presentation you ha ve talked about the delayed SOPs . Can you share when this orders will again start and what will be the size of these o rders and also can help us understand wh at are the orders being delayed?

Aakash Minda: So, again, I will not be able to give the details of which orders they are, but they are to the tune of about 3 % to 4% of our revenue. This is coming across segments primarily from the information and connected systems segment .

Mumuksh Mandlesha : And it would be resuming back by which quarter?

Aakash Minda: So, we are expected to start again Quarter 4 and then Quarter 1 of next year.

Mumuksh Mandlesha : Sir, wiring harness have you seen a strong double digit growth in end of year to date numbers. So, what has been drivers f or the outperformance s ir?

Aakash Minda: One of the areas that we have continuously been sharing is our localiza tion of our connection systems over the past 2 years. We have driven various initiatives for localization of the connectors for the wiring harne ss in terms of moving from the import to domestic.

This has of course helped us in terms of our being more cost competitiveness as well as further our deeper engagements with the se customers w hile we have been committed to have a d eeper engagement on the product portfolio of each customers, how we can increase our share of business, addition of the new platforms which are coming in as well as our export side is the areas that we have been continuing to drive in the wiring harness se gment.

Of course, as you have also known in the pas t few quarters w e consolidated our plants in order to get better economies of scale and create capacities for the growing businesses and hence these are some of the factors that have led to our increase i n the wiring harness penetration.

Mumuksh Mandlesha : And just lastly can you share the EV specific components revenues for the 9 months that’s for DC converter, telematics and battery charger and what is expected ramp up over next 2 years?

Aakash Minda: So, I will maybe not able to share the details, but what I can share is EV as a percentage of total sales is about 5 % to 6% at the group level. If I speak about the 2-wheeler segment it is about 11% to 11.5% .

Moderator: Thank you. Next question is from the line of Ruchita from Max Life Insurance Company Limited . Please go ahead.

Ruchita: Really heartening to see quarter -on-quarter such strong order wins from our side and just a little help understanding two aspects. So, one how should we think of these orders translating int o revenue for us, what kind of ramp up duration should we be expecting and secondly export seems to have hurt us this entire year wherein we've relatively done well on the domestic end, but export has d ragged us down.

So, how are we looking i t seems to have stabilized

on a quarter -on-quarter basis i f I'm not wrong
this quarter. So, how are we thinking of this going forward? What is the outlook fo r exports? Is there still pain left and how should we think about it those would be my two questions?

Aakash Minda: So, I'll answer the first question i n terms of the ramp up of the sales. So, the order wins typically in the automotive industry are coming from into SOP from order win into SOP in about 12 t o 18 months or 12 to 24 months d epending on the vehicle segment, it could be 2-wheeler , it could be 4-wheeler . It is much higher.

So, the order that wins that happen should typically come in about 6 to 8 quarters from the order one that has come and that is the SOP debt, but the peak volume should come in about 3 6 months from the order win s.

So, that is how it should be looked at. The orders that h ave been won in some cases are or in most of the cases are new developments which will take a longer lead time i n some cases the y are communized parts which very le ss products would come into SOP soon.

On the second front in terms of the exports yes you're absolutely right i t is a concern for us as well that the exports for the first 9 months have been subdued due to various reasons.

Firstly, I would like to give assurance that we will continue to win orders in the exports all across our segments, die casting, vehicle access, instrument clusters, wiring harnesses, etc ., but the intake of the customers has been slow. I n Quarter 3 per say our exports have degrown to the tune of about 15% due to the concerns in terms of the exports on the North America and the European region .

In the first 9 months as I mentioned on the 9 month s has also come down at similar levels which is impacting our sales growth. So, while export continues to be our one of the areas of focus for growth in the future, the actual sales in the first 9 months and quarter are not very encouraging.

Ruchita: Quarter -on-quarter ha ve expor t stabilized or quarter -on-quarter a lso you are experiencing decline?

Aakash Minda: So, quarter -on-quarter they are at a similar level. So, if I may say the uptake versus the order book is to the tune of about 85%. So, throughout the year if you see the sa les have been about 85% of the order book that we have in terms of every quarter.

Ruchita: So, you said that u sually it takes about 3 years for your order books to t ranslate into peak revenues. So, just you would have a fair amount of visibility wh at the c ouple of years are going to look like.

So, on that front just wanted a broad idea from you what kind of performance are we thinking of over the next 2 or 3 years and also what could possibly be a risk factor that could keep us from achieving our vision?

Aakash Minda: So, at a group level we definitely continue to wo rk on outperforming the market that is our first importance and with the order wins that we have secured across customers and platforms and

technologies w e would like to achieve that. So, there are majorly 4 factors which are going to lead us to our growth. On e is of course the new order wins that we have made.

Second is in the premiumization of our products enhancing the kit value of all the products that we do. The third is the new markets in terms of the exports and the fourth is of course the new products that we are adding through organic and inorganic initiatives like we have seen some of the marquee orders that we have won.

So, these are the areas o r the four or five pillars that are goi ng to h elp us achieve this growth in outperforming the industry over the next few years.

Moderator: Next question is from the line of Bhalchandra Shinde from Kotak Mahindra Life. Please go ahead.

Bhalchandra Shinde: So, regarding the order win if y

ou can g ive more clarity like how one should look at it like if
now Rs. 8,900 crore order win is for us. As you said it takes 2 years, 3 years to ramp up, but what kind of a visibility in revenue growth prospects wise it gives us means like if based on current sales i f you want to draw a picture how one can draw a line between order book and sales?

Aakash Minda: The first 9 months the export orders have been won to the tune of about Rs. 500 crores plus again these are all lifetime number s. In the mechatronics division i t is to the tune of about Rs. 4,200 crores out of which 20% h ave been on the replacement business and 80% have been on the new businesses. From the 2-wheeler segment it is about 60% on the PV segment is about 33%.

In the inf ormation and connected systems they ar e about 3 ,500 crores out of it 31% are about replacement businesses and 70 % are about the new businesses a nd again in terms of these segment in the 2-wheeler segments we're about 40% and in the PV and other segments they are

about 50%.
And other product l ines which are upcoming new are in the tune of about 1 ,100 crores and 100% of these orders are new orders because they come in terms of the electronic products like the EV product lines or maybe some senso rs or other electronic products.
Moving on to the o verall n umbers in out of 8 ,900 crores about 4 ,000 crores are the replacement businesses. So, these are the businesses where the models a re running of the customers.
So, they are needing new faceclips or just the same model coming in, for example, let's sa y Bajaj Pulsar is just going to be a refresh in the next year which is what we consider a s a replacement order, but if there is a new model o r a totally new platform or a model where we were not there present before i f we consider that then it is about 500 0 crores that we have won in the first year.

So, to put it into numbers about 4 ,000 crores in the lifetime order will continue to have the sales in our current sales, but the 5 ,000 crores out of the 9 ,000 crores that we have added that will be spread over a lifetime for about 4 y ears starting from the 12 to 18 months from now.
Bhalchandra Shinde: And second question regarding our recent collaboration on Sun Group and also if you can give any further update of any advancement on th e customer addition or not and seco nd is there any other developme nt or any o ther partnership we are targeting and then which segments?
Aakash Minda: So, in terms of the joint venture between the HCMF and Minda for the s unroof and other product lines. W e continue to engage with the customers and showcasing the products. We have received formal multiple interest from the various customers which again in the term of NDA I cannot share.
So, we will be formalizing the agreement by the end of this month and of course looking at concludi ng some of the orders to start production by next year that is our first interest. M oving on to the other partnerships per say we continue to engage with the various companies globally and in India for technical license agreements and forming joint venture for the growing market in India in our own product lines.
Last but not the least on the a cquisition or the merger and acquisitions front we are very clear that we are what we are not going to do. So, w e are not looking at companies which are overseas in terms of large operat ions, we are not looking at commoditized product lines such as sheet metal, rubber , etc. We are only going to be looking in terms of the products and companies which are in our domains of vehicle access, instrument clusters, electrical distribution systems, EV and lightweighting.
So, these are the areas where we continue to evaluate v arious companies and of course as and when we m ove forward, we will update you.
Moderator: Thank you. Ne

xt question is from the line of Basudeb Banerjee from ICICI Securities. Please go ahead.
Basudeb Banerjee: Just to continue with the previous couple of questions. One, you said out of the four pillars of growth adding newer market is one of the k ey and second thing is post liquidation of the cash on balance sheet must be moving up significantly other than the cash flows which you are generating.
So, if we combine these two things that is access to new markets and the healthy balance sheet, where M&A can be done. So, in the longer run how to look at that y our strategy will be make in India and target new export markets or set up facilities in new export markets to add new markets. So, which kind of strategies will you be looking at?
Aakash Minda: So, yes, of course, we are now having h ealthy cash flow which we've always been having. So , our focus continues to generate free cash flow from our operations, and we continue to do that

quarter -on-quarter and year -on-year. W e have created watches for any kind of an inorganic growth a nd so we a re continuously looking for opportunities with various segments, but only in the automotive space.
Thirdly, our areas of collaboration are going to be for India make in India in terms of exports, localization opportunities. We currently map what is curren tly imported and what we can localize.
Secondly, in the areas of comfort and convenience and our own product lines where the technology is changing more and more premiumization is coming into India basis on the LAS mega trends. So, we continue to invest o rganically and inorganically. So, in the space of organically we are g oing to be now expanding our technical center and hence investment in engineering and also continue to invest in our partnerships and alliances for adding the products in the passenger v ehicles as well as other areas for de growth, but we are not looking at an y kind

of acquisitions overseas.
We may like we have shown earlier in the presentation grow and follow our customers to start our smart key facility in Vietnam and we wi ll use that fa cility for local m arkets as well as exporting from there to other countries.
Basudeb Banerjee: So, basically post KTS N no such plans of having major investments in the Western world as such?
Aakash Minda: No at all. We are very open to look at engineering centers which will give enhancement to our technology in India, but we are not looking at any kind of large operations or large manufacturing footprint companies which has overseas in the West. So , this is we c ontinue to keep f ocus with Mr. Minda himself on the capital allocation across the globe.
Basudeb Banerjee: And second question sir in terms of imported components for your business or exports, are you seeing any logistical challenge currently and what kind of cost inflation for your logistics cost you are currently seei ng which can have an impact on n ext couple of quarter results?
Aakash Minda: There are mixed o f course the semiconductors have definitely eased off from our electronics perspective , but vario us displays like TFT and all continue to be imported. So, that is one aspect.
With going forward t he customers as well as our risk mitigation we are looking at inventory increases from t he aspect of s ecuring any kind of uncertainty coming forward, whether in terms of design size or in terms of minimum size.
Also when it comes to the connectors we are continuously reducing our imports and now investing further and further in o ur internal component division f or which the results can be shown a s suggested ear lier.
Moderator: Thank you. Next question is from the line of Abhishek from Dolat Capital. Please go ahead.

Abhishek: Sir, in instrument cluster business you have market share

in passenger vehicle is hardly 1 % or
2%, but you have won many new business. So, what is your revenue target fro m this business for the next 2 years and what will be the market share i n the passenger vehicle instruments?
Aakash Minda: So, in the passenger vehicle instrument clusters we have already won few orders in the last year in the space of advanced TFT clusters with large marquee OEMs. As I mentioned, thi s is one of the reasons for SOPs. So, these SOPs will be coming into the Quarter 4 or Quarter 1 of next year and here is where we will be once pre sent we'll be having our further increased share in our cluster space in the passenger vehicle segment.
On the new technologies front, we are working in terms of the driver information system which is going to be connected i n terms of the complete cockpit , in terms of the rear view, in terms of the other e lectronics that go with it. So, we w ill be further increasing our kit value and offering it to our customers.
We have already started engaging with various customers on account of demonstrations a nd RFQ's that we have received o rganically as well as thro ugh our partners. So, we continue to look for more orders, but currently if I may say in our passenger vehicle segment once the SOPs come into effect next year or in the next 12 months we will be having a s hare of business about 4% to 5% in that range.
Abhishek: So, w hat would be the quantum of that business incremental revenue from FY25?
Aakash Minda: So, in FY25 our instrument cluster business per say would be to the tune of about Rs. 800 to Rs. 900 crores something what we look at moving f orward in the next few quarters.
Abhishek: And the Company is also looking in organic growth as you mentioned with the deployment of cash of around 600 cores. So, what would be the key product additions from that?
Aakash M inda: Sorry, in the investment of where please?
Abhishek: So, you have around Rs. 600 crores cash in your groups, and you are looking for inorganic growth opportunities. So, what would be the key product addition in your portfolio?
Aakash Minda: So, as I ment ioned earlier we are very clear on what we will not do as a Company and tha t is what is most important. So, we are not entering, or we will not enter i nto the commodity items such as sheet metal or rubber or any such thing s.
Number two, we will not do anything which is purely IC E engine related. Thirdly, we are not looking at inves tments into the West market as explained to the previous question in terms of the acquisition.
So, what we are going to be focusing on is in our area of core products which i s into the vehicle access space number one. Number two is into the wiring harness or the electrical distribution

space. Number three is into the instrument clusters and sensor space. Number four is into the die casting or lightweighting space and number fi ve is into the electric vehicle mobility.

So, we are looking at both in terms of the component expansion as well as the system expansion and this could come from talent acqui sition or this could come from asset acquisition.
Abhishek: And my last question is that what is your CAPEX plan for the next 2 years and what is the curre nt gross and ne t debt?
Aakash Minda: So, here I will ask my group CFO to maybe share some words on this thing.
Vinod Raheja: So, historically in the course last 2 years we have been spending about 200 crores to 300 crores and since we are looking at expanding capacities. So, over next 2 years we should be spending in the range of 300 to 450 crore type per year.
Abhishek: So, you are talking about FY ’25-26 or ‘24-25?
Vinod Raheja: ‘24-25 and ‘25-26 every year.
Abhishek: And what is th e current gross and net debt of the Company ?
Vinod Raheja: Well , the net debt of the Company as at 31st of December was

about 450 crores, b ut as on date we have net cash in our books h aving investments.
Abhishek: So, are you all not looking for the debt repayment beca use that interest cost is very m uch high now?
Vinod Raheja: Well like I mentioned this is sort of more a financing need and we will always look at judicious mix in terms of say our own internal accrual debt, etc etera .
Moderator: Thank you. Next question is on the line of Amin Piranani from JP Morgan. Please go ahead.
Amin Piranani: Sir right now have low share coming from Asian market, but you've recently started a plant in Vietnam. So, my first question on that was is the customer OEM Vietnamese or Asian OEM or is it a Indian OEM?
And secondly given the size of the Vietnamese market and it can be an entry into the larger ASEAN piece as well, do you think ASEAN o ver the next 3 to 4 or 5 years could be a much larger chun k of your consolidated revenues?
Aakash Minda: So, firstly to answer your question we follow our customers. So, it is mix of all custome rs and it is not only for the ASEAN countries, but even exports to the West from there. So, whether there are Europe an OEMs, Japanese OEMs o r Indian OEMs. There are var ious different business models w e continue to see.

So, ASEAN market continues to be an area w here having multiple free tra de agreements . So, that is something that what we are leveraging as well as growing from that part of the world to the other W est regions is something that we are looking at.
So, yes it may not be a very large portion of our revenues going forward, b ut ye s once the market picks up again as well as in the other areas that we're exploring it could be an area of importance for us because we have a presence in the ASEAN countries with two locations which is Indonesia and Vietnam for the last 10 years and plus.
Moderator: Thank you. Next question is from the line of Shreyansh Talesara from Vasuki India Fund . Please go ahead.
Shreyansh Talesara: Sir we see that we've been expanding our ca pacity in various verticals. So, just wanted to understand what does our cur rent capacity in these verticals look like and what would it be the expanded capac ity say in terms of die casting, smart key facilities or sensors or instrument clusters and even when sir said our CAPEX for next 2 years would look like say from 300 to 450 crore, could we have any break up of what the CAPEX would be for these each verticals?
Aakash Minda: Yes, maybe I may not give you the detailed breakup of the each vertical per se because we have a very clear fina ncial prudence for each division, each plant and each vertical where each division has to be profitable and giving free cash flow as well as the ROC E. So, hence basis on that. So, we plan our financial prudence and capital allocation that's point number on e.
Point number two on the capacity utilization, different verticals and different divisions have different capacities. Our first and foremost importance is how we can sweat our assets more and increase the FATR from the current and existing plants. Now with the current gro wing technologies that we have a nd coming in future we are setting up these new facilities to increase our capacities merely from the areas of electronics.
So, in the vehicle access space now with the new facilities that we're coming in, we're currently having a capaci ty utilization of about 80%. So, with the new facilities, this will increase. In the wiring harness space w e have recently consolidated and open larger faci lities in the three regions. So, there we have more than about 55 % to 60% of our capacities. In the instrument clusters and sensor space we are running high on capacities and hence the two new plants.
So, yes these are our areas on where we are currently focusing. In die casting with the new export orders primarily

and in the domestic orders we are coming up with two new facilities, one in the North and one in the West on this aspect. So, this is what we're currently looking at from each

of these c apacity utilizations on the F ATR as well as on the financial prudence and capital
allocation against each division and each location.
Moderator: Thank you. Next question is from the line of Raghunandhan NL from Nuvama Research. Please
go ahead.

Raghunandhan NL: Trying to understand the product mix over the medi um term in terms o f smart keys l ast quarter
you had indicated that within 2-wheeler the penetration has come to 15% g iven that the industry
is seeing premiumization and also you are focusing on more products and winning more
customers, how do you see this share of sm art key increase in the future.
Similarly within instrument clusters how do you see the share of d igital clusters increasing
currently if I'm right it's around 25 %, 30%. How do you see that increasing and lastly in EV
share which has now reached 5%, 6% of revenue given that the share in your order book is
higher, do you think that by FY 26-27 the EV share and overall revenues will also increase similar
to the share in the order book?
Aakash Minda: So, when it comes to the keyless solutions definitely it is on the increasing trend because it's the
number one reason is on the comfort and convenience that the end consumer would like to face
because the trend i n technology moves from the 4-wheeler to 2-wheeler .
So, from the current about 15% in the next 26 to 27 as you asked should be in the range of about
20% to 25% of this because our t arget or our expectation by 2030 and the keyless penetration
shou ld be in the range of about 35% to 40% is what we are expecting.
When it comes to the instrument cluster in the 2-wheeler space pri marily again on the TFT, I
mean, there are multiple segments . So, one is the analog cluster a nd second is the LCD and third
is the TFT.
So, hence they are categorized in three different asp ects. So, in the analog cluster which are
primarily the needle based clusters they are taking the highest amount of share, but the more of
premiumization that is happening. The LCD cluster and its penetration is much faster right now
or much greater right now a nd the TFT is of course much more expensive.
So, that is taking shapes in the EV customers per say as well as then p enetrating into the high
end IC E bikes. So, I may not be ab le to give you an exact number against each of them, but we
can get back to you on how the two segments in terms of the digital are moving forward. Third
on the electric vehicle mobility or the electric platforms, we have about 5% share of our overall
revenue coming from this in the 2-wheeler space we have about 11% revenue.
Moving forward in about 26 to 27 this 5% is expected to be about 10 % to 15% of our revenue
because the order books are being done, b ut we would like to be cautious on the uptake of the
EV vehicles and the EV platforms a s some are success and some are not so success and hence
the overall group level we expect this to be about 10% to 15% in the FY25 to 26 .
Raghunandhan NL: A couple of questions, Sir, on the tax rate it was higher this quarter and there was some impact
of tax related to earlier quarters. S o, would this be a onetime impact and for FY 25 should we
work with about 25% tax rate would that be a fair assumption?

Aakash Minda: First of all, effective tax rate both current and deferred of about 25% would be fair assu mption
as regard your other query in terms of tax in relation to earlier it is more a classification from
defer red to classification. So, both should be seen together.
Raghunandhan NL: And sir you earlier mentioned CAPEX around Rs. 300 to Rs. 450 crores w ould i

t b e fair to
assume that given that this CAPEX is to meet the future requirements or the large order book
which the Company has. Would it be fair to assume that within this CAPEX more than 20%
would be going towards EV s?
Aakash Minda: So, there are again the CAPEX you can largely say like that because EV particularly th ere are
two separate things. So, one is of course on the product side per say so that's one. So, while we
come up with the new products in the EV space the 20% of our R&D co uld go there, but the
others could move in terms of our premiumization of our own products w hich are regardless of
the EV or IC E segment.
So, as I've said earlier whether it's a vehicle access or instrument cluster or a wiring harness or
a sensor it is en gine agnostic. So, hence the in vestments continue to be there, b ut EV particularly
the new product lines could have that amount of share. We are currently under the planning our
strategy for the investments for the electric vehicle, new mobility product li nes going forward
and there we are investing further much higher than 20% of our R&D into the new products in
the 4-wheeler segment into the charging space as wel l as in the commercial vehicle s egments in
the alternate fuels.

Raghunandhan NL: Sir, with ref erence to the smart key facility at Vietnam, what was the investment and what is the revenue potential and when do you see the revenue commencement here?
Aakash Minda: So, basically it is an assembling facility right now. So, exact numbers I would not be able to share online due to confi dentiality, but it is not high i f I would say it is less than a couple of crores. So, that's where it is b ecause this is for the domestic market of A SEAN for our various customers as it is exporting from there to the Europe an market as well.
Raghunandhan NL: On localization you have achieved 15% which is an improvement versus earlier quarters. How do you see the further increase in localization over next 2 years and how that c an flow into benefits on margins?
Aakash Minda: So, we continue to invest organically as well as invest inorganically for the component localization. We have taken various initiatives and steps o n the component localization f ront both on IC E and EV and across segments for 2-wheeler 3-wheeler commercial v ehicle etc etera. Moving forward again as I mentioned in our target is to become o r gather get the larger share in these segments where we are having a larger market share. So, we would like to grow. I will not be able to share exact number beca use we don' t give that guidance, but what we're looking at is how we can grow in the EV space in the 2-wheeler with the localized connection systems and

also in the pickup or the commercial vehicle space in the in the LCV segments and of course in the tractor space where the ne w regulations are coming in. So, this will again further enhance our kit value m aintaining our share of business in the 2-wheeler of about 35% and our in commercial vehicles is to the tune of about 40% plus and tractors is of course much higher .
Moderator: Thank you. Next question is from t he line of Radha from B& K Securities. Please go ahead.
Radha: Sir my query was that you mentioned in your presentation that this quarter you won orders of 400 crores in smart locks both for the 2-wheeler and 4r wheeler? So, just wanted to understand that what is the total order book in smart locks for the 2-wheeler and 4-wheeler s as of now if you can give the bifurcation?
Aakash Minda: In the first 9 months as I have shared earlier in the m echatronics division we have won orders to the tune of about Rs. 4,300 crores o ut of which 20% are replacement and 80% are new and again 60% of this constitutes from the 2-wheeler segment and about 30% constitute from the passenger vehicle segments.
So, that

is what we're looking at on this front from the particular quarter in this year we have this Quarter 3 we have won Rs. 1,100 crores from the vehicle access space out of 40% are replacement and about 60% are from the new business per se a nd these are a gain from the marquee customers and not from startups.
Radha: Sir, actually, I just wante d to understand the order book i n smart locks for 2-wheeler s and 4-wheeler s only the smart locks?
Aakash Minda: So, ma'am we'll come back in terms of the details in te rms of smart lock because there are multiple components that go in a system in a smart access where smart lock is only one part of it which is the locking system t hen there are other electronics part of it.
So, yes, we w ill come back to you in detail w hen we look at it, when we speak about what we have presented in our presentation there is multiple orders and not just one order for this particular technology.
Radha: Sir secondly wanted to understand these 2-wheeler EVs like Ola, so they are also using sma rt lock. So , would you tell us who is supplying smart locks to them, a re we present there?
Aakash Minda: Ma'am we are under NDA, but yes we do t o various customers in EV.
Radha: Yes, sir you have customers in EV, but are we also supplying to Ola?
Aakash Minda: Ma'am we are under an NDA, but as we mentioned earlier in our calls we have one businesses from Ola in this space.
Radha: Sir, last question in this quarter what percentage of your revenues is coming for smart locks?

Aakash Minda: Ma'am, this is als o given in our presentation about 25% of our group revenue comes from the vehicle access space o r lock or vehicle lockset space.
Moderator: Thank you. As there are no further questions, I will now hand the conference or to the management for closing commen ts.
Aakash Minda: Sure. Thank you very much. I would like to conclude by saying that with an unwavering commitment to quality, customer centric approach and a steadfast dedication to innovation, Minda Corporation aspires to position itself as a leading pla yer in the automotive component sector.
Our focus extends beyond business success. We are delighted and we are dedicated t o fostering

growth opportunities for our employees, delivering profitable returns to our investors and making a meaningful contributi on to th e communities where we operate b y focusing on growing ahead of the industry, b y focusing on our internal operations and increasing our profitability, increasing higher ROC E margins as well as most importantly t he right capital allocation. So, we thank you so much for your patient hearing and your questions.

Moderator: Thank you very much. On behalf of Nuvama Research that concludes this conference. Thank you for joining us. You may now disconnect your lines. Thank you.

Call: May 2024

May 2 9, 2024

The Officer -In-Charge (Listing)
Listing Department
National Stock Exchange of India Ltd.,
Exchange Plaza, Bandra Kurla Complex,
Bandra (East),
Mumbai - 400 051
Symbol: MINDACORP Head - Listing Operations,
BSE Limited,
P.J. Towers, Dalal Stree t, Fort,
Mumbai – 400 001
Scrip Code: 538962

Ref: Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015

Subject: Transcription of Conference Call with Investors/Analysts held on 22nd May 202 4

Dear Sir/Madam,

Please find attached herewith transcription of Conference call wit h Investors/Analysts held on May 22, 202 4. Kindly take the same on record and acknowledge.

Kindly let us know if any other informat ion is required in this regard.

Thanking you

Yours faithful ly,

For Minda Corporation Limited

Pardeep Mann
Company Secretary
Membership No. A13371

"Minda Corporation Limited
Q4 FY '2 4 Earnings Conference Cal l"
May 22, 202 4

MANAGEMENT : MR. AAKASH MINDA – EXECUTIVE DIRECTOR

MR. SAMEER SHARMA -- GROUP HEAD, STRATEGY AND M&A

MR. VINOD RAHEJA – GROUP CFO

MR. NITESH JAIN -- LEAD INVESTOR RELATIONS

Moderator: Ladies and gentlemen, good day, and welcome to Minda Corporation Q4 FY24 Earnings Conference Call hosted by Elara Securities. As a reminder, all participant lines will be in the listen -only mode, and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.
I now hand the conference over to Mr. Jay Kale from Elara Securities. Thank you, and over to you, sir.
Jay Kale: Yes. Thank you, and good evening, everyone. I welcome you all to the Q4 FY24 earnings conference call of Minda Corporation. We have wit h us today with the management, Mr. Aakash Minda, Executive Director; Mr. Vinod Raheja, Group CFO; Mr. Sameer Sharma, Group Head, Strategy and M&A; Mr. Nitesh Jain, Lead Investor Relations.
Thank you, management team, for letting us host this call. And I' d now like to hand over the call to Mr. Aakash Minda for his opening remarks.
Aakash Minda: Thank you so much, Jay and Elara Capital for organizing this call. Good evening, everyone. Welcome to Q4 and FY24 Earnings Conference Call for Minda Corporation Lim ited. I hope everyone is in good health. The Indian economy has shown a remarkable resilience and global challenges, achieving a growth rate of about 8% in CY23.
India has been recognized as a fastest growing major economy underscored by strong demand across various industries. In FY24, the automotive industry saw a robust growth across various vehicle segments. The positive trend was fuelled by strong festive sale s, improved customer sentiment and launch of various new products. However, the Tractor and Commercial Vehicles segment saw slower growth due to various economic factors. Despite these challenges, we remain optimistic about the industry's trajectory and we are well positioned to seize the emerging opportunities at Minda Corporation.
Reflecting on the growth and progress of FY2023 -24, I am pleased to share that our company has delivered a robust performance during the year. Coming to the financial performan ce of Q4 FY24 , Minda Corporation delivered highest ever revenue of INR 1,215 crores, up by 13.1% year-on-year.
During FY2023 -24, Minda Corporation delivered highest ever revenue of INR 4,650 crores marking a growth of 8.2% year -on-year. The domestic OE bu siness grew by 15% compared to the industry growth of 8%, though it was partially offset by subdued export demand, flat aftermarket sales, delay in SOPs due to customer approvals and electric vehicle customers launch and slowdown in ASEAN markets.
Moving on to the profitability. We are pleased to report that the company has delivered highest ever EBITDA of INR 139 crores for Q4, marking a growth of 18.5% year -on-year with EBITDA margin of 11.4% for the quarter. For FY24 , the company has delivered highest -ever EBITDA of

INR 514 crores, marking a growth of 11.5% year -on-year with EBITDA margin of 11.1% for the full year.
Profit before tax stood at INR 308 crores with a margin of 6.6%. The normalized PAT for the year was INR 227 crores translating to a margin of about 5%. This was partially impacted by increased finance cost and depreciation due to capacity expansions and technology upgrade and investments, which are essential to fuel the future growth of Minda Corporation.
In alignment with our commitment to reward our shareholders, the Board of Directors have declared a final dividend of 45% on the base value. This brings the total dividend for the year to 70% equating to INR 1.40 per equity share.
Now I would like to take you through the key developments d uring Q4 and FY24 . For the full fiscal year, our order wins exceeded m

ore than INR 10,000 crores lifetime orders compared to
INR 8,000 crores in previous year with over 30% attributed to electric vehicle platforms across new and existing product lines.
To meet the growing demand, we are proactively enhancing capabilities and capacities for all our product domains such as vehicle access, electric vehicle products, driver information systems, die casting parts, electrical distribution systems and new technol ogies. We have entered into 2 strategic technology partnerships during the year. One is with HCMF for automotive sunroof and closure systems and the other is with a global Japanese player for manufacturing of smart vehicle access systems.
These partnershi ps enhance our technology capabilities and reinforce our position as a

comprehensive mobility solution provider. In line with our customer -centric approach, we inaugurated a new smart key facility in Vietnam, strategically positioned to serve our customers in the ASEAN region for the midterm and long term.

During the year, the company also filed 26 new patents, bringing our total number of patents to over 270. Additionally, we were granted 69 patents this year across various business verticals, the highest ever in an annual year in our history.

Looking forward, our strategic focus will continue to cultivate new customer relationships, expanding market share among existing customers and premiumization of our products. We will prioritize technology advanceme nts through cutting -edge in -house R&D initiatives and global strategic partnerships and alliances.

I will now walk you through the presentation, which outlines the key highlights of our performance for the quarter and for the full year. I now request you to please refer to the presentation, which is already uploaded online.

We refer to page number 4, which shares a snapshot about the Minda Corporation Limited, where we are in present into 5 vehicle domains, our key customers across geographies. We have more than 26 manufacturing facilities and 2 facilities in ASEAN region, more than 17,000 workforce and more than 11 partnerships.

Our R&D capabilities expand to more than 700 engineers across. As a summary on the right, for the full year FY 24, our revenue stands at INR 4,651 crores, EBITDA at INR 514 crores and margin for the full year is at 11.1%. Normalized PAT is at about INR 227 crores and margin is about 5%.

I now move to slide number 6, which is about Q4 FY24 financial and other highlights. Sharing about the Indian automotive industry performance for the quarter and for the full year , the industry in Q4 on year-on-year basis grew by about 19%, where 2 -wheelers grew by about 26%, PV grew by about 10%, 3 -wheeler s grew by about 8%, but commercial vehicle and tractors degrew. On a full year basis, the industry grew by about 8%. 2 -wheelers grew by about 10%. PV grew by about 7% and 3 -wheelers by about 16% and tractor degrew.

Moving to the next slide of marking the highlights of Q4 and FY24 performance. On the left side, are some of the highlights for Q4. As I mentioned again, Minda Corporation delivered highest quarterly revenue of INR 1,215 crores, which grew by 13.1% year -on-year. We delivered highest -ever quarter ly EBITDA of INR 139 crores with EBITDA margin of 11.4%, with a growth of 52 basis points year -on-year.

During the quarter, lifetime order book was booked at INR 2,000 crores where exports and EV constituted to more than 30%. Net debt decreased by INR 235 crores, lowering the net debt ratio to 0.08x from 0.25 x, enhanced the production capabilities and capacities at various divisions across the globe.

For the full year, revenue growth at 8.2% year -on-year despite challenging macroeconomic scenarios. We del ivered highest ever EBITDA at 11.1%, total lifetime order book exceeded INR 10,000 crores with EV constituting to

more than 30% during the full year, forged 2 new strategic
partnerships and filed more than 26 patents totalling to 270 for the full year.

Moving to slide number 8, which again is a graphical representation of the financial numbers, again, on the quarter. So , on a quarter -on-quarter basis, we grew from INR 1,166 crores to INR 1,215 crores. On EBITDA, we grew from INR 130 crores to INR139 crores. And at PAT level, we grew from INR 52 crores to INR 71 crores. And at the full year basis, we have grown from INR 4,300 crores to INR 4,651 crores. And at EBITDA, we have grown from INR 461 crores to INR 514 crores. And at PAT, we have grown by 4% from INR 219 crores to INR 227 crores, marking at appx 5%.

Moving to the next slide, slide number 9, which shows a tabular representation of our quarter and our full year numbers on year-on-year and quarter -on-quarter basis. Briefly, moving forward. O perating revenue is at about INR 1,215 crores, grew 13.1% year -on-year and 4.2% quarter -on-quarter. EBITDA margin grew by 18.5% from INR 117 crores to INR 139 crores and on a quarter -on-quarter basis grew by 6.7%. PBT grew from INR 69 crores to INR 92 crores; and on a quarter basis, INR 76 crores to INR 92 crores. And normalized PAT grew from INR52 crores on quarter -on-quarter basis to INR 71 crores.

On a full year basis, which is on the extreme right, we have grown by 8.2% from INR 4,300 crores to INR 4,651 crores. EBITDA margin from 10.7% at an annual basis to 11.1% on an

annual basis, with 33 bps increase. And PBT has grown from INR 298 crores to INR 308 crores,

marking 3.4% growth. In summary, in Q4, on the domestic plant, Minda Corp grew by 20% led by strong industry growth, however, was partially offset by subdued exports and demand in ASEAN markets.
Moving to the next slide, Slide number 10, which shows the full year consolidated leverage position. Our net worth has increased from INR 1,591 cr ores to INR 1,981 crores. Long -term borrowing has gone down from INR 235 crores to INR 203 crores. Short -term borrowing has also almost halved from INR 318 crores to INR 145 crores. Gross debt, as an overall, has come down and cash and cash equivalents have gone up from INR 162 crores to INR 192 crores, and net debt to net worth has come from 0.25x to 0.08x. And ROCE has almost been at 21% to 20%. India Ratings have incre ased our rating outlook to positive and working capital limited limits have also increased from stable to positive IND A1 plus. Moving to the next slide. On the vertical -wise business performance. On the top left is the Mechatronics and Aftermarket divisio n, which has grown from INR 535 crores to INR 590 crores, which is 10% year -on-year increase. In the Information & Connected Systems, it has grown from INR 540 crores to INR 625 crores, which marks at 16% increase. On the annual basis, the Mechatronics di vision has grown by 9% and the Information & Connected Systems has grown by 7%.
The Mechatronics division has strong demand in 2 -wheelers and the PV segment due to premiumization of existing and new products. However, subdued due to exports and aftermarke t. In the Information & Connected Systems, the revenue grew by 16% but had challenges when it came to the ASEAN market as there is delay in some customer approvals of the SOPs. Our focus has been on how we can localize components coming to various parts of the organization.
Moving to slide number 12, which shows the trend chart of the key financial metrics. Over the past 4 years, Minda Corporation has registered a revenue CAGR of 25.2%, underscoring our dedication for consistent growth and sustainable growth. So over the past 4 years, we have gone from INR 2,368 crores to INR 4,651 crores.
EBITDA margin on a full year basis has grown from 9.2% to 11.1%, and ROCE has increased from 12% to about 20% to 21%. Net debt t

o EBITDA has even further improved from FY23 to
FY24 to 0.3x. Fixed asset turnover at a group level is about 5.3x and working capital turnover is about 5.3x as well.
Moving to the next slide of Slide number 13, which shows our diversified revenue model by geography, by end market and by products. By geography, India continues to be the ma jor market, which is about 87%. Exports to Europe and North America continue to be about 8%, and our ASEAN countries dependence has come down due to the slower growth in the ASEAN market from 8% to 5%.
By end market, we continue to be leading by 2 - and 3 -wheeler revenue by about 47%. Passenger vehicles continue to be about 15%. Aftermarket continues to be about 11% to 12% and commercial vehicles, including off -road and off -highway tractors at about 25% to 28%. By products, wiring harness at the group level continues to be about at 30%. Vehicle access products

and lockset at about 25% and die casting division about 15% to 16%, instrument cluster about 15% and other new products and technologies to be about 15% to 16% as well.
Moving on to the strategic pill ars of growth on slide number 15. Our focus is our enhancing the core in our 5 key product domains, invest in innovation and technology through in -house R&D as well as partnerships with global players, invest and grow in electric vehicle growth opportunity . All of our Minda Corporation products are EV agnostic and of course, strengthening the passenger vehicle offerings. This will lead to complete solution provider for OEMs.
We are focusing on cost leadership in manufacturing and thought leadership in tech nology. Premiumization and product innovation across business segments and increasing content per vehicle and delivering better than industry growth and improve continuous margin continuously improve margin profile.
Moving on to the slide 16, which shares about the engineering capabilities of our group. We have more than 700 engin eer headcount , more than 270 patents. From last year onwards, we are spending now about 3% into R&D of our top line for new product and innovation. We have more than 11 engineerin g and R&D centres and focusing on our engineering capabilities in the areas of testing, validation, electronics, embedded software and other technologies.
Moving on to the next slide, which is Slide number 17, shows how our products of Minda Corporation a re growing in terms of content per vehicle, quick value, premiumization, annual selling price and how Minda Corporation is offering system solutions going forward.
First, a vehicle access or a lockset company, we have moved on to a veh icle access company into smart and intelligent comfort and convenience vehicle access. Second , from a wiring harness and connector company, we are moving into an electrical distribution company, which

completes all the factors of electrical distribution in a vehic le.
Third , is from a cluster company towards connected and safe mobility driver information company. Fourth , is on the light weighting and plastic parts in terms of how we can improve the efficiency for the vehicles when it comes to electric vehicle mobilit y, and last not the least is the electric vehicle as well as the other electronic product lines.
Moving on to the slide number 18 shows our product offering, the presentation in a 2 -wheeler where all of the Minda Corporation products are engine -agnostic. So it does not depend on the source of power. All of the Minda Corporation products are going to become premium as an increased annual selling price when the EV comes in.
Below shows our continuously adding new customers in the EV based platform all across the world. On the potential kit value, our current offering in the 2 -wheeler space is about 4,000 to 4,500, with the increase in vehicle access products is only going to give u

s more than INR 2,000
to INR 3,000.
Increase in wiring harness and instrument cluster business should give us about INR2,500. And new pro duct innovations in terms of EV is going to INR 8,000 to INR 10,000 and other products

under development at about INR 6,000 to INR 7,000. And the total kit value offered in a 2 - wheeler mass production segment should be about INR 22,000 to INR 27,000.
Moving forward, I will quickly move to the group profile, where i t shows about the Board of Directors of Minda Corporation, marking the strong governance. Next slide shows about the leadership team, which is driving and striving for growth across Minda Corporation. And next slide is on the number of partnerships that Mi nda Corporation has forged in the past few quarters and past few years.
Moving on to the last slide of the presentation, which is on the ESG, CSR and awards. Minda Corporation continues to focus on the sustainable growth, marking the sustainable mobility all across our plants. We are focusing on 5 key areas of sustainable operations, care for people, ethical businesses, inclusive growth and responsible value chain and the details are as under.
We also continuously keep participating and putting up camps across India and overseas for our corporate social responsibilities in the areas of limb fitment, vocational training, education and women hygiene. Moving to the last slide, which is showing the awards and achievements given by our customers -- prestigious customers to Minda Corporation across businesses and across product lines for various types of awards in innovation, in cost reduction, in technology, in operational excellence and management support.
With this, I would like to conclude our presentation and open the floor for any and all questions.
Thank you.
Moderator: The first question is from the line of Raghunandhan from Nuvama Research.
Raghunandhan: Congratulations, Aakash Sir and team, on a strong set of numbers. Just a clarification, sir, before my queries. In the presentation, net debt is shown as INR 156 crores. This would be without factoring the cash and cash equivalent, which is the current investment of INR 291 crores. If we factor that, then we are a net cash company. Would that understandi ng be correct?
Aakash Minda: Yes. I will ask our CFO to answer this question, please.
Vinod Raheja: Yes, that understanding is correct that the net debt of INR 156 crores does not consider the investments of INR 291 crores in mutual funds.
Raghunandhan: So coming to my first question, strong revenue performance was there despite a couple of limiting factors that you mentioned. On overseas demand on aftermarket segment, how do you see the outlook ahead? You also indicated order wins in overseas? Also on cert ain SOPs that have got delayed, can you indicate any colour on what product category? And when do you see them commencing execution?
Aakash Minda: Yes. So your first question on the aftermarket front, definitely, we have been hearing and seeing an industry -wide slowdown. However, for the upcoming year, we are optimistic and with our various new initiatives that we are taking to grow the aftermarket division not only in India, but overseas, we should see some blue ocean strategies coming out of this segment.

When it comes to the delay in SOPs, we have seen that various customers, particularly to our EV customers, which are new age OEMs have, in many cases, not got approval from the ARAI or government authorities, which is marking delays for our start -up prod uction. And in many cases, in this respect, also, there are customer approval delays for our testing validation because their end products have also been further delayed.
Raghunandhan: And the export/overseas, how do you see the outlook for FY25?

Aakash Mi

nda: So overseas market, where we are present, particularly in the ASEAN, we do not see a growth in this year as the industry itself is down. So that is where we still continue to face challenges. And while other companies also who have presence there, we have also seen that particularly on the export side, due to the 51% of the world is going through a re -election this year. And of course, there are various geopolitical concerns, so we are cautious to be very honest for the exports for the full year in FY2 5.

Raghunandhan: On sunroof, can you indicate any incremental details on product readiness, orders, capacity or investment, anything you are planning to announce this year?

Aakash Minda: Yes. So we are going to be investing into a greenfield facility for o ur joint venture. And this will cater to the new product lines, like you have now mentioned. We are under discussion with various customers from all over India, again, all 4 -wheeler OEMs to launch this product. We have been working on a couple of RFQs.

So yes, we are in the phase of closing some of the businesses and setting up something within the, let's say, Q2 or Q3 of this financial year.

Raghunandhan: Got it, sir. Wishing you all the best on that. You also spoke about localization of wiring harness. If you can indicate the steps of the progress and also reiterate the targets you have over the next 2 years, also the benefits on cost side.

Aakash Minda: Yes. So as our commitment, we have always shared that we are focusing on localization of the connector s and the components, not the wiring harness. So when it comes to the connectors, we have now been able to localize about 15% of our connectors within Minda. And further, we continue to look at growing this buy from the connectors coming out of Minda Corpo ration Tractor division. So as we've already committed, this chart will grow with more and more approvals from customers coming in, in the next few quarters.

Moderator: The next question is from the line of Pranay Chatterjee from Berman Capital.

Pranay Cha tterjee: So first few data questions. For the domestic 2 -wheeler sector, would there be a range of number for the growth that you are building in FY25, if yes, if you could share that? And for your lockset revenues, which is 25% of your revenue or around INR 1,100 crores for the year, how much of this would be coming from domestic two -wheelers? And how much of this INR 1,100 crores is actually smart lock systems?

Aakash Minda: Okay. So multiple questions, I'll take one by one. So out of the INR 1,100 crores or INR 1,200 crores of our lockset division per se, about -- I would say, about INR 870 odd crores come from

domestic and the remaining is coming from exports. From the 2 -wheeler side, you asked for the smart key revenue. So the smart key revenue is somewhere to the tune of about, INR 130 crores to INR 140 crores.

Pranay Chatterjee: This is entirely domestic revenues?

Aakash Minda: No, this is including exports as well.

Pranay Chatterjee: Okay. How much of the domestic part of this, if pos sible?

Aakash Minda: Sorry, that's a little confidential. So if you don't mind .

Pranay Chatterjee: No problem. And if you could just comment on if you guys are cancelling in specific growth rates for the 2 -wheeler sector in India for FY25?

Aakash Minda: So as what we are seeing, the industry should be somewhere about -- at least about 10% to 15% growth for the full year, particularly speaking about 2 -wheeler per se. That is why customers have been giving us a 12 -month forecast, so to say. We are again fully geared up and fully ready to outperform this number in terms of the order wins that we have had on account of various product lines across customers and across segments of 2 -wheeler.

Pranay Chatterjee: Got it, sir. In India, so this is what you just said, would it be a

fair statement to say that the penetration of smart keys or smart locks in Indian 2 -wheelers is actually quite low or probably single digits today. And first of all is that right thing to say, is there any reason why we should believe that, that number should materially increase in future?

Aakash Minda: Yes. So currently, we believe for the numbers that we have, currently, the penetration of smart keys into the 2 -wheeler is somewhere about only 3% to 5%. And why this is expected to increase is simply because of the comfort and convenience factor. Now we have various order wins as well as from all customers across India and overseas. And there is a clear trend that this is a comfort convenience feature where all these 2 -wheeler bikes or scooter s are adapting.

And there are, again, various and probably many customers which have this product line, whether ICE or EV 2 -wheeler segments from that top end model and this is going to come down to the mass commuter segment in the next years to come. So definitely, the penetration is going to happen once we reach the economies of scale and once the customers start adapting more and more of the comforts in near future.

Pranay Chatterjee: Got it. Sir, One last question. Regarding your lockset division. I'm specifically referring to the mechanical ones, which used to be primarily what you supplied, let's say, 3 years, 4 years back. Is it possible for you to signal out , how much could be the steady state EBITDA margin in mechanical lockset business? And when y ou keep getting into incrementally smart system, how that margins get affected?
Aakash Minda: So sorry, I will not be able to share the EBITDA margin numbers per segment. I'm sure you understand the reason. But all I can say is that they are in double digi ts. And when the smart keys are coming in, that is where we expect to further increase because the content per products

and content per vehicle also grows up. So for example, as the traditional lockset is to the tune of INR 400, this makes the per product to about, let's say, average INR 2,000 to INR 3,000. And of course, there are multiple components and multiple factors into it. So yes, that is why the reason is of the profile should go up.
Moderator: The next question is from the line of Nishant from Ela ra Capital.
Nishant: Sir, firstly, on the order book, you mentioned that we had an order book around INR 10,000 crores. So could you just help us understand, I mean, say, what period are we looking conversion of these orders into revenue?
Aakash Minda: So Nishant typically in the auto industry, when we speak about the lifetime orders, they are about to the range of about 4 to 5 years life time. And typically, when we win the orders, the start -up production happens about 18 to 24 months after of winning the order. And typically, in that, the peak year is somewhere about 2 years or, let's say, 2 years after the SOP.
So once you win an order, let's say, about 3 years from then, you get deep peak value and lifetime is again divided into 2 areas. So let's say, 5 0% is replacement business and 50% is new business. So replacement business is, let's say, very important for us in order to continue our sales, and the growth will come from the additional new businesses for the new platforms and the new technology produc ts that customers keep launching throughout the year across segments.
Nishant: Understood. Secondly, on the electric 2 -wheeler side, could you just help us understand, I mean, what is your reading of the current market situation with subsidies being reduce d and the OEMs are launching more affordable variants. So does that in any way answer the premiumization story of entire 2 -wheeler space, especially the electric 2 -wheeler front?
Aakash Minda: Yes. So if you see for the full year, last year, somewhere abou t 930,000 electric vehicl

e -- EV
2-wheelers were sold. So that's a big number compared to the FY22. So definitely, in the long run, the electric vehicle 2 -wheelers are going to definitely take the larger part of the interaction. I personally believe that c urrently, the EV industry is at the bottom part of the S curve.
So it is probably going to flatten out soon where we are seeing globally that the 4 -wheeler customers globally have kind of halted their investments and other such things. And in future, it is bound to pick up. So coming to India, yes, 2 -wheeler is definitely going to be going into EV. But our expectation is by 2030, let's say, somewhere it should be to the tune of about 30 -odd percent.
Nishant: And secondly on that, I mean, more and more OEMs trying to launch affordable variants of the electric vehicles. So does that I mean, do they have to compromise on the premium features or anything of that sort? Or if you can give some flavour on that.
Aakash Minda: So I believe that the customers will al ways need multiple products and multiple models. So they will have to keep coming out and offering multiple platforms, so to say. I see in any of the OEMs and customers right now, they are all having many, many models in each variant. So moving forward, of course, all customers are going to try and expand the product portfolio once the overall market and the volume increases.

So since the current volumes are very low, it probably also does not justify for customers also to come up and launch new models. So regarding premiumization, when all sorts of high -end and mass models are going to be getting EV, they are going to adapt the new and new features coming out of the 2 -wheeler because now the world has seen the new technology products, which is definitely b ound to come to the mass segments as well, irrespective of EV and ICE vehicles.
Moderator: The next question is from the line of Shridhar Kallani from Axis Securities Limited.
Shridhar Kallani: Congratulations on the good set of numbers. Sir, my first quer y is on the order book side. So firstly, I would like to understand that a lot of companies like Bajaj, Hero, and TVS also, they'll be coming up with multiple launches over the next 2 to 3 quarters, and Bajaj has also launched its 400 cc motorcycle, Bajaj Pulsar; and Hero is also there in 125cc. TVS will also be coming

out with a range of EV -related scooters. So could you just help us understand in which products we are existing currently?
Aakash Minda: So is your question regarding the product premiumization across customers? If you can clarify questions , please.
Shridhar Kallani: So the launches that these companies have made and will be making in the next 2 to 3 quarters. Just wanted to understand how mu ch are we present in those models?
Aakash Minda: Yes. So again, I will not say we are present in all models. So definitely, when we are winning businesses, we have to see and what we obviously track is the number of models and platforms that each customers are launching, whether it's a premium bike or whether it's a mass commuter bike.
So as an organization, we completely track the model mapping and what part of products are with that. So , to answer your question, our premium products in terms of the TFT c lusters or keyless solutions or various sensors, et c, are already there in many of these customers' new models, which were launched before or are currently going to be launched. So in that case, our products are simply horizontally deployed to their new la unches as well. So that is how we are present either from before or from the new model launches, whether from high -end or from low -end segments.
Shridhar Kallani: Okay. And, sir, my second question is, I just wanted to have a little bit more clarity on the profit that we had on pricol instead of accounting it in P&L, we have ac

counted it in OCI. So I believe that we have already realized these gains. So just wanted to understand the accounting over here?
Aakash Minda: Okay. So I'll ask Vinod to please take up this question.
Vinod Raheja: Yes. See, as per the IND AS, at the time of acquisition of an investment, one has to make a choice that whether the gains or losses are to be routed through P&L or through other comprehensive income. When we had acquired thi s investment in February 2023, at that time itself, being a financial investment, we had chosen the option of routing the gains and losses through other comprehensive income and consistently quarter -on-quarter basis, we have been doing this.

On a net -net basis, we realized a gain of about some INR 237 crores on a gross basis and net of tax about INR 197 crores in a period of about 11 months or so.
Moderator: The next follow -up question is from the line Raghunandhan from Nuvama Research.
Raghunandhan: Sir, on the order wins of INR 10,000 crores plus during the year, can you provide some details how much would be the share of new and replacement orders? And also, how would you break it up between Mechatronics and ICS divisions?
Aakash Minda : Yes. So typically, it's about 50 -50, Raghu, where, again, 50% of this is replacement businesses and 50% of this is by new businesses. But that is how it is. And it is spread across all segments.
So the 5 product lines that we have, it is, again, into the vehicle access space.
The second comes from the die casting area. The third biggest aspect is the wiring harness division, across the cluster division per se. And the last, not the least, we are seeing the biggest amount is from the exports and the EV pl atforms of this area.
Raghunandhan: Got it. Sir, on the R&D spend, the focus is increasing, and if you can highlight a little bit about the efforts in terms of new products, which would be the key segments you look to, where you want to strengthen the port folio?
Aakash Minda: Yes. So we have been typically spending about 1% to 2% of our top line into R&D in the past few years. But in the last year, we have topped it up to the tune of about 2% to 3%. And from this year onwards, we are further bumping it up t o about 3% to 4% for the full year. So typically, our areas of our focus is our 5 key product domains, which is into the vehicle access , second is into the electrical distribution system , third is into the driver information system , fourth is into the lig ht weighting and fifth is into the electronics and electric vehicle mobility. These are our 5 key areas.
Our objective is that how to cannibalize our own products and with the mega trends of case and lace or pace , we would like to make our products more p ersonalized, comfort, convenience, more and more electronification, more and more electrification and more and more individualization is going to happen into these products.
So how we can offer these kind of products to our end customers? So we have a ty pical spend for each of these divisions on how we can move into a system solution offering and then a multisystem solution offering from the current or the previous compiled solution offering.
So now if you see the more and more software is going to be co ming in and now we have more than 700 engineers focusing on the engineering aspect across the group, which are not only for the product development or the existing orders, but for the new and advanced technologies, which are innovating or inventing, if I m ay say, for the first time, not only in India, but for the first time in the world as well. And so this is how we are investing further and further into our

R&D centre into coming up and launching the new products, which are core to Minda Corporation.

Ragh unandhan: An

d sir, a follow -up on the smart keys, what you indicated earlier that smart keysgiven the higher realization and there is also a good profitability at double -digit margin. So just one clarification. Compared to the mechanical locksets, would smart keys, would they have a similar margin? Or would the margin be better given that smart keys a re a more value -added product? There will be lesser competition here and you would be in a position to have better profitability.
Aakash Minda: So yes, as I mentioned earlier, Raghu, the profitability is better from the current mechanical locksets. Again, for the reasons primarily as we are the only company in India to have this with the mass expertise homologated in more than 65 countries and exporting as well as in the domestic market. We have invested huge in terms of this particular product line and our core. And definitely with more and more components and more and more software and more and more system offering to the customers, it gives us a higher or a better margin profile.
Raghunandhan: Got it, sir. And on the smart keys side, how would be your mar ket share? I mean, in comparison to the 40% market share that you would have on the mechanical locksets, would the smart key share would be as high as 80% or higher?
Aakash Minda: Yes, you are right. I could even say a little bit higher as well because we are the first movers in this technology and not from now, for the last 2 to 3 years. And we continue to have the leadership position when it comes to this technology across ICE and EV products and platforms and customers. So our customers are from new age as well as existing large customers in India and overseas.
Raghunandhan: Got it, sir. And with reference to clusters, within that, how much would be the share of digital? And how do you see the share going up in the future?
Aakash Minda: Yes. So we classif ied the clusters into 3 baskets. One is mechanical, digital and then is TFT based. So again, I would not be able to share the 3 buckets per se, because they are then further classified into 2 -wheelers and other vehicle segments. But currently, mechanical a nd electromechanical is the large part of it or a majority part of it and TFTs are small just because of the cost per se, to the end consumer.
But yes, eventually, the TFT clusters are going to be leading the product segment because you can see them acros s customers. In 4 -wheelers, we are already supplying that to various customers and in 2 -wheelers, also, we are applying to Indian OEMs as well as exporting our TFT clusters from India across the world. So this is, again, a comfort, convenience and a premiu m factor that is going to come into the 2 -wheelers, and again, having multiple advanced technologies like touch or infotainment or other connectivity into the cluster.
Raghunandhan: Sir, the other segment, which we have that others would roughly be around INR 700 crores revenue for full year FY24. Within that 2 main parts are sensors and EV specific parts. Could roughly sensor revenue be around INR 200 crores and EV parts around INR 100 crores? If you can give some approximate numbers?
Aakash Minda: Yes. So they are in those lines. And plus, of course, we have our Interior Plastics division. So that is also, again, in the similar about INR 150 crores range as well. So yes, and there are other product lines, for example, the antenna business, which we are now in the startup phase, for

example, and there are other electronic components such as the telematics, our intelligent transportation system, et c, that constitute to the others basket.
The next question is from the line of Jay from Elara Securities Private Limited.
Jay: Sir, one of my questions is basically, if you see our order book for Q4 FY24, you mentioned INR 2,000 -odd crores. And out of that, that's very encouraging, the 30% is exp

ort. And at the
same time, you mentioned that the near -term outlook for exports, at least in FY25, still seems to be muted. So if you can just throw some light when these orders will start getting executed and should we see a huge bump up in maybe FY26, irrespective of the market being weak, maybe because of new orders started to getting executed? So if you can just throw some light on the timelines of these SOPs starting.
Aakash Minda: Yes. Sorry, and thanks for pointing out that. And we apologize, that's a typo error. It is not 30% exports; it is 30% EV. So please pardon and apologies for that. So but to answer your question, when it comes to the exports, yes, this year has been lower than last year. I would not even say muted, and this is one of the biggest reasons why our overall growth has been impacted.

So our overall ex ports is down by about 14% for the full year basis and primarily due to the global scenarios whether we are exporting various products to Ukraine and Russia region, that is a very significant part of it. Others in terms of the 2 -wheeler exports, our custom ers are facing a downtrend. So those are the factors which are not in our hands and further moving in terms of the other product lines in terms of die casting and other assets. Again, there is a shift between the ICE and EV in fact. So the customers there are also seeing a global downtrend when it comes to America and Europe.

On their side, we have a strong order book, which we continue to acquire businesses in ICE and more importantly, the EV aspects across business segments. So in FY25, also, we believe that this exports should be muted, if not below. But yes, in FY26 with the order book that we continue to have, this will definitely go higher.

Jay: Understood. And also, if I see your revenues by products, of course, instrument cluster has been stuck from 14% to 15% this year. And one would assume that the incremental orders translating into revenues will only accelerate from FY25 going forward. Is that a fair assumption? And should one think about this being one of the highest growing segments over the ne xt 1 or 2 years? And also because the share of exports within this segment is much lower. So that also helps in terms of overall growth rate versus the other products.

Aakash Minda: Sorry, which segment did you mention?

Jay: Instrument clusters.

Aakash Minda: Instrument clusters. Yes. So again, instrument clusters, there are a couple of factors when it comes to the instrument clusters. Now we have a market leadership position in various segments, such as road and tractors as well as 2 -wheelers. Now as a future growth, we are moving one into the premiumization of the products from a mechanical to TFT -based cluster, number one.

Number two, in line with our commitment to grow into the more and more 4 -wheeler or passenger vehicle space, we have started getti ng orders as well as next few quarters, there will be a ramp -up of production for our 4 -wheeler TFT, instrument cluster businesses in that space. And we continue to export the instrument clusters overseas as well. So there are multiple factors when it come s to the growth of the instrument cluster business. One is, again, exports. Second is the premiumization of the product line. Third is, of course, more cross -selling and winning more market share across customers.

Jay: Understood. Just a couple of question s more from my side. One is if you can just throw some light on the capex of FY25. And on the wiring harness business, how should one think about EV orders in the wiring harness, where are we in that curve? Any wins over there?

Aakash Minda: So on the wiring harness, EV front, again, it's to the tune of about 30%, similar to that line like at the group level. So this is, again, across segments, primarily in the 2 -wheelers as well as the non-tractor se

gments per se, which is where we are getting orders in the EV space. Sorry, what was the first question, please?

Jay: Capex for FY25?

Aakash Minda: Yes. So for the capex of FY25, typically, we spend about 5% of our revenue into the capex per year. And for the next year as well, it is going to be in t he similar lines. So again, we are focusing on 3 areas. One is, again, in the tune of about 2% to 3% on the regular and replacement capex , about the full capex is somewhere about INR 170 crores to INR 200 crores on the capacity expansion when it comes to the production as well as the more capacity is land is also what we are planning to invest as well as in the capex front on the engineering is something that we are now looking to invest to the tune of the full capex of about 1.5% to 1%, 1.5% on that fron t.

The next question is from the line of Radha Agarwal from B&K Securities.

Radha Agarwal: I wanted to understand what is the order book in terms of smart locks in hand as on date? And what is the execution timeline you have for that?

Aakash Minda: So ma'a m, I will not be able to share the exact number of the smart key business that we have because this ranges again, largely from the 2 -wheeler segment, and now we are further getting into the 4 -wheeler smart vehicle access businesses. Further, there are multiple components. So the customer can source as a product or as a component as well. So this is why I will not be able to give you an exact detail on that number. But in the terms of the 2 -wheeler penetration of the smart key is somewhere about 2% to 5 %, and this is expected to grow up. Our target is that by FY2030, this penetration should be to the tune of about 20% plus in terms of the smart key solutions.

Radha Agarwal: Okay. So also from which plants are we manufacturing the smart keys in India. And I think outside, it's in Vietnam. So in India, which plants and the Pune plant, when is it expected to start?

Aakash Minda: Ma'am, the productions are already started 2 years ago. One is in Noida, and one is in Pune. So they're already manufacturing and e xporting for the last 2 to 3 years. And for the Vietnam, we have established a new line for our customers in ASEAN countries in this year.
Radha Agarwal: Sir, lastly, how much market share does Chinese have in smart keys in India?
Aakash Minda: I would pro bably say zero because it is a platform development and engineering development done with customers in India. And we are engaged with almost all customers in India and for this particular high -end technology where Chinese are not present.
Moderator: Ladies and gentlemen, we'll take this as the last question. I now hand the conference over to Mr. Jay Kale from Elara Securities Private Limited for closing comments.
Jay Kale: Thanks, team for the presentation and the insights on the call. Thank you, team membe rs for joining us. Thank you.
Moderator: Thank you. On behalf of Elara Securities Private Limited, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

Call: Aug 2024

August 14, 2024

The Officer -In-Charge (Listing)
Listing Department
National Stock Exchange of India Ltd.,
Exchange Plaza, Bandra Kurla Complex,
Bandra (East),
Mumbai - 400 051
Symbol: MINDACORP Head - Listing Operations,
BSE Limited,
P.J. Towers, Dalal St reet, Fort,
Mumbai – 400 001
Scrip Code: 538962

Ref: Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015

Subject: Transcription of Conference Call with Investors/Analysts held on 8th August 202 4

Dear Sir/Madam,

Please find attached herewith transcription of Conference call wit h Investors/Analysts held on August 08, 202 4. Kindly take the same on record and acknowledge.
Kindly let us know if any other informat ion is required in this regard.

Thanking you

Yours f aithfully,

For Minda Corporation Limited

Pardeep Mann
Company Secretary
Membership No. A13371

"Minda Corporation Limited
Q1 FY25 Earnings Conference Cal l"
August 08, 202 4

MANAGEMENT: MR. AAKASH MINDA – EXECUTIVE DIRECTOR FINANCE & STRATEGY

MR. VINOD RAHEJA – GROUP CFO

MR. SAMEER SHARMA – GROUP HEAD – STRATEGY & M&A

MR. NITESH JAIN – LEAD INVESTOR RELATIONS

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Moderator: Ladies and gentlemen, good day, and welcome to Minda Corporation Q1 FY25 Earnings Conference Call hosted by Nuvama Wealth Management. As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you n eed assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded. I now hand the conference over to Mr. Raghunandhan from Nuvama. Thank you, and over to you, sir.

Raghunandhan: Thank you, D ell. Good evening, ladies and gentlemen. On behalf of Nuvama Research, we welcome you all for Minda Corporation Q1 FY25 Earnings Call. We thank the management for providing us the opportunity. We have with us from the management team, Mr. Aakash Minda, Executive Director, Finance and Strategy; Mr. Vinod Raheja, Group CFO; Mr. Sam eer Sharma, Senior VP and Group Head Strategy Mr. Nitesh Jain, Lead Investor Relations.

May I remind you of the safe harbour that the manag ement may be making some forward - looking statements that have to be understood in conjunction with uncertainty and risk that the company faces. We'll start the call with opening remarks from the management, followed by a Q&A session.

Now I hand over the c all to Mr. Aakash Minda for his remarks. Over to you, Aakash , sir.

Aakash Minda: Good evening, everyone, ladies and gentlemen. Welcome to the Q1 FY25 Earnings Conference Call for Minda Corporation Limited. I hope everyone is in good health. I am pleased to connect with you on behalf of Minda Corporation.

In the first quarter FY25, the industry showcased growth across segments primarily driven by the 2 -wheeler and passenger vehicle sector on a year -on-year basis. However, the Commercial Vehicle remains subdued due to high base and also impacted by various factors like elevated vehicle costs and high channel inventory levels. The 2 -wheeler demand was particularly strong in the motorcycles segment, driven by continued focus on premiumization in the premium 2 - wheeler market.

In the passenger vehicle sector, utility vehicles outperformed cars, which is sedans and hatchbacks . The tractor segment shows signs of recovery and the expectations of the above average monsoon is likely to boost the demand in the second ha lf of the financial year.

Coming to the performance highlights of Minda Corporation. We would like to share that during the quarter, Minda Corporation maintained its growth momentum. The company's revenue from operations stood at INR 1,192 crores, marking an 11% year -on-year growth. The domestic OE business grew in line with the industry growth, though it was partially offset by subdued exports demand in the European and American markets, flat aftermarket sales and slowdown in the ASEAN countries.

Moving on to the profitability. We are pleased to report that the company has delivered an EBITDA of INR 132 crores for the first quarter, reflecting a 15% year-on-year growth, with an

EBITDA margin of 11.1%. Profit before tax stood at INR 84 crores with a margi n of 7%, up by 114 basis points year -on-year. Profit after tax was INR 64 crores, representing 42% year -on- year growth, translating a margin of 5.3%, an increase of 115 basis points year -on-year, attributed by operational improvement efficiency.

Now I wou ld like to take you through the key developments during the quarter. The company has executed a total lifetime order book of INR 2,100 crores, comprising 50% of new orders and 50% of replacement orders, demonstrating our balanced growth strategy and strong market demand. To meet the growing demand, we are proactively enhancing capabilities and capacities in manufacturing

and engineering for all our product domains such as vehicle access , EV products, driver information system , die casting parts, electrical distribution systems and new technologies.

The company has signed a joint venture with HCMF of Taiwan for automotive sunroof and closure systems. The collaboration enhanced our technological capabilities and reinforce our position as a leading provider of comprehensive mobility solutions. Our commitment to innovation was demonstrated by bringing the total no of patents 280, underscoring our continuous efforts to stay at the forefront of technological advancements in the auto sector through our Spark Minda Technical Center.

Looking ahead, our strategic priorities will include strengthening customer relationships, expanding our market share with existing and new clients and enhancing product premiumization through new product launches. We will place a strong emphasis on technological advancements driven by innovative in -house R&D initiatives and global strategic

partnerships and alliances.
I will now walk you through the presentation, which outlines the key highlights for Minda Corporation's performance for the Q1 FY25. I now refer to the earnings presentation uploaded online. I start from page number 2, which shares the Minda Corporation at a glance. Our group revenue last year was about INR 4,650 crores, EBITDA were about INR 515 crores, and we have 28 manufacturing plants, more than 17,000 workflows and spread over 5 product domains, which is vehicle access, electrical distribution system, light weighting and plastics , driver information a nd EV products. We have five joint ventures and four TLAs.
Moving on to the nex t slide on the industry automotive performance. The industry grew on a year-on-year basis in the first quarter by about 15.5%. This industry growth was led by the 2 -wheelers of about 19% growth , passenger vehicle of about 5.8%, 3 -wheeler by about 9%. Comme rcial vehicles were almost flat and tractors also almost flat.
In the 2 -wheelers, the growth came due to the resurgence in the demand in rural areas and also fresh model launches. The passenger vehicle growth came due to the new strong SUV demand. On a q uarter -on-quarter basis, from Q4 to Q1, the industry grew by about 2.5%, where the 2 -wheeler industry grew by 6% , the passenger vehicle was down by 10%, and so were domestic Vehicles as well as 3 -wheeler s.

We believe the upcoming monsoon season; the festive season and stable pricing movement and new launches should drive the growth for the full year FY25. Moving on to the next slide, which shows the key strategic developments for the quarter. Minda Corporation delive red a revenue growth of 11% year-on-year despite various natural challenges. EBITDA margin stood at 11.1% for the quarter, growth of 38 basis points. Total lifetime order book exceeded INR 2,100 crores, which were booked during this quarter, signed a joint venture with HCMF for sunroof and closu re systems, filed 6 new patents during the quarter, taking the total patents nor th of 280.
Moving on to the next slide, which is the update on the sunroof and closure systems. While the LOI was signed in the Q3, we have now signed the joint venture, whi ch is a 50 -50 joint venture between the two companies. We are going to establish the plant in Pune and the plant is expected to be commissioned in Q1, FY26 . We are in advanced discussions with various customers. Hopefully, we should be having some business in the next few days, probably due to the delay, we will communicate and share with you once we achieve the orders in the immediate future.
We now move to Slide 6, which is marking the key performance highlights and the financial snapshot. Our operating reve nue were about INR 1,192 crores, which is 11% year -on-year basis. The gross margin grew by 16

basis points to 37.3%. The EBITDA margin stood at INR 132
crores, which is a 15% year -on-year increase and EBITDA margin percentage was at 11.1%, with increase of 38 basis points year -on-year.
The PBT was at about INR 84 crores, 33% year -on-year, and the PBT margin was at 7%, which is 114 basis points year -on-year increase. PAT margin stood at INR 54 crores at 42% year -on-year growth. And PAT margin percentage was at 5.3%, which is 115 basis points increase over last year.
Moving on to the next slide, which shows our growth momentum where it shows our year -on-year and quarter -on-quarter performance, our revenue has grown on a year -on-year basis at 11%. But on the quarter -on-quarter basis, it has come down. On EBITDA margin, we have grown from INR 115 crores to INR 132 crores. But on a quarter -on-quarter basis, it has come down from INR 139 crores to INR 132 crores. And at PAT level also, we have grown 42% from INR 45 crores to INR 64 crores. But has come down from INR 71 crores to INR 64 crores on a quarter -on-quarter basis.
Moving on to the Slide 8, next slide, which is our business vertical -wise performance, which is the mechatronics, aftermarket and o ther businesses, grew year -on-year by 12% from INR 513 crores to INR 575 crores, which was led by the strong demand from domestic 2 -wheeler business and passenger vehicle business along with the premiumization of our existing products contributing to the growth . We had subdued demand due to the exports and sluggish growth in the ASEAN countries like Indonesia and Vietnam. We have won orders, one of the orders is from the European OEM for our vehicle access systems.
On the right side, which is the Information an d Connected systems, sales have grown by 10% year-on-year basis from INR 562 crores to INR 617 crores. Here, one of the key businesses is that we have won on the lifetime order business of INR 250 crores from one commercial vehicle OEM. We have done SOP for one of the largest two-wheeler EV OEMs in India and we have

also started the production for the TFT instrument clusters for one of the European OEMs, which is directly exporting from India.
Moving on to the next slide, which is the revenue breakup by products and by geography and end market. By products in Q1 FY25 , wiring harness contributed about 32% , vehicle access business contributed about 25%, die casting business contributed about 16% , Instrument clusters about 15% and other businesses like sensor, EV, et c. contributed about 12%.
By geography, India continues to be about 88%, whereas direct exports from India are about 7%, and the South Asia market is about 5 %, totalling about 12% of our international and global revenues. By end market, our 2-wheelers and 3 -wheelers contributed about 47% , Commercial Vehicle segment is about 28% , Passenger Vehicle segment is about 14% to 15%, and aftermarket segment contributes about 11% to 12%.
Moving on to the next slide , on the strategic priorities to de liver growth are basically four strategic pillars , which is focus on enhancing the core, innovation and technology, electric vehicle growth opportunity and strengthening our passenger vehicle offerings.
Slide number 11 shows our various well -diversified product range acros s vehicle segments in the areas of Electrical distribution system, Advanced Electronics, Mechatronics, Die Casting, Interior Plastics Division and Aftermarket Division.
On Slide 12 shows the various customers across industries and electric vehicle mobilit y as well as in India and overseas. In the next slide, focusing on the innovation and technology. It shows that our R&D spend has significantly improved and increased from about 1.4% in FY21 to about 3.0% in FY24 , in line with our commitment to in vest in technology with our indigenized and localized approach.
Here, we no

w have two advanced engineering centers and seven engineering centers, more than 900 engineers and more than 280 patents filed. Our products are focusing on how we can increase th e capability in our product line in electronics, mechatronics, embedded software, hardware and creating robust testing validation laboratories.
In the next slide, all our Minda Corporation products are agnostic to the source of power of the engine. We, as an organization are continuously innovating and advancing our product lines to meet the global requirements and megatrends. In the first, you can see how in the vehicle access from a traditional lock -in key, we are moving into an intelligent and smart ve hicle access system solution provider. The second around the wiring harness and connector business, we are moving into electrical distribution system company, increasing our kit value as well as offering end -to-end electrical distribution systems.
In the third moving from a cluster and sensor company to a connected and safe mobility company, where we are offering all the driver information system -related products such as the displays, instrument clusters, and other technology products.
In the light weight ing and interior plastics, we do value -add components and export for our die -casting products and interior plastic products . And the last, not the least, but our latest vertical

on the electronics, which is focusing on EV products as well as new technology items like shark fin antennas, telematics, etc.
Moving on to the next slide, which is slide number 17, on the comprehensive solution for EV 2 -wheelers. This is just a snapshot on what Minda Corporation product offerings are i nto the 2 -wheeler per se and on the right side are the products which are under development, where we are under decision and discussion with the customers and already have proof of concepts along working with them. So here, the products include key -less s olutions, various sensors, EV 's or charging solutions, die -casting products, wiring harnesses, EV products such as DC convertors, battery chargers, Vehicle Control Unit as well as other charging infrastructure -related products.
Moving on to the next slide , which shows the increased content per vehicle in the 2 -wheeler offering as a snapshot, where we can offer from INR 22,000 to INR 27,000 products, which are already developed and under mass production.
Moving on to the next slide, which is on strengt hening the passenger vehicle , where it shows a snapshot on the various products that we offer for four-wheelers under stand -alone Minda Corporation and through our joint ventures, which is again on the vehicle access, instrument clusters , sensors, antennas , sunroof, interior plastic parts, power lift gates, charging solutions, charging guns, various sensors, ECU products, wireless chargers as well as wiring harnesses and telematics. The next slide shows our mass production products related, which are of fered to the commercial vehicle and bus segment , which are again all the products of Minda Corporation, which are agnostic to the source of power.
Moving on to the next slide, shows the schematic representation of Minda Corporation from this shareholding perspective as well as our companies and joint ventures that are there.
Moving on next slide shows , Minda Corporation Board of Directors , and next slide shows the

leadership team which runs the Minda Corporation and commitment to deliver consistent and sustainable numbers and achieve growth that we have committed to the investors.

Moving on to the last part, which is a CSR and ESG. We continue to transform towards mobility and beyond , to our sustainable operations, care for people , ethical business, inclusive growth and responsible value chain. We continue to organize various corporate social responsibilit

y

events across India and give back to the society. Last but not the least, most importantly, are the awards and recognitions by o ur various customers across segments in 2 -wheeler, 4 -wheeler, commercial vehicles, who acknowledge and give us awards for our performance.

With this, I would like to conclude our earnings presentation. Thank you very much for patien t hearing. We will now request to open the floor for the questions. Thank you.

Moderator: Thank you very much. We will now begin the question -and-answer session. The first question is from the line of Raghunandhan from Nuvama.

Raghunandhan: Congratulations on strong results. Fi rstly, on the sunroof and the power lift gate. Good to see the progress on HCMF tie-up and thanks for announcing the timeline . can you kindly indicate

Minda's share in JV , total investment for the venture, the debt equity mix and the peak revenue potentia l?

Aakash Minda: Yes, Raghu. So, we have started the company with a very nominal investment of about $1 million in the ratio of shareholding to start the operations. Secondly , as a milestone, we have also looked at commencing the operations of our facility in the Q1 of next year. Thirdly, we are under discussion with customers, which are for the various products that come in the joint venture, which are of the power tail gate as well as on the sunroof.

Hopefully, we should have received something before this call. But may be in the next few days, we will hopefully hear about some of the order wins from our key customers. So, the investment that we currently look at investing in this business is to the tune of about INR 80 crores to INR 100 crores, fo r various product lines that we have.

The peak value, as we see the market is expected to grow to about INR 7,800 crores or INR 8,000 crores market potential by 2028 and we expect our market share to be in the tune of about 20% to 30%, is what our focus and efforts , moving forward .

Raghunandhan: Got it, Sir. and on INR 80 crores to INR 100 crores investment, typically, what can be the gross effect turnover? Would it be 2.5 to 3x?

Aakash Minda: Yes, it should be in the similar range, and the profit ability margin should be in the current range of Minda Corporation. Of course, it will take at least 2 to 3-year time now, when our business becomes breakeven and then profitable.

Raghunandhan: and wishing you all the best on the order , Sir on the order booking, which was announced in the quarter, INR 2,100 crores is very impressive. If you can indicate some breakdown, EV, non -EV share and also the share between mechatronics and ICS.

Aakash Minda: Yes. So, with respect to the order win that we have done during the quarter. So about 65% to 70% comes from the IC and about 25% to 30% comes from the EV business. And as I mentioned, the 50 -50, which means by 50% of the Replacement business and 50% coming from the new businesses.

Raghunandhan: Any way to break u p the order book between Mechatronics and the ICS segment?

Aakash Minda: So usually, it is spread across our various product lines and verticals. We can again put in terms of 50 -50. And yes, we focus, at least in this quarter has been in terms of the wiring harness businesses, whether from exports as well as from the domestic OEMs. So yes, that is where we have received some orders more, I would say, in this quarter from the wiring harness side.

Raghunandhan: And specifically, that wiring harness order, tha t large order of INR 250 crores from a CV OEM, any more details you can share whether it is for ICE or electric? And when would this order start commencement, what would be the period of the order?

Aakash Minda: Yes. So, the business is regarding EV produc t line and it is expected to have an SOP in about 18 months from now. And, is that your question or anything else?

Raghunandhan: Yes. And how long is the life of the order?

Aakash Minda: Specifically, all orders are in the range of about 4 to 5 years. Of co urse, the peak value comes after SOP of about one year. So, let's say, from now, you can expect about 2 -2.5 years from now, we have the peak value in our sales.

Moderator: The next question is from the line of Jay Kale from Elara Capital.

Jay Kale: First question is regarding your exports revenues. Pardon me if you've already answered this, I joined in late, how are you seeing exports now in FY24 , we understand , that was a drag on your overall top line growth. Which are the markets that you are seeing any green shoots? And what is the outlook over the next 12 to 14 months?
Aakash Minda: Yes. So, exports contribute about 9% in this quarter of our revenue. The exports from a year -on-year basis are lower by about 2% to 3%, primarily is due to the two aspects. One is the recreational vehicles that are being sold in Europe are seeing a downtrend and secondly is in our die-casting business where the USA and Europe are having lower shift and lower demand, due to the EV and ICE as well as on the macroeconomic situati on.
These are the major two reasons where our exports are looking subdued. However, in the entire remaining of the year, I believe we should be flat compared to the last year for our exports because while we are looking at the global macro situations, we are looking at that to be flat as compared to last year.
Moderator: Mr. Kale , does that answer your question?
Jay Kale: Congratulation s with the recent set of number. So, I would just have one question, like last time we tried acquire a company in the instrument and cluster segment. So, are we still looking f or other company in this segment because you were very bullish in this segment? So, I think we have a cash in balance sheet. So, are we still looking opportunity in this segment?
Aakash Minda: Yes. We continue to look for M&A opportunities as a part of our growth strategy. We are open for the segments. Again, our main areas are in the five product domains that we are currently working on, which is into the vehicle access. Second is the electrical distribution system. Third in the die casting or light weighting , Fourth is in the driver information system, which includes the instrument cluster and fifth is the electronics. These are five product domains that we continue to focus on.
And yes, as a plan , we are continuously evaluating as well as looking for M&A opportunities, but we have clearly set aside our financial prudence matrices on how and what we will not do. Secondly , we are also very clear that we are not looking at any M&A which is having large overseas operations outside India.
Third, in terms of the product lines which are related or synergy to us and fourth is the engine agnostic product lines that we are looking and fifth is we're not looking at products which are into the rubber or glass or all these productions. So, these are some of the things that we have

put in place. But yes, we are also open to look at may be some kind of diversification, but which are related to the businesses that we do.
Jay Kale: On some EV segments , what kind of re venue you are seeing this year? I mean given whatever order book we have, as we own in the last 1.5, 2 years. So, any significant revenue contribution you are seeing in EV segment?
Aakash Minda: Yes. So typically, in the last few quarters and even in this quarter, our EV revenue has been the about 5% to 6% of our total revenue and it is expected to continue in this range . Major reason is because there are order wins from across segments and across product lines. But there are many start-up OEMs which are not doing well, if I may say , which co

ntinue to be a challenge when it comes to our growth in that respect.
So yes, we have a business from the leading 4 -5 EV 2 -wheeler makers but there are also orders from other OEMs, which are not performing so well. So, keeping that in mind, we're looking at about 6% plus/minus in our order book o f our revenue.
Jay Kale: In terms of content per vehicle in EV segment, where we have reached in terms of that with our particular customers?
Aakash Minda: Yes. So, if you refer t o our Slide 18. In the 2 -wheeler segment, we can offer a kit value up to from INR 22,000 -INR 27,000 . We are under manufacturing or the development of various other product lines, which are going to take SOP or start of production, which is going to add another kit value to this offering. So, we potentially, we can offer much more. But what we are showing here is in terms of new products which are in the mass production or already being supplied.
Jay Kale: Okay. and lastly, if I can get the die casting revenue in th is quarter and what is the growth in die-casting?
Aakash Minda: Yes, just allow me one second, our die casting business in this quarter is about INR 220 crores and here again, the business has been continuously growing on quarter -on-quarter and year -on-year basis. Of course, the driving factors are exports as well as the light weighting that is coming up in the EV industry in India as well. And we are continuously expanding capacities, yes, like we have shared before, expanding two new facilities, one in No rth India and one in West India.
So yes, this product lines are looking at ICE, as well as, more importantly, the EV product lines, such as the motor housing, the battery casings and other related products.
Moderator: The next question is from the line of Deep Shah from YES Securities.

Deep Shah: So, a couple of questions. First is, again, on the stock side as well. So, if you can throw some more light on our content per vehicle, because some of the recent years, those were entered the phase are up to about content in the range of 25% to 30%.
So first, what do you think in terms of the overall evolvement of content for EV? And also, how localized it will be, I mean, from Day one, if you can share with that localization of product that could be ok.

Aakash Mi nda: Sorry, your voice is not clear. Can you repeat your question, please? I understood the part of it , but which product are you speaking about?
Deep Shah: So, if be clear on the question. So, what I'm asking is if you can share the content of sunroof business, what the content that you guys are looking at? And a related question is that is what would be the localization level for that product to begin with?
Aakash Minda: Yes. Okay. So, the question is about sunroof. Yes. So, see, the kit value typically goes from about INR 20,000 to INR 30,000 plus/minus, depending on the configuration of the customer and depending on the volume of the business. So that is the kit value that one looks at.
In terms of the localization, there are, of course, key critical c omponents in the entire bill of material, which we first import , which is to the tune of about 30% to 35% of the bill of material, rest will be localized. But to give the solution in terms of the faster penetration to the customer, we are going to start with importing and assembling here and then moving on to a localization phase manner, which is where our profitability of the business will increase over the next 2 to 3 years and where we are going to become profitable as well, we get the volumes as well as other businesses.
Deep Shah: Okay. So basically, you are saying better scale and all that, the existing margins which you have guided for in terms of the average company margins that should further look up once the localization goes up, it is right? Is tha t a fair understanding?

Aakash Minda: Yes. As I mentioned, it's a 50 -50. So, it is not being consolidated at the moment. But yes, as a business, this is where the margins are expected to be.
Deep Shah: And the second question which I had was on your smart key business. So, I think if I'm not wrong my numbers, FY24 revenue is about INR 130 crores to INR 140 crores, including domestic and export. So where do you see the business in ne xt 2 to 3 years? And if you can throw some light on, this kind of business from that space.
Aakash Minda: Yes. So typically, the Smart key business in this quarter is somewhere about 10% to 11% of our division revenue of the security systems division. As the new model launches are coming in, whether EV or ICE or even export b usinesses, which is expected to grow further. As I mentioned that this expected kit value is somewhere to the tune of about INR 2,000 to INR 5,000 depending on the customization of the products.
So, while the export orders of course, have a higher kit val ue and profitability margin, the domestic customers as well as the platforms are towards the lower end of the value. The penetration currently is expected to be about 3% to 5% in the Indian market and by 2030, we expect this penetration to grow to at leas t 30% to 40% with the businesses that we have in our hand, as well as the penetration of the new customers and new businesses. Of course, the premium products or the premium segment of the 2 -wheeler are getting these features before as compared to the economic segments .
Deep Shah: Yes. What I'm asking is if you can share the new customer wins from the smart key segment recently, have you on boarded any new customers in this segment?

Aakash Minda: Yes. So, customers, in terms of the customers per se, th ere are repeat orders with multiple platforms within the same customer. So, I believe there is a customer from the south part of India, where we have won a business which is in the premium segment space, where we have won this business from the smart key p erspective, that's one. Number two is one of the EV 2 - wheeler OEMs where we have also won this business in this quarter. Third, are one more customer in the exports, in Europe, where we have won the smart key business. These are the key three new customer additions that we have done for this particular business.
Moderator: The next question is from Jay Kale from Elara Capital.
Jay Kale: Question was on your view on inorganic opportunity. Which segment do you see things moving up pretty fast, either it's die-casting, instrument cluster or any new product segments, which are the segments that you are most excited about in terms of growing your presence?
And also on the instrument cluster side, we did mention while we were trying in an inorganic opportunity, one of the rationale for doing that was that this segment is expected to go

technologically advanced in terms of digital clusters and if we don't make strides, then the global MNCs could pose a threat to us. Where are we in that journey currently? Do we sti ll feel that we require a larger presence in instrument clusters and any headways in an inorganic activity in that space?

Aakash Minda: Yes. Sorry, Jay . I heard your question, but if you could complete the last bit of it, in terms of the instrument cluster ?

Jay Kale: Yes. So where are we in terms of our progress in expanding our presence in instrument clusters, given that there will be competition from MNCs also in this space. Are we making any further strides in expanding in this space by way of inorganic activity?

Aakash Minda: Yes. So firstly, to share with you about the generic approach. We continue to look for M&A opportunities as an organization. And number two is also on the partnerships in terms of the product lines that we do and also the synergistic product line based

on the mega trends, as well as what we are focusing on the five product domains.

So, we are continuously under discussion for M&A opportunities as well as joint venture TLAs. We continue to invest in our own R&D facility and set up, wh ile you can see we have gone or increased from 1.4% to about 3. 0% in the last financial year. And now we are continuously increasing that even beyond to develop our core competency capabilities.

Number two, when we speak about the inorganic opportunity in terms of an M&A, we are very clear on what we will not do. Of course, the financial prudence for the we are setting place for us as an organization. Number two is on the large operations, and we will not look at any company which are large operations outs ide India. Number three is the engine -agnostic product line. Number four is not the product lines in terms of the rubber, sheet metal or glass etc.

So, fifth is across the product line that we know the best on where we are doing. So, these are some of t he inorganic opportunities that we're currently looking at on the M&A perspective.

When we look at particularly from the sake of die casting on instrument clusters or the product

lines that we have, the highest amount of growth that we're expecting is comi ng from the instrument cluster business and the die-casting businesses. And the wiring harness business as I shared earlier, is going to continuing the same rate as the market growth.

When it comes to the instrument cluster businesses, we continue to inve st in our own capacity, capability and competency. We are also working with multiple partnerships in order to come up with various other product lines and making it a complete system solution offering to the customers. We are in discussion with companies from East as well as West for offering product lines.

We have already started supplying TFT clusters for passenger vehicle OEMs, as we have done the order about 1.5 years ago, which is already shared. So, our focus on the instrument Clusters business coming f rom Minda Corporation R&D center itself has grown from the 2 -wheeler space as well as in the passenger vehicle space, as well as exporting the instrument clusters.

So that's with regard to the instrument cluster space. And yes, when it comes to the EV pro duct lines or sensors or the products which have high kit value, we are continuously scouting for partnership in this respect.

Jay Kale: Understood. and also, one thing on your margins. I mean, yes, in the last couple of years in terms of the stability of margins, which has been pretty good. However, we've seen a strong cyclical upturn in the auto industry, and our margins are still in that 10.5% - 11% odd range. What should happen in your view, either in terms of industry growth or your product mix or which segment should grow faster, for you to inch up towards this 12% margin or 12% higher margin? Because we've seen the commodity up cycle and down cycle. We've seen the demand up cycle also coming in 2 -wheelers and passenger vehicles. But we've not yet reach ed a 12% o n EBITDA margin. So, what should happen according to you for us to get to that?

Aakash Minda: So, Jay, firstly, I think you will appreciate that where we started our journey 3 years ago, to the average about 9%. We have committed to everybody to give sustainable and consistent performance, which is where we had always committed to be in the 10.5% to 11% EBITDA.

For the last 4 quarters, our performance has been above 11%, I think to 11.4% in the last quarter. So that is something that we believe w e have committed, and we have delivered that at least until now. And number two, going forward, we have also shared that our focus is not on the, raw material, our focus is how much value add we can do in terms of the products, as well as how we can offer some s

olution offering, increasing premiumization and get value to our customers.

There are being , of course, various factors for the improvement in the EBITDA profile as well as in the way forward. There are various pillars that we continue to focus on. One is the premiumization of the product that is happening. Number two, is on the export orders that we continue to look at. Number three is our operational efficiencies that we continuously monitor because we have come from the manufacturing expense base. Fourth is on the Wiring Harness where we continuously share that we are going to go from our low single digit to high single digit and where we have successfully kind of transitioning into that range with our commitment of localization of connectors and o ther initiatives.

Last not the least, that like you must have also seen and explained that our technical center is continuing to grow and invest into our own R&D. So, there are some initiatives and investments that we are doing from the capex and opex per spective, in order to come up and compete with the product lines from the global competitors, even in India or overseas. That is where we continue to deliver this number and gradually go up to the higher margin percentage at a blended level. This is someth ing where we have always shared that we would be in the range of about 11% to 12%.

Moderator: The next question is from the line of Raghunandhan from Nuvama.

Raghunandhan: Sir, on the smart key side, we had INR 450 crore s order for Smart key from a two-wheeler OEM. I wanted to understand when this order is expected to commence .

Aakash Minda: So, the SOP were expected to be in the next quarter. So, the SOP is in line for the start of production . But our customer orders or customer in dent or the forecast that we have shared is lesser of this particular technology. Yes, of course, we have the LOI as well as the order book and the capacities , and the customer has to take the start a production in next quarter and then, of course, expand to the oth er models, which is where we are ready , and customer intake has to happen.

Raghunandhan: Got it, sir. And over the last 2 quarters, in the ICS space, there has been some orders which had got delayed in terms of execution. Any status you would want to share there?

Aakash Minda: Yes. Thanks for sharing it. So, we have again created our capacities and other areas and prime focus has been to make these products into launch and process. So yes, out of those businesses, some of them have got into the start of p roduction, some of them expect to do this production in this quarter.

Raghunandhan : And within our revenue mix, the other segment, which includes sensors, EV parts that has seen a strong traction and has increased as a percentage of revenue to 12%. Any tho ughts there, how do you see that segment going forward? And what are the triggers?

Aakash Minda: Yes. So, these product lines pretty much include our interior plastic sensors, aftermarket division, electronics, EV products, etc. So, these are the products which are contributing to the other part of it. So yes, as I mentioned, while the more realization and more electronification is coming in, these products are going to continuously increase in terms of penetration as there have been new products to the gro up over the last few years, coming out of some joint ventures or technical alliance and more importantly, our own R&D center.

So, these products are now coming into SOP sooner or later , which is where we continuously invest. So, as I mentioned, in these pr oducts, some of them are stand -alone or some of them are part of our system solution offering that we have put in place in terms of EV, electronics, interior plastics, start-up motor division, etc.

Raghunandhan: And R&D , you are spending 3% of revenue and also

recently, there has been a new larger R&D center. So, if you can talk about the focus areas how it is augmenting your capabilities and how you see the new products as well as cost savings as an output here?

Aakash Minda : So yes, Raghu, again, we will be launching that technical center soon. But the focus is how we can grow our products more and more with premiumization, making the products safer for the customers, and making more and more electrified, electronification a s well as integrated system solutions offering. But these are the product lines that we are working on and, of course, building capability, capacity, competency in our own products that we can grow where the markets are demanding.

So, we are working aggre ssively with customers and their engineering team in order to develop products for their needs. And of course, we can see that the pa tents that are rising in our portfolio is something that showcases where we are investing and how that is relating to.

Raghunandhan: And sir, last 2 questions from my end. You spoke about localization in the wiring harness division and localization gradually has been increasing. What would be the current percentage of localization? And over the next 1 or 2 years, what is the target?

Aakash Minda: Yes. So, Raghu, we had less than 5% of our localization in the past 2 to 3 years. And as we have committed our reduced reduction in our imports have gone down. So now currently, we are almost 50 -50, depending on the some of the busine sses. But the 50% is localized, out of which about 13% to 15% comes from our own internally created capacities and capabilities as well as the remaining 35% more or less comes from the Indian partners that we have. So, this is where we are looki ng, and this expects to grow to a higher number and around 20% beyond in the next 2 years or so.

Raghunandhan: And lastly, in terms of industry outperformance, given the strong order book, new products and collaborations like sunroof, over the next 2 -3 yea rs, would you be confident of beating the industry by 5% to 8%?

Aakash Minda: So, Raghu, our focus has always been how we can grow ahead of the industry and outperform them. So yes, the various initiatives that we are doing for order booking for adding new products, premiumization of the products and growing other business segments and geographies. we hope to outperform the industry, and we are all committed, and our plans are in place to do that.

Moderator: Thank you. Ladies and gentlemen, that was the las t question for today. We have reached the end of our question -and-answer session. I would now like to hand the conference over to the management for closing comments.

Aakash Minda: Thank you. Once again, ladies and gentlemen, thank you so much for joining the call. We remain confident in our short -term to long -term growth prospects, supported by strategic investments and our focus on developing advanced products and technologies. Our customer -centric approach will continue to create value for our shareholde rs and other stakeholders.

Like we have always committed, our focus is to give consistent and sustainable profitable growth for the organization, and we continue to invest and focus on capital allocation, as well as grow our organization to outperform the industry. Thank you very much for all the support.

Moderator: Thank you. On behalf of Nuvama Wealth Management, that concludes this conference. Thank you for joining us. You may now disconnect your lines.

Call: Nov 2024

November 19, 2024

The Officer -In-Charge (Listing)
Listing Department
National Stock Exchange of India Ltd.,
Exchange Plaza, Bandra Kurla Complex,
Bandra (East),
Mumbai - 400 051
Symbol: MINDACORP Head - Listing Operations,
BSE Limited,
P.J. Towers, Dalal Street, Fort,
Mumbai – 400 001
Scrip Code: 538962

Ref: Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015

Subject: Transcription of Conference Call with Investors/Analysts held on November 12, 2024

Dear Sir/Ma dam,

Please find attached herewith transcription of Conference call wit h Investors/Analysts held on November 12, 202 4. Kindly take the same on record and acknowledge.
Thanking you

Yours faithfully,

For Minda Corporation Limited

Pardeep Mann
Company Secretary
Membership No. A13371

"Minda Corporation Limited
Q2 FY25 Earnings Conference Call "
November 12, 202 4

MANAGEMENT : MR. AAKASH MINDA – EXECUTIVE DIRECTOR

MR. VINOD RAHEJA – GROUP CFO

MR. SAMEER SHARMA – GROUP HEAD - STRATEGY AND M&A

MR. NITESH JAIN – LEAD INVESTOR RELATIONS

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Minda Corporation Limited
November 12, 2024

Moderator: Ladies and gentlemen , good day and welcome to the Minda Corporation Limited Q2 FY25 Earnings Conference Call, hosted by Nirmal Bang Institutional Equities Private Limited. As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity fo r you to ask questions after the presentation concludes. Should you need assistance during the conference please signal and operator by pressing star then zero on your touchtone telephone. Please note that this conference is being recorded . I now hand the conference over to Mr. Prateek Ladha from Nirmal Bang Equities. Thank you, and over to you, sir.
Prateek Ladha : Thank you, Joshua. Good evening. On behalf of Nirmal Bang Institutional Equities, I welcome you to the Q2 FY25 earnings call of Minda Corporation. From the management team, we have Mr. Aakash Minda, Executive Director; and Mr. Vinod Raheja, Group CFO; Mr Sameer Sharma, Senior VP and Group Head, Strategy and M&A and Mr. Nitesh Jain, Lead Investor Relations. I now hand over the conference to Mr Aakash Minda, for his opening remarks. Over to you, sir.
Aakash Minda: Good afternoon. Thank you very much, Prateek, and I thank Nirmal Bang Institutional Equities for hosting this call. Good afternoon, everyone, and welcome to the Q2 and H1 FY25 earnings conference call of Minda Corporation Limited. I hope you're all doing well. It is a pleasure to connect with you all today and I look forward to presenting our performance for the quarter and offer insights into the recent developments.
We will begin with an overview of the industry performance, followed by a detailed discussion of Minda Corporation's financial and operational results for the quarter. In Q2 FY25, industry growth has been moderate with the 2-wheeler segment lead ing in demand. The passenger vehicle segment experienced a slight decline, reflecting softer market demand. While the utility vehicle category showed robust performance, underscoring strong consumer interest in the SUVs and multifunctional vehicles. The commercial vehicle segment faced challenges due to a high base effect, prolonged monsoon delays and adverse weather in all which constrained the market activities.
Coming to the company performance highlights, I am very pleased to share that Minda Corporation continued its journey of balanced growth. The company achieved highest ever quarterly revenue. The revenue from operations for the quarter were INR 1,290 crores , an 8% Y-o-Y increase and 8.2% Q-o-Q increase. In domestic, OE business performed better than the industry, though it faced some headwinds due to subdued export demand from the European market, slowdown in ASEAN markets and downturn in the commercial vehicle segments.
In terms of profitability, for the quarter, the company reported its highest -ever EBITDA in value terms at INR 147 crores at an EBITDA margin of 11.4%. PBT stood

at INR 96 crores with a PBT percentage of 7.4%. P AT margin was INR 74 crores with a PAT margin at 5.8%. Now, let me take you through the key developments during the first half of the financial year. In the Q2, lifetime order wins surpassed INR 2,400 crores with EV platforms making up over 25% of these order wins.
In the first six months of FY25, the company's order book exceeded INR 4,750 crores, reflecting our expanding product portfolio, product premiumization and rising demand for ICE and EV products across segments and geographies. To meet this growing demand, the company is coming up with four new facilities, two in diecasting, one in the instrument cluster division and one in the wiring harness component division.
In line with our strategic vision, Minda Corporation has also acquired a 24 -acre land in Uttar Pradesh for future expansion. The company also signed a tech

nological license
agreement with Sanco, company from China to enhance its wiring harness product portfolio in line with offering our complete system solutions in the EV segment.
I will now take you through the presentation and cover the key highlights of the Q2 and first half of the FY25 performance. I request you all to now look at the presentation uploaded. From the Page 2, which shares Spark Minda at a glance. In the FY24, we recorded INR ~4,650 crores turnover company with INR 514 crores of EBITDA, 28 manufacturing plants, 17,000 people, five business verticals, customers spread across the world, focused on engineering, products, ten partnerships and stable financial structuring.
Moving on to the next slide, which shows the Indian automotive industry performance. In the Q2 FY25, the industry overall grew by 8.8% where 2-wheelers grew the highest

of 12.5%, passenger vehicles were almost flat. 3-wheeler s vehicles grew by about 6%, commercial vehicles de -grew by about 13.3% and tractors were also almost flat but grew by about 3%. In the 2-wheeler space, the premiumization trends remain in the focus with premium 2-wheeler segments in the demand.

The expecta tions of good monsoon and festive season is likely to grow demand further in the H2. Passenger vehicles showed a slight decline during the quarter due to softer demand in this segment. However, the utility vehicle category showed its overwhelming performan ce during the year. Commercial vehicle growth was low due to various factors, including extended monsoons as well as the higher base. The tractor segment showed some signs of recovery with expectations of above average monsoon is also likely to demand in the next half of the year.

Moving on to the next slide, which is the key highlights and the key strategic developments. On the left side, which is the Q2 developments for the financial year. The company delivered its highest ever quarterly rev enue with 8% Y-o-Y increase.

EBITDA margin stood at 11.4%, increased by 38 basis points. Total lifetime order book won was INR 2,400 crores with EV constituting to about 25% of the total order book.

The company signed a technical license agree ment with Sanco, and we filed eight new patents, taking the total patents to 285 , showing our commitment towards innovation and investment in the technology and R&D. For the first half of the year, the revenue grew by 9% despite macroeconomic challenges. We posted highest ever EBIT DA margin of 11.2%, growth of 38 basis points. Total lifetime order book in the first half was about INR 4,750 crores . we signed two strategic partnerships and total patents in the first half were filed about 14.

Going on to the next two slides, which shares about the technology license agreement signed with Sanco. This partnership is for the products integrated to the wiring harness segment and the backward integration of the connectors in the high voltage and the EV area. This partnership will deliver comprehensive and customized electrical distribution systems for the electric vehicle market and there will be various new products, w hich will bring into the portfolio of Minda Corporation such as the connectors, charging gun assemblies, sockets, bus bars, cell contact systems for batteries, power distribution systems and Battery Distribution Unit . We are further expanding in our brownfield facility in our component division to come up and offer these products to the Indian market and even exports.

Moving on to the next slide shows the Q2 financial numbers, which shows our operating revenue increased by ~ 8% Y-o-Y. Gross margin increased to 37%, which is 38 basis points. EBITDA stood at INR 147 crores. EBITDA margin was about 11.4%. PBT was INR 96 crores at 7.4% and PAT was INR 74 crores at 5.8%.

Moving on to the next slide, which shows the Y-o-Y and Q-o-Q

growth momentum on
the financial highlights. On the top of the table shows the Q2 numbers and the bottom part shows the half year numbe rs. If you look at again on Q-o-Q and Y-o-Y movement . On the Q-o-Q, we also moved from INR 1,192 crores to INR 1,290 crores. In the half yearly from crores INR 2,270 crores, it grew by 9% to INR 2,482 crores.

At EBITDA, to show our balanced growth, our EBITDA for the fifth straight quarter has moved from consistent 11% to 11.4% in this quarter, marking a 11% jump from Q-o-Q basis and 12% jump from Y-o-Y basis from IN R 131 crores EBITDA to INR 147 crores EBITDA. On a half yearly basis, the EBITDA has grown from INR 246 crores to INR 278 crores from a 10.8% margin to 11.2% margin with a growth of 13%. PAT from INR 59 crores from previous year to INR 74 crore s, showing a growth of 26%. And at a half yearly basis has grown from INR 104 crores to INR 139 crores, showing a growth of 33% on Y-o-Y basis.

Moving on to the next slide, which is the business vertical performance for the Q2 and first half. On the top -left, it shows the Mechatronics , aftermarket and other businesses, which has grown from INR 575 crores to INR 639 crores on Y-o-Y basis which is at 11% growth. And on the right side, on a Y-o-Y basis on the first half, it has grown by 12% from INR 1,088 crores to INR 1,213 crores.

The major factors that led to growth was the strong demand in the domestic 2-wheeler segment and premiumization of the existing products. However, it was challenged by subdued export demand and slowdown in the ASEAN market. In the bottom part, which is the Information and Connected Systems , the sales grew from INR 621 crores to INR 651 cr ores, marking 5% growth. Major challenges were due to the commercial vehicle downturn and on a half yearly basis, we grew from INR 1,182 crores to INR 1,269 crores, marking a 7% growth.

Moving on to the next slide, which is the revenue breakup for the year by product and by geography and end markets. If you look at Q2 FY 24 to Q2 FY25, wiring harness continues to be about 30% to 35% and this quarter is 32%. Lockset and vehicle access is about 23%, die casting division, which is DCD stands for about 18% as this segment is growing as well as our instrument cluster business is also continuing to grow, which is now contributing to about 17% and other new products, which is the EV products and other products such as the sensors are also moving towards 10%.

By geography, Indian domestic market continues to be on the growth, which is contributing to about 88%. Pure exports to Europe and North America are about 8% and Sou th Asian market, which is the Indonesia and Vietnam are about 5% of the revenues. By end -market, 2-wheeler and 3-wheeler constituted about 46% to 47%. Commercial vehicle is about 26%, aftermarket is about 11% to 12% and passenger vehicle is about 15%.

On the next slide of consolidated leverage position and the financial snapshot of the first half, the net worth has increased from INR 1,981 crores to INR 2,102 crores in six months. Long -term borrowing has reduced from INR 203 crores to INR 170 crores. On a short -term borrowing has increased by INR 20 crores from INR 145 crores to INR 164. Our gross debt has come down by about INR 14 crores, making our total net debt to INR 160 crores and net -debt to net -worth is about 0.08x. Capital employed at INR 1,873 crores and our ROCE is about 21% with our focus to increase this to about 25%.

We now move to the last section on the ESG and transforming towards sustainable mobility. At Mi nda Corporation, we are focused on sustainable operations, care for people, ethical businesses, inclusive growth and responsible value chain. Further details can be taken online from our company website.

On

the next slide, we continue to give back to the society by our various activities and initiatives such as the World on Wheels for training people and students across villages for empowerment of PwD people and employing them at our facilities and plants. Our prison programs, which are the most exclusive programs in India and other activities as well. The last slide, which shows about awards and achievements, where our customers and industry bodies continue to award Minda Corporation on account of quality, technology, development, employment and HR practic es.

Beyond this, there is a group company profile and presentation, which I believe and I request that all of you can read and understand more and if there are any questions, we'll be more than happy to answer. With this, I will now request to open the flo or for questions. Thank you.

Moderator: Thank you so much. We will now begin the question -and-answer session. The first question is from the line of Raghunandhan NL of Nuvama Research.

Raghunandhan NL : Thank you sir, for the opportunity. Congratulations on strong set of numbers. Firstly, on Sanco, now that you are working towards building a series of products, which you highlighted. Number one is, how does it open new revenue opportunities for you? And number two is, in your efforts relating to localization, how can this help and how can the percentage of localization increase?

Aakash Minda : Thank you for your question. So, Sanco is a very well -known company in China, supplying to almost all the OEMs in China, whether they are German, Japanese or Chinese or even American OEMs. So, this product category is in our short -term and long-term plan for doing backward integration and making our own competitiveness and building our company capabilities for connect ion systems. While the EV penetration is increasing, we are focusing on how we can continue to localize , backward integrate and build our competitive edge.

There are various products that are part of this alliance as a first step in terms of the technic al license agreement. As I mentioned before, there are these high voltage connectors, then there are the EV charging guns and charging sockets, bus bars, battery cell contact connectors and various other product lines. We are already working with various c ustomers in 2-wheelers, 3-wheeler, commercial vehicles, passenger vehicles

OEMs in India, where we've already received RFQs and almost towards business nomination as of date for increasing our competitiveness. So, this is going to be as a system solution of fering. And with an immediate EV penetration that is there in the current market, this can increase our business potential to more than INR 1,000 crores in the current products that are offered in the first phase.
Raghunandhan NL: So this INR 1,000 crores is the potential revenues you are looking at, sir?

Aakash Minda: No, this is the current immediately total available market in the current products that are there as well as new market that is available.
Raghunandhan NL: Understood, sir . And given that Sanco has tie up with German, Japanese, American OEMs, would you be able to leverage Sanco's relationship to win new businesses?
Aakash Minda: Yes, of course. So, we already have received various RFQs from Sanco's custom ers in India. So, we are working with them in order to cater to these customers also.
Raghunandhan NL: And sir, with the efforts on localization and also your revenues are seeing a decent scale improvement plus your ongoing cost reduction efforts, you have already posted a wonderful margin this quarter. How are you in the journey towards the 12% margin target?
Aakash Minda: As Minda Corporation we are pivoting the organization to be a more stronger company and being more competitive in our vision to create long -term shareholder value creation. So, we a

re focusing on quality of revenue by focusing on sustained customers.
We are focusing on quality of product mix with the new order book and new products and techn ology that we are launching.
We are focusing on quality of earnings, which are more economically value -accretive to Minda Corporation. So, we are taking conscious call on all of these parameters when we are approaching and winning any new business or cust omers going forward. In spite of within our core, we are able to deliver about 8% growth. We are not in the race or sales growth race. We are focusing on how we can be more competitive and build our core and while building our core, we have been able to d eliver 8% which I am very confident that with the initiatives and the investments that we are doing, we are going to grow this even beyond.
Of course, in one or two segments maybe in a quarter, for example, this year, this quarter the commercial vehicles may not have supported us, but with the right customer mix, with the right product mix, we are building a more sustainable and long -term company . So in the line with our commitments that we have made in the past few quarters and years to grow to about 12%. In the last five quarters, we have sustainably and consistently delivered a higher than 11% EBITDA margin, while growing our top - line as well, which is again in our commitment to build our core and being more competitive.
Raghunandhan NL: Got it, sir. Thanks for that comprehensive answer. Minda along with HCMF is setting the new plant in Pune to be commissioned in FY 26 for Sunroof Closure systems. Can you talk about how the status, how that work is progressing? Any orders you can talk about?

Aakash Minda: Yes. So, as we've already explained before, we are under discussion with various customers. The customer models that are expected to launch soon with our HCMF customers being in India. We are working with them aggressively. The facility that we have already started commissioning with our partners is underway. Also with the other products that HCMF is offering, we are under advanced discussions with Indian OEMs to win those products and start SOP maybe 2 years or in the upcoming models.
Moderator: Thank you. Th e next question is from the line of Shridhar Kallani from Axis Securities Limited.
Shridhar Kallani: Thank you for the opportunity and good evening, Aakash sir. My first question is continuing with the previous query regarding Sunroof and Closure systems. So are we on track for the pla nts to be commissioned in Q1 FY26 ?
Aakash Minda: So yes, we are in line with the Q1. Of course, there could be maybe a month or two delay, b ut yes, we are in line in order to move forward and set up the facility .
Moderator: Thanks so much. The next question is from the line of Nihal Shah from Pru dent Corporate Advisor.
Nihal Shah: Hello. Thank you for the opportunity and congratulations for the great set of numbers.

So, as you've alluded as well that the passenger vehicle number has been a bit soft for this quarter. So, how do we see ourselves positioned in such a difficult time for the auto industry as a whole and how do we expect ourselves to grow in such an environment? And how much of the premiumization trend do you feel is behind us now?

Aakash Minda: So thank you, Nihal, for this question. As I mentioned, yes, see, in the long run, the automotive industry in India, particularly is expected to do very well. While there are a lot of macroe conomic factors which shows that industry is expected to do very well, all the customers which are the manufacturers are enhancing their capacities and many of the Tier 1 component players or automotive system solutions like us are also expanding capacitie s. So, we have been directed by our customers to invest in building capability, competencies and capacities which we are doing a

cross segments and across products.

Also for the order wins that Minda Corporation has done, we are creating and setting up more facilities, as I already explained in this call and before, in order to deliver to the order wins that are already happening. Yes, in a Q-o-Q basis, maybe in the mid -term one -quarter or two -quarter, one segment may not do as better as th e other one, but in the mid -term to long-run the automotive industry is expected to do well. Of

course, with the export opportunities that are coming up from the Indian space, it's something that Minda Corporation is looking -forward to harness.

Our growth drivers, as we have already shared before are going to be three or four. Number one is the product premiumzations across our product segments. So number one is the vehicle access systems, where we are offering new and new products as well as the annual sel ling price of our products are increasing. In this particular category, we have added new products in terms of the power tailgate, the flush door handles, the different latches coming in and other some product s which we'll be launching soon.

Yes in the sec ond business domain, which is the Electrical Distribution System for not only the wiring harness, but also other connectors, power distribution unit, battery distribution unit and other products like Sanco that we are looking at for the offering to the mar ket as system solutions offering.

The third is the die casting or the light weighting where is more 4-wheeler driven and we've already won a lot of orders in terms of motor housings or battery casings and other such technologies even for domestic and export.

Fourth is our driver i nformation system, where we are offering a system solution product, so not only standalone clusters, but cockpits, heads -up display and other technologies coming up increasing with it value and our newest vertical, which will be electronics, which offers products like shark fin antenna, telematics, intelligent transportation system, EV products as well, t here's also adding new product lines. So this is the first category of products.

Second is the markets the additional new markets in terms of exports. Third is the customers. So, deeper penetration will be existing and new customers that we have in India are across segments. So, these are the three, four areas on how Minda Corporation is expected to grow further in terms of the market. Of course, as I mentioned, we're taking our conscious call , in terms of quality of our revenue, q uality of our product mix and quality of our power earnings putting all together to become more agile going forward.

Nihal Shah: Okay. Thank you very much for the detailed answer. And what is the level at which we expect our debt to stay given the level of capex that we are expected to do in the next couple of years?

Aakash Minda: So, I will ask our CFO to take this question.

Vinod Raheja: Well, we are net zero debt company if you consider the value of investments that we have and over a period of next 2 years to 3 years, we feel that we should be doing capex

of about INR 300 crore s INR 350 crores per annum. And given our internal accrual and cash flow generation, largely this should be funded through internal accruals only.

Nihal Shah: Okay. Thank you ver y much.

Moderator: Thank you so much. The next question is from the line of Jay Kale from Elara Securities. Please go ahead.

Jay Kale: Yes. Good evening, sir and thanks for taking my question and congrats on a good set of results. Sir, my first question was regarding your product segment. If I see your locksets division contribution on a Y -o-Y basis has declined and I understand locksets are mainly 2-whee lers and while segment -wise your commercial vehicles would have

seen pressure. So just wanted to understand what would be happening in the locksets division?
Are you seeing some kind of slowdown in terms of the adoption of the smart key solutions or what exactly is the scenario over there? And in similar lines, we've seen a very strong growth in your DCD division. So, if you can just throw some light on are we gaining share over there? Is there any addition of new products, new geographies , anything on that side ?
Aakash Minda: So again, our SSD division continues to grow, but it is just that the other divisions are continuing to grow a little faster. So, that's the only thing. Of course, the smart key penetration continues to align with our forecast before, particularly in the 2-wheeler area and now going into other segments. So we have for the first time launched new products in other vehicle segments, which you will see in the upcoming months with new vehicle launches.
Due to confidentiality, I can't share, but we've been p resent in the 2-wheeler and 4-wheeler space and now you will see in other segments also coming out of Minda Corporation. So coming to the die casting division per se, that is a division which is growing fast as because of t he kit value offering that is there, particularly in the EV segment and the 4-wheeler space. So, here we are offering a good amount of exports business to Europe and US markets, both for ICE as well as EV powertrain products and further penetrating in to the Indian 4-wheeler market as well.
So, these are our initiatives that we are seeking for the die -casting , and we are also coming up with two new facilities , one in West and one in North for catering this demand and expanding into other segments within the alumin ium cast business.
Jay Kale: Okay. Understood. And also on your export side, we have seen that being a drag on your revenue growth for last few quarters. Now it seems to have stabilized in terms of

contribution. So, how do you see exports going forward? have we seen the bottom over there or there is still some more pressure going forward?
Aakash Minda: So as far as exports are concerned, I think compared to last year until previous quarter there was a Y-o-Y decline, but now I think we are flattish when it comes to the states.
Of course, the order intake continues. However, we do not see a hig her uptake in the next six months when it comes to the exports, primarily in Europe region, various macroeconomic factors.
And now with the new elections in the US, we have to really see on how this market pans out, but we have put in our actions in pla ce in order for dual shoring, near shoring when it comes to the opportunities in the American markets.
Jay Kale: Okay, understood. And also, just lastly on the TLA with Sanco. You had mentioned about connectors, but you'll be prov iding the entire high voltage Electrical Distribution System along with all the components. So, when you do RFQ or you have an order from the OEMs, it will be directly to the OEMs and not necessarily as a Tier 2 supplier to the wiring harness players who would be taking your connectors. Is that understanding, correct? You're providing the entire high -voltage system to the OEMs?
Aakash Minda: It is both ways. In most of the cases, it is a direct to OEMs and in some cases, yes, it could be to Tier 1s also. And again for the battery pa ck, I would just like to correct you, we will not make the battery pack. It is health contact systems that go through the battery, which of course will be a Tier 1 supply, b ut the connector systems, the charging guns, the BDU and the PDUs will exactly go to the OEMs.
Jay Kale: Yes, I meant to say battery -wise. But just wanted to understand, larger wiring harness players would also want to make the connectors or localize the connectors themselves rather than buying them out or ar e you seeing

a kind of request from larger wiring harness players to get them trying to source connectors from outside players like you?
Aakash Minda: So it depends on the customer where the directed source is and how we are able to incorporate these produ cts into customer drawings. So, yes, that's what we've been able to do. we've already received various inquiries and in an advanced stages of closure of businesses while putting our products into the architecture of the vehicle. So, that will depend and whether it will be from us or it could be others.

But since having the localized opportunities in India, we have the early -mover advantage, you can say, in order to offer the products to the customers in the design space .

Moderator: Thank you so much. The next question is from the line of Nandan Pra dhan from Emkay Global.

Nandan Pradhan: Thank you for the opportunity and congrats on a good set of numbers. My first question is along the lines of the smart key order, we had mentioned in the Q1 call that it was meant to start from this year, so this quarter. So just wanted to understand the progress on that?

Aakash Minda: Smart key orders continue to get deeper penetration. And depending on the SOPs of the customers that are there. Of course, in Q1 we had sales to the 2-wheeler OEMs, but in Q2, our sales to Japanese OEMs have also started. So, yes, that is the SOP , or the start of production has already happened within the Q2.

Nandan Pradhan: Okay. And sir, secondly, on the TLA with Sanco, since we are de veloping it locally, just wanted to understand would the materials would be also sourced locally or would there be some level of import content in these products?

Aakash Minda: So there is a localizatio n roadmap always a nd so we already have that aligned with our customers and partners on how we are going t o have phase wise localization. But to achieve the higher domestic value add on day one we will be achieving that as per the government requirements.

Nandan Pradhan: Okay sir, I think that's it from my end. Thank you so much and all the best.

Moderator: Thank you. The next question is from the line of Parag Thakkar from Fort Capital.

Parag Thakkar: Yes. Congratulations for a very strong set of numbers. So basically, what we are observing is that, as you rightly said, that the macroeconomic environment is tough, and so the revenue growth is at about 10% at around 8%. But still you managed to grow your EBITDA by around 12%?

So, do you see that this trend will continue ac ross, as you rightly pointed out that you're focusing on quality of growth? So, EBITDA growth will outpace the revenue growth? That was my first question.

The second question is, we have seen good numbers in October month from some of the 2 -wheeler compani es and all the OEMs in 4 -wheeler also, like to be specific, M&M and all. So, do we feel that at least in second half, the revenue growth will also accelerate bette r than what we have seen in Q2?

And third thing, I'll just ask that. For example, many of your good customers OEMs, like M&M and all, are launching electric SUVs and all. So whether we'll be also part of their supply chain and whether content per vehicle will also increase in those kind of models w hich are going to be launched b y OEMs like M&M, to be specific?

Aakash Minda : Yes, Parag , I'll answer the last question first. Yes, we are part of the various products that are going into the battery electric vehicle of our customers. And yes, we continue to have a deeper penetration in line with our commitment to grow the 4 -wheeler products in our customers and our product range. So yes, you will see the products when that product launches.

On your first and second question, when it comes to the revenue growth an

d the EBITDA growth, as I stated, we are in the midst of pivoting the group, and we complete towards leading it a more competitive organization in line with our commitment to outpace the industry as well as growing t he line of the industry growth. So while the domestic revenue has grown ahead of the industry, however, some f actors like the export and the commercial vehicle segments have pulled us back. Also, when it comes to our quality of revenue with sustained customers is very important. While we had won some orders in the previous years from large 2 -wheeler EV OEMs, but w e are not seeing light in those customers due to some reason. The customers have not started production.

So, that is, slightly most important where we are pivoting. Second is the quality of the product mix, which is going to give us higher revenue in term s of the order book that we have done in the past. And we have been very, very conscious in terms of the customers and the products that we are doing.

And third is the earnings which you mentioned. Our quality of earnings is a focus for

being economically more value accretive. So in this quarter and in the last five quarters, with our commitment to consistently and sustainable EBITDA numbers, we've been growing our EBITDA absolute value as well as percentage, Q-o-Q for the last five quarters and more.
So yes, we are going to achieve towards 12%, but most important for us is consistency and which is what we are delivering. So in the process of building our core, I am very confident that achieving the double -digit sales growth number is just for us a very easy.
But in this overall scheme of being competitive, I think achieving an 8% at the moment is some thing that we are where we are.
So very, very positive in terms of the future outlook and taking this organization towards a double -digit growth as well as the 11.5%, 12% EBITDA numbers.
Parag Thakkar: The last question, Congratulations for achieving 20% ROCE and of course, the net debt is also very negligible. So definitely you will be looking for inorganic opportunities also, to grow your business, one thi ng which as a shareholder, as an

investor, I would like to say, is that whenever you do any inorganic acquisition or something, the ROCE metrics will be kept in focus, right?
Well, you will not compromise too much on ROCE even if you are exploring inorgan ic opportunities, right? Because you see, definitely EBITDA growth is paramount, of course, and the PAT growth also. But ROCE, you are saying that you are aspiring for 25%, which makes us very happy as a shareholder. So while exploring inorganic opportunit ies, ROCE will be a metric which you will consider, right?
Aakash Minda : Absolutely. Parag ji, we have very strong financial footings metrics internally approved by Board of Directors on capital allocation, and any kind of inorganic or capital allocation cannot dilute our ROCE. So ROCE above 20% is our prime capital allocation financial prudence .
Parag T hakkar: Excellent, sir. Thanks a lot. All the best.
Moderator: Thank you so much. The next question is from the line of Shweta from Arihant Capital Markets Limited .
Shweta: Yes. Good evening, sir. There is a couple of questions with regard to export revenue. So, with export sales like flat Y-o-Y, what additional measures the companies are taking to boost the demand in Europe and the U.S. space particularly in response to the subdued demand for die casting business?
Aakash Minda : Yes, Shweta. We are taking various measures. Of course, I will not be able to share them due to our competitive advantage in that. But yes, we are always on creating new avenues, opportunities on how we can grow our export ma rkets, whether for the existing older ones already or for the new businesses.
Shweta: So any specific growth targets for exports over the nex

t 12 or 18 months?
Aakash Minda : Ma'am, I can share with you that in the midterm to long term from current about 7% in our growth on the exports, we expect it to be ,and our target rather is to be about 10% to 15%. And in that respect, we already have the order book in place and we're continuously booking orders. I may not be able to comment in the next 12 to 18 mont hs, as there are various macroeconomic factors that are developing.
Shweta: And sir, could you please provide the breakdown of our export revenue by product segment if possible?
Aakash Minda : Ms. Shweta, if I may request you could get in touch with our IR team after this for a detailed breakup and we'll be happy to share whatever we can.
Shweta: Okay. Sure, sir. Thank you so much.

Moderator: Thank you so much. The next question is from the line of Shridhar Kallani from Axis Securities Limited .
Shridhar Kallani: So, I have a question regarding the order book, where you h ave mentioned that you have INR 4,700 crores , INR 4,750 crores of order book. If you could help us understand what is the end user segment mix for the same and annual peak revenues that we ca n generate from this order book ?
Aakash Minda : Yes. The annual peak revenue s typically are divided by 4 or 5 and t he peak value basically starts coming in from the second year after start of production. And again, in the automotive, once you win the business, typically, the start of production happens about 12 to 18 months from where we win the business.

So if we won t he business in H1 for about INR 4,700 crores divided b y 4 or 5, you can say about INR 1,100 crores that would start coming in from the 18 to 24 months from now and the peak value that we should come at 2.5 years from here on. But out of this INR 1,100 crores, it also depends on how much is replacement business and how much is new business. So that also plays a factor, and typically it's about 60 -40, 60 is new business and 40 is replacement business.

Shridhar Kallani: Understood. And sir, what woul d be the segment mix, like in the order book, 2 -wheeler order book, like percentage for 4 -wheeler and commercial vehicle, what would be the mix?

Aakash Minda : So it is in line with our current revenues. So again, 2 -wheelers and 3 -wheeler continues to be, I think, about 40% of the total order book, and 4 -wheelers is over about 20%, and the rest is the commercial vehicles and offroad .

Shridhar Kallani: Understood. And does the order book include any orders for the sunroof and closure systems ?

Aakash Minda : As I've explained before, we are setting up the facility there. So we are under advanced discussions with customers. Some of the product launches have been finalized already, been finalized with the customer. So I'll update as and when we will do that.

Shridhar Kallani: And my second question was regards to the commercial vehicle business. So, we mainly deal with MHCV segment or LCV segment, sir?

Aakash Minda : We're catering to all the segments of commercial vehicles, which is SCV or medium and even high c ommercial vehicles. So for the details of course, our IR team can give you. But yes we get into all these segments on the commercial vehicle , 1 ton s, 3 tons, 15 tons, will come in.

Shridhar Kallani: So my main reason to ask was at the ground level, how are you seeing the trajectory of the commercial vehicle business going ahead, since it has been subdued for quite some time over the past one year? How are the ground level purchase orders or anything you could share your trend view in the commercial vehicle space?

Aakash Minda : So I would request you to ask questions to the commercial vehicle OEM manufacturers. They can tell you better. For our customers, I cannot comment, but for the industry outlook, def

initely with the new government coming in and macroeconomic or the company , the infrastructure expense and the other investments that our government is doing, I think that definitely is going to improve.

If you see before a year, our mining quality as well as the 15% ext ra in terms of the weightage allowance that the go vernment has done is created extra capacity for the commercial vehicle segments. So as and when these policies as well as the government changes and increases the expenditure, I think you will start seeing commercial vehicles will pick up more.

Shridhar Kallani: And my last question is a bookkeeping question. With regards to employees as a percentage to sales, which we have seen a decrease in this quarter, has there any appraisals in accounting? Or there has been some reduction in employees or any major steps that we have taken with regards to the employees?

Aakash Minda : So I will ask our CFO to answer. But on the employee front, all I can share is that as an organization, we value the employees the most, and we are taking various measures strategically t o build our talent and capabilities and competency of people from within, from the lowest space even to the highest. So we are taking various measures in order for optimization, better productivity and talent growth from within the organization.

Moderator: The last question is from the line of Shailly Jain from Dolat Capital .

Shailly Jain: Sir, where do we stand in terms of localization and what are our targets for next coming one or two years for how are we localizing? And what steps are we taking on?

Aakash Minda : That's a very broad question. But if yo u look at our RMC, it's about 63% and we are not importing too much, but there are some commodities and components like semiconductors, displays and some connectors that we are currently importing from China, or if there are some directe d materials from o ur customers.

As a localization, we as an organization are investing in terms of building our capability as well as our supplier base in order to meet the localization or import challenges and creating competency within India.

So we continue to invest so me of the equipments as is their technology capabilities for offering localized positions to our customers and end products which we are really currently boarding and selling or for our backward integration in terms of the child parts of the components tha t I explained to you, which open up new avenues for us as a business segment as well as our creating competitiveness for our customers in terms of the electronics or connectors and other commodities.

So, I may not be able to give you a percentage or a number on the call at the moment. But we have created a small team in order to focus on increasing localization and reduction in import costs.

Moderator: Thank you so much. As there are no further questions, I would now like to hand the conference over to the management for closing comments.

Aakash Minda : Thank you very much and once again good evening for joining this call. I would like to again share that Minda Corporation is on the traj ectory to honor our commitments for existing and a sustainable growth on Q-o-Q and Y-o-Y basis. We are pivoting and building more competitive organization and investing further in our competency, capabilities and capacities in our manufacturing as well a s in our engineering footprint. Our focus is how we can invest and become a technology -led company in India, with focus on best operational excellence. Our growth focus is on how we can outperform the market as well as become t he leader when it comes to the financial parameters within the automotive segment. We continue to look for inorganic partnerships, and this is going to be a driving force for us going forward.

Thank you very much for joining us and calling and

we'd be hap py to take any questions outside. Thank you.

Moderator: On behalf of Nirmal Bang Equities, which concludes this conference. Thank you for joining us, and you may now disconnect your lines. Thank you.

Call: Feb 2025

February 12, 2025

The Officer -In-Charge (Listing)
Listing Department
National Stock Exchange of India Ltd.,
Exchange Plaza, Bandra Kurla Complex,
Bandra (East),
Mumbai - 400 051
Symbol: MINDACORP Head - Listing Operations,
BSE Limited,
P.J. Towers, Dalal Street, Fort,
Mumbai – 400 001
Scrip Code: 538962

Ref: Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015

Subject: Transcription of Conference Call with Investors/Analysts held on February 06, 2025

Dear Sir/Ma dam,

Please find attached herewith transcription of Conference call wit h Investors/Analysts held on February 06, 202 5.
Kindly take the same on record and acknowledge.
Kindly let us know if any other informat ion is required in this regard.

Thanking you

Yours faithfully,

For Minda Corporation Limited

Pardeep Mann
Company Secretary
Membership No. A13371

"Minda Corporation Limited
3Q FY25 Earnings Conference Call "
February 06 , 2025

MANAGEMENT : MR. AAKASH MINDA – EXECUTIVE DIRECTOR
MR. VINOD RAHEJA – GROUP CFO
MR. SAMEER SHARMA , GROUP HEAD, STRATEGY AND M&A
MR. NITESH JAIN – LEAD INVESTOR RELATIONS

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Moderator: Ladies and gentlemen, good day, and welcome to the Minda Corporation Limited Conference Call hosted by Emkay Global Financial Services. As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference please signal and operator by pressing star then zero on your touch -tone telephone. I now hand the conference over to Mr. Chirag Jain, Emkay Global Financial Services. Thank you, and over to you, sir.
Chirag Jain : Thank you, Fara h. Good evening, everyone. On behalf of Emkay Global Financial Services, I would like to welcome you all to the Q3 FY25 Earnings Conference Call of Minda Corporation Limited. Today, we have with us from the management team, Mr. Aakash Minda , Executive Director; Mr. Vinod Raheja, Group CFO; Mr. Sameer Shar ma, Group Head, Strategy and M&A; and Mr. Nitesh Jain, Lead Investor Relations.
I'll now hand over the call to the management for their opening comments, post which we'll open the floor for Q&A. Over to you, sir.
Aakash Minda : Good afternoon. Thank you, Chira g, and thank you, Emkay Global Financial Services for hosting the call. Good afternoon, everybody, and welcome to the Q3 and 9M FY25 Earnings Conference Call for Minda Corporation. I hope you are all doing well. It is a pleasure to connect with you today, and I look forward to presenting the group's performance for the quarter and offering insights into recent developments.
In Q3 FY25, the Indian automotive industry exhibited mixed performance across segments. The 2-wheeler market maintained its upward traj ectory, driven by strong demand in both urban and rural areas. The passenger vehicle segment showed steady growth, driven by strong growth during the festive seasons and enhanced discounts in various segments.
The commercial vehicle sector faced headw inds due to prolonged monsoon delays and low infrastructure spending leading to sluggish demand. Meanwhile, the tractor segment registered modest growth as rural demand rebounded. The EV 2 -wheeler registration for the quarter increased by 37% year -on-year.
Com ing to the financial performance highlights for Minda Corporation. For the Q3 FY25, Minda Corporation delivered consolidated revenue of INR 1,253 crores, an increase of 7% year -on-year basis. On 9M FY25 , the company delivered consolidated revenue of INR 3,735 crores, an increase of about 9% year -on-year basis. I would like to also share that Minda Corporation's domestic OE business grew by double -digit year -on-year.
However, this was partially offset by subdued export s demand from particularly European mark et, the slowdown in ASEAN countries, and a downturn in the commercial vehicle segment.
In terms of profitability, the company reported an EBITDA of INR 144 crores at an EBITDA margin of 11.5% for the quarter. This is the highest -ever EBITDA margin, which is in line with our consistent and sustainable performance goals.

Profit before tax for the quarter stood at INR 90 crores with a margin of 7.2% and PAT of INR 65 crores with a PAT margin of 5.1%. Key recent developments include order wins in Q3, and lifetime order wins exceeding INR 1,250 crores with EV platforms contributing over 25% of these wins.
For the first nine months of the year, our order book surpassed INR 6,000 crores, reflecting an expanding product portfolio, product premiumization, and rising demand for both IC E and EV products across customers and across segments.
Second, strategic partnership with Flash Electronics. I'm happy to share that we have completed the transaction, where Minda Corporation formed a strategic alliance with Flash Elect ronics to accelerate the growth of making the larges

t EV platform in the country.
As part of this partnership, Minda Corporation acquired a 49% stake in Flash Electronics. The synergy between both companies between Minda Corporation's expertise in automoti ve body electronics and Flash Electronics' strength in engine and powertrain electronics would enable the creation of a comprehensive and technology -advanced portfolio and an organization.
Third, Minda Corporation was honoured to receive the National Award for its flagship CSR initiative Saksham. The receiving ceremony took place, and we were given the award by the Honorable President of India. I will now take you through the presentation covering the key highlights for our Q3- and nine-months performance. I request you to refer to these slides, which were uploaded.
We refer to Page Number 2, which shows Minda Corporation at a glance. So for those who have already seen, I will not repeat, but for the people who are new, this is a snapshot where we have now more than INR 4,600 crores of revenue, INR 514 crores of EBITDA of last year, 17,000 people. We have five business verticals.
Engineering focus is on having now more than 900 engineering headcounts, 290 + patents, 4% R&D spend, two advanced technical centers, and seven engineering centers. We have more than

ten partnerships and a financially stable company.
Moving to the next slide, which shows the Indian automotive industry performance for the quarter on a year -on-year b asis. The automotive industry grew by about 6.5%, whereas 2 - wheelers grew by about 8%. Passenger vehicles grew by about 2.8%. 3 -wheelers were sluggish. Commercial vehicles also de -grew and tractors grew by about 12%.
For the nine months, on a year -on-year basis. The overall industry grew by 10%. The 2 -wheeler grew by about 13%. The passenger vehicle industry grew by about 2.5%, 3 -wheeler by 4%, commercial vehicles declined by about 6% and tractors grew by about 5%.
For a quarter -on-quarter basis, the auto i ndustry saw a decline on a quarter -on-quarter basis due to various reasons. Going on to the next slide, which shows a glimpse of where the Spark Minda Group and Minda Corporation had exhibited in the Bharat Mobility Show from 18 th to 21st of January in Del hi NCR. I'm happy to share that the group got a very positive response from the customers, suppliers, partners, and investors.

Moving on to the next slide, which is Slide 4, which shows the key strategic developments for the quarter and nine months. For the quarter, the quarterly revenue was about INR 1,253 crores. We achieved the highest -ever EBITDA margin at 11.5% with a growth of 32 basis points year - on-year basis. The total lifetime order book was more than INR 1,250 crores.
The honorable President of India conferred a National Award to Minda Corporation for its marquee program and capacity expansion in the die-casting division, instrument clusters, and other EV products to cater to the growing demand. I'm also happy to share that Fitch has upgraded Minda Corporation from AA - to AA.
For the nine months, the revenue grew by 9% despite various challenges . EBIT DA margin stands at 11.3%. The total lifetime order book exceeds INR 6,000 crores. We signed two strategic partnerships in the first nine months, which is with HCMF for sunroof and power tailgates and Sanko for high -voltage connectors for the wiring harnes s business. And we filed 17 patents, taking the total patents to 290 + for Minda Corporation.
Moving on to the next slide, which shows an update on the strategic partnership with Flash Electronics, which was signed on 15th January. I'm happy to share that t he proposed transaction is already completed, where Minda Corporation has acquired a 49% stake in Flash Electronics and its subsidiaries, and the respective amount of INR 1,372 crores has been paid all in cash.
I would like to share

that Flash Electronics is a leading manufacturer of powertrain and EV components to key automotive OEMs in India and overseas. The transaction is valued at INR 3,100 crores.
Minda Corporation acquired a 49% stake. Post this, the net debt to equity in the short term will be 0.6x, and pro forma net debt to pro forma EBITDA is less than 1.8x. Enrich the strategic rationale of adjacent product portfolio, complete system solutions offering in the electric vehicle segment, and it is focused towards customer capability and capacity -centric collaboration.
Moving on to the next slide. We are showing the key performance highlights for the quarter, where the operating revenue has grown by 7.4% year -on-year basis. Gross margin has grown by 66 basis points to 38.4%. EBITDA for the quarter stan ds at INR 144 crores, which is a 10.5% increase year -on-year basis. And EBITDA margin is the highest at 11.5%, which is a 32-basis points year -on-year increase.
PBT for the quarter stands at INR 90 crores with an increase of about 19.2%. PBT margin stands at 7.2%, which is a 67 basis points increase. PAT stands at INR 65 crores, which is a 23.5% increase year -on-year and PAT margin is about 5.1%, which is again a 64-basis points year -on- year incre ase. Based on this, the Board of Directors has recommended an interim dividend of 25% on the face value.
Moving on to the next slide, which is Q3 and nine months performance. So revenue for the quarter has grown by 7%, whereas the EBITDA on the same period has grown by 11% and PAT has grown by 23%. On a nine months basis, the revenue has grown from INR 3,436 crores to INR 3,735 crores, which is a 9% growth, whereas the EBITDA has grown by 12% from INR 376 crores to INR 422 crores for the first nine months a nd has an EBITDA margin from 10.9%

to a sustainable 11.3%. And PAT margin has grown by 30% from INR 156 crores to INR 203 crores, increasing the PAT margin from 4.5% to 5.4%.
Moving to the next slide on the business vertical performances. In the Mechatroni cs and Aftermarket division, on a year -on-year basis, the revenue has grown for the quarter from INR 576 crores to INR 608 crores. While the quarter -on-quarter has come down due to the sluggish

demand in the exports and stood out in the ASEAN market.
Where as on a nine-month basis, the revenue has grown from INR 1,663 crores to INR 1,821 crores, marking a 10% increase. On the Information and Connected Systems, there is a 9% growth year -on-year from INR 590 crores to INR 645 crores. And whereas on a nine-month basis, INR 1,773 crores has grown to INR 1,914 crores and the quarter -on-quarter revenue was sluggish due to the downturn in the CV segment.
Moving on to the next slide, which shows the revenue breakup by -products. Wiring harness continues to be about 33% of the revenue. Vehicle access products is about 24%. The die -casting divis ion is about 15% Clusters is about 15% and others are grown from 8% to 13%, which includes products in the EV area as well as other product lines.
By geography, India continues to be the majority of the business with about 87% to 88%, followed by exports a t about 8% and our ASEAN operations have about 5%. By end market, 2 - and 3 -wheelers for the first nine months continue to be about 47% commercial vehicles to be about 27% to 28%, Aftermarket in the range of 11%, and passenger vehicle is about 15%.
Moving o n to the next part, which is on the ESG, where we, as an organization, are working towards sustainable operations, care for people, ethical business, inclusive growth, and responsible value chain. I request you to go through the slides, and we will share w ith you in the next coming quarters on how we are coming up with our sustainability goals.
As in the next slide, which shows the picture of the Honorable President of India awarding Mrs. Sarika Minda for the Spark Mi

nda Foundation under the SAKSHAM program as well as Minda
Corporation receiving a prestigious award, which is the Helen Keller Award for the year.
The next slide shows the various corporate social responsibility programs that we have done throughout the quarter. The next slide shows the various awards that we have received from customers and industry bodies in the continuous areas of operational excellence, supplier development, HR, and others. And I'm very happy to share in Q3, Minda Corporation has been awarded a Great Place to Work.
With this, I request you can follow the next slides in terms of the annexures, which show the consolidated profit and loss statement, historical income statement as well as about the group profile in the next slide. I would now request to open the floor for the ques tions. Thank you.
Moderator: The first question is from the line of Raghunandhan from Nuvama Research.
Raghunandhan: Sir, firstly, several new products and focus areas were highlighted at the Auto Expo. Can you talk about key growth areas, the top three product segments where you see good traction ahead?

Aakash Minda: Hi Raghu. Thank you for visiting the Auto Expo. Our g rowth areas besides our legacy businesses, which is in the area of vehicle access, driver information systems, wiring harnesses, die casting, and electronics. All these product lines are moving towards premiumization. And therefore, you are seeing in these areas is where the growth is coming from, followed by some of the new products that we have launched in these verticals itself, which are on the EV power electronics front as well as then the EV charging stations.
Number two is on the Intelligent Transpor tation System, which is coming from the electric vehicle bus segment. Number three is other electronics such as wireless chargers, telematics and other product lines.
Raghunandhan: Continuing the point on premiumization, can you talk about how you have see n the share of smart keys increase in your safety systems revenue and how you have seen digital clusters share increase in overall clusters? Trying to understand how content per vehicle can keep increasing and any targets also for the future, which you can talk about.
Aakash Minda: So Raghu, in terms of the smart keys, this continues to be about 7% to 8% of our revenue of our Vehicle Access division. And in the next quarters to come, this is expected to grow on a consistent basis, while there are new launches, product launches as well as more penetration increases in the IC E as well as EV vehicles. When it comes to the instrument clusters, the analog clusters are moving towards the TFT clusters.
Currently, in our Minda Instruments portfolio, this also continues to be about close to 8% to 10% of our revenue when it comes to the new or next -generation clusters with this TFT in the various sizes, which are connected and other electronics in the driver information system space.
Going forward, they will be h aving a larger penetration in the 4 -wheeler segment on the TFT side.
Raghunandhan: Coming to the tie -up with Flash, if you can talk about product readiness was showcased, especially for motors in the non -2-wheeler , PV and CV segment. Has there been any ord er wins?
How do you see the potential for this business? And that is more of a medium -term question.
And in the near term, how do you see the synergies panning out between Minda and Flash leading to cost savings? And if you can talk about FY26, how can the re be revenue potential of sales from Minda to Flash?

Aakash Minda: Yes. So I think a couple of questions on that front. But just to share with you, if you refer to Page 26, which shows the combined solution as an illustration for a 2 -wheeler portfolio of Minda Corporation along with Flash Electronics. So the current kit value being offered, which is already

in mass production and supplied to various customers is in the range of INR 30,000 to INR 35,000 per 2 -wheeler.
Of course, this is expected to grow when there is more integration and where there are more advanced products, which are coming in terms of a system solution and kit value offering by combining the products of Minda Corporation and Flash to various customers. Number two is when it comes to t he 4-wheeler and other segment vehicles, there are products which are already ready with Flash electronics when it comes to motor and motor controller.

We are already engaged with various customers on that. And number two, in the power electronics space, w here Minda Corporation has already developed products, we have already won orders. We have now products that are already going to be in mass production by the end of FY26, where we've already won orders. Sorry, can you repeat the third question, please?
Raghunandhan: The revenue potential for Minda to Flash in FY26 or over the next 2, or 3 years, how do you see the ramp -up?
Aakash Minda: Yes. So Flash Electronics has been growing at a constant rate of about 17% to 18%, and we expect them to grow in a simila r range in the next few quarters to come. Of course, with new and new products and more and more synergies coming from Minda Corporation and Flash Electronics together, we expect to grow this together even higher jointly.
Raghunandhan: I was referring to h ow much can be the sales which Minda can do to Flash? Can it be INR 200 crores to INR 300 crores per annum?
Aakash Minda: Sorry, can you repeat the question, please?
Raghunandhan: How much revenue can Minda generate from sales to Flash sourcing from each o ther?
Aakash Minda: There are various avenues of synergies from the way of cross -selling in terms of die -casting products, wiring harnesses, electronics, and of course, more importantly, a system solution offering to the end customers, which is going to ma ke both of us competitive. So, we expect by 2030, this number is in the range of about INR 500 crores to INR 600 crores.
Moderator: The next question is from the line of Mitul Shah from DAM Capital.
Mitul Shah : Congratulations on a record -high 11.5% EBITDA margin. Sir, my first question is on your R&D and investment, which is almost more than doubled in FY24, how that is shaping up in the first nine months? And what would be this as a percentage of sales going fo rward? And in context with that, we already have 290 -plus patents filed. So, what is the status latest update on that side?
Aakash Minda: Yes. So in the previous years, we've been spending about 1.5% to 2% in our R&D. Now as an opex and capex put together, we are investing close to about 4% or north of 4% in the R&D.
And this year, of course, in the FY26 also, we expect to continue in a similar range. In the first nine months of the year, FY25 also, we've invested in similar lines, where we have set up a ne w R&D center as well as expanded the areas of products into the areas of the design studio.
As well as the integration of product lines, and EV products and strengthening the competency, capabilities, and capacities of our products that we have developed a cross verticals to cater to the customers. So, we expect to come up with more product lines coming out of the advanced tech center in the areas of connected, electronic, electric, and safe mobility.
Mitul Shah : Any number on the patents?
Aakash Minda: Yes. So in the first nine months, we filed 17 patents and now the patent count is 290 plus.

Mitul Shah : Sir, the second question is on localization, particularly on the wiring harness side, how it is shaping up, and how the margins for that segment are on a directional basis. Similar to that, considering the previous

question of Raghu on the new products, which we displayed maximum of them were like electronic item and all those new -edge technologies. So going forward, there is a possibility of import content further increasing. So how do you see in terms of the revenue growth through that versus margin compromise to some extent due to import content?
Aakash Minda: So in terms of the wiring harness, as we've always shared before that we have taken various initiatives for the localization of the connectors in India, number one. And then, more importantly, coming from Minda Corporation. So, we have invested in the past few quarters and years in developing our own competency capability.
In the last two quarters, the connectors consumption coming out of Minda Corporation connector

division for our wiring harness has come to about 15%. And so the dependence on imports has constantly gone down. And now the imports stand at about 50% and domestic is about 5 0%, out of which 15% to 16% is the domestic consumption coming from Minda Corporation design and development capabilities.
Moving on to your next question, when it comes to the new product lines, yes, the import content when the new products are coming in, such as more electronics is going to increase, particularly on the semiconductors. So until they are made available locally in India, we have to be reliant on global companies.
There are other products which are such as connectors and displays and other e lectronic items, which we are continuously evaluating on how we can localize to derisk our supply chain as well as gain localization benefits that the government also happens to offer.
Mitul Shah : And last question on the debt side post this Flash deal. Ho w do you see debt going two years down the line? And what would be the comfortable debt -equity level where we believe that it's within the range?
Aakash Minda: So I think the current debt level is going to be about 0.6x our debt -to-equity ratio, which is w ell within our comfortable financial prudence that we have set for our organization. And going forward, of course, there will be various options that one can evaluate. And more importantly, Minda Corporation is generating enough free cash flow and cash gen erating to look at how we can reduce this going forward. So, I think from our side, we are in a very comfortable position, not hampering the balance sheet.
Moderator: The next question is from the line of Karan Kamdar from DRChoksey Finserv .
Karan Kamdar: Sir, I have a more general question on the industry. Where do you see the CV industry going forward? And can we see some signs of the pickup of the CV industry?
Aakash Minda: So, we believe that the CV industry should bounce back in the next recent quarters to come. But of course, we are expecting a single -digit growth in the next few quarters. As per our planning, that's what we look at.

Karan Kamdar: And sir, like recent kind of the numbers, auto numbers have also been going down. Do we foresee any impact in the coming quarters in the Q4 or Q1 of FY26? Will there be any impact due to the auto numbers going down? Or will that remain stable?
Aakash Minda: Which numbers going down, sorry?
Karan Kamdar: Auto. 4 -wheeler.
Aakash Minda: No. So again, the 4 -wheeler, I think, is in the right space where, of course, new product launches and other products are coming up. And if you see that all OEMs are expanding capacities all across India. So I think this is a segment which at least in the midterm to long run, will definitely grow. And all the reports show that the 4 -wheeler is expected to be about 7 million to 8 million vehicles by 2030. So, a modest growth is expected over the next few ye ars.
Moderator: The next question is from the line of Chirag Jain from Emkay Global.
Chirag Jain : Aakash, just wanted your sense of how, let's say

, what kind of growth we can expect over the next two, three years at a broader level. And especially on EBITD A margins, now we are already at 11.5%, which is your all -time high EBITDA margins. Do we see further scope for margins to improve for the next two, or three years?
Aakash Minda: So, Chirag, we have always been wanting to outperform the industry, and that is where we commit to ourselves and to everybody at large. And if you see in the current quarters as well, we have been delivering the growth, which is for the domestic OE market. But due to the export market being sluggish and the local commercial vehicle segment, which is where we have about 27% dependence is kind of pulling us.
But even if all these various different segments are expected to be stable, this should be easily giving Minda Corporation the desired growth, which is outperforming the market. In the midterm to long term, our objective is how we can grow 1.5x the industry. And with the order book and with the investments and capacities that we have done with technology and people, we are well within the place to harvest the growth, which is expec ted if these segments come positive.
On the EBITDA side, we have come over the past few years on consistent and sustainable numbers. So while we are very happy to share that we have done an all -time high percentage, we expect this to be stable and then gro w in the times to come.
Chirag Jain : Any update on the sunroof and closure system project as well, if you can share?
Aakash Minda: Yes. So we have been under discussion and our products are under testing validation at a couple of customers. So as and when there is a further development, I'll let you know.
Moderator: The next question is from the line of Shailly Jain from Dolat Capital.
Shailly Jain: Sir, where do we stand in terms of our Smart Key business? How are we progressing on that part? Have we got a ny orders on that front?

Aakash Minda: Yes. Hi, Shailly, as I mentioned, we are doing about 7% to 8% of Smart Keys, our total Security division, about 7% to 8% of revenue comes from the Smart Key businesses while more and more penetration of the new product launches are going to come in, in terms of IC E and EV, this penetration is expected to grow further as what we have already shared previously by 2030 and beyond.

Shailly Jain: And how are we looking at FY26 for us? Any targets?

Aakash Minda: In ter ms of?

Shailly Jain: Our revenue and margin target.

Aakash Minda: So I just explained this in the previous question, but we would definitely want to grow 1.5x the industry. So while the industry is expected to grow about 6% to 7% over the next financial year, we are in position in order to achieve our goals and targets. Of course, the segments that we have our order book from also if they come into the growth segment, this will boost our growth going forward.

So definitely, the commercial vehicle segment and the export segment where we have a dependency, if they are not fac ing headwinds, we will definitely grow faster than the industry.

Shailly Jain: Yes, sir. Any specific targets for exports?

Aakash Minda: Currently, we are about 8% to 10% of our revenue. And as an organization, we would like to grow this much higher than t he domestic growth. So while we have the order book, we would like to take it to about 15% in the midterm to long run for our overall revenue side.

Moderator: The next question is from the line of B hushan, an Individual Investor .

Bhushan: Sir, my question was regarding margins. So Minda has delivered the highest quarterly margin. So what were the key drivers behind this performance? And was it the function of operating leverage, product mix or cost efficiency?

Aakash Minda: So there have been various factor s where we have been constantly working. If you look at our journey of

the last many quarters and years, we've been focusing on operational excellence in various divisions. Of course, one of the most important areas have been our wiring harness division, w here previously, they have been an underperformer. But I'm happy to share that in line with our commitment, we'll be able to bounce back in that business .

And gain more orders as well as become more efficient and the help of localization of the products and connectors is coming into play. Of course, when there are now economies of scale coming from the new product launches as well as the premiumization of the products is coming into the aspect.

And of course, while being in the operational and ma nufacturing industry, we continue to invest in our operational excellence and work closely with our suppliers in becoming more efficient in order to achieve these. So this is how we plan to also sustainably and consistently go forward.

Bhushan: And the sec ond question was regarding the industry prospects. So how do you see the competitive intensity and the key growth drivers for the company in the coming quarters? And how do you see the order book shaping up specifically from the EV segment?

Aakash Minda: Did you ask about the industry growth and the EV segment per se?

Bhushan: Is the order book shaping up for the product portfolio, specifically on the EV segment?

Aakash Minda: Yes. So currently, if you look at 2 -wheeler industry per se, penetration is about 5% to 6% on the overall industry. And at Minda Corporation, also the EV platforms or products are about 5% to 6% of our overall revenue. Of course, when you now combine in Flash, this is much higher, close to about 10% to 12%. And in terms of Flash Electr onics itself, it is a much higher portfolio. More than 20% of the revenue comes from the EV products.

Going forward, consistently, we have been winning businesses, all the products which are on the IC E, EV as well as other segments, which are hydrogen or e tc. All of our product lines are, again, engine agnostic. So, whether it is the instrument clusters or security systems or wiring harnesses or die casting or other electronics are going to become more electronics and premium when the EV shift happens or th e premiumization of the industry happens itself.

Bhushan: And you have also mentioned the premiumization of the products. So do you expect further room for margin expansion?

Aakash Minda: So of course, while we continue to start launching our new products of the order wins that we have done, with the better economies of scale and better experience in those product lines, we will definitely continue to enhance our margins and make money for all of us.

Moderator: The next question is from the line of Munindra Upadhyay from Elara Capital.

Munindra Upadhyay : So my question was related to exports. So on the export side, are we seeing any green shoots

visible for the coming quarters or so? Or any recent developments just to understand more color
on the current ongoing weakness on the export side. Any color would be helpful.
Aakash Minda: Yes. I think in the past year -on-year basis, our exports as a revenue have been going down, but
happy to share that on a quarter -on-quarter basis, it is flat. As we have shared whatever ways we
could expect they are there. But of course, with the new geopolitical concerns, it is in somewhere
opening us opportunities. But of course, somewhere they could become challenged in terms of
the American market, however, the future comes up with.
So we are also continuously evaluating the situations, but our focus right now is to win order
book for the various products and various customers that will help us grow on the tide when it
comes.
Moderator: The next question is from the li ne of Mitul Shah from DAM Capital.
Mitul Shah : Sir, I have two questions. The first one

is on revenue breakup segment -wise. Other segment has
gone down from 13% to 8% in nine months FY25 versus last year's nine months. So within
others, which is a major dr iver or any further explanation on this?

Aakash Minda: Yes. When it comes to others, it is comprised of various product lines. So please pardon me, I
will not be able to share the various details. But there again, the smaller segments and smaller
businesses combine this other, which is the Tata Motor division, which is the electronics, which
is the Intelligent Transportation Systems, and the EV products.
So definitely, some have increased, some have gone down due to the export challenges, which
are somewhere dependent extremely on the export side as well. So that is where the other
segments have grown particularly. So there are sensors, for example, and other product lines. So
that is where it's a mix where it has gone from about 8% to 13%.
Mitul Sh ah: Actually, it has gone down, sir, from 13% to 8% as per the presentation.
Aakash Minda: Yes, sorry. It has gone down again because they have been more on the exports front. There
have been some particular product lines as well as some of the customers t hat we had won orders
from, particularly in the new age OEMs have not done well particularly on the EV products or
one or two product lines that are there. So that has been the reason why they have come down
from 13% to 8%.
Mitul Shah : And second question is on further margin expansion. Among all these five verticals, which
vertical or which segment do you see maximum margin expansion possible two or three years
down the line? Or how would be the order in terms of the margin improvement scope within all
these five verticals?
Aakash Minda: Yes. So the highest opportunity would have been the wiring harness, and that, again, continues
to be the area of much more improvement per se. Definitely, the divisions which have a greater
number of exp ort orders with the sales coming in from these segments will improve our margins.
When it comes to the electronics segment, that is where when we will get further economies of
scale and more penetration into the market, which is where we would expect those segments.
But yes, as a blended margin, which is where we particularly share about, we'd expect it to be
sustaining these numbers in the quarters to come.
Mitul Shah : Lastly, may not be the number, but within all these verticals, where do you see highest capex
spending over the next two, three years, capacity expansion within all these five verticals , which
one would see the maximum capex ?
Aakash Minda: Yes. So in our portfolio, the highest capex comes primarily from the die -casting division. And
that is w here the highest investment is probably expected. Also in the areas of Electronics, which
is, again, across various segments, or across various verticals because everything is becoming
more electronics per se. So these are the two major avenues. One is die casting and the second
is electronics.
Moderator: As there are no further questions from participants, I now hand the conference over to the
management for closing comments.
Aakash Minda: So thank you very much for joining the call. We remain highly confident in our growth
trajectory, both in the near an d the long term, driven by strategic investments and an unwavering

commitment to advancing our products and technologies. The union budget announced by the
Honorable Finance Minister is a progressive and growth -oriented budget, and we are very
confident th at this will further boost the Indian automotive industry and Indian economy, of
course, giving opportunities for Minda Corporation.
We are dedicated to customer -centric, meaningful solutions, which will create absolute value
and create value for va

rious s takeholders and shareholders. Thank you very much for joining
this call. And if there are any questions, please may reach out to our investor itself. Thank you
very much.
Moderator: Thank you very much. On behalf of Emkay Global Financial Services, that co ncludes this
conference call. Thank you all for joining us, and you may now disconnect your lines. Thank
you.

Call: May 2025

May 30, 2025

The Officer -In-Charge (Listing)
Listing Department
National Stock Exchange of India Ltd.,
Exchange Plaza, Bandra Kurla Complex,
Bandra (East),
Mumbai - 400 051
Symbol: MINDACORP Head - Listing Operations,
BSE Limited,
P.J. Towers, Dalal Stree t, Fort,
Mumbai – 400 001
Scrip Code: 538962

Ref: Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015

Subject: Transcription of Conference Call with Investors/Analysts held on May 27 , 2025

Dear Sir/Madam,

Plea se find attached herewith transcription of Conference call wit h Investors/Analysts held on May 27 , 202 5.

Kindly take the same on record and acknowledge.

Kindly let us know if any other informat ion is required in this regard.

Thanking you

Yours faithfu lly,

For Minda Corporation Limited

Pardeep Mann
Company Secretary
Membership No. A13371

"Minda Corporation Limited
Q4 FY25 Earnings Conference Call"

May 27, 2025

MANAGEMENT : MR. AAKASH MINDA – EXECUTIVE DIRECTOR
MR. VINOD RAHEJA – GROUP CFO
MR. SAMEER SHARMA – GROUP HEAD, STRATEGY & M&A
MR. NITESH JAIN – LEAD INVESTOR RELATIONS

Moderator : Ladies and gentlemen, good day, and welcome to the Q4 and FY25 Results Conference Call of Minda Corporation Limited , hosted by ICICI Securities Limited. As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded. I now hand the conference over to Mr. Ronak Mehta from ICICI Securities. Thank you, and over to you, sir.
Ronak Mehta: Thank you, Puja. Good evening, everyone. On beh alf of ICICI Securities, I would like to welcome you all to Q4 FY25 Earnings Conference Call of Minda Corporation Limited. Today, we have with us from the Management Team , Mr. Akash Minda Executive Director; Mr. Vinod Raheja Group CFO; Mr. Sameer Sharma Group Head, Strategy and M&A; and Mr. Nitesh Jain Lead Investor Relations. I would like to thank the Management for giving us this opportunity. I will now hand over the call to the Management for their opening comments, post which we will open the floor for Q&A. Over to you, sir.
Aakash Minda: Good afternoon, everybody. Thank you, Ronak, and thank you, ICICI Securities for hosting this call. Good afternoon, everyone, and welcome to the Q4 and FY25 Earnings Conference Call for Minda Corporation Limited.
I hope yo u are all doing well. It is a ple asure to connect with you today and present the Company 's performance for the quarter and the full financial year, along with the key developments across the businesses.
Before we begin, I woul d like to take a moment to introduce Mr. Ajay Agarwal, who has joined us as President, Finance and Strategy. Mr. Agarwal is a chartered accountant and lawyer, brings over 24 years of experience in the areas of strategy and finance. We believe his commercial acumen; capital market expertise and strategic mindset will b e key in shaping the next growth phase of our group. We would like to welcome him.
As FY25 concludes, the Indian automotive industry continued to navigate a dynamic environment with resilience. Amidst global macroeconomic challenges, the industry demonstra ted stability, particularly in key vehicle segments. The 2 -Wheeler segment recorded steady growth, led by premiumization, higher EV adoption, improved financing access and deeper urban penetration. Passenger vehicle demand was driven by a consumer shift to wards SUVs and hatchbacks. The Commercial Vehicle segment saw a 3.3% decline in production volumes, impacted by infrastructure projects and delay in monsoon disruptions.

In contrast, the Tractor segment posted modest growth, aided by favorable rural sentim ent, government support and a good monsoon. Overall, the industry delivered about a 6% Y-o-Y growth in Q4, underpinned by increased EV traction, product premiumization and rising consumer affordability.
Now reflecting on the Company performance :
Minda Corporation continued to strengthen its market position in Q4 FY25 . The Company surpassed consensus estimates, delivering the highest -ever quarterly revenue of INR 1,321 crores, a growth of 9% on a Y-o-Y basis.
The Company reported highest -ever EBITD A of INR 153 crores, along with the highest ever margin of 11.6% for the quarter, demonstrating strong operational execution and the effectiveness of our strategic initiatives.
Profit before tax for the quarter stood at INR 65 crores with a margin of 4.9% . PAT for the Q4 FY25 stood at INR 52 crores with a PAT margin of 3.9%. This was impacted by higher finance costs associated with the strategic investment in flash electronics and increased depreciation stemming from ongoing capacity expansion and technolog

ical upgrades. These strategic investments are expected to deliver and drive accelerated growth in the future.
For the full year FY25, the Company delivered highest ever annual revenue of INR 5,056 crores, registering a growth of 9% Y-o-Y basis. The Company reported highest EBITDA of INR 575 crores, a growth of 12% Y-o-Y with a margin expansion of 31 basis points, with PAT for the full year stood at INR 255 crores, making a growth of about 12.5% Y-o-Y basis.
These results reaffirm the Company 's focus on sustainable growth and consistent profitability through growth -oriented capital allocation strategy. Our strategic initiatives continue to drive growth and enhance our competitive position in the FY25 .
Some of the key highlights are:
• In January 2025, Minda Corporation entered into a strategic partnership through the acquisition of 49% stake in Flash Electronics, a key player in powertrain and EV

components in India. It is designed to offer complete system solutions and capture a greater share of the fa st-growing Automotive and EV segment in India. This partnership opens up a new avenue for diversification through partnerships, adding powertrain and powertrain electronics as a new avenue for growth for the Company .

• During the year, the Company booked lif etime orders exceeding INR 8,000 crores with approximately 25% of new orders coming from electric vehicle platforms. This

underscores our increasing traction in the new energy vehicle, which continues to be our strategic focus area. In Q4, EV sales stood a t about 8% of the Minda Corporation's total revenue and on a full year basis, it is approximately 7%.

• Flash Electronics has its 23% of its revenue coming from EV products, which is a 92% growth over the previous year. The Company also filed 30 new patents during the year, taking our total IPR portfolio to over 300, further strengthening our leadership in automotive innovation. These patents cover a wide range of products and technologies.

• Lastly, our commitment to innovation remai ns central to our strategy, where we invested over 4% of our revenues on R&D initiatives through our in -house R&D center in Pune and Bangalore, supported by a team of more than 900 focused engineers on next -generation automotive technologies.

Looking ahea d, we remain focused on executing our strategic priorities. Our efforts to enhance system solutions offering, strengthening our customer relationships and investing in new technologies , and strong focus on operational excellence will continue to drive the growth in FY26 and beyond.

Now I will take you through the presentation, which is uploaded online. I request you to look at Page #2, which shows the snapshot of Spark Minda Group :

At the full year, we had about INR 7,500 crores at group level and consolida ted revenue stands at INR 5,056 crores with 32 plants, more than 18,000 people and 5 business verticals. We have 6 joint ventures and 5 technical license agreements across the world.

Moving on to the next slide, which shows the Indian automotive industry performance :

For the Q4, we can see the industry grew about 6% Y-o-Y basis, driven by a strong growth of about 5.8% in 2 -wheelers. On a full year basis, the overall industry grew by 9%, led by 2 - wheeler industry growth by about 11%.

Moving on to t he next slide s on Q4 and the full year business performance, key strategic developments :

For Q4, the Company delivered its highest quarterly revenue of INR 1,321 crores, delivered also the highest ever EBITDA margin at 11.6%, which is a growth of 17 basis points. We secured multiple export orders for wiring harness in particular, with lifetime order book of INR 700 crores. We acquired 49% stake in Flash Electronics, where the transaction stands now completed. We also filed more than 13 patents during the quarter.

For the full year, the overall revenue grew by 9%, we delivered the highest ever EBITDA margin at 11. 4%, secured lifetime orders worth more than INR 8,000 crores during the full year, signed 3 new strategic partnerships, filed more than 30 patents taking to 300 -plus now.

Moving to the next slide, which shows a snapshot of the capex in our new facilities :

From the top left, we can see the die casting facility coming up in Pune, which is our fifth plant. On the extreme right, you will see the die casting Greater Noida facility in North, which is our 4th plant. Brownfield expansion in our Starter Motor Altern ator division in North India. In the bottom left, you can see our third plant of Minda Instruments, which is the instrument cluster plant, the new shifting of the Spark Minda Technology Center, and last not the least is the Wiring Harness Component divisio n for the localization of our connectors is also expanded and facilities set up.

Moving on to the next slide, which gives a snapshot on the performance of Flash Electronics :

In line with our estimation, Flash Electronics has delivered INR 1,537 crores for the full year. EBITDA at about INR 223 crores with EBITDA margin of 14.5% and EV revenue stands at 23%, which is a 92% growth on a Y-o-Y basis. They have 2 large verticals, which is the electrical and electronics and powertrain components. They have 6 faci lities in India and 2 facilities in Germany and Hungary with a technical center in Poland.

On the right side, you will see the revenue has grown from INR 1,340 crores to INR 1,537 crores, which is a jump of 15% and EBITDA has grown from INR 198 crores to INR 223

crores, which is a jump of 12% and at a 14.5% margin. And the PAT margin has gone to 5.6% with a PAT at INR 86 crores.
Moving on to the next slide, which shows the financial highlights of Minda Corporation :
For the quarter on the top, you will see the revenue has grown 9% from INR 1,215 crores to INR 1,321 crores. At EBITDA, we have grown from INR 139 crores to INR 153 crores from 11.4% to 11.6%. And at PAT margin, we have gone from INR 71 crores to INR 52 crores, where we can explain late r on account of the interest cost due to Flash Electronics investment.
On a full year basis, the Company revenue has grown from INR 4,651 crores to INR 5,056 crores, which is a growth of 9%. And EBITDA has grown by 12% from INR 514 crores to INR 575 crores , a jump of 30 basis points from 11.1% to 11.4%.

And PAT margin goes from INR 227 crores to INR 255 crores. In view of this, the Board of Directors has recommended a final dividend of 45% on the face value, that is INR 0.90 per equity share, totaling to 70 % on the overall.
Business vertical performance on the next slide :
So our Mechatronics and Aftermarket division grew from INR 590 crores to INR 654 crores, marking an 11% jump. And Information and Connected Systems moved from INR 625 crores to INR 667 cror es, showing a 7% jump.
On a full year basis on the right side, the Mechatronics division has increased its revenue by 10% from INR 2,251 crores to INR 2,475 crores , and the Wiring Harness and Instrument Cluster division has grown from INR 2,400 crores to I NR 2,581 crores, marking 8% growth.
Moving to the next slide, which shows the revenue breakup by products and geography :
Wiring harness continues to be about 28% ; vehicle access 24%; die casting 16%; clusters 16%; and others, which includes our sensors, EV products, other electronics is growing to 16% now.
By geography, India continues to be majority at about 88%. Our exports are about 7% and Southeast Asia locations, which is Indonesia and Vietnam, contribute about 5%. By end market, 2 -wheelers and 3 -wheelers contribute largest, which is 47%; commercial vehicles 28%; passenger vehicles about 14%; and aftermarket about 11%.
Moving on to Slide #10, which show

s the consolidated leverage position for the year :
On the extreme right column, the net worth stands at INR 2,200 crores, but the long -term borrowing has gone up to INR 528 crores. The gross debt stands now at INR 1,344 crores. The net debt is INR 1,250 crores with the capital employed is INR 1,975 crores. Th e ROCE is 20% and net debt to net worth is 0.6x and net debt to EBITDA, which is including 49% of Flash EBITDA is 1.8x.
Going on to the next slide, which is Slide 11, shows the trend across various key financial metrics for Minda Corporation over the last 5 years, where the consolidated revenue has grown from INR 2,368 crores to INR 5,056 crores. EBITDA margin has gone from 9.2% to consistent and sustainable 11.4%. ROCE has gone from 12% to now 20%. EPS has gone from 2.2x to 10.7x and market capitalization has gone from INR 2,400 crores to about INR 13,000 crores now.

Moving on to the next slide, which is on the ESG and CSR. What I would like to share here is that Minda Corporation has a sustainable and ESG committee form, which is led by our Board of Direct ors, and we are focused on reducing our carbon footprint by 42% by 2030. We are focusing on sustainable operations, care for people, ethical businesses, inclusive growth and responsible value chain.
In the next slide, it shows a few prestigious awards that we have got from the President of India for our initiatives for people with disabilities.
Moving on to the next slide shows some of the other awards and initiatives in our responsibilities for corporate governance as well as some key awards given to us by our key and important customers in Page #16.
With this, I would like to conclude my presentation and for annexures that are available in Page 18 and 19. I would now request to open the floor for qu estions. Thank you.
Moderator: Thank you very much. The first question is from the line of Raghunandhan from Nuvama Research. Please go ahead.
Raghunandhan N. L.: Good evening, sir and thank you for the opportunity. I appreciate promoter family commitment for equity investment at INR 550 per share. Any timeline for this investment that you can share?
Aakash Minda: Yes. Hi Raghu. I will request Vinod Raheja to please answer this.

Vinod Raheja: Yes. We were required to sort of hold the postal ballot, the voting of which completed by end April. We are expecting the stock exchanges approval within this week , and 25% of the money should be received max within 2 weeks and thereafter, as per the terms, the balance 75% can be paid by the promoters within 18 months.
Raghunandhan N. L.: Got it, sir. Thank you for that. On the sunroof plant, is it on track to start operations in Q1 FY26? How much revenue can we expect in FY26? And based on the capacity, what can be the peak revenue?
Aakash Mi nda: So Raghu, the revenues will not be in FY26. As we have committed before, the revenues will be starting from FY27. The plant which is next to our facility in the Pune region is in progress. and since this is a 50 -50 joint venture, it will be treated as an associate Company .
Raghunandhan N. L.: Got it, sir. For the full year FY25, how much would be your sensors revenue? And also specifically EV parts like charger , converter, how much would be the revenue in FY25? And

how do you see the outlook ahead , given the strong order book, which is more skewed towards EV business?
Aakash Minda: Yes. So the sensors portfolio for the Spark Minda Corporation is spread across multiple products. Some of them are the legacy and already implemented , some of them are ne w. But for the current year, our sensors revenue is in the tune of about INR 250 crores to INR 300 crores. This is expected to grow further while we are localizing many sensors in India , and some of the new sensors are also going SOP in

the next few quarte rs to come.
When it comes to the EV penetration of our products, as I mentioned, the overall in Q4, the EV platforms as a percentage of total sales stood at about 8%. For the full year, it is about 7%. And this is expected to grow further while we are laun ching new products, and our SOP of the new products are happening.
But as I mentioned, Flash Electronics is having now out of their revenue of INR 1,500 crores, they have 23% revenue coming from EV products and EV platforms, which is a 92% jump Y-o-Y.
Raghunandhan N. L.: Thanks for that, sir. And on Flash, like Minda and Flash, there is a potential for cross -selling and medium -term potential can be as high as INR 500 crores to INR 600 crores. But in near term, FY26, FY27, how much cross -selling can we expe ct? Also, there are synergies between Minda and Flash, any status or any plan you can indicate where joint sourcing could lead to cost savings?
Aakash Minda: Yes. So the joint synergies in terms of sourcing and other things have already started and, of course, starting from Q1, there will be benefits that can be seen when it comes to the joint sourcing.
Number 2, when it comes to the cross -selling of the products, we have already identified 3 important areas for cross -selling. These products such as die casting or wiring harnesses and electronic components needs end customer approval. So that is already underway and hopefully, by end of the year, we shall have these in SOP. And by FY27, we can see maybe close to a 3 -digit number coming into cross -selling.
Raghunandhan N. L.: Got it, sir. For Flash, FY25 was a strong year. And how would you look at the expectations for FY26? And Flash had showcased product readiness for motors in PV and CV categories, has there been any order wins, any timeline for SOP there?
Aakash Minda: So Raghu, the growth momentum in the revenue of Flash Electronics should be again in the similar range that they have been doing for the last few years. So, again, in the range of mid -

to high double -digit percentage. Of course, it depends on how the EV penetration is. That's one.
Number 2, on the new product development through their tech center and now with Minda, there are multiple products which are being developed across segments. So we are again working with a couple of customers in India , and we have showcased the products. So as and when we move forward, we will update you on winning businesses. But yes, they are under development and already being showcased to the customers.
Raghunandhan N. L.: Thank you, sir.
Moderator: Thank you, sir. The next ques tion is from the line of Shubham Batra from Ambit AMC. Please go ahead.
Shubham Bhatra : Thanks for taking my question. I just wanted to ask that in the die casting business, ther e is a Y-o-Y degrowth of roughly 40% for the quarter. Any particular reason for that?
Aakash Minda: Sorry, can you speak a little louder, please?

Shubham Bhatra: Yes, sir. In the die casting business, there is a Y -o-Y degrowth of 40%. Any particular reason for that?
Aakash Minda: Sorry, in die casting Y -o-Y for what please?
Shubham Bhatra: For the quarter, there's a degrowth in the die casting business revenue.
Aakash Minda: No, there is no degrowth, by the way. The Die Casting division has grown Y-o-Y and Q-o-Q basis. So our Die Casting division has overall grown . On a full year basis, the Die Casting division has grown by about 15.5%. And on a quarterly basis, we have grown by again, 15% to 16%.
Shubham Bhatra: Okay. Thank you sir.
Moderator: The next question is from the line of Mitul Shah from DAM Capital. Please go ahead.
Mitul Shah : Thank you for the opportunity and c ongratulations for strong margins in this tough environment. So first question on utilization. If you can give some ballpark number f or both the segments, ap

prox., blended average utilization for Mechatronics division as well as for the Connected System.

Aakash Minda: Yes. Hi Mitul, again, it depends on the various segments, various plants, various divisions depending on the products as well. But overall, we, as an organization, are currently working to the tune of about 65% to 80% of utilization. So different segments, different plants will have that variation.
Mitul Shah : Second question is, again, a follow -up to Raghu's question on synergy with Flash. Any thought process on joint R&D to develop a completely new product segment or product line itself and in terms of synergy on the R&D side?
Aakash Minda: Yes, that work has already started. Our both engineering teams from our technical center and their Poland team have already started coming together to design and develop products. As you know that Flash Electronics is an expert in powertrain -related products and Minda Corporation offer power electronics.
So together, we are d eveloping products for different segments, and they are already underway. So some of them were also showcased in the Bharat Mobility and of course, as we move forward, this is being already showcased individually to customers when they visit our tech cente r as well as to the customers at their doorsteps.
Mitul Shah : Okay. And the last question on this order book. Your initial remark, you highlighted something INR 8,000 crore plus type of. But can you give more details in terms of EV orders and within EV, 2-wheelers mainly or anything on the 4 -wheeler side?
Aakash Minda: Yes. So EV order books are about 25% of this INR 8,000 crores lifetime. Again, a few of the large orders have come from new segments and new product lines. So, for example, our Wiring Harness division, which did not have a very miniscule exports. Now they have wo n some good orders for the exports businesses, which will, of course, help the Wiring Harness division as well as the group generating higher exports orders.
When it comes to the other segments, it is spread across product lines and technologies. In the EV area, particularly the orders are from 2 -wheelers and 3 -wheelers as that penetration is higher. So, of course, when we are developing more products, the complete EVU system will be offered to the passenger vehicle. But Minda Corporation has also won few E V products such as the chargers and other infrastructure -related products from the 4 -wheeler manufacturers.
Mitul Shah: Within this order book, how much would be export roughly?
Aakash Minda: So order book would be about close to 15% would be exports.

Mod erator: Thank you. The next question is from the line of Dhananjay Mishra from Sunidhi Securities. Please go ahead.
Dhananjay Mishra: Yes. Thanks for the opportunity. My question is with respect to Flash Electronics. So we had about INR 20 crores impact o f interest , because of this in the quarterly. And on the full year basis, it will be about INR 80 crores. So when we acquired Flash Electronics, you said that because of cross selling and synergy benefit, it will be EPS accretive from FY26 onwards. So how confident are you that it will be EPS accretive?
And secondly, in this quarter also have we included in this joint venture profit number from Flash Electron for 2 months?
Aakash Minda: Yes. I will ask Vinod to answer. However, we had said that this will be EPS accretive from FY27 and for the FY25, we have only 75 days of consolidation at the PAT level. So, Vinod,

over to you, please.
Vinod Raheja: Yes. In the current quarter, we sort of took a share of profit s for 75 days. And in the results, you can see that the share of profit of associates number that we have given is INR 10.30 crores versus INR 1.15 crores in the same period last year.
Dhananjay

Mishra: So what was the contribution from Flash in that , out o f INR 10 crores, entirely Flash revenue?
Vinod Raheja: Yes. Contribution of Flash for about 75 days was INR 8 crores plus.
Dhananjay Mishra: Okay. And this INR 420 crores promoter fund will be coming in over next 18 months. So this will be utilized toward s repayment of debt, or it will be again for the new investment?
Vinod Raheja: Well, let me put it this way that we have potential norms, various financial metrics that we look at while deciding our capital allocation. So it will be in line with that only is what I can say at the moment.
Dhananjay Mishra: And lastly, on the depreciation part, you said that this increase in depreciation , because of some capex we have done in some strategic thing. So can you explain on that sir, and how it will going to contr ibute in FY26 incremental revenue ?
Vinod Raheja: Yes. As you would have seen in the presentation that in the course of year, we had 2 -3 brownfield expansions, in our Die Casting division, in our sort of Information and Connected Systems division also , and the healthy order book status that we shared of more than INR

8,200 crores, we should start realizing the production from this investment that we made in this year.
Dhananjay Mishra: From this year itself.
Vinod Raheja: From this year onwards, yes.
Aakash Minda: As we have started building capacities for the order books that we have done in the past as well as the order books that are being done in the current year as well. So they will now start helping us in getting economies of scale once the SOP starts in the next few months for the plants that have been showing , and as well as the other investments that are happening. So I cannot give you a number for the FY26 per se, but the order books that have been converted over the last 2 years, they will s tart coming into SOP from this year onwards.
Dhananjay Mishra: Okay. And quarterly run rate for depreciation will be about INR 60 crores going forward, INR 57 crores to INR 60 crores?
Vinod Raheja: In the range of about INR 55 crores that we have reported in this quarter.
Moderator: Thank you. The next question is from the line of Ronak Mehta from ICICI Securities. Please go ahead.
Ronak Mehta : Yes. Thanks for the opportunity. I have a couple of questions. Firstly, what is the progress on the TFT cluster business? If you can just highlight new order wins in this segment? And what could be the growth outlook for this segment over the next couple of years?
Aakash Minda: Yes. as yo u know, that because of the premiumization, more and more TFT clusters penetration is increasing across segments. We have won orders from all segments, customers, including domestic and exports for the TFT. So, again, we have been manufacturing TFT cluster s and exporting them for the last 3 years or 4 years and more.
Over the last 1 year, we have won multiple orders from 2 -wheelers, 3 -wheelers, commercial vehicle as well as passenger vehicle manufacturers. So the penetration is expected to increase in the q uarters and years to come. And yes, Minda Corporation is fully ready for our infrastructure capabilities and capacities to cater to this growth.
Ronak Mehta : Sure. Any ballpark revenue contribution that you expect over the medium term from this product lin e?

Aakash Minda: So currently about INR 800 crores plus revenue of the Minda Instruments Limited, you can say the digital clusters contribute somewhere about 25% to 30% and, of course, this is expected to grow to somewhere about 40% or so in the next, let' s say, 18 months to 24 months.
Ronak Mehta : Sure. Okay. All right. My next question is on the capex plan for the standalone business and for the Flash Electronics for next 1 year or 2 years, however you want to guid

e.
Aakash Minda: I will ask Vinod to answ er the question, please.
Vinod Raheja: As you can see that over the last 2 -3 years, our capex has been in the range of about INR 200 crores to INR 300 crores, while this year, we spent about INR 350 crores. Going forward, we see the capex to remain in the range of about INR 250 crores to max INR 350 crores. And as regards the capex in Flash is concerned, again, that should broadly be in the range of INR 50

crores to INR 100 crores only.
Ronak Mehta : Okay. And for the standalone business, I NR 250 crores to INR 350 crores towards what area? Will it be only towards capacity? How much will be the maintenance capex ? If you can just help us with that?
Vinod Raheja: Well, in this, say, in the course of next 18 months, we are also talking of 2 gree nfield manufacturing facilities, of which one Akash covered in die casting and the other is in information and connected systems. So it includes over the next 18 months, period 2 greenfield. Then, of course, the new businesses that we are winning, capex towards that , and of course, some part of replacement capex .
Ronak Mehta : Sure. Okay. And the last question on the debt level. So I can see that closing debt as on 31st March is about INR 1,250 crores. What is the target debt for next year? Yes. That would b e the last question.
Aakash Minda: So our objective has always been that we want to be in the clear financial prudence matrices that we have put in place. And we are comfortably positioned from that perspective. Yes, while going in the next years, we would like to significantly reduce this. And this is why the warrants from the promoters have also been issued. So, yes, the interest is how we can bring down the 0.5x debt to equity to about 0.2x in the next 2 to 3 years.
Moderator: Thank you. We will take our next follow -up question from the line of Raghunandhan from Nuvama Research. Please go ahead.

Raghunandhan N. L.: Thank you sir for the opportunity again. Sir, for Q4, if you have it handy, can you share what is the Y -o-Y growth in various segments, ve hicle access, wiring harness, die casting, clusters and others?
Aakash Minda: Yes. I will explain to you broadly the growth percentages. So our Security division's growth has been in about 11% to 12%. The die casting has grown by about 13% -14%, the wiring harness has grown in single digits. And our Minda Instruments Limited has grown close to 20%. These are again the highest business values per se. Of course, there are small businesses or start -up businesses like the EV businesses and the St arter Motor division, etc. They, of course, have a much higher growth , because their base is also very low.
Raghunandhan N. L.: Got it , sir. Thank you very much. On wiring harness, Company has been working towards localization. Recently, you have tied up w ith Sanco. Can you indicate the progress on localization , and whether you will continue on this effort , and what can be the targets ahead?
Aakash Minda: Yes, Raghu. So as you know, that we started this journey about a couple of years ago. And today also, we showed that we have now expanded our facilities, including capacities in engineering as well as operations for higher localization. In that respect itself, currently , our utilization of Minda connectors from our own Wiring Harness division is to the range of about 15%. And for the full year also, we have almost reached the same number.
Now going forward, with our validations from our customers, both in high voltage or EV segment and Low-Voltage segments, this is expected to grow higher. Our target is to reach about 20% to 25% over the next 18 to 24 months. All efforts are in those directions.
From the high -voltage side, we have partnered up with Sanco. And we have also won many orders from our customers for the high -voltage connectors and other

products that come from the partnerships such as the bus parts or the charging gun and the power distribution units, etc, which will start coming into SOP in the next few quarter s to come.
So, overall, the Wiring Harness division is now giving us a good sustainable growth in terms of the order books that we have explained in terms of exports. Also, the profitability has come to a sustainable and consistent level where we can now l ook at the growth of this division over the next few years to come , which includes the connection systems, the high voltage and the complete electrical distribution system as a system solution offering to the customers.
Raghunandhan N. L.: Thank you, sir, for that. And continuing on the high -voltage side, EV wiring harness or high voltage, how is the traction with customers? How many customers would you be servicing in the EV wiring harness across 2 -wheeler, 3 -wheeler?

Aakash Minda: So I can't give you a nu mber per se. But let me say that we are supplying high -voltage wiring harness to the top 3 EV 2 -wheeler manufacturers. We are already supplying them.
In terms of the 3 -wheelers also, the largest of all 3 manufacturers of the EV 3 -wheelers, we are supplying our high -voltage kits to them. So, yes, we are engaged with them. And, of course, they are all starting up in terms of the scale up in terms of volumes. So, yes, we won businesses from the top OEMs in 2 -Wheeler and 3 -Wheeler segments. And we are also now engaged with

the passenger vehicles OEMs in India and overseas for our high -voltage systems, wiring
harness as well as connection systems.
Raghunandhan N. L.: And any order wins there, sir, in passenger vehicles?
Aakash Minda: I will be able to on ly share that soon.
Raghunandhan N. L.: Got it. Just a clarification on the E2 -wheeler, E3 -wheeler , when we look at ICE versus EV,
fair to assume that you are on path to sustain market share? So because of the technology
transition, you will not be impacte d. In fact, you will be able to sustain or gain market share?
Aakash Minda: Yes, we are on the path to achieve that sustenance as well as I think the higher penetration of
the connection systems. I think that's the most important part , because currently, t he
connection systems are imported. And we are one of the first companies to develop this
connection systems of high voltage in India, that capability. So, yes, that's, I think, the first
important milestone for us to reach that scale in terms of the high voltage. And the local
capabilities of the wiring harness are already existing in Minda Corporation.
Raghunandhan N. L.: Just a last question, a housekeeping question. Can you share the contribution of digital clusters
in your overall clusters business and smart keys in your locking system?
Aakash Minda: So the digital clusters would be to the tune of about 15% to 20% of our instrument cluster
business. That is expected to grow higher as we are winning new orders from across segments
and domesti c and exports. For the smart key systems, our penetration is somewhere about 15%
again for the smart key systems in our revenue.
Moderator: Thank you. We will take our next follow -up question from the line of Mitul Shah from DAM
Capital. Please go ahead.
Mitul Shah: Yes, sir. Thank you for the opportunity again. Sir, my question is on order book for Flash, if
you can have some broader details if you can share.

Aakash Minda: Mitul, with respect to the Flash order book, the only thing I ca n share at the moment is they
are consistently winning orders from their largest customer across their new segments, which
are getting launched. Also, they have won recent orders for their exports business from their
Metallics division.
And from Minda Corp oration side, we have also now started taking ot

her customers of ours,
and they have already visited Flash Electronics for audits as well as getting us on the bidders
list. So we are on that journey, and those teams have already been formed to take up thes e next
steps. So at the moment, that's where our objective is, and we are running on that.
Moderator: Thank you. Ladies and gentlemen, in the interest of time, we will take this as our last question.
I now hand the conference over to the management for clo sing comments.
Aakash Minda: So, once again, thank you very much. Minda Corporation, we remain highly confident in our
growth trajectory, both in the near term and long term, driven by strategic investments and
unwavering commitments to advancing our produ cts and technologies. We are committed to
creating value for all of our stakeholders and shareholders.
We are investing deeply in our capabilities in terms of people, capacities, technologies and
competencies across fields. And with this, I would like to a lso welcome the next financial year
and looking forward to meeting all of you soon. Thank you very much.
Moderator: Thank you. On behalf of ICICI Securities Limited, that concludes this conference. Thank you
for joining us, and you may now disconnect your lines.

Call: Aug 2025

August 1 8, 2025

The Officer -In-Charge (Listing)
Listing Department
National Stock Exchange of India Ltd.,
Exchange Plaza, Bandra Kurla Complex,
Bandra (East),
Mumbai - 400 051
Symbol: MINDACORP Head - Listing Operations,
BSE Limited,
P.J. Towers, Dalal St reet, Fort,
Mumbai – 400 001
Scrip Code: 538962

Ref: Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015

Subject: Transcription of Conference Call with Investors/Analysts held on August 12, 2025

Dear Sir/Mada m,

Please find attached herewith transcription of Conference call wit h Investors/Analysts held on August 12, 2025. Kindly take the same on record and acknowledge.

Kindly let us know if any other informat ion is required in this regard.

Thanking you

Your s faithfully,

For Minda Corporation Limited

Pardeep Mann
Company Secretary
Membership No. A13371

"Minda Corporation Limited Q1 FY2026 Earnings
Conference Call "

August 12, 2025

MANAGEMENT : MR. AAKASH MINDA -- EXECUTIVE DIRECTOR
MR. AJAY AGARWAL -- PRESIDENT , FINANCE & STRATEGY
MR. VINOD RAHEJA -- GROUP CFO
MR. NITESH JAIN -- LEAD INVESTOR RELATIONS

MODERATOR : MR. KRIPASHANKAR MAURYA -- MIRAE ASSET CAPITAL

Moderator : Ladies and gentlemen, good day, and welcome to Q1 FY 26 Investor Conference Call for Minda Corporation Limited, hosted by Mirae Asset Capital Markets.
As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during this conference call, please signal an operator by pressing "*", then "0" on your touch -tone phone. Please note that this conferenc e is being recorded.
I now hand the conference over to Mr. Kripashankar Maurya. Thank you, and over to you, sir.
Kripashankar Maurya : Thank you. Good evening, everyone. On behalf of Mirae Asset Capital, I would like to welcome you all to Q1 FY 26 Earnings Conference Call of Minda Corporation Limited.
Today, we have with us from the Management Team , Mr. Aakash Minda – Executive Director , Mr. Vinod Raheja – Group CFO , Mr. Ajay Agarwal – President (Finance & Strategy), and Mr. Nitesh Jain – Lead Investor Relations.
I would like to thank Management for giving us the opportunity. I will now hand over the call to the management for their opening remarks, post which we will open the floor for the Q&A.
Over to you, sir.
Aakash Minda : Good afternoon. This is Aakash Minda . And thank you very much, Mirae Asset Capital and Mr. Kripashankar Maurya for organizing this call for Q1 financial numbers for Minda Corporation Limited. Thank you.
Good afternoon, everyone, and welcome to the Q1 FY26 Earnings Conference Call for Minda Corporation Limited. I hope you are all doing well. It is a pleasure to connect with you today and present our performance for the quarter, along with the key developments across the businesses. I trust you have reviewed our Q1 FY26 Earnings Presentation , which is also available on our website and with the stock exchanges.
I will begin with an overview of the industry landscape and then dive into our company 's performance for the quarter.
The 1st Quarter for the year continued to showcase uneven recovery across India 's auto sector, while production segments showed promising traction, others were muted due to cyclical pressures. The two -wheeler industry witnessed a soft growth in production

volumes of about 0.7%, reflecting ongoing pressure. Passenger vehicles production volume grew marginally by about 3.4% with utility vehicles continuing to drive the demand. The commercial vehicle segment remained largely flat with a modest growth of 2.6%.
Overall , the automobile industry recorded a year -on-year growth of about 1.9% in Q1 FY26 despite cautious market sentiment and subdued demand, particularly in urban and entry level segments, where volume growth remained stagnant. This growth was primarily driven by strong export volumes, while domestic consumption declined on a year-on-year basis.
Looking ahead, the automotive segment remains cautiously optimistic. A gradual recovery is anticipated over the coming quarters, supported by the upcom ing festive season and a likely improvement in rural incomes following a favorable monsoon.
Now reflecting on the company performance .
Minda Corporation continued to strengthen its market position in Q1 FY26. The company surpassed consensus estimates, delivering its highest ever quarterly revenue of Rs. 1,386 crores, a growth of 16% on a year -on-year basis. The company reported its highest ever EBITDA of Rs. 156 crores with a growth of 19% on a year -on-year basis, along with the margin of 11.3% EBITDA margin, demonstrating strong operational execution and the effectiveness of our various strategic initiatives.
The profit before tax for the quarter stood at Rs. 71 crores with a PBT margin of 5.1%. This was i mpacted by higher financial costs arising from our investme

nts and strategic
partnership with Flash Electronics , as well as increased depreciation due to investments in capacity expansion and technology upgrades. These strategic investments are expected to drive accelerated growth in the future. Profit after tax for the quarter was Rs. 65 crores with PAT margin of 4.7%. This highlights our commitment to drive sustainable growth while maintaining profitability in a challenging macroeconomic environment.
Across all business segments, we have outperformed industry trends with notable success in the wiring harness division, where we have expanded our share of business

with existing customers and secured new contracts. The commercial vehicle segment also showed strong growth for us, driven by increased volumes and acquisition of new customers. Additionally, for our other product lines, including the EV segment, we saw impressive growth of around 30% this quarter.

On Flash Electronics :

The associate company reported revenue from operations of Rs. 376 crores and EBITDA of Rs. 59 crores, translating to an EBITDA margin of 15.8%. PAT stood at Rs. 21 crores, 49% of which is about Rs. 11 crores was recognized in Minda Corporation 's financials as share of profit from associates in this quarter.

Despite global macroeconomic challenges, our exports have supported steady single - digit growth. Minda Corporation has minimal exposure to the U.S. market with less than 2% of its revenue or below than Rs. 100 crores coming from the U.S. market. We have evaluated the situation with our customers, and there have been no changes in existing and future orders.

Our strategic initiatives continue to drive growth and enhance our competitiveness in Q1 FY26, and I would like to share some of the highlights.

We closed the quarter with a strong order book exceeding Rs. 1,300 crores with over 30% of the new orders coming from new energy vehicles. This highlights our increasing traction in the new energy veh icle space, which continues to be our strategic focus area. During the quarter, the company received Rs. 105 crores from the promoter entity for the issue of share warrants. The amount received has been utilized for the repayment of existing debt.

We fil ed six new patents during the quarter, taking our total portfolio to over 110, further strengthening our leadership in automotive innovation and technology.

Further in line with our strategic vision, Minda Corporation has also acquired 32 acres of land in Aurangabad, Maharashtra , for future expansion. We continue to focus on partnerships, and we advanced our manufacturing footprint through strategic capacity expansion and inorganic initiatives.

During the quarter, Minda Corporation entered into a joint venture with Toyodenso Corporation Limited of Japan in which Minda Corporation holds 60%. The partnership is aimed at developing and manufacturing advanced automotive switches and control systems a t the new state of the art facility in Noida. This initiative reinforces Minda Corporation 's commitment of building local technological capabilities and enhancing product value. The joint venture has already secured significant orders from a leading two-wheeler OEM.

We remain committed to executing our strategic priorities with continued focus on enhancing our system solutions offering, strengthening customer relationships and investing in new technologies. Our emphasis on operational excellence will also play a critical role in driving growth in FY 26 and beyond. We are committed to expanding our presence in the EV market, advancing our R&D capabilities and building strategic partnerships.

Now , I will move to the presentation and run you through the pre sentation, which is uploaded online.

I request you to start from Page 3, which shows Minda Corporat

ion at a glance. In

FY25, the group achieved a revenue of about Rs. 7,500 crores, and in FY 25, Rs. 5,056 crores came from the Minda Corporation listed entity. We have 32 plants, more than 18,000 people, six product lines and various partnerships.

Moving on to the next slide, which shows the industry's automotive performance :

I have already shared that if I look at on the right side, which is the year -on-year growth, the tractors grew about 13%, commercial vehicle s grew about 2.6%, three -wheel ers about 10%, Passenger Vehicles is about 3.4% and two -wheeler was muted to about 0.7%, ove rall giving a growth of about 2% only.

Moving to the next slide, which shows the Q1 business performance, key strategic developments :

The revenue grew by about 16.2% year -on-year despite various challenges. The EBITDA margin stood at 11.3% for the quarter with growth of 23 basis points on a year-on-year basis. Total lifetime order booked was Rs. 1,300 crores with EV

constituting more than 30%, signed a joint venture agreement with Toyodenso of Japan, which I will explain in the next slides. We filed six patents, and we also formed a strategic partnership with Qualcomm of USA for developing smart cockpit solutions.
Moving to the next slide, which shows the details about the strategic joint venture with Toyodenso Corporation of Japan :
On the right side, you can see Minda Corporation will own 60% and Toyodenso will invest 40%. On the right side are the switches for two -wheelers and four-wheel ers for the entire Indian automotive industry.

On the left side of the bottom, I would like to share, we foresee a growth in terms of the value opportunity and the technology in this product line going forward. The joint venture has already secured significant large orders from the one of the largest two - wheeler OEMs in India and which will be profi table from the first year of commencement. The operation is expected to start in Q2 FY27. Initially, the total investment is around Rs. 150 crores, and we will hold majority.
The strategic partnership with Flash Electronics, which shows the financials of Flash Electronics. On the right side, the revenue from operations stood at Rs. 376 crores. The EBITDA was Rs. 59 crores at 15.8%, which is a growth of about 10.2% and the PAT stood at Rs. 21 crores, which is 5.7% margin .
Moving on to the next slide, which shows the Minda Corporation 's performance :
The revenue grew by 16.2% from Rs. 1,192 crores to Rs. 1,386 crores. EBITDA grew from Rs. 132 crores to Rs. 156 crores from 11.1% to 11.3%, marking a growth of 19% on the value basis and 23 basis poin ts and PAT has grown from Rs. 64 crores to Rs. 65 crores.
Moving on to the next slide, which shows our business vertical -wise performance :
The mechatronics and aftermarket grew from Rs. 575 crores to Rs. 650 crores, marking a growth of 13% and there was a strong demand from our two -wheeler products that we had launched recently. ASEAN market, which is Indonesia and Vietnam, shown flat growth and die casting facilities are starting commencing manufacturi ng plants now.
On the right side, which is the information and c onnected systems, which is the wiring harness and instrument cluster business, grew from Rs. 617 crores to Rs. 736 crores, marking a 19% jump and wiring harness division has achieved signific ant orders from India and exports, growing our market presence. And the cluster division has also launched various new TFT clusters.
Moving on to the next slide, which shows the revenue breakup by products, geography and end market :
Wiring harness continues to be about 30% of the revenue , vehicle access products is about 23%, die casting is about 15%, instrument clusters and sensors about 15%, others contribute 17%, which includes our interior plastic division, starter motor division,

electric vehicle mobility product lines, various electric products like shark fin antenna, wireless chargers, etc.
By geography :
India continues to be the major revenue share, which is about 89%. The Indonesia and Vietnam continue to be about 5% and direc t exports is about 6% to 7%. By end market, two-wheelers and three -wheel ers are about 47%, commercial vehicle s is about 28%, passenger vehicle is about 15% and aftermarket is again about 9% to 10%.
Moving to the next slide, which shows our investments into the new capacities and new plants, which are coming across India. From the left top, you will see our die casting fifth plant, which is coming up. There was a brownfield expansion in our starter motor alternator division because of the exports business that we have received. On the top right, you will see the die casting Greater Noida plant coming up.
On the bottom left is our new and latest facility coming for the instrument clusters division. In the middle bottom is the new joint venture facility for the Spark Minda Toyodenso Private Limited. On the right side is the components division expansion for our localization of the connectors and s ystems for the wiring harness division .
Now I will move and summarize to the ESG slides, which are standard slides which we always share in our journey to become an ESG compliant company, and we are

reducing our ESG by 42% by 2030 is our target.
On the next slide, we show some of the awards that we have won fro m our customers.
And the last slide where we will show some of the awards that we have received from various organization events that we participate, and we continue to give back to the society.
With this, I would like to conclude my presentation and open the floor for questions.
Thank you.
Moderator : Thank you. We will now begin with the question -and-answer session. The first question is from the line of Raghunandhan from Nuvama Research. Please go ahead.
Raghunandhan N.L. : Congratulations, sir, for stellar numbers. Good to see a strong beat versus the industry performance. Trying to understand the outperformance better, starting with the others category, where you have multiple parts like EV parts, sensors, etc. If you can i ndicate how much was the growth in the others category where the share has increased to 19%

of revenue. Within that, which product categories have grown? and do you see this growth being sustainable?
Aakash Minda : Hi Raghunandhan, thank you very much. So, the other categories include products like our starter motor division, which is primarily for the off -road vehicle . It also includes our interior plastic division, which is making cinematic parts like centric consoles, air vents, under -bonnet parts, etc. This also includes our Spark Minda Green Mobility, which is making EV power electronics products like DC -DC converters, battery chargers and other power electronics, which is infrastructure charging. It also includes other electronic products like Shark Fin an tenna, wireless chargers, ADAS solutions, etc.
So, these are the products that are covered under the other s related segments. And while we have won the orders in the last few quarters and years, now we are seeing many products which are coming into the s tart of production with the new vehicle launches. So, the premiumization of the products at which we have been always sharing as well as increasing the kit value of the products by launching new products is falling under this category, which are now seeing and coming to life.
Raghunandhan N.L. : Got it, sir. So given that the orders are now getting executed, the run rate in this category, which is closer to, I think, Rs. 240 crores, Rs. 250 crores. So, do you think that is sustainable going forward?
Aakash M inda : Yes. As we are further deep ening into the m

ore and more electronics and EV systems, yes, this is the run rate that we expect.
Raghunandhan N.L. : Got it, sir. And second question was on the wiring harness division . You referred to increase in share of business with existing customers. If you can elaborate a little bit on that, that in which segments you are gaining market share? Does it also include a higher share of business in EVs? And how is the share of EV with in the wiring harness division ?
Aakash Minda : Yes. So, we are primarily into the non -four-wheel er segments because our joint venture Furukawa is into the Japanese four-wheel er OEMs. So, this focuses, Minda Corporation focuses on gaining share of business i n the existing or the larger two - wheeler OEMs, which are again in the North as well as West and South. So that is one increasing in the share of business. Number two, of course, we have started getting businesses in the past one year from the EV two -wheele r OEMs as well as three - wheel er OEMs. Thirdly, the commercial vehicle space is in the last quarter or this

quarter has also picked up pace. So that is where also we are seeing pickup, a good pickup in volumes as well, which was subdued in the whole of last year.
Raghunandhan N.L. : And how much would be EV sir in this division?
Aakash Minda : At the group level, we are somewhere about 5% to 6%. I will have to exactly get back in this particular division.
Raghunandhan N.L. : Thank you, sir. My third question was on the cluster space. You indicated that on the TFT side, there has been launches and that has supported, and clusters will also play on premiumization with digital clusters. If you can talk a little bit about what is helping the grow th, new product segments? And are you seeing that share of digital cluster increasing in the overall segment?
Aakash Minda : Yes. So, as you know, the instrument cluster is going through a premiumization phase.

So, let us say, in a two -wheeler there was typ ically about an instrument cluster for about Rs. 700 - 800. And now with the TFT coming in, the prices are literally going 3x to 4x. And with that respect, we have been already winning orders in the past few quarters. And now we are coming, the start of production or the new product launches are happening for the Indian market as well as exports. So that is where we are seeing premiumization. So of course, the kit value increase is happening, or the annual selling price is increasing.

And also, the new product launches for our customers is happening, whether in EV as well as in ICE segment, where we are seeing the uptake happening. And also, of course, you can see commercial vehicle segments are seeing more and more TFT clusters, which are much larger in nature from the Auto Expo and now you can see all in mass production and our entry into the four-wheel er large TFT cluster space as well.

Raghunandhan N.L. : Good to hear that, sir. On the order book of Rs. 1,300 crores plus lifetime order book, can you provide some detail across which segments or product this order book is? Would it also include Toyodenso order?

Aakash Minda : No, this does not include Toyodenso order. Number two, these are for the products across our divisions, wiring harness, our TFT clusters, electronics, EV, vehicle access space as well as domestic and exports. So, they are spread across our segments and products .

Moderator : Thank you. The next question is from the line of Jay Kale from Elara Capital. Please go ahead.

Jay Kale : Good afternoon. Thanks for taking my questions. Congratulations on a strong outperformance result. My first question is regarding your Snapdragon collaboration. If you could just a little bit elaborate on how, what is the scope of this collaboration? What is your role in this? And how will this collaboration w

ork? You wi ll provide what components and what will be assimilated by Snapdragon ? If you can just throw some light and also the timeline of the start -up production of this collaboration.

Aakash Minda : Hi, Jay. So, we have partnered up with Qualcomm as a software and a chip manufacturer. So that is what they will give in terms of the back -end solution. We are already pitching these products and incorporating their products and technologies for quite some time in our system solution offering to various customers. A nd now that particularly on the particular chipsets we are winning orders from the four-wheel er, and they are developing a couple of the softwares and chips for us from the two -wheeler perspective in the cockpit domain controller space. So, we are working with them on various capacities. I will not be able to share a lot of things here. But yes, they are supporting our teams from the software and the chip side.

Jay Kale : Okay. That is great to hear. And any broad indication of what kind of kit value you would be able to provide? How does it compare to your existing kit value?

Aakash Minda : Yes. See, so the kit value, particularly in this space is from the cockpit domain controller as well as the cockpit electronics. So, this includes from the display s to the silver box to various heads -up display and other things all coming together. So, I mean, the kit value in a four-wheel er can even go up to Rs. 50,000 to Rs. 1 lakh , depending on the configuration. But if I break down the components, there are diff erent kit values in that space. So, it is a very large spread, I would say, particularly with respect to the cockpit electronics depending on the configuration with the four-wheel er OEM.

Jay Kale : And this will largely be to the EV customers, or this is al so scope is for ICE models as well?

Aakash Minda : It is across customers and across segments, whether it is a two -wheeler or a four-wheel er or a commercial vehicle.

Jay Kale : Understood. And also, second, on your wiring harness as well as your CV revenue contribution. Now we are seeing that your CV revenue growth on a Y -o-Y basis seems to have outperformed your other segment revenue growth. And of course, your wiring harness has outperformed. So, are you seeing a very strong tra ction on the market shares or share of business from the CV customers on wiring harness? Because earlier, the localization was an impediment for us to gain incremental share in wiring harness .

Where are we in that trajectory? Have we kind of solved that pr oblem and hence, we are gaining incremental share? And as an extension of that, does that mean that the profitability of the wiring harness division would have also meaningfully increased now?

Aakash Minda : So, Jay, I think you answered all the questions y ourself , so it made my work easier. But over the last few quarters, if I may say, we have been working on various aspects. So we, of course, coming from a low single -digit EBITDA. Our focus was a improve ourselves as an organization. We consolidated our plants. In the past few quarters, you have seen we have tried to get economies of scale from larger plants rather than running multiple small plants. Number two is, of course, we have invested a lot in our component division for localization and now our c omplete requirements of the connectors and systems is catered by our own Minda Corporation division by about 15% to 16%, which has come down very, very significantly from 5% in about three to four years before.

Number three, we are continuously looking at enhancing our revenue model, which includes domestic plus exports and areas and segments where we are stronger when it comes to the two -wheelers, three -wheel ers, commercial vehicles and tractors. So now with the regulatory changes, whether it is TREM IV, TREM V, which is upcomi

ng in tractors or with more and more penetration of the features coming in into the commercial vehicles as well as the, in the EV segment, the kit value increases, and in the conventional low -voltage two -wheeler business, we have gained some share of business across the customers also.

So, there have been multiple factors on the quality of revenue, what we have been sharing, the quality of earnings and the quality of the products that we have been offering to our customer s. In this respect, if you remember, we have signed up a TLA with a Chinese company called Sanco, which is helping us now develop our local connectors and charging guns and bus b ars, etc., which we have already won businesses and offering to the EV clients across segments. So, all of this in the last few years, the few quarters and of course, more to come is combining into what we can see is a good performance for wiring harness division .

Moderator : The next question is from the line of Jyoti Singh from Arihant Capital Markets Limited.

Jyoti Singh : So just wanted to ask on the ASEAN region growth was flat. So, what challenges we are facing there? and what is your strategy to revive momentum? And another on the

Die Casting capacity expansion at Greater Noida and Pune is already utilized? And when do you expect full ramp -up on that side?

Aakash Minda : So, on the ASEAN, we are seeing in terms of particularly Vietnam, Indonesia, they have been flat for us over the last one year or so. Again, the overall market is dominated by one or two large players and continuously, we are seeing that the industry itself is flat. Number two is , what we are doing going forward is we are, again entering into the new and new customers in Indonesia , Vietnam and across Thailand and other customers. Num ber two is also we are planning to export out of that location to the other parts of the world, which is going to help us grow in the ASEAN region and hopefully come out of the steady and the flat growth that we have been having.

Number two, when it comes to the die casting business that you asked, currently, our die casting capacities are to the tune of somewhere about 85% to 90%. And the order book that we are having in place for exports as well as domestic, we are coming up with two facilities, which is our fourth and the fifth plant in the North as well as the West region. West will cater primarily to the export market. And the North will have high tonnage machines for the HPDC products as well as for the EV castings and castings that are required for t he EV products, where we have already won orders over the last few quarters in the EV motors, battery casings, etc. So that is why we are coming up with the new capacities in die casting.

Jyoti Singh : Okay. Just one more question on the Capex side. What is our plan for 2026? And how much will be allocated to EV versus traditional product lines?

Aakash Minda : Yes. So, while I have that answer, but I will request my colleague, Vinod, if you could take up that question, please.

Vinod Raheja : Yes. In FY 26, we expect a Capex of about Rs. 350 - 375 crores. And it will be sort of in range like we have been doing in the last year. And the Capex on new facilities that we talked about a bit earlier would be spread over two financial years.

Jyoti Singh : Okay. Thank you, sir.

Moderator : Thank you. The next question is from the line of Mitul Shah from DAM Capital. Please go ahead.

Mitul Shah : Thank you for the opportunity. Congratulations, strong performance all around. Sir, my question is on Flash Financials for Q1. It seems there is a me aningful margin improvement and also top line. So, can you highlight what are the factors driving this

in this situation? Is the raw material side benefit is coming or operating l

everage? And how are these key numbers comparable Q1 25?

Aakash Minda : Yes. So, from the sales perspective, on the year-on-year basis, the revenue has grown from Rs. 330 crores to Rs. 376 crores, which is about a 14% jump. On the EBITDA side, they have grown from Rs. 54 crores to Rs. 59 crores, which is about 10.5% - 11% jump. And Vinod, maybe you would like to highlight that some of the initiatives that we have taken, or the Flash Elec tronics management has taken for such numbers. Of course, there were subdued challenges due to the magnet issues, Mitul. Of course, our revenue of Flash Electronics revenue could have been higher. But due to the magnet challenges, we lost some sales there . So, Vinod, over to you, please.

Vinod Raheja : Yes. First of all, the increase in EBITDA margin was also a result of sharp increase in the export revenues of flash, where of course the margins are better. Then apart from that we were able to get productiv ity gains in utility costs and other things also, which helped us improve the EBITDA margin over same period last year. The export revenues that I just talked about are not just onetime phenomenon. It is the execution of orders that were won, say, abou t a year back or so. while I say this, EV as a percentage of total revenue in the FY 25 was 23% and in this quarter also, I think it was almost the same at about 23%.

Mitul Shah : Sir, looking ahead, in next 2 -3 quarters, how do you see this revenue growth would be double digit or on a sequential basis, considering again, global challenges on the EV front in terms of rare earth magnet and all.

Aakash Minda : So, Mitul , yes, there will be some challenges when it comes to the next Q2 or Quarter 3. But hopefully, by end of the year, we will start seeing some positive, particularly from the EV perspective. But from the IC E engine -related products and other related technolo gies, we continue to see the momentum. So overall, the growth is expected to be in low double digits.

Mitul Shah : Thank you and all the best.

Moderator : Thank you. The next question is from the line of Shridhar K from Axis Securities. Please go ahead.

Shridhar Kallani : Thank you for the opportunity. Congratulations on the outperformance. Aakash, sir, firstly, I woul d just like to understand other than the other segment which you had briefly detailed on the first question regarding the performance Y oY basis, is there any

other reason? Any other segments because of which we were able to outperform the industry by a huge margin? Or was there any new OEM that we had onboarded, or was there an increase in wallet share regarding the outperformance reasons?

Aakash Minda : Yes. So, there are multiple factors, Shridhar. And again, thanks for your question. It is, I mean, again, multiple factors come into play. So, while our exports have been largely flattish, the domestic has seen higher growth. And of course, th e first reason is the kit value increase with by either increasing of the premiumization of the products like the TFT clusters or keyless solutions or the wiring harness or the addition of new products from the other category like the electronics or EV, etc. The second is, of course, the new product launches, which are coming in through the SOPs that have happened or the new launches from the OEMs that are coming into aspect.
And third is, yes, we have gained some market share in a couple of products and a couple of customers. Fourth is our product lines where we have been able to come up with some specific related special technologies like a cockpit or all those things which are of a higher kit value are helping us grow this as well.

Shridhar Kallani : Understood. And in the wiring harness business, like in earlier con calls, you had mentioned that light-weighting is one of the key factors that you all are looking for, especially in

the electric vehicle segment. Anything on the optical fiber -based wiring harness that we are developing?

Aakash Minda : No. So for cable -related technologies, currently we are dependent on our business partners or supplier partners. And whatever the customer a sks us, we are of course

working collaboratively with them. But as of now, on the optical fiber, we are not seeing a lot of penetration, maybe in a segment here and there, but not too much.
Shridhar Kallani : Do you see any technological transition in comin g 5 years, 10 years down the line because optical fibers being extremely lightweight than the traditional wiring business that we are into?
Aakash Minda : So Shridhar, there are various technologies which are coming up in wiring harness . I mean there a re multiple components to it. So one is, of course, the cables itself, whether they are flat cables or aluminum cables for light-weighting or etc. Again, from the connection systems, there are high -voltage cables, obviously. On the connection systems, there are with the EVs and other products and technologies, which are getting more complex. There are a lot of bus bars, charging guns, high -voltage connectors, hydrogen system connectors and of course, electronic data system connectors, which

are coming in. So, a lot of things , technologies changing over the course of time, which is going to increase the kit value across wiring harness everywhere.
Shridhar Kallani : Understood. And lastly, sir, just one clarification on the magnet side of business of flash electronics , where I believe we basically procure HRE magnets, but due to the disruption in supply chain, how ready are we with the LRE magnets? And is there any possibility of commercial production with the usage of LRE magnets and supplying them to the OEMs?
Aakash Minda : So, maybe I will answer the question that Flash has been working on a magnet less motor for across segments from the Poland tech c enter as well as in India for the last one year and plus. And we have already taken them to various customers of Flash as well as Minda. So hopefully, they should, we should look at converting some of these businesses very soon. We are in advanced discussi ons with various customers. So yes, the magnet -less motors organically and inorganically are something that we are working on.
Shridhar Kallani : Okay. Thank you so much. All the best.
Moderator : Thank you. The next question is from the line of Raghunandhan from Nuvama Research. Please go ahead.
Raghunandhan N.L. : Thank you for the opportunity . Sir, on Toyodenso, where you are investing Rs. 150 crores and also you indicated that there are orders, and the venture will be profitable from firs t year. If you can give some timeline on the completion of the facility and ramp up by FY 27, or FY28, how do you see that facility ramping up? And on a Rs. 150 crores investment, what can be the revenue potential?
Aakash Minda : Yes, Raghu. So again, we hav e won businesses from one of the large two -wheeler OEMs. We are, of course, under advanced discussions for other OEMs also as the industry needs this particular product and good players in this. So that is one. Number two, we expect the plant to commence in, or the production to commence in Q4 of FY27. I think earlier mentioned Q2, but I think, but it is Q4 of FY 27, so about one and a half years or 18 months from here on. And the ramp -up is going to happen fr om let us say the first year FY 28. So, we expect the orders that we have already got, let us say, in this product line, we can typically say an FAT R of about 2.5x to 3x with that helping up in, let us say, FY 29, we will get the full ramp, which is a typ ically automotive trend.

Raghunandhan N.L. : And one of your earlier ventures on the sunroof part also,

if you can give some update as to how the progress is happening and by when can we start seeing revenues from that segment?
Aakash Minda : Yes, Raghu. So , we continue to engage with customers. We are again very closely working with various and many of them. Hopefully, we should convert something very soon when it comes to sun roof. We are in the bidders list of all the customers that are there. But when it comes to the other product lines that are part of the joint venture, such as the power tailgate, that is something that can be done fairly quickly.
So, it is a matter of tim e when we are working with something with a couple of customers. The indigenized product offering by Spark Minda Group. Currently, we have not made any investments, so to say, because whatever comes out of this is, can be done from the existing facilities that are already upcoming. So, we are working in that respect. So, once we win the order, that is when we will start the investment into

the equipment, etc., and in the tune of the ratio of 50 -50 of the joint venture that we have with a Taiwanese company.

Raghunandhan N.L. : Got it , sir. Thank you.

Moderator : Thank you. The next question is from the line of Kripashankar Maurya from Mirae Asset Capital Markets. Please go ahead.

Kripashankar Maurya : Thank you for taking my questions. Sir, on the collaboration with Qualcomm on smart cockpit solutions, just want to understand how this will help to expand our product or increase in content or segment expansion. If you can throw some light on this collabo ration, would be very helpful.

Aakash Minda : Yes. So Kripashankar, Qualcomm is a complete system solutions provider when it comes to the chip and the software part of it. They are deeply engaged in the global ecosystem of cockpit electronics and th ey are also very deeply knitted to the OEMs in India. So, while they work closely with them and having them partnered with a Tier 1 like Spark Minda, we now part of the ecosystem when they are engaging with their OEMs or our OEMs as partners, all 3 partner s, number one.

Number two, as I mentioned earlier in the call that this is more on the back -end side, where the hardware solutions and the complete system solutions come from Minda Corporation and Qualcomm gives us the, supports us in the software and th e chip side. This is across segments of whether it is four-wheel er, commercial vehicle, etc., largely so when it comes to the cockpit domain controller or the complete architecture of the

vehicle. When it comes to the stand -alone TFT cluster, etc., whi ch is where Minda Corporation does on our own. So, when we are now venturing into the complete advanced cockpit electronics, that is where their expertise and our expertise come together to create value.

Kripashankar Maurya : Will this increase the content value for the product or whatever we are supplying currently? So just want to understand from that perspective .

Aakash Minda : So, this is not particularly for increasing the content. But yes, with them coming on board, it gives more power and more strength to our system offering that we have and helps us collaborate with other technologies and products to offer a system solution. So directly, maybe not, but indirectly, yes, it helps us grow our product portfolio with the complete architectu re that they bring in.

Kripashankar Maurya : Okay. Got it. And on the second question on the other segment, what we have. So, we have seen very good growth. Just want to understand your thought and what could be the year -end target you are expecting or what content growth we are expecting for FY26 from this particular segment, if you can throw some light?

Aakash Minda : Yes. So again, this will continue to be in the range of what we are currently showing about 15% to 17% because the other segments also cont inue to grow. But this

segment,
as I mentioned, constitutes of our Interior Plastics division, our Starter Motor alternative division, which is gaining traction for the exports for the off -road. Number three is on the electric vehicle mobility, which is th e power electronics. So, some of them are coming in new launches like DC -DC converters, battery chargers, infrastructure chargers, etc. And other electronics like Shark Fin Antenna, where we have got a couple of new orders from various Japanese as well as Ind ian OEMs. So, all these things combine to be in that way. Of course, they have to start taking, bringing economies to scale, economies of scale while over the next few quarters, we ramp up.

Moderator : Thank you , I would n ow like to hand the conference over to the management for closing comments.

Aakash Minda : So once again, thank you very much. At Minda Corporation, we are, we remain committed to execute our strategic priorities with continued focus on enhancing our system solutions offering, strengthening customer relationships and investing in new technologies. Our emphasis on operational excellence will also play a critical role in the FY 26 and the years to come. I would like to thank everybody for joining this call. I would like to also assure the capital allocation and the growth that we focus on, in terms of the top line and bottom line is always focused on our sustainable and consistent

growth, which we have always committed to our shareholders and invest ors. So once again, thank you very much for joining this call and looking forward. Thank you.

Moderator : Thank you. On behalf of Mirae Asset Capital Markets, that concludes this conference.

Thank you for joining us . And you may now disconnect your lines.

Call: Nov 2025

November 11, 2025

The Officer -In-Charge (Listing)
Listing Department
National Stock Exchange of India Ltd.,
Exchange Plaza, Bandra Kurla Complex,
Bandra (East),
Mumbai - 400 051
Symbol: MINDACORP Head - Listing Operations,
BSE Limited,
P.J. Towers, Dalal Street, Fort,
Mumbai – 400 001
Scrip Code: 538962

Ref: Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015

Subject: Transcription of Conference Call with Investors/Analysts held on November 06, 2025

Dear Sir/Ma dam,

Please find attached herewith transcription of Conference call wit h Investors/Analysts held on November 06, 202 5. Kindly take the same on record and acknowledge.
Thanking you

Yours faithfully,

For Minda Corporation Limited

Pardeep Mann
Company Secretary
Membership No. A13371

"Minda Corporation Limited
Q2 and H1 FY26 Earnings Conference Call "
November 06, 202 5

E&OE - This transcript is edited for factual errors. In case of discrepancy, the audio recordings uploaded on the stock exchanges on November 06, 2025 will prevail.

MANAGEMENT : MR. AAKASH MINDA – EXECUTIVE DIRECTOR
MR. AJAY AGARWAL – PRESIDENT , FINANCE AND STRATEGY
MR. NITESH JAIN – LEAD INVESTOR RELATIONS

MODERATOR : MR. RONAK MEHTA – ICICI SECURITIES LIMITED

Moderator: Ladies and gentlemen, good day, and welcome to Minda Corporation Limited Q2 and H1 FY26 Earnings Conference Call hosted by ICICI Securities Limited. As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for y ou to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touch -tone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Ronak Mehta from ICICI Securities Limited. Thank you, and over to you, Mr. Mehta.

Ronak Mehta: Thank you, Ikra. Good evening, everyone. On behalf of ICICI Securities, I would like to welcome you all to Q2 FY26 earnings conference call of Minda Corporation Limited. Today, we have with us from the management team, Mr. Aakash Minda, Executive Director; Mr. Ajay Agarwal, President, Finance and Strategy; and Mr. Nitesh Jain, Lead Investor Relations.

I would like to thank the managemen t for giving us this opportunity. I will now hand over the call to the management for their opening remarks, post which we will open the floor for Q&A. Over to you, sir.

Aakash Minda: So good afternoon, everybody, and thank you very much, Ronak from ICICI Securities, for hosting our call. Today, I'm going to share and give some highlights about the Minda Corporation. So good afternoon, everybody, and welcome to the Q2 and H1 FY26 earnings conference call of Minda Corporation Limited. I hope all of you are d oing very well. It is our pleasure to connect with you today and present our performance for the quarter, along with the key developments across the business.

Speaking about the automotive industry, in Q2 FY26, India's auto sector maintained a positive tr ajectory supported by favourable macros, improved consumer sentiment and the recent GST rate reduction that enhanced the affordability. The 2 -wheeler segment witnessed strong growth, led by resilient rural demand, improved financing access and increased pr emiumization. In the passenger vehicle, sustained steady demand with utility vehicle continue to dominate the mix.

Commercial vehicle segment reported broad -based growth across MHCV and LCV categories, driven by strong freight activity, improved intracity logistics, and recovery in infrastructure and construction sectors. The tractor segment also

continued its momentum , supported by healthy kharif output and rural income recovery.

Overall, the industry entered the second half of FY26 on an optimistic note with festive demand and GST 2.0 reforms expected to sustain growth. In addition, the government's continued Make in India focus is driving localization and self - resilience across the automotive value chain.

These policies align well with the Minda Corporation strategy as we scale domestic manufacturing, localization of key components and strengthen our supply chain to serve both domestic and global OEMs.

Now reflecting on the company's performance. The company maintained its strong growth momentum this quarter, surpassing consensus estimates, achieving its highest ever quarterly revenue of Rs. 1,535 crore, a robust g rowth of 19% on a Y-o-Y basis.

This performance was fueled by sustained demand across key vehicle segments, increase in share of businesses, and content per vehicle and strong traction in EV and premium product categories. The company reported its highest ever EBITDA of Rs. 178 crores, representing a growth of about 21.4% on Y-o-Y basis with a highest ever EBITDA margin of 11.6%.

The profit after tax reached Rs. 85 crores, a growth of 14% on Y -o-Y basis, supported by improved operational efficiencies and a favourable product mix. Minda Corporation have outpe

rformed the industry trends across business segments with notable success in the wiring harness division and instrument cluster division.

On our associate company Flash Electronics,

Flash Electronics has reported a strong perform ance in Q2 FY26 with a revenue of Rs. 446 crores with an EBITDA of Rs. 72 crores with an EBITDA margin of 16.1%.

The collaboration has strengthened our presence in high -growth domains such as EV power electronics, traction motors, controllers and vehicle control units. This collaboration continues to deliver operational synergies and will play a pivotal role in achieving our growth roadmap.

In Q2 FY26, we also hosted our Investor Day in Pune, where we presented Minda Corporation's technological ca pabilities, strategic priorities and most important, our long -term Vision 2030, which is built around key 5 pillars that define our growth roadmap and guide our strategic direction.

Our performance continues to be guided by the key pillars of growth, whic h are: one, investment in existing businesses; two, new market export focus; three, premiumization of existing products; fourth, new product launches; and fifth, investment into R&D.

Looking ahead, we remain committed to executing our strategic priorities with continued focus on enhancing our system solution offering, strengthening customer relationships and investing in new technologies.

Our emphasis on operational excellence will also play a critical role in driving the growth in FY26 and beyond. Our ke y focus remains on capital allocation. We are committed to expanding our presence in the EV market, advancing our R&D capabilities and building strategic partnerships. Now with that, I would like to invite Mr. Ajay Agarwal to take you through the company's presentation and key highlights for the quarter. Over to you, Ajay. Thank you.

Ajay Agarwal: Thank you, Aakash. Once again, good evening to everyone. I'm on Slide number 2. I'm hoping that the slides have reached all of you and you have a copy of it.

Slide number 2 gives you a glance of Minda Corporation.

Our group revenue for FY25 was Rs. 7,472 crores and consol revenue was Rs. 5,056 crores. We have 32 manufacturing plants, over 18,000 workforce across 32 plants and various offices. We have filed for 315 patents. Out of that, 143 patents have already been granted to the company. On the left bottom, these are some of the significant partners we have onboarded over the last several years.

In this calendar year, many of you know, we have acquired 49% shares of Flash electronics in January of FY25.

Moving to the next slide, Slide number 3. It gives you an overview of Indian automotive industry performance for Q2. Aakash did touch upon how the growth has been for the auto industry. The industry grew at about 10.1% Y-o-Y. On a Q-o-Q basis, it grew at 15.6%, the noticeable growth we have seen both in 2 -wheeler segment, in 3 -wheeler segment as well as in tractor segment. Passenger vehicle also grew, but the growth was quite timid.And clearly, the growth wh ich we

saw in Q2 was largely driven by some of the policy announcement carried out by the central government in September.

Moving to Slide number 4. It gives you a brief overview how has been our Q2 and some of the significant developments in Q2 and on th e right -hand side, it talks about what has been the significant development from a 6 -month H1 FY26 perspective. The company had a highest ever revenue clocked at Rs. 1,535 crores , registering a growth of 19% Y-o-Y. The EBITDA margin stood at 11.6% for Q2, registering a growth of 22 bps Y-o-Y This quarter, we registered a lifetime order book of about RS. 2,000 crore, which constitute export about 15%. We have been significantly waiting for our sunroof order.

I'm

happy to report to all of you that we have secured our first sunroof order from a leading OEM for their upcoming vehicle launch, and we'll give you more details as we come closer to the production and in this quarter, we have filed 6 new patents . As I said, up to date we have filed 315 patents . Out of that, 143 patents have already been granted. From a H1 perspective, we registered a growth of 18% despite macro and microeconomic challenges, which we are seeing in the automotive industry.

EBITDA margin stood at 11.4%, registering a growth of 23 bps Y-o-Y and total lifetime order book exceeded RS. 3,600 crores for the H1. Our new partnership with Toyodenso for switches, we have got some interesting orders from leading

OEMs and there also, we will give you more details as we come closer to the production. And in the first year, we have filed 12 patents out of 315, which we talked about.
Moving to Slide number 5. These are some of the new product's portfolio we have added in the last 6 months and particularly in Q2. High -voltage EV wiring harness order we have received from a leading OEM, and this is a new business, which we are going to start in Minda Corporation. TFT cluster also we have won from a leading OEM for their upcoming model launch. Sunroof, I did touch upon that. That order has also bee n received and SOP is planned for Q1 of FY27.
Like I said, our Toyodenso joint venture, we have won a significant order for the switches from the leading OEM, and we plan to commence our operation sometime Q4 of FY27.
Moving to Slide number 6, giving you some snippets of our performance in revenue for Q2.

Our revenue stood at RS. 1,535 crores, registering a growth of 19% Y-o-Y. EBITDA stood at Rs. 178 crores, registering a growth of 21% over Q2 of FY25 and PAT also saw a significant growth from RS. 74 crores to RS. 85 crores in this quarter. From a half year perspective, revenue saw a growth of 18%, EBITDA saw a growth of 20% and PAT saw a growth of 8%.
Moving to the Slide number 7. From a business segment and business vertical perspective, Mechatronics and aftermarket registered a strong growth in domestic 2-wheeler segment, while we saw a little bit of setback in export and a little bit of slowdown in ASEAN market. But despite that, the bu siness grew by around 12%. And from an Information and Connected System perspective, the business growth was registered about 26%, which includes Minda instrument and wiring harness business.
Moving to the next slide, Slide number 8. From a product portfo lio perspective on the overall revenue segment, an overall 30% contributed by wiring harness business , vehicle access contributed 22%, die casting contributed 16% and cluster business contributed 17%.
From a mobility perspective, 2 -wheeler and 3 -wheeler c ontributed about 45% of our total revenue, commercial vehicle contributed 29% of the revenue, passenger vehicle contributed 15% and aftermarket contributed 11% in Q2 of FY27.
Moving to Slide number 9. I briefly touched upon our recent partnership with Flash. They also did quite well, both from a Q2 as well as half yearly perspective, despite having some challenges in terms of magnet and they saw a little bit of downtrend from a n OEM perspective. But despite that, the performance is quit e heartening to see. Their revenue stood at around Rs. 446 crores for the quarter and for half year, it stood at Rs. 822 crores.
The EBITDA margin stood at 16.1% and PAT margin stood at 6.8%. From a half year perspective, it is Rs. 131 crore the EBITDA an d the PAT and margin is Rs. 52 crore with 6.3%. Moving to the next slide, Slide number 10. This gives you an overview of where our debt position stands. Our net debt is RS. 1,165 crores and net debt -to-equity ratio is about 0.5, and our rating stands at AA stable from India rating and for CRISIL, it is

AA - with positive outlook.
Moving to the next slide. Aakash did touch upon some of the strategic priorities when we unveiled our vision for FY30. I'll not go deeper into many of those, but suffice to say, fo r the half year ending FY26, the company has invested Rs. 220

crores. We have planned expenditure of Rs. 2,000 crore over the next 4.5 to 5 years.
Moving to the Slide number 13. It gives you where all the investment will be made across the vertical, including die casting SMAD , in our Minda Toyodenso joint venture, wiring harness division as well as Minda instrument. Some of the product launch, I have already spoken , I'm on Slide number 15, whether it is sunroof, whether it is switches and th e high -voltage wiring harness product.
I'm now on Slide number 21. As all of you know, we have made significant investment in our R&D center over the last several years, and we will continue to

invest because it's being our strategic priority and it is yi elding rich dividend to us.
Thus far, we have been spending about 4% to 4.5% of our revenue in R&D. Going forward, that amount might stand at around 3% to 3.5% in R&D because most of the capex has already been carried out, and we don't expect to incur too much of capex around that. So with this, I'll hand it over to the operator for the Q&A, please.
Moderator: The first question is from the line of Raghunandhan N.L. from Nuvama Research.
Raghunandhan N. L.: Congratulations on extremely strong numbers. Sir, my question was on the wiring harness space. In wiring harness, there is a significant outperformance in comparison to industry growth. Can you indicate what would be the current market share in 2 -wheeler and CV wiring harness and whether we have gained m arket share in comparison to last year?
Aakash Minda: Yes. Raghu, thank you so much for your question. In wiring harness division, particularly as we have shown, our dependence continues to be more on the non - passenger vehicle segment. However, we have mad e the first breakthrough on the high-voltage side in the passenger vehicle at Minda Corporation.
On the market share perspective, it is a little fragmented, basis on the different segments. So when it comes to 2 -wheelers and commercial vehicles and off -road, we are north of 30% in each of these segments.
Raghunandhan N. L.: Got it, sir. And you alluded to the PV order win and in the opening remarks also, Ajay sir mentioned that this is a new bu siness. Can you elaborate a little bit more what would be the size of the order? How do you see your position in the PV business to shape up in the coming quarters and years? How do you plan to take it forward?

Aakash Minda: Yes. So currently, high -voltage wiring harnesses and cables are imported into India and this is in our drive to move forward for the localization as well as increased content per vehicle. Passenger vehicle business that we have got is from an international OEM based in India, and they a re one of the largest EV manufacturers of passenger vehicles in India. So yes, our focus going forward is how we can capture this segment of the industry as well.
So yes, this is the first breakthrough that we have got from the passenger vehicle side, and we are now localizing the components through our Sanco partnership as well as how we can penetrate further by way of localization of the other system solutions offering.
Raghunandhan N. L.: Got it, sir. Another question on wiring harness before I fall ba ck to the queue. Can you indicate how many customers you are servicing relating to the EVs in wiring harness? Or can you mention the share of EV in revenue for this division?
Aakash Minda: We are serving multiple customers and largely they come from the 2 -wheeler and 3-wheeler. And i

n the 4 -wheeler, we have just now added our first customer. But particularly when it comes to the wiring harness side, typically our revenue from the EV stands in more excess of 3 -digit numbers.
The next question is from the lin e of Mitul Shah from DAM Capital.
Mitul Shah: Congratulations for a very strong performance in a tough environment. Sir, first question is on Flash. If you can give slightly more details in terms of how the business revenue breakup in terms of the EV versu s non -EV. And considering the current scenario of the rare earth magnet issue, how one should look at what's the outlook from next 2 -3 quarters point of view? And what is the strategy there?
Ajay Agarwal: See, from an EV and non -EV perspective, their EV contribution to the revenue stands about 23 -24 odd percentage and we believe that it was an issue of Q2. That problem has been relatively solved between most of the OEMs, Tier 1s as well as the reconciliation which took place between the several government s.
We don't believe that we would have that issue for Q3 -Q4 and onwards. Alongside of that, most of the Tier 1s, including Flash, has been significantly spending money to find solution around rare earth magnets.
And I think in times to come, we will be in a position to discuss more in detail what kind of product has been launched to solve permanently the rare earth issue.

Aakash Minda: So Flash has already developed the ferrite motors for all of our customers and also, the tech center from Poland has alr eady developed magnet -less motors. Now they are under current testing validation at our internal facilities, and then they will be offered to the customers.

Mitul Shah: Okay, sir. Second question is on sunroof SOPs we are starting in Q1 FY27. How one shoul d look at ramp up throughout FY27? And if you can throw some light on FY28 or these initial orders, first order win is very small or can we consider meaningful? If you can give some detail on this sunroof business.

Aakash Minda: Yes. So it is a phase -wise approach and this business is going to ramp up throughout FY27, and then, of course, probably achieving the peak value in FY28. That is how the typical launch of a new product is. And our customer who is launching this product is a new platform or a new pr oduct.

So that's one. And secondly, it is a sizable order, if I can say and yes, so we are going to see the ramp up. However, I would like to definitely point out that this joint venture is a 50% -50% between Minda Corporation and HCMF.

Mitul Shah: Yes. Si r, lastly on the revenue segment -wise, CV revenue has also reported decent revenues. So can you give more detail whether it's market share gain or any content addition or increasing the price of the product or how one should look at? Because overall underl ying industry has not done so great, and we have done much better.

Aakash Minda: Yes. So Mitul, these, again, focus on the base objectives of the organization that we continue to do. So again it's a mix of market share. It's a mix of adding new products, a nd also adding the premiumization of the products from the clusters or the wiring harness perspective.

Moderator: The next question is from the line of Jay Kale from Elara Capital.

Jay Kale: Yes. So, my first question was regarding smart key solutions. If you could just give us a little more about how the acceptance for your ICE customers has been for this product? What is the contribution of smart key solutions currently? And how are you seeing that over the next 2 to 3 years?

Aakash Minda: So, the penetration of smart keys into the 2 -wheeler is going as per our plan. As we understand and as we've shared before, the penetration currently is somewhere about 3% to 5%.

And by 2030, our target is to take

it to somewhere about 25% to 30%. Yes, there are a lot of factors that are playing in, and we are seeing many customers, whether Japanese or Indian 2 -wheeler OEMs, launching these products in ICE as well as EV vehicles. Particularly when it comes to the p ercentage of penetration, it is again hovering around a similar number, which is close to about 5% to 6% .

Jay Kale: Understood. And just on your export side, if you could just highlight , how you see your export orders? Any significant wins over there? aover the last two to three years export has underperformed the domestic growth. Are we seeing any change of fortunes on that side?

Aakash Minda: Yes. Our focus on export continues as we have shown in our Vision 2030 as well. So the order win continues to be f rom the die casting business, the wiring harness businesses, and now moving forward is from the instrument cluster businesses as well. So these will be the areas of focus when it comes to the export orders.

And as we mentioned, the export orders continue to be there, but the overall current business that we are exporting, particularly on our Mechatronics business side, are underperforming due to the overall recreational vehicle slowdown that we can see across the two geographies in Europe and America.

Mode rator: The next question is from the line of Jyoti Singh from Arihant Capital Markets Limited.

Jyoti Singh: Congratulation on the good set of number. So my question is on the die casting and plastic side. So what proportion of die casting revenue comes from EV application, like motor housing and battery trades versus IC E component?

And another, with two new die casting plant that under construction, so w hat kind of utilization level that we are expected at SOP? And what incremental revenue capacity are we planning to add? I will add more.

Aakash Minda: Yes. So thank you for that question. Firstly, in the die casting business, about 10% to 15% is only from the captive consumption. That comes from the outside customers. And out of that, about 40% to 45% is the exports business.

In terms of EV versus ICE, I cannot give you a number off -hand, but our Investor Relations team can reach out to you after this. Going forward on the die casting plant when we are setting up these new facilities, these new facilities are basically to enhance our current capacity in the current machine size. Also, we are adding

large tonnage machines for more high -EV and 4 -wheeler comp onents and products.
Of course, the utilization at the beginning is low, but we have won orders. And once we have a facility in place, and then we, of course, showcase to the customers for additional share of business or wallet share or penetration. So that is how we are continuing, but the most important for us is to have the facilities in place to offer to the customers.
Jyoti Singh: Okay. And just one more on the export side, like earlier we discussed. So how is the company leveraging cost competitiven ess to gain market share in Europe, given Flash's strong OEM base there?
Aakash Minda: Ma'am, both Flash and Minda have our strong customer base in Europe. So, we are in India market and other Asian countries typically have a better cost competitiveness. A nd here, the overall dynamics of the supply chain around the world are changing. Particularly, when it comes to Europe, there are, of course, challenges coming from the Chinese markets where they are further cost competitive than us.
But here is where the India at large and Minda Corporation plays on technology and as well as our cost competitiveness. Particularly when it comes to the products that we are exporting to the American countries, there the Indian or other countries, except for China, have furth er penetration and further acceptability.
There, of course, the more of the Indian players or c

ountries or people from these
countries have a larger advantage, whether it comes from the technology as well as from the pricing perspective. So we are engaged with all sorts of customers.
And in the Q1 as well, we have shared that we won orders across segments, particularly wiring harness and die casting, in the last few quarters.
Moderator: The next question is from the line of Sanket Balla from Ampersand Capital.
Sanket Balla: Yes. So sir, just wanted to understand what is your R&D expense as a percentage of sales for Q2? That's my first question.
Ajay Agarwal: See, overall, Y-o-Y, the company has been spending anywhere between 3.5% to 4%. Last year, it was around 4.5%. And this quarte r, right now, we don't have the number, but we expect the number to be around 3.5%.

Sanket Balla: Okay, sir. My second question is, sir, can you just give me a guidance on your margins? And what will lead to the margin expansion going ahead?
Ajay Agarwal: Well, if you look at our Vision 2030, we have kept 5 pillars of growth. And we have given a target of greater than 12.5% EBITDA margin across our business verticals, whether it is premiumization, whether it is export, whether it is new product, new custome r, whether it is EV focused, whether it is Flash, whether it is new business. All put together will help us to achieve the guided number of 12.5% or greater.
Moderator: The next question is from the line of Jainis Chheda from Kemfin Family Office.
Jainis C hheda: Congrats on a good set of numbers. Sir, my question is to do with the new products that are coming up. So as I can see, most of the products are towards the passenger vehicle segment. So going forward, how much of the revenue do you expect from the PV side once these products are up and running?
Ajay Agarwal : See, Jainis, if you look at in our, again, Vision 2030, today the revenue of 15% comes from passenger vehicles. We have guided that by 2030; we want to take this revenue share of 15% to 25%. Whe ther it is wiring harness, whether it is TFT cluster, whether it is switches, whether it is sunroof and various other products which we intend to launch, those will help us to take the whole revenue share from passenger vehicle to the tune of 25%.
Jainis C hheda: So, sir, is it fair to assume that our PV products will have a higher margin compared to our 2 -wheeler products, especially in case of wiring harness?
Ajay Agarwal : It will be blended and like I said, our aim is to achieve greater than 12.5% EBITDA margin. Whether it is 2 -wheeler, whether it is 3 -wheeler, whether it is passenger vehicle, everything will contribute to achieve that objective.
Moderator: The next question is from the line of Raghunandhan N.L. from Nuvama Research.
Raghunandhan N. L.: Sir, in sunroofs, earlier you had indicated investment of Rs. 63 crore for a capacity

of around 81,000 units. So just trying to understand what would be the general gross asset turnover? What would be the revenue potential on this investment? And woul d you expect optimal utilization by FY28?

Aakash Minda: So Raghu, the investment is going to be in the similar lines. and secondly, the first line that we are setting up will not have 100% utilization, but more so towards 60% utilization. So yes, and that should be by FY28. And of course, now in parallel, we

continue to look for other customers as well. Of course, once we have the first project set up, this give confidence to other customers and opens the doorway for a lot of things.

So as we move along, w e will see how we can increase our further business. But secondly, we are also in advanced discussions for the other product lines that are offered by the joint venture.

Raghunandhan N. L.: Got it, sir. And sir, with the view of increasing presenc

e in PV, another question there. In cluster space, historically we had strong presence in 3 -wheeler, PV, tractors, even in 2 -wheeler. How is our presence in clusters for the PV space? What would be our current market share? And also if you can talk a bit about the PV order win, which you have announced this quarter.

Aakash Minda: So Raghu, we have our passenger vehicle market share in single digits. Number two, we have won multiple orders across passenger vehicle, commercial vehicle, 3-wheeler and 2 -wheeler segment s for the TFT and more importantly, their platform products are not model specific.

And they range from 3 -inch to even 12.3 -inch clusters. So the SOPs are varied across the next quarters and years. But yes, in passenger vehicle also, we have won very significant large TFT business as a platform product as an instrument cluster.

Raghunandhan N. L.: Got it, sir. Heartening to hear even the wins from the 12.3 -inch cluster. Sir, one last question. In Flash, margin performance has been impressive at 16.1%. Last year, full year, it was 14.5%. So are these margins sustainable? And if you can talk about what has led to this expansion?

Ajay Agarwal : Well, I think, again, there also product mix and the other angle, which has led to a better performance, is EV con tribution. Also from a certain projects which the company has been running, whether it is employee cost, whether it is EBITDA margin improvement, those have resulted into a better margin and we have reasons to believe that the margin is sustainable and wil l continue to fetch a similar EBITDA margin going forward.

Raghunandhan N. L.: Got it, sir. Sir, one basic question. In terms of 2 -wheeler, 3 -wheeler for the traction motors, Flash has been able to offset the supply issue instead of using heavy rare earths , the usages of light rare earth. But in future, Flash also has plans for getting into 4 -wheeler and commercial vehicle motors. For these motors, would heavy rare

earths be required? Or can it be managed through light rare earth or magnet -less motors?

Aaka sh Minda: So Raghu, yes, Flash and Minda Corporation together are going to move forward for all segments of powertrain -related products, particularly from the EV perspective. And this is why we have come together where we create the complete system from po wer electronics perspective and powertrain perspective.

Number two, yes, the Poland technical center as well as a couple of other partnerships are working together for making ferrite motors, which are low -grade magnet motors as well as magnet -less motors across segments. So 2 -wheelers, 3 - wheelers as well as passenger vehicles is what we have already developed.

Moderator: The next question is from the line of Jay Kale from Elara Capital.

Jay Kale: Yes. Just one question. On your instrument cluster business, historically we had mentioned that to compete in this space will require strong technology partnerships or even consolidation of the market by inorganic growth. As we stand today, we've been able to win a lot of new orders organically as well.

What is ou r view currently? Do we think that our capabilities are good enough to go it solo? Or are we still open for partnerships or inorganic expansion within the space as this space is offering huge growth potential as we move forward?

Aakash Minda: So yes, Jay, this space offers a lot of growth opportunities, and Minda Corporation

is very well -positioned through our technical center as well as other collaborations
to cater to all the segments of standalone clusters and cockpits. And with this
quarter, we have als o shared the order wins across segments, and I've already
shared with you what products those are, particularly in the TFT space.
Going forward, through our technical center as well as making a complete system
solution offering, we ar

e working with global partners in order to complete our
system solution offering as well as look at localization on various aspects.
So, we are focusing and developing ourselves more and more stronger with further
investments into capacity, into the buildings as we have shown in our investment
slides as well as our strengthening of our R&D center, which all of you have visited
recently and seen the complete product portfolio on what we are doing from t he
instrument cluster and driver cockpit and cockpit electronics perspective.
Moderator: The next question is from the line of Hemant Soni , an Individual Investor.

Hemant Soni: Sir, we have a very strong vision till FY30. So I mean, can you break it up? I mean,
what can be the revenue guidance for FY26 and FY27?
Aakash Minda: So again, we have already shared this, right? Our CAGR and Y-o-Y growth is
expected to be somewhere between 20% and 25%. So that has to be our Y-o-Y
figure to achieve our targets. And we are well in position to achieve those with the
order wins and the plants that we're setting up in place.
Hemant Soni: So sir, 20% to 25% Y-o-Y growth, right?
Aakash Minda: Correct, between that 20% and 25%.
Moderator: Thank you. Ladies and gentlemen, this is the last question for today. I now hand
the conference over to the management for closing comments.
Aakash Minda: So once again, thank you, everybody. I would like to thank everyone for joining
the call. We, at Minda C orporation, are and remain highly confident in our growth
trajectory, both in the near term and long term, driven by strategic investments and
an unwavering commitment to advancing our products and technologies.
We are committed to creating value for all of our stakeholders and shareholders.
We are investing deeply in our capabilities in terms of people, capacities,
technologies and competencies across field. I hope we have been able to respond
to most of your queries. For any further information, we reque st you to please get
in touch with our IR team. Thank you very much and wishing all of you a great
day.
Moderator: Thank you very much, sir. On behalf of ICICI Securities Limited, that concludes
this conference. Thank you for joining us, and you may now di sconnect your lines.

Call: Feb 2026

February 11, 2026

The Officer -In-Charge (Listing)
Listing Department
National Stock Exchange of India Ltd.,
Exchange Plaza, Bandra Kurla Complex,
Bandra (East),
Mumbai - 400 051
Symbol: MINDACORP Head - Listing Operations,
BSE Limited,
P.J. Towers, Dalal Street, Fort,
Mumbai – 400 001
Scrip Code: 538962

Ref: Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015

Subject: Transcription of Conference Call with Investors/Analysts held on February 05, 2026

Dear Sir/M adam,

Please find attached herewith transcription of Conference call wit h Investors/Analysts held on February 05, 202 6. Kindly take the same on record and acknowledge.
Kindly let us know if any other informat ion is required in this regard.

Thanking you

Yours faithfully,

For Minda Corporation Limited

Pardeep Mann
Company Secretary
Membership No. A13371

“Minda Corporation Limited
Q3 FY26 Earnings Conference Cal l”
February 05, 202 6

E&OE - This transcript is edited for factual errors. In case of discrepancy, the audio recordings uploaded on the stock exchanges on February 05, 202 6 will prevail.

MANAGEMENT : MR. AAKASH MINDA – EXECUTIVE DIRECTOR
MR. AJAY AGARWAL – PRESIDENT, FINANCE & STRATEGY
MR. NITESH JAIN – LEAD INVESTOR RELATIONS

Moderator: Ladies and gentlemen, good day, and welcome to Minda Corporation Limited Q3 FY26 Earnings Conference Call hosted by Elara Securities India Private Limited.

As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during this conference call, please signal an operator by pressing st ar, then zero on a touch -tone phone. Please note that this conference is being recorded.
I now hand the conference over to Mr. Munindra Upadhyay from Elara Securities India Private Limited. Thank you, and over to you, sir.
Munindra Upadhyay: Thank you, Rudra. Good evening, everyone. On behalf of Elara Securities, I would like to welcome you all to Q3 FY26 Earnings Conference Call of Minda Corporation Limited. Today, we have with us from the management team, Mr. Aakash Minda, Executive Director; Mr. Ajay Agarwal, President - Finance and Strategy; and Mr. Nitesh Jain, Lead Investor Relations. I would like to thank the management for giving us this opportunity. I'll now hand over the call to the management for their opening remarks, post which we will op en the floor for Q&A. Over to you, sir.
Aakash Minda: Good afternoon, everybody, and thank you, Elara Capital and Mr. Upadhyay for organizing this call. Welcome to the Q3 and 9M FY26 earnings conference call of Minda Corporation Limited. I hope you all are doing well.
It is our pleasure to connect with you today and present our performance for the quarter, along with some key developments across the businesses. India has recently secured significant trade deals with the U.K., European Union and the United States, marking a transformative step for the Indian market. These agreements promise to unlock greater market access and business opportunities, positioning India as a key player in the global trade arena, especially for the automotive and auto component industry.
The Union Budget 2026 revealed on Sunday has set a clear course for India's automotive future, shifting the focus from short -term buyer subsidies to the long - term supply chain resilience and green energy integration with initiatives like Semicon ductor 2.0, ECMS scheme, rare earth corridor establishment and focus for MSMEs also. For Q3 FY26 .

we witnessed strong performance across all major vehicle segments due to the key reasons such as GST reductions, festive season buying, new launches, improved financial availability, supported by favourable market conditions. Overall, the auto industry grew by 17% and entered the Q4 FY26 on a firm footing with stable macroeconomic conditions and policy -led affordability gain.
Coming to the performance from Mind a Corporation for the Q3 FY26, the company has maintained its strong growth momentum, led by outperforming the automotive industry growth and achieved its highest ever quarterly revenue of INR 1,560 crores, representing a robust growth of 25% on a year -on-year basis.
The performance was fueled by sustained demand across key vehicle segments, increased share of businesses and content per vehicle and strong traction in EV and premium product categories. During the quarter, the company's EBITDA stood at INR 184 crores, reflecting a margin of 11.8%. The reported profit after tax reached INR 84 crores with a PAT margin of 5.4%, supported by improved operational efficiencies and a favorable product mix.
I am also happy to share that our Board of Directors has r ecommended an interim dividend of 30% that is INR 0.60 per equity share.
Our associate company, Flash Electronics, continued to deliver strong performance with revenue of over INR 488 crores with an EBITDA of INR 90 crores, representing a margin of 18.4%.
This strategic

partnership has significantly strengthened our presence in high - growth domains such as EV power electronics, traction motors, motor controllers and other related products. The collaboration continues to deliver operational synergies and wil l play a pivotal role in achieving our growth road map. Our performance continues to be guided by the key pillars of growth, which we have shared earlier.
First, investment and growth in existing businesses; second, export market focus; third, premiumizat ion of existing products; fourth, new product launches by way of partnerships and organic technology development through our technical centers.
We are happy to share that the Board of Directors of the company has appointed

Mr. Ajay Agarwal as Group Chief F inancial Officer and key managerial personnel of the company in addition to his existing role of President, Finance and Strategy for the company effective 5th February 2026.

We are also happy to let you know that the Board of Directors have approved an ESOP scheme 2025, marking an important milestone in rewarding our employees. Our ESOP scheme 2025 is forward -looking and aligns with our Vision 2030. This is, of course, subject to shareholders' approval.
Looking ahead, we remain committed to executing ou r strategic priorities with continued focus on enhancing our system solutions offering, strengthening customer relationships and investing in new technologies and systems.
Our emphasis on operational excellence, strategic partnerships and innovation will play a critical role in driving the growth in FY26 and beyond. Our key focus remains on disciplined capital allocation, expanding our presence in high -growth segments and advancing our R&D capabilities that will drive long -term value creation for all our stakeholders and shareholders.
With that, I would like to invite Mr. Ajay Agarwal, Group CFO, to take you through our detailed financial presentation and performance and key highlights for the quarter. Over to you. Thank you.
Ajay Agarwal: Thank you, Aak ash, and good afternoon to all of you. I hope you have the slides in front of you that was shared a while back. I'm on Slide number 2. Slide number 2 gives you the overview of Minda Corporation and its scale of operations. As many of you know, the group's revenue in FY25 stood at INR 7,472 crores with the consolidated statutory revenue at INR 5,056 crores.
We have manufacturing footprint, which includes 32 plants and 18,000 employees all across the globe. Our strong performance is backed by strong focus on innovation, which we have close to about 320 patents filed out of which 147 patents have already been g ranted. Moving to Slide number 3. This slide talks about the auto industry in India. As many of you would have already seen, the auto industry in Q3 grew at around 16.8% vis -a-vis last year.
And all across strong performance were witnessed, whether it is tractors, whether it is commercial vehicle, 3 -wheeler, passenger vehicle and 2 -wheeler. Of course, tractors , commercial vehicle and 3 -wheeler led the chart. On a quarter -on-quarter basis, we saw a marginal dip. Of course, that is pretty much to do with the post festive season normalization. We saw a very strong Q2.
That could be one of the reasons. But despite that, the growth is quite stupendous.
Speaking about the Q3 key strategic developments in Minda. One, of course, we recorded the highest revenue of INR 1,560 crores, representing a growth of 25%

year-on-year. Our EBITDA margin stood at 11.8% in Q3 FY26, registering a growth of 30 bps year -on-year.
We have also registered a lifetime order book of INR 2,000 crores with multiple orders across product ca tegories within the organization. We also secured multiple platform -specific instrument clus

ter orders across leading OEMs for our
instrument cluster or display business. During the quarter, we also filed four new patents, taking the total patents filed th us far to 320 plus.
On 9M performance, our revenue grew at 20% year -on-year, obviously backed by strong fiscal policy and strategic initiatives adopted and announced by the government. The 9M margin of EBITDA stood at 11.6%, representing a growth of 26 bps .
Our lifetime order book for 9M period recorded at INR 7,000 crores and as we have already announced our partnership with Toyodenso it is also in good shape for our switch business across vehicle segments. In the 9M period, we had also filed 16 new patents, taking the total patents filed to 320 .
I'm on Slide number 5. From a revenue perspective from year -on-year, our revenues grew by 25% at INR 1,560 crores for a similar period our EBITDA grew by 28% to INR 184 crores and PAT for a similar per iod grew by 36% to INR 88

crores.
Speaking of 9M period result, however, revenue grew by 20%, taking the topline to INR 4,482 crores and EBITDA for the similar stood at INR 518 crores registering a growth of 23% and PAT for a similar period grew to INR 238 crores representing a growth of 17%. As we all know in the month of December, the government announced a new labor law. Due to the change in the labor regulation, we had to account for INR 4 crores of exceptional items .
That has also been accounted for in these numbers. From the business vertical performance perspective, our mechatronics and aftermarket and other businesses grew by 17% from INR 608 crores to INR 710 crores and Information & Connected Systems business from an overall perspective during the quarter grew from INR 645 crores to INR 850 crores, representing a growth of 32%.
For a similar period on a 9M period, the revenue stood at INR 2,073 crores for mechatroni cs and aftermarket whereas Information & Connected business stood at INR 2,409 crores vis -a-vis INR 1,914 crores resent a growth of 26%. Moving to Slide number 7.

This slide gives you a bit of a snippet in terms of our revenue breakup where from we have g ot INR 1,500 crores revenue, wiring harness contributed about 31%, vehicle active contributed 23%, cluster business contributed 18% and die casting business contributed 15%. From a geography perspective, as the company continues to be a heavily India -depen dent company, India contributes about 8 9% and exports contributes about 1 1%. And out of that 5% comes from Southeast Asia business and Europe and North America contributes 6%.
From an end market standpoint, 45% revenue comes from 2 -wheeler and 3 - wheeler, commercial vehicle contributes 29%, passenger vehicle contributes 15% and aftermarket contributes about 11%. I'll not speak much about our associate company Flash's performance because Aakash has alread y in detail covered. They are in a strong and strategic growth path across their product lines, and they have also witnessed few large OEMs during the quarter. From a capex perspective, during the year, we have committed to spend close to about INR 400-odd crores. We have already spent about INR 276 crores for the 9M ended FY26, and we plan to spend another INR 100 crores in the coming quarter as well.
Slide number 13 gives you our consolidated income statement from FY21 till FY25. We are moving strongly in operationalizing most o f our capex , whether it is die casting plant in Pune, whether it is MIL plant in Pune as well as die casting plant in Greater Noida. Moving to Slide number 15. These are some of the products which are under launch. We have already detailed out in our Inves tor Day presentation as well, whether it is sunroof, PLG , whether it is switches for EV products.
So with this, back to the operator, we can start with the Q&A, please.
Moderator: Thank you very muc

h. Our first question comes from the line of Raghunandha n
N. L. from Nuvama Research. Please go ahead.
Raghunandhan N. L.: Congrats, sir, for extremely strong numbers. Sir, my first question was on commercial vehicle space. It's an important segment for us, representing around 30% of revenue. Can you indicate your thoughts about the outlook here? Do you think the demand conditions have significantly improved and you see an up cycle in this space going forward?
Aakash Minda: Yes. Raghu, I think the commercial vehicles has done growth in the recent quarter as wel l as the first nine months. We expect the commercial vehicles also to continue growth in the next Q4 as well as in the first half of next year. The primary

reasons we believe is due to the regulation changes that have been there, plus the infrastructure up gradation that is happening all across India and last not the least, of course, the trade that has been booming within India as well as for exports.
So, India is, of course, on a growth with the GDP growing. We believe that these are the reasons where the commercial vehicle segment is expected to grow at least

for the immediate future.
Raghunandhan N. L.: Noted, sir. Secondly, on the orders for switches and sunroof, a very large order of INR 1,000 crores for switches and sunroof INR 350 crores both are starting SOP or the manufacturing is starting for both in FY27. Firstly, when you say lifetime order for h ow many years does it represent? And would there be a ramp -up phase for this order that is , would it take two, three years to reach the peak? How does it work?
Aakash Minda: Yes, Raghu, I think what you answered is also your own questions. So yes, the switches business is expected to start in Q2 FY28. So next year, the plant is already under construction. The partners are already here. And now the localization and the other th ings are going on.
So we expect one year from here and the production to start. And yes, the orders that you mentioned are lifetime. So they will take about two years to ramp up and then subsequently, it will move forward. Number two, when it comes to the sunroof, so that is also a lifetime business. It is expected to start SOP in Q1 which is next year and FY27. And the ramp -up is expected to happen over the next few quarters. So that is how we expect these businesses to ramp up.
Raghunandhan N. L.: And wo uld it be fair to assume that lifetime order would mean four years.
Aakash Minda: Yes. Typically, it's four to five years, yes.
Raghunandhan N. L.: Understood, sir. And on the export side, how are you seeing the signs of improvement? Recently, there has be en both talks of EU and U.S. agreements with India. So how do you see the future for FY27 and also your strong markets of Asia, if you can talk about all of them?
Aakash Minda: Yes. So for us, at least now we can see the exports coming back to normalcy in this quarter. You will acknowledge that over the last many quarters, about four to five quarters, the exports have been kind of subdued. But this quarter, we have seen coming back to normalcy where our exports to the Europe as well as to U.S. port are pick ing up, and it is across the divisions that we have.

Now we welcome the trade agreements between U.K. and Europe as well as the tariff alignment that has happened between India and U.S. However, auto components is not clear yet, and we will get a clarity soon. But hopefully, it should be in the similar range and not much of a difference where we continue to engage with our customers. The order books that we have already won in the last quarters where we have shared before, they expect to come without any d elay into start of production over the next few quarters.
Raghunandhan N. L.: And lastly to Ajay, sir

. Sir, if you can indicate other expenses have seen a 7% Q -
o-Q drop. Can you indicate the reason and whether this number is sustainable? Also, if you can talk about copper, there has been a big increase in copper price. Is there a lag for us in pass -through of that commodity impact to customers?
Ajay Agarwal: See, all indexed costs are having a reciprocal arrangement from our vendors plus from our custo mers' perspective. There should be a lag of a quarter or so while we do the true -up with our vendor and pass those on to the OEM. That arrangement has been there with the organization for several years now and the practice is working quite well.
Yes, defi nitely, this year has been quite an aberration when it comes to commodity and not only for copper, it is equally applicable for aluminum and rest of the alloys as well because we are heavily dependent on aluminum, copper and rest of the index products too. Speaking about the other expenses, we have managed to reduce the other expenses.
And largely, those are three counts. One is savings in energy costs due to renewable and a few other things. Second, we have managed to carry out certain activities to job w ork as well. That has also led to a reduction of our other expenses.
Raghunandhan N. L.: So fair to assume that you will be able to maintain the other expenses to revenue at this reduced level.
Ajay Agarwal: Yes.
Moderator: Our next question comes from the line of Jyoti Singh from Arihant Capital Markets Limited.
Jyoti Singh: Yes. Sir, my first question is while the shift to Information & Connected System is driving top line growth, but consolidated EBITDA margin have remained stagnant around 11.5%. Can you bridge the path to your target of 12.5%.

Specifically, how much of this margin expansion is dependent on the localization of high -tech electronics versus the pure operating leverage?

Aakash Minda: So Ms. Jyoti, we have already shared before that, first of all, where we come from is about high single digit about a couple of years ago. And in the last 8 to 12 quarters, we have come from about 10% to a sustainable and consistent delivery of 11.5%, which is what we had committed as well as shared with all our shareholders and all your colleagues.

Similarly, I think this is also one of the highest ever EBITDA that we have posted at with 25% growth in the revenue and on the nine-month basis also, we have posted the highest ever EBITDA in terms of the value and p ercentage terms.

What is going to drive growth going forward is on multiple aspects. Our first continued focus on operational excellence. Number two is we are investing and going to be focused on localization and backward integration as well. There are multiple initiatives that are happening that I can't share on the call, which are strategic in nature on how we can improve that, whether it is related to the electronics or some of the subsidies that the government has offered us.

And we'll be investing in that, which will help us drive Minda Corporations growth, both from top line and bottom line. So, this is what I would like to share about how we have come across and where we are looking at growing from the EBITDA perspective.

Jyoti Singh: Okay. Got it, sir. So sir, you have announced around INR 2,000 crores capex plan to triple revenue by 2030. So how will this massive investment translate into a 15% plus ROCE? And at what stage do we expect to see the peak of this capital intensity?

Ajay Agarwal: See, every year, we spend, give or take, INR 300 crores to INR 400 crores. So, if you are looking at up to FY 2030, by design, we will land up spending around INR 1,500 crores and given our other strategic priority, whether it is premiumizat ion, whether it's investment in new businesses, acquiring new clients, focusing on exports, launching new products,

all those will also accelerate our capex from INR 1,500 crores to INR 2,000 -odd crores.

From a return on capital employed perspective, if you do an apple -to-apple comparison, we are already doing a margin of about 22% because why the functional numbers you are able to arrive at is due to the fact that interest is levied in Minda Corporation, whereas the revenue or th e profit of Flash is not

consolidated. But if you do the apple -to-apple comparison, we do close to about 22% ROCE.

And I think what we have promised the market to deliver by 2030 is improvement from 22% to 25%. And given our disciplined capital allocation and making sure that whatever investment we do, particularly from connected business, high revenue business and high -margin business, we are confident that we will be able to increase our ROCE from current 22% to 25%.

Jyoti Singh: Okay. And sir, what is our current gross debt as of December 31, both long term and short term? And have we repaid any during this period? And what are the repayment plan going forward?

Ajay Agarwal: So our gross debt is about INR 1,100 -odd crores and we have paid abou t INR 70-odd crores debt during the first nine-month period. I don't have the quarter -wise detail, but during the nine-month period, we paid about INR 70-odd crores. And as you know, promoter has infused around INR 104 crores through share warrant that amo unt was largely used towards the repayment of debt.

Jyoti Singh: Okay. During FY26 or further?

Ajay Agarwal: During FY26.

Moderator: Our next qu estion comes from the line of S ridhar Kalani from Antique Stock Broking .

Sridhar Kalani : My question is with regards to Flash Electronics where Mr. Sanjeev had mentioned a few months back on Minda Corporation's Investor Day that they were in very

advanced stage with respect to the non -ferrorite synchronous motor. Just wanted
to understand what is the status on th at product? Are we ready for mass
production? Or do we have any commer cial order from any of the OEMs?
Aakash Minda: Yes. So that motor is early design, developed by our technical center or Flash
technical center in Poland. Yes, it takes a lot of time on t he field trials as well. But
yes, we have showcased this product to our couple of customers as well, and we
are working with them closely. But yes, no order has been booked so far. But our
large customers are moving forward for further evaluation, and then we can
hopefully be able to conclude something in the next couple of months.
Sridhar Kalani: So is it fair to understand that the OEMs are currently testing the product
rigorously? Is that the current status?

Aakash Minda: That's right, yes. We are also testing, yes. And then we have some customers as
well and on the field.
Sridhar Kalani: So generally, sir, how much timeline does it take for the OEMs to test and validate
the product and then for that product to come under our SOP?
Aakash Minda: So technically, in the automotive industry, whether it's a new product, you can say
once the product is ready to offer to the customer, then depending on the product
and in this case, you can say at least about six to eight months' time because the
entire arch itecture and the vehicle performance is based on the motor. So yes, with
the technically proven solution and all the simulations and the validation that have
done the lab, it could take somewhere about six to nine months from after award
to come into the m ass production from the first sample to come into the order and
then so on so forth.
Sridhar Kalani: Got it. And this is a proprietary product, which is under the label of Flash
Electronics. Is the understanding correct, sir?
Aakash Minda: Yes.
Moderator: Our next question comes from the line of Shubham Batra from A

MBIT AMC.
Shubham Batra: Sure. My first question was Flash margins have been doing really well. What is
the sustainable level of margin to assume going ahead? Secondly, what is the
capacity utili zation across business segments for us currently?
Aakash Minda: So the margins are again going to be in the same level that we have shown in the
last two or three quarters, which is somewhere about 16% to 17%. And we expect
this to be, of course, sustainab le and consistently going forward. Of course, many
of this or a lot of this will also depend on the export orders, which is also good for
this quarter as well for Flash Electronics.
Aakash Minda: On the second capacity utilization , their capacity utilization is quite high. But the
facility where they can add on new machines and create capacity. So that's not a
concern in terms of space. When it comes to the other EV motor and the other ICE
products related, so they have capacity to the tune of, let's say, about 20%.
And plus for the electric vehicle motors and the motor controllers and integrated
drive unit, there the plant that they had inaugurated about a year ago is alread y full,
and we have now started investing in the new plant, which will be ready in about
three to four months' time.

Shubham Batra: Sir, I also wanted capacity utilization on our Minda business, the die casting.
Aakash Minda: I see. Yes, Minda Corporation overall capacity at the group level is you can say
somewhere about 84% to 85%.
Moderator: Our next question comes from the lin e of Devesh Kayal from Monarch A IF.
Devesh Kayal: Sir can you share R&D spends in other expenses? What was the amount of R&D
spend in other expenses?
Aakash Minda: So R&D expenses were somewhere about 4% of our top line, which is including
opex and capex .
Ajay Agarwal: It is not included in other expenses because obviously, the whole expenditure can
be bifurcated into opex , other personnel expenses, people related expenses. So
people related expenses will feature in employee costs and other expenses will
according get clubbed across each of those separate things. For by and large, as I

mentioned, we spend about 4% of our revenue in R&D.
Devesh Kayal: Understood. And for the nine months, also it would be around 4%?
Ajay Agarwal: Yes, yes, close to 4%.
Devesh Kayal: And sir, if I see the other segment, so if I exclude the aftermarket revenue from that other segment, so the remaining basically the EV products and all, so that seems like a very low number for this quarter. So is that understanding right?
Ajay Agarwal: Yes. Again, this includes firstly, our multi ple products, which is the small starter motor division, the EV product lines, then the interior plastics division, there are other products which are under start -up phase. So yes, there are products which are getting into SOP. There are products which hav e recently got into SOP. So the ramp -up does happen.
But overall, the quarter product mix is depending on the larger vertical sector.
Devesh Kayal: And that segment includes aftermarket revenues also in the others?
Ajay Agarwal: Yes. Yes.
Moderator: Our next question comes from the line of Vijay from Nuvama.
Vijay : A couple of questions I have. First is on Flash Electronics. So there is a very good margin expansion on the Flash Electronics over the last six to nine months. I just

wanted to understand what is driving this margin expansion? How much is coming from the synergies and what else are the main factors for that?
Aakash Minda: Yes. So as you know, Flash Electronics houses multiple products, which is EV as well as on the ICE -related powertrain product line. And the third vertical is on the gear business. So there are three primary product lines. Of course, mar

gin
expansion is coming from the EV product portfolio as well as on the gear businesses, which are exports.
These are the reasons, again, a favorable product mix on how the expansion of the margin is happening. But yes, growth is coming across all three product lines and across domestic as well as exports.
Vijay: And do we expect to maintain this 18% EBITDA margin going f orward for Flash Electronics?
Aakash Minda: So I just shared before, it's a sustainable number could be again about 16% to 17% here and there. But of course, our interest is how we can expand them further, which is our efforts that we are putting in place.
Vijay: Secondly, sir, just on the rare earth magnet issue, that is behind us, right? Or we are still seeing some impact from there?
Aakash Minda: That is behind us. The overall industry, I think, has figured out multiple ways, so have we. And plus now wit h the new budget and the overall magnet corridor that is being created, a lot of efforts have been done and a lot of opportunities open up for the industry as a whole.
And secondly, technically on technology -wise also, we have created motors which are mag netless and rare earth free and for this freight magnet also, which are not coming from China or from other countries as well. So yes, technology -wise also, we have developed products across segments, which can cater to these products also.
Vijay: Sir, loo king forward into the fourth quarter and FY27, are you seeing any raw material headwinds? And how do you plan to tackle that especially on the copper, aluminum and other metal side.
Aakash Minda: I was reading some of the financial statements of some of th e large resource companies in India. Many have hedged their position and many have not hedged. And you would have already seen some companies that hedged silver at some $39

in Q2. If those companies are not able to predict how the commodity cycle will beha ve, it's very, very difficult. But thankfully, whether it is Flash, whether it is Minda Corporation, all our group companies are following a very strategic approach, which is passing on the cost.
We don't enjoy the upside, neither we lose our thing becaus e of the price going down. So therefore, we are properly hedged, and we are not in the business of

making money out of commodity uptrend or downgrade. We are here to really excellent manufacturing capability and deliver quality services to our clients.
Vijay: There is no time lag between the raw material price increase and pass on to the customer or is there a delay?
Aakash Minda: I think, I just answered the question to the previous question. We typically do this indexed cost pass on Q-o-Q. So we do true up every quarter.
Moderator: Our next question comes from the line of Dhananjay Mishra from Sunidhi Securities.
Dhananjay Mishra: Congratulations on the strong numbers. Sir, we have mentioned about kit value in 2-wheeler segment, including Flash Electronics. So likewise, what could be the expected kit value for the 4 -wheeler and EV segment once all our products go on the same?
Aakas h Minda: So that's a good question, but it depends. If I look at a complete kit value with Flash Electronics and what we can offer only from the engine side, it is primarily on the power electronics front. And now we are working for the 4 -wheeler motor that we have developed. So you can typically put somewhere about INR 50,000 to INR 60,000. However, if I club products and make it a system solution into 6 -in-1 or 7-in-1, that could even go up to INR 90,000 or INR 1 lakh.
So it really depends as a complete kit value, but customers may select to take all as a combination, they may select to take one component out of this, they may select integration. So a lot of possibilities are there when it comes to this product offering in the 4 -wheeler space.
Dhananj

ay M ishra: Okay. And you mentioned for the new orders which is into Smart TV segment, that will start in Q2 FY28, right?
Aakash Minda: A part of it will start in Q2 of next fiscal year and will start in Q2 of FY27.
Dhananjay Mishra: Okay. Again it is mentioned the facility will be completed by Q4 FY27, right?

Aakash Minda: Switch is already under commissioning. The plant is already expected to be ready by Q4 FY27, which is about one year from here. And the SOP is expected to start in Q1 or Q2 in FY28. And then the ramp -up further will happen in, let's say, about a year from there.
Dhananjay Mishra: And once we start getting other orders from other OEMs in the sunroof segment, what co uld be the potential annual contribution from this segment, let's say, in FY28, FY29?
Aakash Minda: That's a very broad question. But as you know, the sunroof market in India is expanding and growing very fast. Now of course, there are a couple of companie s as well who are working at this segment, but sunroof is expected to penetrate faster. There are also various technologies that are coming in. So our target is how we can go to at least 10% to 15% of market share by FY 2030 or FY20 31. That is our intentio n at first.
Moderator: Our next question comes from the line of Munindra Upadhyay from Elara Securities India Private Limited.
Munindra Upadhyay: Actually, I have a couple of questions on a bit long -term trend first. So on the ADAS and sensors business, wh at kind of demand outlook or localization potential do you see for the, say, next three to four years down the line? And what are our plans to like capitalize on that product?
Aakash Minda: Yes. So I think the safety is, I think, very important globally an d more importantly in India. It is also personally very close to my heart on how we can contribute as an organization to this. Coming about to the ADAS systems in the new 4 -wheelers that are coming in, there are very much equipped until L1 level of ADAS sy stems coming from the Indian or even global OEMs. Number two is these systems are currently provided by the large global Tier 1s as it is a system solution offering. Our focus here across the ADAS as a product is to enter from the component side and not the system when it comes to the passenger vehicle or others. So that's number one focus. Number two, when it comes to the other segments such as 2 - wheelers and all, we have already developed products which are already getting tested at customer end, wh ich is a complete system solution offering for fr ont collision, rare blind spot.
So these are some of the systems that we have already developed for this market. And then looking at the connected components from the ADAS, this is where we would like to wo rk, and we're looking for a couple of opportunities in that respect.

So ADAS is something that we are going to be taking going forward from the component side primarily.

Munindra Upadhyay: Okay. That was helpful, sir. And my second question was on the expo rt front. So how do we see the demand like panning out? Is the situation improving there? Or like any comment on the recent FTAs, like do we expect to pick up in demand due to this? Any commentary or outlook would be good on this, sir?

Aakash Minda: Yes. So Mr. Upadhyay, the first time in, I think, six to eight quarters, particularly from Minda Corporation, the export orders have come to normalcy. And thanks to the clarity that is bought by various EU agreements as well as the tariff clarity, etc. How ever, going in the Q4 and the next year, we expect our new SOPs to come , new orders coming to start of production as well as the existing business ramp -up to happen.

So it is expected to grow. I cannot really comment how much and how fast, but it is ju

st the first quarter and too early to comment. So we'll have to see on a Q-o-Q basis, at least for the next two quarters.

Ajay Agarwal: And in addition to what Aakash just said, our long -term vision remains quite strong for exports. We expect to take our expo rt business from current about INR 500-odd crores to INR 1,500 crores by 2030. That vision remains static.

Moderator: Ladies and gentlemen, as there are no further questions from the participants, I would now like to hand the conference over to the managem ent for closing comments.

Aakash Minda: So thank you very much. And I would like to really thank Elara for organizing this call and thank everyone for joining the call. We remain highly confident in our growth trajectory, both in the near term and long ter m, driven by strategic investments and unwavering commitments to advancing our products and technologies. We are committed to creating value for all our stakeholders and shareholders.

We are investing deeply in our capabilities in terms of people, capacit ies, capabilities, technologies and competencies across fields. I hope we have been able to respond to most of the queries. For further information, we request you, please do get in touch with our IR team. Thank you, and have a great day.

Moderator: Thank you. On behalf of Elara Securities India Private Limited, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

Call: May 2026

May 27, 2026

The Officer -In-Charge (Listing)
Listing Department
National Stock Exchange of India Ltd.,
Exchange Plaza, Bandra Kurla Complex,
Bandra (East),
Mumbai - 400 051
Symbol: MINDACORP Head - Listing Operations,
BSE Limited,
P.J. Towers, Dalal Stre et, Fort,
Mumbai – 400 001
Scrip Code: 538962

Ref: Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015

Subject: Transcription of Conference Call with Investors/Analysts held on May 2 2, 2026

Dear Sir/Madam,

Please find attached herewith transcription of Conference call wit h Investors/Analysts held on May 2 2, 202 6. Kindly take the same on record and acknowledge. Kindly let us know if any other informat ion is required in this regard.

Thanking you

Yours faithful ly,

For Minda Corporation Limited

Pardeep Mann
Company Secretary
Membership No. A13371

"Minda Corporation Limited
Q4 FY26 Earnings Conference Call"
May 22, 2026

E&OE - This transcript is edited for factual errors. In case of discrepancy, the audio recordings uploaded on the stock exchanges on May 22, 2026, will prevail.

MANAGEMENT : MR. AAKASH MINDA – EXECUTIVE DIRECTOR
M R. AJAY AGARWAL – GCFO AND PRESIDENT ,
FINANCE & STRATEGY
M R. NITESH JAIN – LEAD, INVESTOR RELATIONS

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Moderator : Ladies and gentlemen, good day, and welcome to Minda Corporation Q4 and FY26 Conference Call hosted by Emkay Global Financial Services Limited.
As a reminder, all participant lines will be in the listen-only mode. There will be an opportunity for you to ask questions after the presentation concludes.
Should you need any assistance during this conference, please signal for an operator by pressing star then zero on your touchtone telephone.
I now hand the conference over to Mr. Chirag Jain, Emkay Global Financial Services Limited. Thank you, and over to you, sir.
Chirag Jain: Thank you. Good evening, everyone. I would like to welcome the management team of Minda Corporation and thank them for this opportunity. Today, we have with us Mr. Aakash Minda, Executive Director; Mr. Ajay Agarwal, Group CFO and President, Finance and Strategy; and Mr. Nitesh Jain, Lead, Investor Relations.
I shall now hand over the call to the management team for their opening remarks, post which we will open the floor for Q&A. Over to you, gentlemen.
Aakash Minda: Thank you, Chirag and Emkay Global for hosting this call. Good afternoon, everybody. Welcome to the Q4 and the FY26 Earnings Conference Call for Minda Corporation Limited. I hope you are all doing well. It is a pleasure to connect with you today and present the company's performance for the quarter and the full financial year, along with the key developments across our businesses.
I will begin with a brief overview of the macroeconomic environment, followed by current trends in the automotive industry. Ajay Agarwalji will then take you through our financial and operational performance for the quarter and full year, after which we will open the floor for Q&A.
As FY26 concludes, the global economy has demonstrated notable resilience despite rising complexities. Geopolitical tensions in the Middle East are fueling commodity price swings and inflationary pressures, while emerging markets face uneven recovery. Amidst these global uncertainties, India continues to distinguish itself with strong performance.
Rising capacity utilization and the activation of private sector capacities reinforce a supportive domestic macroeconomic environment, providing a

solid foundation for our growth ambitions. Additionally, the increase in minimum wages announced by a couple of states like UP and Haryana governments effective 1st April 2026 is being addressed through productivity enhancements, controlled headcount additions and improved workload management.
Turning to the automotive sector. India concluded FY26 on a strong note. After a cautious start, the second half saw a synchronized recovery across key segments, supported by fiscal and monetary measures, personal income tax rationalization and GST rate reductions which enhance customer affordability and disposable income.
Despite challenges from geopolitical tensions and commodity price volatility, the industry maintained strong momentum throughout FY26, reflecting underlying demand across the domestic market. The sector, however, faced significant inflationary pressures over the past 5 months.
Prices for major commodities such as steel, aluminum and copper continued to rise, compounded by higher freight, packaging, energy costs as well as a broad increase in petrochemical linked expenses. While this commodity inflation is passed to the customer, it continues to influence overall cost structures.
Q4 of FY26 witnessed strong performance across all major vehicle segments.
The 2-wheeler segment witnessed strong growth of about 21% year-on-year, growth led by GST reforms, urban demand strengthened and rising EV adoption.
Passenger Vehicle segments delivered record high sales with a growth of about 11.3% year-on-year, driven by favorable macros, premiumization tren

ds and
rising contributions from SUVs and EVs. Commercial Vehicle segment reported broad-based growth across MHCV and LCVs categories of about 20% year-on-year growth.
The tractor segment continued its momentum with a growth of more than 37%

year-on-year basis, led by policy reforms and macro support and with continued momentum expected despite geopolitical and commodity risks.
Overall, the auto industry grew by 20% and closed Q4 FY26 on a firm footing with a stable macroeconomic conditions and policy-led affordability gain.

Now coming to Minda Corporation, the Q4 FY26 marked a record-breaking quarter across all metrics for Minda Corporation with delivering its highest ever revenue, EBITDA and PAT. During Q4 FY26, the company surpassed consensus estimates, delivering its highest ever quarterly revenue of INR 1,704 crores, a growth of 29% on a year-on-year basis.
The company reported its highest EBITDA of INR 203 crores with a growth of 33% on a year-on-year basis, along with 11.9% EBITDA margin. The PAT reached INR 124 crores with a PAT margin of 7.3%, supported by improved operational efficiencies and a favorable product mix.
For the full year FY26, the company delivered highest ever annual revenue of INR 6,185 crores, registering a growth of 22.3% on year-on-year basis. The company reported EBITDA of INR 721 crores with a growth of 25.5% on year-on-year basis with a margin expansion of 29 basis points. PAT for the full year was INR 358 crores, marking a growth of 40.3% year-on-year basis.
On our associate company Flash Electronics, Flash has continued to deliver strong performance with revenues of INR 1,803 crores in FY26 with an EBITDA of INR 310 crores and a margin of 17.2%, The strategic partnership has significantly strengthened our presence in high-growth domains such as EV power electronics, traction motors, motor controllers and vehicle control units. This collaboration continues to deliver operational synergies and will play a pivotal role in achieving our growth roadmap.
We have further strengthened our strategic footprint in the rapidly growing electric mobility ecosystem through joint ventures with Turntide Technologies of U.K. This partnership leverages Turntide's global technology expertise along with Spark Minda Corporation's manufacturing and localization strength, enabling the delivery of advanced, cost competitive and locally manufactured powertrain solutions to meet the customer requirements.
Additionally, in the year, through our newly formed joint venture with Toyodenso of Japan, we have secured significant orders for switches from leading Japanese OEMs with operations expected to commence in Q4 FY27.
Building on our strategic growth initiatives, Minda Corporation will now consolidate our associate company, Minda VAST, into the Minda Corporation from this fiscal year after the change in our shareholder agreement with our

joint venture partner. This will enhance the 4-wheeler system solutions and platform-based offerings to our customers.
Our performance continues to be guided by following key pillars of growth, which are: one, investment in existing businesses; second, export-led growth; third, premiumization of existing products; fourth, new product launches; fifth, new customer addition and increased penetration in existing customers; and sixth, investment into R&D and technology.
In recognition of our shareholders, the Board of Directors have recommended a final dividend of 40% that is INR 0.80 per equity share on the face value, taking the total dividend for the year to 70%, that is INR 1.40 per equity share.
The company also continued to strengthen its business fundamentals during the year through new order wins having lifetime value exceeded of INR 10,000 crores across existing and emerging product categ

ories supported by increasing
customer engagements and higher content per vehicle opportunities. Our focus on technology-led products, localization initiatives and premium product offering continues to support the long-term growth visibility across domestic and export markets.
Looking ahead, we remain committed to executing our strategic priorities with continued focus on enhancing our system solutions offering, strengthening our customer relationships and investing in new technologies and our core.

Our key focus remains on disciplined capital allocation, expanding our presence in high-growth segments and advancing R&D capabilities that will drive long-term value creation for our shareholders and stakeholders.
With that, I would now like to invite Mr. Ajay Agarwal, Group CFO, to take you through the detailed financial performance and key highlights for the quarter. Over to you. Thank you.
Ajay Agarwal: Thank you, Aakash. Before I start, I'm assuming all of you would have received the slides which have already been uploaded in the system. I'll start from Slide number 2. It talks about the company's overview and its scale of operations.
Like Aakash briefly touched upon, our Group revenue for FY26 stood at INR 90 billion, and the consolidated revenue stood at INR 6,185 crores. We have a

manufacturing footprint, which includes 42 plants with over 23,000 associates and employees across our plants and offices all over the world.
We remain focused on innovation which enabled us to file 330 patents during the fiscal year, of which 147 have already been granted. We work with 950 engineers across our offices and plants. And we are extremely proud of the work which they continue to do on year-on-year basis, quarter-on-quarter basis.
Moving to Slide number 4. During the quarter, we registered highest ever quarterly revenue of INR 1,704 crores, reflecting a growth of 29% year-on-year. EBITDA margin stood at 11.9%, with 37 basis points improvement over last year.
Our lifetime order book recorded INR 3,500 crores during the quarter. And along with that, we have secured multiple platform-level instrument cluster orders from several leading OEMs. During the quarter, we filed 11 patents and resulting in the total patent filing to be in the range of 330.
Talking about for the full year. For the full year, the revenue grew at 22.3%, despite macro and micro challenging economic environment we operated. EBITDA margin stood at 11.7%, expanding our margin by 29 basis points year-on-year.
We recorded a lifetime order book of INR 10,000 crores, contributing about 20% from exports order. During the year, we have acquired several land parcels in industrial clusters which will help in the future for our expansion and establishing different plants across these various locations.
Net-net, for the full year, we recorded our highest ever revenue at INR 6,185 crores. We recorded highest EBITDA at INR 721 crores. We recorded highest PAT at INR 358 crores. We spent highest-ever capex for FY25-26 at INR 413 crores. Aakash briefly touched upon our partnership with Turntide. We are extremely proud of this partnership. The joint venture has already been established during the first week of March 2026.
It combines clearly Turntide's global technology with our own expertise to deliver premium, localized electric vehicle solution and system solution to several of our 2-wheelers, 3-wheelers and LCV customers. It offers high-

quality cost-competitive product, including axial flux motors, EV motors, electric water pump and motor controller, amongst several other product and portfolio which Turntide has.
Moving to Slide number 9refers to several of our products, and it gives you a glimpse of our revenue mix across our product portfolio. Wiring harness contributed 31% of our rev

enue. It's the maximum revenue has been
contributed by wiring harness. Vehicle access contributed 22%, die casting contributed 15% and cluster business contributed 17%.
Speaking about mobility-wise revenue split, 2-wheeler and 3-wheeler contributed 48% of the group's revenue. Commercial Vehicle contributed 28%. Passenger Vehicle contributed 14% and Aftermarket contributed about 10%.
With the consolidation of Minda VAST business with Minda Corporation from FY 27 onwards, it will certainly accelerate our vision to achieve 25% revenue from Passenger Vehicle segment, which currently stands at about 14%.

Moving to Slide number 10. It briefly talks about Flash Electronics performance. Flash also did quite well throughout the whole year, particularly in Q4 as well. The Q4 and full year revenue stood at INR 493 crores and INR 1,803 crores, respectively. EBITDA margin stood at 18% and PAT margin stood at 9.9%. From a full year perspective, it is INR 310 crores EBITDA and a PAT and PAT margin of INR 137 crores with 7.6%, respectively.
Aakash briefly touched upon several of our guided principle and strategic pillars, and I'll not dwell too much into it. Clearly, the group is extremely focused on those pillars and we'll be guided how we are performing, and we will measure our success basis how we are performing across those 5, 6 pillars.
So looking ahead, we continue to invest in our growth through new product categories, strategic partnership. Toyodenso is a classic example. Turntide is another example, and several of those are there in the pipeline and our R&D capabilities.
Our focus remains on expanding our footprint in high-growth areas like EV, strengthening our customer relationship and building on our leadership in key technology-driven segments. So all in all, year has been extremely good and quarter particularly has been good.

So with this, thank you, and I will now hand it over to operator for the Q&A.
Moderator: Thank you very much, sir. The first question is from the line of Jay Kale from Elara Capital. Please go ahead.
Jay Kale: Congratulations on a great set of numbers, significantly outperforming the industry. My first question is regarding your Information & Connected System. We've seen that it has seen a steady growth rate outperforming our overall company growth rate over the year.
If you could just point out a few things on the wiring harness. Where are we in terms of market share gains because of the localization? Where are we in terms of localization content? And which segment are we gaining market share and outperforming the industry?
And within that also, in instrument clusters also, whether the new orders that we had received in the last 1 or 2 years, how have they been shaping up and the outlook going forward?
Aakash Minda: Yes. So, I'll first start with the wiring harness. Again, wiring harness has been one of the core for the group for a long time and as we have shared over the past few years, we have been focusing on particularly localization, where the connectors and the couplers become a very important part.
So now the requirement of Minda Corporation is being fulfilled to the tune of about 18% to 19% by our own division and we are now working on a couple of other technology-related products when it comes to the ICE or even high voltage or electric vehicle mobility as well as on the electronics connectors is what we are working on with this division through our investment into the own engineering capabilities and again, partnering up with a couple of international companies.
With respect to the market share, as you know, the Japanese 4-wheeler passenger vehicle is catered by our joint venture company, Minda Furukawa. So that is something that we do not approach. But the market share gains have been largely in 2-wheelers, 3-wheelers as well as Commercial Vehicles.
So, the

se are areas that are giving us growth along with the premiumization.
We have also seen a couple of addition of new customers as well as increase in content from the high-voltage wiring harnesses and connectors.

When it comes to the instrument clusters as a business, as we've also shared before that we've been in the journey of increasing the kit value by way of premiumization and offering from component to system to platform-related products. Now here, we have won multiple orders over the past year or 2 on account of the TFT clusters ranging from 3-inch, 4-inch going up to even 15-inch.
And in the previous quarter and in the next quarters to come, we'll see some of

them coming into SOP, and this is across segments, which is Passenger Vehicle as well as Commercial Vehicle as a complete platform-related product and 2-wheelers also from domestic and exports.

Jay Kale: Understood. And my second question is regarding your Turntide JV. How should one look at it the scope of this JV, especially with Flash Electronics also having EV motors? What is the area that is solving your needs with Turntide which Flash wasn't? And how should these 2 go ahead from a customer as well as segment perspective?

Aakash Minda: Yes. So Turntide is from U.K. and they have a legacy from Sevcon and BorgWarner, which are pretty famous companies in the automotive industry. Turntide brings in from the motor perspective, axial flux technology, which Flash does not have and axial flux can be again used in all vehicle segments, particularly where the space is a constraint.

So that is where the axial flux technology comes from Turntide. When it comes to the motor controllers, below a certain threshold is done by Flash Electronics and above certain thresholds for the 3-wheeler as well as the Commercial Vehicle segment is going to be done by Turntide.

Jay Kale: And they don't have Passenger Vehicle EV motor capability as of yet, right?

Aakash Minda: No. For Passenger Vehicle EV motor capabilities, Flash Electronics already have the product developed through their technical center in Poland. We are already under discussion with a few customers where our products are in active engagement in India for the Passenger Vehicle motors and a complete system.

Jay Kale: Understood. And if you can just speak a little bit about the commodity pressures in this quarter and going forward in the next quarter? And how much

could this increase in labor cost impact your margins going forward? Some guidance on the margins?

Ajay Agarwal: See, obviously, as you know, commodity cycle has been extremely volatile. And when I look at across our main commodity, whether it is copper, zinc and aluminum, throughout the year, we saw escalation anywhere between 30% to 40% and most of our contracts with our customers are on pass-through basis. So any escalation should not necessarily eat up our margin.

But definitely, since there is no profit element attached to the escalation, you would see some bit of impact on the EBITDA margin. But from a cost escalation point of view, it should not eat up our profit. What will happen in the future, it's very difficult to predict how the commodity cycle will move. But looking at last 20, 30 years, we always found that after every alternative 3 years, commodity cycle moves on an uptrend basis. So unless and until the geopolitical situation improves, we don't see this cooling off at least in the next quarter or so.

So we are fully prepared to take control of commodity and fully prepared how do we deal with the escalation and speaking with our customers to see if we can manage the escalation in the best possible manner.

Jay Kale: Understood. Just one last. Your revenue and EBITDA for Flash is largely stable on a quarter-on-quarter basis, but PAT has moved up significantly. Any
l

ine item you would want to call out below EBITDA on a quarter-on-quarter basis?

Aakash Minda: Yes. For the Flash Electronics, again, largely the focus has been on the electric vehicle mobility, where on quarter-on-quarter, we can see how the penetration of the 2-wheeler or the 3-wheeler industry has been moving per se.

But largely, when there are some of the export orders from the metallics business that are coming into effect in this quarter. Hence, we can see the rise, particularly, and as well as the high utilization of capacities from the Flash point of view. So hence, you can see this amount of jump in the bottom line.

Jay Kale: Okay. No, I was just referring to the difference of PAT?

Ajay Agarwal: Yes. So PAT is mainly to do with the interest cost. I think their overall interest cost has gone down, which has resulted in a better PAT performance.

Moderator: Thank you. The next question is from the line of Raghunandhan from Nuvama

Research. Please go ahead.
Raghunandhan: Congratulations on strong results once again and thank you for the detailed opening remarks. Sir, my first question, the share of profit from associates for the full year was at INR 81 crores. Can you give a breakup? I mean, INR 67 crores is from Flash. Can you indicate the remaining amount? What would be the share of VAST and Furukawa? And also for VAST, if you can share some numbers on revenue, EBITDA, PAT for full year FY26?
Ajay Agarwal: So you're right, Raghu. Flash contributed about INR 70 crores in contributing to the PAT. Furukawa contributed about INR 8 crores. EVQ did not contribute and Minda VAST contributed about INR 5 crores. From a Minda VAST perspective, last year, they did about, give or take, INR 500 crores revenue with an EBITDA margin of about 7%. We expect the EBITDA performance to improve in the current fiscal year with the improvement in top line as well.
Raghunandhan: Thank you. That is useful, sir. And VAST revenue would be predominantly PV?
Ajay Agarwal: Predominantly PV, yes.
Aakash Minda: Yes. The VAST revenue more than 90% is Passenger Vehicle.
Raghunandhan: Noted, sir. That is very helpful. And because you've been winning large orders across categories, for FY27, which would be the major segments where order executions are expected? How do you see the share of segments moving in FY27? Which segments are likely to outperform?
Aakash Minda: So Raghu, largely the pie will remain similar once the Minda VAST is definitely added. So, the Passenger Vehicle segment at the overall Minda Corporation level will grow north of 20%. However, in terms of the products wise, you can say the instrument cluster business as well as the wiring harness business will see the maximum amount of product launches, followed by the die casting for exports will be the top 3.

The other segments, which include our electric vehicle mobility products, sensors, various electronic products like wireless chargers and others, that will also come into mass production.
Raghunandhan: Noted, sir. For switches and sunroof, FY28 will be the first full year of operation. Based on the orders received, how do you see the revenue potential in the first year?
Aakash Minda: So yes, for sunroof, we have received the lifetime order of about INR 350 crores last year. We are getting into the mass production in the next 4 to 5 months. So yes, FY28 will be the first full year revenue. When it comes to the switches, which is coming again into the mass production by March this year, so the FY28 will be the ramp-up year, I would say. So the first peak year would be, let's say, FY29 for the switches joint venture.
Raghunandhan: Noted, sir. Extremely helpful. Just a last question. For FY27, can you indicate what would be your capex and investments?
Ajay Agarwal: So our capex has been in the range of IN

R 350 crores to INR 400 crores. And this year also, we expect to be in that range, maybe 10% plus of that, close to about INR 400 crores, INR 450 crores capex we are expecting for fiscal year 2026-27.
Moderator: The next question is from the line of Jyoti Singh from Haitong. Please go ahead.
Jyoti Singh: Sir, with the increased content per vehicle across EV and premium vehicle, so how does you see Minda's content per vehicle opportunity evolving across 2-wheeler, PV and CV segment? And also the strategic JV that we have done. So when do we see the ventures contributing meaningfully to revenue and profitability? And what is the expected scale over the next 3 to 5 years? And another, if you can give some outlook on the CV side? Thank you.
Aakash Minda: Yes, I think there are multiple questions. But I think I'll just start by sharing that we just answered the questions of the new joint venture that we have signed. Sunroof is coming into SOP this year. The joint venture for the switches is coming by March. So let's say, the April of FY28.
When it comes to the Turntide joint venture, we have already secured businesses and the existing running businesses are already being transferred in

the next 3 to 4 months. So the SOP is expected to happen in this year. And probably, you can see the peak starting from next year because the EV penetration will increase.

Your last question was on account of the electric vehicle mobility. Of course, the penetration across segments is increasing year-on-year. We have seen particularly after the West Asia war, the focus on electric vehicle mobility in 2-wheeler segment as well as the passenger vehicle segment is increasing. And we, with our products, are fully ready to cater that across segments from power electronics to motors to electric charging-related product lines, etcetera, as a system solution offering. So if you could also repeat your first question, then I could share more highlights on that.

Jyoti Singh: Yes. So sir, I was asking on the EV side and the premium vehicle. So how we are seeing the content per vehicle opportunity is now evolving across EV that is evolving across 2-wheeler, PV and CV s ide?

Aakash Minda: Yes. So premiumization is one of our core pillars of growth going forward. Now it depends on different product lines, but the major is driven by electronics and system solution offering. If I look at the wiring harness space, you can say somewhere about every year in totality on an average about 20% increase in the kit value is seen across products, across segments.

That is something which is, as a general rule of thumb, you can say, with the approach that we have moving forward and adding products in terms of adjacencies as well as system solutions offering from premiumization perspective.

Jyoti Singh: Okay. Thank you, sir. Sir, last question is on the CV outlook side. What kind of opportunity we are seeing going forward?

Aakash Minda: Yes. So, CV is again expected to continue the growth largely by, again, the exports that are being driven by the India, India is growing, extreme amount of roads and transportation is being built across, the number of highways that are being built is phenomenal.

There are more and more airports coming in. So by and large, the economy is booming. And so with that, logistics need to move. So Commercial Vehicle is expected to do well in the coming quarters as well as in the years.

Moderator: Thank you. The next question is from the line of Devesh Kayal from Boring AMC. Please go ahead.

Devesh Kayal: Sir, just want to understand what is your status on the die casting and the clusters plant. When those would be commissioned and visibility on capacity utilization for the same from our order book currently?

Aakash Minda: So when it comes to our capacity utilization as

in the complete group, on an average, you can say is somewhere between 75% to 80%, again, spread differently. When it comes to the Minda Instruments' second plant, which is under commissioning, we expect it to be ready by Q1 of next year, and that will house all our advanced electronics technologies from the instrument cluster and cockpit point of view.

When it comes to the die casting, our one plant is already operational in Noida. So that has already started production. Our fifth plant in Pune is under commissioning. That should take about 18 months from hereon because that will be a majorly export-related facility with much higher and much larger equipments and infrastructure.

Devesh Kayal: Just if you can elaborate on the previous question on the CV outlook because we had a good outperformance vis-a-vis the CV OEMs. So can we continue to outperform by 2x, 3x even this year?

Aakash Minda: I will not be able to comment on the 2x, 3x, but I can share that again, a lot of things are changing in the Commercial Vehicle segment even, for example, the safety side as well as many regulatory aspects such as the tire pressure system, the air conditions coming in, long route drives that are happening, charging for the Commercial Vehicle, etcetera, is coming along. So definitely, the Commercial Vehicle segment order book as well as the growth from the volume perspective is definitely bound to continue.

Devesh Kayal: Okay. And sir, on the synergies with the Flash Electronics. So we were

expecting the synergies to start from the customer approval side. So do we expect from this year we should expect some synergies?
Aakash Minda: Yes, absolutely. We have already secured some of the orders, particularly in our die casting space as we had shared before for the EV motors and other

things. So that is under development and should be under mass production in the next 2 quarters or so.
Also, our facilities, which are particularly in the Asian countries or Vietnam and Indonesia are starting to secure order book for Flash-related customers. So that is something which are under works. And of course, the sourcing synergies that we had shared, which is expected to receive benefits from Minda Corporation as well as the Flash, is expected to start results.
Last but not the least is one of the joint ventures that we signed, the Turntide is again, something that we're building up on technology along with the Poland Tech Centre, Spark Minda Technical Centre and Turntide, with both continue to work together to make the magnet-less motors, XN1 products for the segments. So these are all avenues how we are coming together as one organization.
Devesh Kayal: Okay. And sir, last question is on the gross margin. So we had 180 bps Quarter-on-Quarter decline in gross margins. So do we have any levers now because R&D spends are now already like 3.2%. So do we have any levers at the opex level, which can offset the decline in margins in the near future?
Ajay Agarwal: Well, the declining margin is mainly on account of RMC going up. Obviously, we all saw huge cost pressure because of commodities run up, and I'm hoping that things should settle down. Insofar as different levers are concerned, if you see our EBITDA margin has improved.
So therefore, there are other levels where we have worked, which were slightly controllable from our end, whether it is people cost, whether it is conversion cost, whether it is power cost, several of those levers have helped us to maintain the margin despite the RMC cost going up.
Moderator: Thank you. Next question is from the line of Chirag Jain from Emkay Global. Please go ahead.
Chirag Jain: Sir, just wanted to understand the thought process behind the R&D spend. I think over the last few years, we have seen a consistent increase, but in FY26, we have seen some sort of normalization in terms of R&D s

pend. So maybe if you can elaborate on that?

Aakash Minda: Yes. See, the revenue has gone up. Number two, when it comes to the investment into engineering, we have strategies in place on how we are and in what we are going to invest. So again, product is one side. Second is, of course, building our capability in building a robust and resilient supply chain for the industry and how our R&D can play a very important part in that.
So by upgrading our quality systems, software quality, infrastructure, all those things are being put in place. So it's a cycle-based approach where we strengthen ourselves on a year-to-year basis as well as consistently optimize on where we are spending, but more importantly, come up with the front-end solutions, which are the right customer product fits in our platform-based approach.
So it is how we kind of become more stronger ourselves in the areas that we're investing on the R&D. But the amount has not been reduced, but the focus areas have been defined, I would say, for us to propel better.
Moderator: Thank you. Next question is from the line of Neel Mehta from DRChoksey. Please go ahead.
Neel Mehta: Congratulations, sir, on a great set of numbers. Can you please decompose the 29% year-on-year growth into underlying volume growth, CPV expansion and new product contribution?
Aakash Minda: So yes, our growth, particularly in the volume side, if I speak on the segment per se, we have grown more than 26% in the 2-wheeler space, outperforming the industry by about 12%. Similarly, in our Passenger Vehicles, we have

grown more than 12%. In the Commercial Vehicle space also, we have grown
somewhere about 25% as well as in terms of our exports as well, we have
grown.
So segment-wise, everywhere, we can see a growth. When it comes to the
factor of new products or premiumization, that has led to, you can say,
somewhere about, out of 29%, you can say somewhere about 12% to 13% of
growth has come from premiumization of new product addition. And the others
have been further from the customer penetration and new customer additions.
Moderator: Thank you. The next question is from the line of Rohit Taparia, an Individual
Investor. Please go ahead.

Rohit Taparia: Sir, I have a couple of questions. First question is that what is your revenue
outlook for FY27?
Rohit Taparia: And second question is that as you mentioned that our lifetime order book is
of INR 10,000 crores. What is the time line for that execution of the current
order book?
Ajay Agarwal: While we don't give future outlook in terms of revenue guidance, but our
guiding principle has been that we want to grow our business at least 50% more
than the industry growth. So if the industry grows about 10%, so we should
look at revenue growth in Minda Corporation to the tune of 15% plus.
Now our order book is INR 10,000 crores, which we have registered
throughout the year, and different product, different customer will have a
different life cycle. Some maybe order for 5 years, so maybe for 6 years. But
by and large, you can say it ranges anywhere between 48 months to 60 months.
Rohit Taparia: Okay, sir. And sir, last question earlier, you had given a guidance for FY 2030
of about INR 17,500 crores approx. So are we in line with that?
Ajay Agarwal: Yes. So we have kept the long-term vision in mind for 2030 to deliver INR
17,500 crores top line with 12.5% EBITDA margin. And the whole group is
working towards achieving those stated numbers.
Moderator: The next question is from the line of Hemaant, an Individual Investor. Please
go ahead.
Hemaant: Congratulations on a very good set of numbers. So just, sir, in line with the
question of the previous participant, I wanted to ask you one thing. Like INR
17,500 crores of revenue by FY 2030, I think it implies a revenue CA

GR of
22% or 25%. So sir, will it be possible to achieve 22% or 25% kind of growth
in FY27? Any range is fine, sir.
Ajay Agarwal: So if you look at during FY2025-26, we grew our business by 22% and the
Group consolidated revenue, including Flash and all, it's roughly, give or take,
about INR 9,000-odd crores. We are looking at 4-year window to deliver INR
17,500 crores number. So if we go about 19%, 20% growth from here on, we
are quite destined to deliver INR 17,500 crores revenue.
Hemaant: So sir, we should grow at least by 20%, I guess, in FY27, right?

Ajay Agarwal: That's right.
Hemaant: And sir, so basically, we'll be around tripling the revenue from existing INR
6,200 crores to INR 17,500 crores by FY30?
Ajay Agarwal: Which will include Flash Electronics as well. So INR 6,200 crores do not
include Flash Electronics, and it does not include Minda VAST as well. So if
I include Minda VAST, Flash Electronics and all, then our group revenue today
stands at about INR 9,000-odd crores.
Hemaant: So sir, I mean, the vision of FY30 was INR 17,500 crores. It includes Flash
Electronics as well as the new associate company or just the Minda Corp?
Aakash Minda: So Mr. Hemant, as we shared that the vision is about INR 17,500 crores, and
there are multiple initiatives that are being taken on account of organic growth
as well as inorganic growth. And this accounts for multiple opportunities that
we are currently working on. At group level, we have shared that we are at INR
9,000 crores and moving forward, we are working on multiple opportunities,
including joint ventures, consolidations, M&A opportunities as well as organic
growth to ensure this.

Hemaant: So this INR 17,500 crores vision is on a group level on a consolidated basis, right, sir?
Aakash Minda: Yes, that's right.
Hemaant: So basically, we'll be doubling the revenue. This is what I can say, right?
Aakash Minda: Yes.
Moderator: Thank you. The next question is from the line of Arjun Khanna from Kotak Mutual Fund. Please go ahead.
Arjun Khanna: Congratulations. I think a very strong set of numbers. I think margin delivery, which you have talked of, has come through. My first query is in terms of our Turntide JV. So while we talk of the axial flux motors, essentially, if one looks at the current platforms, so we seem to have more on the radial flux side. So when you say you've won orders already, could you elaborate a little more? Are we talking of 2-wheelers, PVs, CVs, which segments are we referring to?

And secondly, in terms of, this JV would be more of an assembly operations as of now? Or we would start with localization?
Aakash Minda: So to first answer your question, whether it is any product or joint venture, we are looking at deep localization as much as possible from the SOP itself. And that is where Minda Corporation is focusing along with our partners' technical center as well as the entire initiative goes there and that is our support or offerings to the customer.
Number two, when it comes to the Turntide joint venture. As I mentioned, we've already won orders when it comes to the motor controllers as well as the other electronic space. So that is going to start SOP in about 5 to 6 months. And when talking about the motors particularly, there also we are under advanced discussion. I may not be able to share further details because of confidentiality nature.
Arjun Khanna: Sure. Just one query out here. Since this technology is slightly different, it's superior, but also the cost is higher, do you envision this to become substantially larger than the current set of motors?
Aakash Minda: It depends, to be honest, depending on the segment and the vehicle architecture. So again, we are offering the complete portfolio of motors in our umbrella. That is the objective that we are goin

g forward with. So if any customer would like to take BLDC motor or PMSM motor or axial flux motor, we can offer that. So that is our objective and as a complete system solution offering.
Arjun Khanna: Sure. Very helpful. Sir, the second question it's more of a broad question. We are hearing a lot of labor cost inflation. Obviously, we would be hit by commodity prices. So there would be a base effect impact on margins. But in terms of stresses, in spite of that, this quarter, we have actually seen a good quarter. How do you see this pan out over the year ahead? Basically, I'm sure we'd move towards our direction of 12.5% over a few years. But just in terms of the outlook for this year and maybe the next?
Aakash Minda: So we don't know how other states will react. But as we have mentioned in our statements, Minda Corporation is focusing on operational excellence. Now this includes being a manufacturing company, how we can put in the best practices

in place by using automation, AI, Industry 5.0, work closely with our suppliers in order to work the best for our customers.
And continuously we engage on our ideas how we can deliver better with the same set of people, generate higher revenue and spend our assets, including our optimization of the people strength that we have.
Arjun Khanna: And on the commodity side, sir, have you seen any impact? I know LPG was a concern for a number of players, but aside from that availability, etcetera, have you faced any issues or with our Tier 2, Tier 3 suppliers?
Aakash Minda: No, I can say that we have planned our next couple of months in line with our customers. So to ensure our customer requirements, we are fully adhering and committed for delivering whatever is needed. So we have in place all our requirements with our suppliers for all sorts of commodities.

Moderator: Thank you. The next question is from the line of Jay from Elara Capital. Please go ahead.
Jay Kale: So first question is on the TPMS as a product. We've seen that in the upcoming CAFE regulations, adoption of this product could give benefits to the OEMs. Where are we in the adoption as per you? And are we seeing increased customer interest? And how large could this product be for you going forward?
Aakash Minda: So Jay, the focus is on safety. While the Commercial Vehicles, Passenger Vehicles, all segments are growing, the vehicle count is increasing and so is the concern for safety and accidents in India. So the entire industry is focusing along with multiple regulations to reduce the fatality or the accidents. And anything that gives an information to the driver and helps in increasing safety is something that is what everybody is working for.
Tire Pressure Monitoring System is one such key critical sensor, which is in the portfolio of Minda Corporation as well as we have multiple orders in place, also getting into start of production. I cannot share which customers, what segments, but they are across multiple segments that we are already one business is coming into mass production soon.
Moderator: Thank you. Ladies and gentlemen, due to time constraints, that was the last question. I now hand the floor over to the management for closing comments.

Aakash Minda: So, thank you very much, and I would like to really thank Emkay Global for organizing this call and thank everyone for joining the call. We at Minda Corporation remain highly confident in our growth trajectory both in near term and long term, driven by strategic investments and unwavering commitment to advancing our products and technologies. We are committed to creating value for all our stakeholders and shareholders.
We're investing deeply in our capabilities in terms of people, capacities, capabilities, competencies and technologies across segments and divisions. I hope we have been

able to respond to most of the queries. For further information, we request to please do get in touch with our IR team. Thank you very much. Thanks for your support. Have a great day.
Moderator: Thank you very much. On behalf of Emkay Global Financial Services Limited, that concludes this conference. Thank you for joining us, and you may now disconnect your lines. Thank you.